

# Samhi Hotels (SAMHI)

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Sub: Transcript of Q2 FY24 Earnings Conference Call

Dear Sir / Madam,

Please find enclosed the transcripts of the Q2 FY24 Earnings Conference Call held on Thursday, 9th November 2023 at 3:30 PM.

You are requested to kindly take the same on record.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain  
Senior Director - Corporate Affairs,  
Company Secretary and Compliance Officer

Encl.: As above  
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Q2 FY24 Earnings Conference Call  
November 09, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November 2023 will prevail .

MANAGEMENT : MR. ASHISH JAKHANWALA – CHAIRMAN AND  
MANAGING DIRECTOR  
MR. RAJAT MEHRA – CHIEF FINANCIAL OFFICER  
MR. GYANA DAS – EXECUTIVE VICE PRESIDENT AND

HEAD OF INVESTMENTS  
MR. NAKUL MANAKTALA – VICE PRESIDENT ,  
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Moderator: Ladies and gentlemen, good day and welcome to SAMHI Hotels L imited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.  
I now hand the conference over to Mr. Ashish Jakhanwala, Chairman and MD . Thank you and over to you, sir.

Ashish Jakhanwala: Thank you so much. Good afternoon and warm welcome to everybody for SAMHI's Q2 and H1 FY24 earnings call. Today I have with me my colleagues, Rajat Mehra, who is the Chief Financial Officer. I got Gyana, who is the Executive Vice President and Head of Investments. I also have Nakul, who is Vice President of Investments. And along with my team, we also have the team from Strategic Growth Advisors, who are Investor Relations Advisors.

First of all, this is our first earnings call. Thank you so much to all of you for a very warm reception to our IPO. I think for the management team at SAMHI and our shareholders, it's a very proud achievement for us to have created a formidable hotel company within a period of about 12 years.

We have uploaded our result presentation on the exchanges. I hope everybody had a chance to go through the same. But we also have a video webcast where we will be taking you through the detailed management presentation.

And we would encourage participants to join the webcast so that they can see the presentation as we take you through our commentary. Given it's our first earnings call, I would spend four or five minutes to take you through a brief profile on SAMHI, our journey, what has been a principal business strategy before we go into details of Q2.

SAMHI is one of India's leading branded hotel ownership and asset management company. We have a very unique business model that we'll talk about, which is rooted in our ability to acquire and turn around underperforming hotels. As of 30th September, we are very proudly standing as India's third largest owner of hotel rooms by number of rooms. As you can see on the slide, those of you who have joined the webcast, we have about 4,800 rooms across key markets in India. And our hotels span across what we call mid -market segment. We have about 1,500 rooms there. We have about 2,000 rooms in the upper mid -scale. And then we have about 1,000 rooms in the upscale. So the company captures demand at different price points and across key cities in India. One of the most important pillars for our growth actually has been our acquisition and turnaround strategy.

We believe that given the low institutional penetration of capital in the hotel sector, there is a huge potential of hotel assets in India, which today exist, but are underperforming to their true potential. Over the last decade, this has been our mode. We've been able to create a programmatic approach to acquiring underperforming, under -managed hotels.

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And invariably, once we've acquired these hotels, we have taken them through a very systematic approach of product, brand, and asset management upgrade. And we've seen significant changes to the performance of those hotels. So of the total 4,800 rooms that we own today, other than 700-odd rooms that we've built greenfield, rest of the rooms have been acquired through an acquisition and turnaround strategy. And that demonstrates the strength and the success of our principle business strategy.

The second important thing for us, of course, is the fact that it has allowed us to grow fairly rapidly. We are very proud of the fact that we've been able to create India's third largest owner of hotels.

I rooms all within a period of about 12 years.

As you know, development cycles in India tend to be fairly long. They tend to be fraught with a lot of development and delay risk. When you're doing an acquisition and turnaround -led growth, you tend to kind of avoid those inherent risks which are there in development.

The other key factor for us is the fact that we have a large portfolio. As I mentioned earlier, our portfolio is spread across different price points in key Indian cities. And we have been able to

leverage the power of strong global hotel brands which sit on top of our hotels. And therefore, these brands are a bridge to the customer. As of 30th September, about 71% of all Holiday Inn Express hotels in India were owned by SAMHI. Almost over 40% of all Fairfield by Marriott hotels in India were also owned by SAMHI.

So even though we partner with a global hotel company like Marriott, Hyatt, or IHG for bringing brand and operational expertise to our hotels, we have a very dominant share of some of the largest global mid-market hotel brands for the Indian market and for Indian consumers. And we are very proud of our track record.

This is a company we created in around FY12. And, you know, from FY12 when we started the business, our total turnover was just about a crores of rupees. And in FY23, on a pro forma basis, including the recent acquisition that we'll talk about, we had crossed a revenue of about INR964 crores. So this company has really demonstrated what I would consider industry-leading growth rates over the last five, six years, even if I was to ignore a very low base of what we had started from about 10 years back.

Coming to a recent acquisition that we have made, and, you know, there will be a fair bit of discussion about SAMHI's performance and a pro forma performance. And just to clarify upfront, when we talk about pro forma, we are just making an assumption that the acquisition was made for the full fiscal year, rather than for the stub year after closing of the transaction. And it's really important for us because A, that's how we have represented the numbers in our prospectus. And two, when we talk about our total debt today, or what we talk about our future cash flows, it does assume the ACIC portfolio as it has been fully acquired. So this portfolio that we've acquired in August of 2023, consists of six hotels with about 962 rooms. It additionally has given us a land parcel in Navi, Mumbai, for a potential development of about 350 rooms. We believe this acquisition is extremely accretive to SAMHI over the next few quarters, as we integrate this business with our existing portfolio.

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Just a quick introduction, I have already briefly introduced the team to you, but SAMHI is also a business which is unique in a way that it has been built by a professional management team. And most of the management in this company has been with the business for over 8 to 10 years. Also, backed by a very strong Board. In terms of governance, we have almost 50% of our Board comprising of independent directors. Those directors bring a great depth of experience of different sectors, including hotels, banking, real estate, travel and tourism, and so on and so forth. So we have built the business since inception, with a very strong independent professional board.

In terms of macroeconomics, we will give you some perspective of how we see us being positioned in the macroeconomic situation. I think there are two things that we'll talk very often with all of you over the next few quarters. One is airline passengers, and the second is the grade A commercial office space.

These are two demand parameters, you know, indicators that SAMHI has relied heavily to make its investments to evaluate how our hotels are doing, and our underwriting of what our portfolio could be doing in future. If you

look at airline passengers, and it's a fairly interesting data point.

There's been a lot of anecdotal discussion about how there is a problem of capacity in airlines in India, airfares are at an all-time high. And if you were to look at actual data for Q2, or even some quarters preceding that, we realized that the total passenger movement on a quarterly basis is just about getting to where it used to be pre-pandemic. So in Q2 FY24, we had about 65 million passengers transiting through various Indian airports. And this number actually is very similar to what the number was on a pre-pandemic basis.

So there has been a lot of supply side constraints, but we have barely seen the full recovery of the airline sector. And for us as a hotel owner asset manager, it's actually a great news, because we still feel there's a fair bit of headroom for growth for the airline business in India, because effectively from FY20, Q2, to FY24, Q2, we've really not seen any meaningful growth of total passengers.

In terms of office space, India has an incredible market. In the last quarter, which is Q2 of FY24, the key cities in India saw about 22.5 million square feet of total absorption. And that's really some of the highest absorption rates that you'll see in any global market. No surprises, Hyderabad, Bangalore, Delhi, Pune, Mumbai lead the pack.

And as I mentioned to you earlier, we've been following these two data points, and therefore you would see our portfolio largely concentrated and dispersed across markets, which are large office markets and large aviation markets within India. And within those markets, you will see us operating at different price points, starting from a Holiday Inn Express, which is our mid-scale brand, selling at an average rate of about Rs.3800 to Rs.4000. Then going to our upper mid-scale

brands like Fairfield by Marriott and Four Points by Sheraton. And then eventually in five markets, we have upper-upscaled and upscale brands such as Hyatt Regency, Sheraton, Courtyard, Hyatt Place and Renaissance.

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In terms of our Q2 performance, we'll just quickly jump to Q2, so we leave a lot of time for Q&A. During the last reported quarter, the company reported an occupancy of about 72%. So all of our 31 hotels, the aggregate occupancy was about 72%.

Our average room rate, and we will caution the audience, that the average room rate in our portfolio is a weighted average of three different segments. And therefore you would sometimes see some noise in the average room rate. So there'll be a lot more focus on average room rates for each segment.

But portfolio-wide occupancy was about 72%. RevPAR and ARR both grew in the range of about 16.4% and 14.7% respectively. Rajat will take you through the financials later, so I'll skip that part.

In terms of growth, last year, same quarter, we did a total revenue of about INR176.4 crores. What we have seen is about 14.6% growth for same store assets. And then we have an impact of the recent acquisition that we've made, resulting in a total revenue growth of about 25.3% year on year. Similarly, in EBITDA, last year, same quarter EBITDA was about INR62.5 crores. We've seen about 19.2% year on year growth on same store. And then there's an impact of about INR8.8 crores from the acquisition of ACIC. Therefore, the total EBITDA at an asset level is being reported to grow at 29.8% year on year.

RevPAR, which most of the participants would know, is a very important indicator for our business. We've seen really healthy growth, both in Q1 and Q2. We saw about a 14% growth in Q1. We've seen that improve to about 15%. Early indications confirm to us that this RevPAR growth continues through the current quarter. I think there are really enablers and sometimes something that always pulls you back. In the last quarter, the enabler was really the fact that we

we've seen really no new supply coming in our core market. And the demand for business travel continues to remain very, very healthy. No surprises. 22.5 million square feet of office space was absorbed in India in one single quarter. So that is what is driving the RevPAR growth. We actually could have seen a better quarter, but for the fact we saw some negative impact in Karnataka because of the Karnataka bandh towards end of September. As you know, we have a reasonable presence in Bangalore city. And two, also we had certain apartments which we had taken for some upgradation in Pune.

And therefore, if we had these two incidents were netted off, we would have seen probably a higher RevPAR growth and net impact on total income and EBITDA. Every quarter, we are very proud of our in-house and proprietary asset management tool that we've built, which we call SAMHI Intel. This tool uses really high frequency daily data to identify trends which can have a potential impact, positive or negative on the performance. It's one of very unique asset management tools, perhaps in the industry today.

And every quarter, we'll give you one insight from that tool. And so that you get the information asymmetry between management and investors is kind of removed over a period of time. This quarter, one of the things that we have identified is what we call demand compression. How many days in a year the portfolio is achieving a very healthy occupancy. And if you see in the current calendar year, and I'll repeat current calendar year, so from 1st Jan till literally day before

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yesterday, we actually saw that our entire portfolio had achieved more than 70% occupancy on almost 60% of all days.

And that's a really healthy trend given the fact that we are heavily based in business locations with business hotels. So including the impact of weekends and holidays, we saw 70% occupancy being crossed on almost 60% of all days. But more important is the fact that almost one in four days, our portfolio was doing more than 90% occupancy, which is when we realized that we can really yield our assets to our advantage.

So this is just one insight. In terms of segment, we have three segments, as I articulated earlier. Starting from the lower end, we have mid-scale, we have a singular brand there, Holiday Inn Express. Then we have upper mid-scale, which we have two brands right now, Fairfield and Four Points by Sheraton. And then in the upper upscale and upscale, we have different brands with five hotels. We'll quickly take you through what we've seen as performance trends in these

segments.

We have seen RevPAR grow in excess of 7% almost in all three segments. Even in the upper upscale, we've seen RevPAR grow in excess of 7%. There's a fair bit of upcoming growth coming within the segment for us, which includes adding some inventory to our Hyatt Regency in Pune, including a restaurant.

We have an in-principle agreement with Hyatt to renovate and rebrand Hyatt Regency in Pune. We're also looking at improving our market share in social events in hotels in Pune and Hyderabad through refurbishment of our banquet facilities there. And then of course, we're launching about 45 refreshed executive rooms at Sheraton Hyderabad.

So whatever performance we see today, you will see a significant upside because of these operative actions that we're taking in the business. Similarly, in the upper mid-scale segment, we've seen RevPAR grow in excess of 7% both in H1 and in Q2. And again, in this segment, we expect, first of all, the biggest advantage will come from integration of the ACIC portfolio with the 962 rooms.

We're also starting, we were starting to do the planning of the 350 room hotel in Navi Mumbai, but that's really a long lead delivery. And then over the next year, year and a half, we'll see the renovation and rebranding of Caspia

at Delhi and the Four Points by Sheraton in Pune. The

higher than 7% RevPAR growth trends continue in mid-scale assets, where we've seen good performance.

This segment also will see a new hotel being added sometime next year in Calcutta, which is 116 rooms. We'll see a 56 rooms, you know, addition to our Holiday Express in Bangalore Whitefield. And we are going to undertake a renovation of an existing hotel in Greater Noida, which will then reopen as a Holiday Express. All of this is targeted to be done in FY25.

In terms of our strategic initiatives, I think we've classified them in three buckets, operative, financial, and growth. In terms of operations, clearly, you know, a simple low hanging fruit for us is our portfolio is in markets which have the largest office space and airline business.

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We can leverage that for our benefit. The integration of the 962 rooms of ACIC will bring tremendous advantages to our overall portfolio in terms of margin improvement and revenue growth. In terms of financial target, Rajat will take you through how we have transformed the balance sheet through the IPO proceeds, but we are moving fairly quickly towards our commitment to get net debt to EBITDA around three and a half times by end of FY25, alongside bringing reduction in the financing costs.

And growth, some of the growth targets which are immediate, we've already spoken about when we spoke about each segment. This is just a roadmap of our various growth targets over the next two to three years. And as I mentioned earlier, all of this growth is internal to the company, no acquisition needs to be made, but we're fairly confident that of the 4,800 rooms that we have today to ourselves, about 3,900 rooms are stable, same store, about 900 rooms are undergoing some renovation, rebranding over the next year, two years.

And then we have the ability to add 600 rooms to take our portfolio to about 5,400 rooms. All of this will be delivered over the next two to three years. Rajat, I'll now pass it on to you for financial results.

Rajat Mehra: Thanks Ashish. Good afternoon, ladies and gentlemen. I will take you through the financial performance of our company for Q2 FY24. During the quarter, we completed the acquisition of the ACIC portfolio on the 10th of August, 2023. As a result, our financial performance for the quarter includes performance of ACIC portfolio as well. Our asset income for the quarter has increased to 2,211 million in Q2 FY24 from 1,764 million in Q2 FY23, registering an increase of 25.3%. Our asset EBITDA for the quarter has increased to 811 million in Q2 FY24 from 625 million in Q2 FY23, thereby registering an increase of 29.8%.

The consolidated EBITDA pre ESOP and the one-time expense has increased by 29.7% to 739 million from 570 million. Overall, our estimated ESOP cost for the year is about 460 million which is being amortized over four quarters and that's why you see very similar expense coming in Q1 and Q2 of the current financial year. The other one-time expenses are completely charged off in the P&L and we don't expect these to incur in the coming quarters. Our depreciation for the quarter is higher as compared to the same quarter last year due to the inclusion of the depreciation related to the ACIC portfolio.

Our finance cost for the quarter is actually not a true representation of our ongoing interest costs as we have not been able to use our IPO proceeds and reduce debt to the extent that we have planned in the current quarter. Significant part of the high-cost loans were actually paid post the quarter end and you will see the reduction in the finance costs in subsequent quarters. Also, the finance cost in the current quarter includes some one-time exceptional costs of close to about

250 million.

In our balance sheet, if you see post the IPO, we've been able to improve our financial strength.

Our net worth actually has turned positive to 10,782 million from a negative of 8,076 million primarily due to the IPO and as well as the all-stock deal that we did for acquisition of the ACIC portfolio. On the operating efficiencies, our overall EBITDA for the portfolio is 37% while the EBITDA for the ACIC portfolio is only 32%.

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We are confident with the completion of the integration of this portfolio with SAMHI, the asset EBITDA margin of this portfolio will also improve closer to that of SAMHI's similar segment.

On the overall debt, we have been able to reduce our net debt from about 28,339 million as on March 31st, 2023 to a net debt of about 18,333 million, which is a reduction of close to 35% here.

If you see on a current trading 12-month basis, our debt to EBITDA has considerably reduced to 5.4 times as compared to that of about 8.7 times as on March 31st, 2023. With the reduction of overall payments that we have made for reducing the overall debt, we have also been successful in reducing the cost of borrowing. Although we have talked about the cost of borrowing of 10.49% in the presentation here, but I am happy to inform that it is actually further reduced to about 10.42% by actually paying certain high cost debt after the release of this presentation.

With that, I actually pass the presentation back to Ashish.

Ashish Jakhanwala: Thank you so much. That is from our side. We are happy to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Thanks for taking my question and Ashish, congratulations for your maiden earnings call. So, Ashish, my first question is about your portfolio, overall portfolio, given that you have bit scaled this portfolio in the past. So, apart from the Navi Mumbai land parcel development and also the plans that you already have of sort of adding more rooms, are there any other plans over the next three to four years in terms of acquiring any further assets or would you still focus on just growing and integrating the current portfolio?

Ashish Jakhanwala: Jaiveer, thanks. So, I think in terms of our plans, we will just like to take you through prioritization. I think our priority is to ensure we deliver on what we call internal growth targets.

So, from where we are today, Jaiveer, we have 4,800 rooms. About 900 of those rooms need to undergo a significant renovation and rebranding. We have seen from our past track record that renovation and rebranding creates a significant upside in the performance.

That's one. Second, we need to add about 600 rooms to our portfolio, which is all of which real estate is currently owned by the business. So, I think in terms of priority, we are focused on these two internal growth levers. In terms of medium to long term, we constantly look for interesting growth opportunities. As you know, a part of our portfolio, especially in the mid-scale space, is long variable leases.

We continue to find interesting opportunities for local landowners to come to us for long variable leases, which is also extremely capital efficient. And if there is a very interesting long lease opportunity in the urban market, we shall respond to that opportunity. But again, I will repeat, our priority is to focus on our internal growth projects.

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Jaiveer Shekhawat: Right. This is very clear. Thanks. And secondly, on your ACIC asset level margin, so when do you expect that to catch up with the rest of the portfolio level margins? And if you can also detail the process that undergoes in terms of doing that turnaround.

Ashish Jakhanwala: So, Jaiveer, there are really two or three steps to doing that. The first, that portfolio currently is

on a franchise basis, which means the resident management team is also looking after the hotel operations. Our first target is to convert those franchisees to management contracts. And by doing that, these hotels start benefiting from a broader distribution and sales support system from Marriott. Second, you know, we have a very large portfolio with Marriott Hotels and because of which we run a shared services center. That shared services center effectively, you know, works like a mothership for all Marriott SAMHI-branded hotels.

And we have started integrating these hotels with our shared services center. So, combination of

franchise to management and second, these hotels getting integrated into our shared services center will help us get the margins to expand from current 32% to at least 37% -38%, which is where we see our portfolio. I think the margin will start getting reflected from first quarter of next fiscal year. But every quarter you will see a graded improvement, but the real impact will be really Q1 of FY25.

Jaiveer Shekhawat: Sure. I think that's very clear as well. And now more in terms of about the net debt to EBITDA levels. Now I see that you've targeted less than 3.5x by end of '25. But just a more calculated guess, if you target a net debt to EBITDA of less than 2x by let's say FY26, what kind of RevPAR growth would that imply for your portfolio?

Ashish Jakhanwala: So, Jaiveer, there is really two things which will help us get to a desired debt to EBITDA level. One of course is growth in income and the other also is a consistent reduction in our leverage. In terms of growth in income, again, I will break it up for three parts. There is an existing same store, 3,900 rooms. And as we have disclosed, they have been growing at a RevPAR of about 14%-15% in the last two quarters over the last year. We will obviously talk a lot about demand supply, but we see little resistance in terms of demand and supply for RevPAR to continue to grow in that zip code.

So that's one. Two, you will see a significant improvement in the margins coming through from the ACIC portfolio. Three, you will see that we have some low-hanging fruits in terms of the additional inventory. So, for instance, the hotel in Calcutta, the new inventory in Bangalore and Pune, these are already buildings. Substantial capital has already been invested in these buildings, which is a part of our current net debt in a way. And as we operationalize these hotels over the course of the next 6 to 8 months or 12 months, you will see incremental EBITDA coming from those assets itself.

So you combine all those three together to get to, I mean, you asked FY26, you have an EBITDA which has grown exponentially from where we are right now because of a combination of these three things. And on the other hand, we are seeing consistent reduction in leverage because from quarter three, we have free cash with us. And because of that free cash, a part of that free cash is going towards funding the capex that we have to do for capacity expansion and renovation.

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But a part of that free cash is going towards constant reduction in leverage over the next two years. So, a combination of two, they will converge together. And that's why we are fairly confident about bringing the net debt to EBITDA down to about 3.5x by end of FY25.

Jaiveer Shekhawat: Sure. And lastly, my question to Rajat. So, Rajat, if you can just specify what are these one-time expenses for which you've also incurred last quarter? And also, if I see your 4Q FY23 RevPAR, and there was quite a jump there. So, are there any one-offs due to any asset addition? Or do you still believe the growth can be still around, say, the level that you have been talking over the last two quarters?

Rajat Mehra: So, I'll take a first question the one time expenses that you see predominate

antly includes two parts

to it, one is there where some one time bonuses which was released that was actually committed to the team last year. But because of the cash conservation, we did not release this last year. These were actually released this year. So, that's the one-time expense. This has been charged off in Q1 and Q2.

The second bit of large expense there is the money that actually has been spent in the ACIC portfolio. Because they were actually also doing a lot of work primarily for the IPO, by way of the certification that had to be done, their audit work had to be conducted. But since they were not part of SAMHI at the time, we couldn't actually net that off from the IPO proceeds. And that necessarily had to be charged off in the interim case. So, these are the two of these one-time costs that were actually are booked in the P&L now.

Ashish Jakhanwala: Yes. And also, Jaiveer, just to clarify, the ESOP expense that we are currently seeing at about INR11.5 crores per quarter, which is as Rajat said, about 460 million or INR46 crores for FY24, it will materially go down to just about INR17 crores for the entire year, next fiscal year. And subsequent to that, it will go down to barely about 95 million or INR9.5 crores for the year after that. So, not just the one-time expenses, which will not repeat from quarter three onwards, but after FY' 24, there will be a significant reduction also in the ESOP expenses, which are currently reflected. In terms of common debt, yes. Sorry, sorry, Jaiveer.

Jaiveer Shekhawat: No, I mean, that's on the common debt because usually the third quarter is the strongest quarter, which will be fourth. But we have seen some increase for all the other hotel chains as well. But then the kind of increase that we saw in your RevPARs from 3Q to 4Q, that was quite significant. So, any comments there?

Ashish Jakhanwala: Jaiveer, the line was not very clear. The question is, are you saying that quarter three, quarter four, RevPAR growth, you are asking? We could not hear it.

Jaiveer Shekhawat: That's right. That's right. So, were there any kind of one-off due to any asset addition or anything?

Ashish Jakhanwala: No, no, no. So, what you are seeing as RevPAR growth that we have reported for Q1 and Q2, it does not have any bump up because of any non-business, non-recurring travel issues. Even just to clarify, the net impact of World Cup, for instance, was barely a percentage and a half, 2% in the quarter.

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So, the RevPAR growth is coming all because of a very strong sustainable business travel demand and really no threat coming on the supply side. And therefore, we've really not seen anything being added. And the RevPAR growth, actually, the 14% and 15% is on the same store.

Management: Slide number 10.

Jaiveer Shekhawat: So, Ashish, if you can just clarify on fourth quarter of last year, I think my question was relating to that. If I see from third quarter of last year to fourth quarter, I think there was a substantial increase. So, just trying to understand that?

Ashish Jakhanwala: No, no. So, quarter four is the best quarter. Okay. So, on a daily run rate basis, quarter three and quarter four are very similar. But just the fact that quarter three tends to have a lot of holidays.

So, you'll have Dussera, you will have Diwali, you have Thanksgiving, and then you have Christmas and New Year.

So, if you look at the business travel tends to accelerate towards the H2. But within H2, while a daily revenue run rate is pretty healthy, even in Q3, as it is in Q4. But Q4 has a unique advantage that once people come back on fifth or sixth of January from their New Year break, from then till 31, March, there is no interruption because of a large holiday.

So, therefore, we've always seen quarter four to be a strong quarter. And there was really no any other special

event or one time issue that bumped up the RevPAR from 3,600 to 4,200.

Jaiveer Shekhawat: Sure, that's very helpful. Wish you guys all the very best. Thank you a lot.

Ashish Jakhanwala: Thank you so much, Jaiveer.

Moderator: Thank you. Our next question is from the line of Dhruvesh Sanghvi from Prospero Tree. Please go ahead.

Dhruvesh Sanghvi: Yes, thank you for taking my question. Am I audible because I'm slightly in the middle of noise? And I'm sorry for that.

Ashish Jakhanwala: Yes.

Dhruvesh Sanghvi: So, Ashish, I just wanted to understand, how do you think about returns in this business?

Considering I mean, do you think from a payback perspective or a ROE, ROC perspective after the assets mature in three to four years, some of your thoughts on how you think about these assets in general?

Ashish Jakhanwala: So, okay. So, there are really two measures that we deploy for ascertaining the return. One is NOI yield, which is nothing but EBITDA over total invested capital. And second is the traditional ROCE, which I don't need to explain, right. Now, typically, because of high depreciation in the first few years, we've seen the NOI yields give a true representation of the real, I would say, efficiency of capital deployment. But honestly, after five, six years, we've seen NOI yield and ROCE starts to converge with each other because the depreciation has been adjusted on both sides.

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What we've seen in our portfolio so far is that even though people believe it's an asset heavy business, and therefore tends to be poor ROCE, but we've actually seen that if you've made the investment in a capital efficient manner, and I know there's a lot of debate about asset light versus asset heavy, but so long as you maintain capital efficiency, you can actually get anywhere between mid-teens to high-teens of ROCE. It also depends on market cycles.

So, for instance, if you look at our portfolio, by the end of FY'24, what we see is a large part of our stable portfolio of 3,900 rooms, which does not need any renovation or rebranding, will be in the zip code of about 15%, 16% ROCE. But within that portfolio, if you look at a Bangalore market where the rates have really gotten to being really healthy, you will see ROCE being in early to mid -20s. So, we've actually seen a very healthy trend where good investments in this business can allow you to create at an early stage mid to high-teen ROCEs, and as the rates mature, you can get to early to mid -20s.

Dhruvesh Sanghvi: Sure. And in connection to that, additionally, so when basically the idea is that once it matures, we are talking about a 15% to 18% number. Now, considering the kind of cyclicity that hotels

in general sometimes face over a five -to-eight year period, isn't it, I mean, how should we think that, in a good year, we will do a 15% to 18% five -year cycle, but maybe followed by a bad cycle. And then how should we think over a 10 -year investing journey? Suppose if we are invested with SAMHI or any other hotel player, just your thoughts. And I've almost read all your podcasts and TV interviews starting back till 2012.

And you have amazing insights and the way you think, and I really appreciate the way you generally challenge your industry quorum also. And so that is why I want to probe your mind around this topic?

Ashish Jakhanwala: So, okay, so let me clarify. You should be able to get 15% to 18% average ROCE if you are in a volatile 10 -year cycle. When I mean volatile, you know, in the old times, we were told two good years, two average years, and two bad years. Okay, so that six, seven year cycle was very easily split into one third, one third, one third, right. So there are a couple of things we need to keep in mind here.

When a city or a market gets to really healthy performance, I won't be happy with mid to high Teen's. Then I would be

greedy to see mid 20% ROCEs. So our Bangalore city ROCEs will be sitting at about 24%, 25%, right. Hyderabad is getting upwards of 20% right now. So just to reiterate, a good cycle should deliver an investor that early to mid -20% ROCEs. An average cycle is where you should be in that zip code of 15% to 18%, right.

Now let's come to quote unquote a bad cycle, right. I think there what is really important is what is your fundamental business model. And that really goes down to what segment you're operating in. And we have seen that typically mid -scale hotels, because the capital investment in them is relatively lower. Second, the price points at which they sell, the delta, the delta drop that you see in them sometimes is not as significant as you would see in luxury or upper upscale hotels.

So we have seen that typically mid -scale hotels provide you a reasonable safe haven for a drastic drop in ROCEs in such bad cycles, right. But just to reiterate, good cycles, please don't ever be

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happy with any management. If in a good cycle, they're giving you a mid -teen. In a good cycle, they should give you 20s. In an average cycle, mid to high teens. But what is very important in all of this is to understand cycles.

And I know it's a bit of a crystal ball gazing. And it's really difficult to talk about the past. But Steve Jobs very famously said, you can never connect the dot in future, you can always connect the dots in the past, right. So if you try and connect the dots right now, that demand supply equilibrium in India is more clear than I've ever seen it before, right.

And therefore, as we invest in the sector, as we grow our business, as management, as investors, we need to have a high degree of confidence about the fact that we have several years to yield this business before we potentially see a supply threat. And only a supply threat can disrupt the party. Because the demand in a country like India, trust me, we don't need to question each other for the next two decades. And it's never an easy answer, Dhruvesh. So I'm sure I'm not giving you a 100% answer here. But that's my best effort.

Dhruvesh Sanghvi: No, no, I completely understand. And I really like the way you described it. Thank you. Thanks a lot. And one more additional aspect. I mean, just before the IPO, a lot of the TV interviews you did, you talked about pro forma EBITDA. I actually am forgetting the number, was it INR311 crores that you were mentioning?

Am I right? Or 411? I'm actually confused a little bit. But the pro forma EBITDA, considering the ACIC portfolio, so what should be the pro forma EBITDA estimate, if you can give us for FY'24, without the margin increase coming from ACIC?

Ashish Jakhanwala: So a few numbers will give you so you're absolutely right. The pro forma EBITDA for FY'23 was INR327 crores. And there was some onetime expenses that finally reported was INR311 crores. So you're absolutely spot on. Without really going to FY'24, I'm a reluctant forecaster, I must tell you this. But I can explain to you where I see the business headed. If you see my trailing 12 months, we have already achieved an EBITDA of about INR340 crores, right?

So the INR340 crores includes Q3, Q4 of FY'23, and Q1, Q2 of FY'24. Two, we have actually seen same store EBITDA growth of about 20% in Q2. I will again repeat the fact that we are not seeing any evidence of there being a disruption to the EBITDA growth in quarter three and quarter four, especially in view of the fact that we just highlighted that quarter four is really a really strong quarter.

So we have already reached about INR345, INR350 crores EBITDA. We've been seeing a 20% growth in the first Q1, Q2. That's all I can say for now. As I said, I'm a reluctant forecaster of my own future. So you'll have to live with the facts I've given to you about the past.

Dhruvesh Sanghvi

: Sure, sure. That's helpful. And last question, and I'll come back in the queue, is what is the kind of capex that we require for refurbishments of rooms? And how often in the cycle of a hotel do we have to see this as a I mean, how should we assume these numbers in the future?

Ashish Jakhanwala: So, okay. So first of all, for our portfolio, when we talked about the 900 rooms renovation and rebranding, we are allocating about INR125 crores of total capital expenditure for that. But I

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think your answer is different. Your answer is more about recurring capital expenditure for maintenance.

Dhruvesh Sanghvi: Yes.

Ashish Jakhanwala: So there you see we almost take about 5% of our top line, 4% to 5% of our top line, which would almost range INR40 to INR50 crores in our P&L. So substantial amount of money is being spent on an annualized basis to maintain properties in a fairly good state and therefore preventing any one-time major capex. In addition to that, we typically provide for an additional 2.5%, 3%, which would go in form of an extraordinary capex, but that does not go on an annualized basis. That goes at a periodic basis.

Third, just to explain to you why that is adequate, it really depends on the sector you're operating in. What we've seen again, that suburban business hotels tend to have the least capital reinvestment cycle relative to leisure hotels or luxury hotels. And that's largely because both in leisure and luxury hotels, the proportion of the FF&E spent is much higher than the proportion of the FF&E spent, which is furniture, fixture, and equipment in a mid-scale hotel.

And that's the item which gets depreciated in seven, eight years, whereas building, engineering, all of that is a really long shelf life. So that we have already provided for, and we have been expensing about INR40 to INR50 crores a year on maintenance capital expenditure before we report the EBITDA to all of you. And in addition to that, we would provide for about additional 2% and 2.5%, which will be in the range of about INR 20 to INR 30 crores of additional capital expenditure. That's more a reserve that will go from our current cash or future cash flows.

Dhruvesh Sanghvi: Right. So, okay. From another parameter, let's say if we have, I think we always speak about INR1 crores per room as the cost to us. From that angle, then can we say that it is a INR5 lakh cost per room per year? I mean, on an ongoing basis, or I mean, I know I can convert it later from what you said, but if we think it from this angle, is it the correct way to think?

Ashish Jakhanwala: I'll use our own numbers. Our total capital expenditure per key in our portfolio was INR70, INR72 lakhs per key. But that actually included land cost as well. Right. So we've only over the last 12 years spent about INR70, INR72 lakhs per key, including land. Right. And if you eliminate, let's say hypothetical, because we buy existing hotels often. So it's difficult to separate land from building. But if we take a hypothetical 20% towards the land, then you're barely talking about, some INR55 lakhs per key is the total capital expenditure.

No, you don't have to take a 10% of that or a 5% of that. As I mentioned earlier, FF&E expense in that INR55 lakhs will barely be about INR 10 lakhs or so per key. And that INR 10 lakhs per key needs to be amortized over a period of seven years, eight years, really. So that's how your FF&E spend on an annualized basis comes to be really efficient.

Moderator: Thank you. Our next question is from the line of Pradyumna Choudhary from JM Financial.

Please go ahead.

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Pradyumna Choudhary: Yes, hi, so you mentioned that out of 4,800 rooms, 900 will go for renovation. Can you please highlight the timeline for this? When would these rooms go und

er renovation? And by when do

we expect them to have expect us to have these rooms back into our inventory?

Ashish Jakhanwala: So, the renovation and rebranding of the Holiday Inn Express in Calcutta is a new build actually.

Renovation rebranding of Caspia Pro Greater Noida is going to be completed in FY25. The renovation and rebranding of the Hyatt Regency in Pune and Four Points in Pune will be done by FY26. So that's really the target that we have for key renovation rebranding. So Delhi Greater Noida by end of FY25, and both the hotels in Pune, sometimes in FY26.

But what is really important to note here is the assets like Delhi and Greater Noida today have negligible contribution to our total EBITDA. And therefore, as we take them through renovation and rebranding, and these hotels open next year, with the fresh brand and the new product, their entire EBITDA of those hotels will be effectively a delta over what we're doing right now.

In terms of Hyatt Regency in Pune and Four Points by Sheraton Pune, the large amount of our renovation and rebranding is about soft furnishing and change of look and feel. The hard infrastructure and product is pretty good. And therefore, just to clarify, we don't actually

anticipate any significant disruptions to the business as we take these hotels through renovation and rebranding.

Pradyumna Choudhary: Understood. And apart from these, I think you mentioned that there are a couple of assets which are not really operational but which are ready, but are not really contributing to our numbers right now. Can you mention those ones?

Ashish Jakhanwala: So yes, we have the Holiday Inn Express in Calcutta. It's a 111 room hotel. The hotel is currently starting fit outs. And therefore, this should be ready in FY '25. Clearly today that hotel is non - operational. Then we have a really well performing Holiday Inn Express in Bangalore Whitefield. We're adding 54 rooms to that hotel. Again, the building is completed. We are starting the fit outs. Similarly, we're adding anywhere between 16 to 31 apartments, service departments in our Hyatt Regency in Pune. Again, in that particular instance, the building is completely ready. We are starting, we have to start the fit outs there. So these are three additions which should happen, which are targeted to be completed before FY '25. Because in all of these cases, substantial part of the work has already been completed.

Pradyumna Choudhary: Understood. That is really helpful. Thank you and all the best.

Moderator: Thank you. Our next question is from the line of Raj Joshi from ACE Securities. Please go ahead.

Raj Joshi: Thank you, sir, for the opportunity. Sir, I have only one question. What is the difference between asset income and reported income and also asset EBITDA and reported EBITDA?

Rajat Mehra: Asset income actually includes income which is generated, specifically from the hotels. Besides that, there is some bit of other income also that we have in the nature of fixed deposits in India.

And also we have a small bit of a commercial plot that we have. That's the rental income of that also is a part of the other income. So if you add all of this put together, you'll see the total revenue.

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Ashish Jakhanwala: And similarly in EBITDA, each hotel reports in EBITDA at a property level. When you add that together, you get to what we are reporting as asset EBITDA, which tells you the performance of the actual business. Then from that we adjust net expense towards corporate and administration, which is any interest income or salaries, wages, travel for the corporate office overhead. That gets you to the reported EBITDA pre-ESOP and one-time expenses.

So the difference between asset EBITDA and EBITDA is really the reduction of corporate G&A and any income at a corporate level largely in form of interest from investments.

Raj Joshi: Okay, sir. That's it from my end. Thank you.

Moderator: Thank you. Our next question is from the line of Giriraj Daga from Visaria Family Trust. Please go ahead.

Giriraj Daga: Yes. Hello, sir. My first question is related to like what percentage of business in the normal year comes from the contract, which we let's assign for an annual contract with corporates and what percentage is spot market?

Ashish Jakhanwala: Okay. So in terms of contribution, about 34% of our business comes from what we call special corporate. About 47% of our business comes from retail. 13% will be group and MIC E, which is Meeting Incentive Conferences and 4.5% is airline crew. So that's the big breakup, about 34% special corporate, 47% retail.

Giriraj Daga: Understood. So the negotiation cycle is basically January to December, right? So the negotiation for the next cycle must be underway right now. What are the feeders you are getting on the ARR for the next year?

Ashish Jakhanwala: So Giriraj, if you were to see this trend over the last several years, you'll actually realize that 34% special corporate is not very high. And that's largely because given the fact that all hotel companies are fairly confident about simple demand supply, they don't need to necessarily rely on a fair bit of upfront contracting. But you're absolutely right. The contracting for the RFPs, as we call them for the next year, start now. We are seeing a reasonable acceptance in the market about accepting a price increase. And I wouldn't also be surprised because these are the same customers who are flying, taking an airfare, which have skyrocketed almost 2x to 3x.

So today if we fly from Delhi to Bombay, we're trying to book some tickets for two weeks from now. It's INR19,000 one way for premium economy. And when those guys land in Mumbai, if they're supposed to pay INR12,000 for a hotel for the next 24 hours, I would like to believe the resistance will not be very high. So we are seeing a reasonable acceptance of the fact that there is a demand supply equilibrium, which is working. And therefore, people are accepting reasonable rate growth, even on corporate contracts.

Giriraj Daga: Okay, my second question on the renovation and rebranding, how many quarters will we be able to have to lose this business? Like two quarters, three quarters?

Ashish Jakhanwala: No. So typically in our existing hotel, and we've done multiple times these renovations, what would happen is that the hotel will keep operating as is. The renovation will continue because

there are areas that need to be renovated. And the real interruption is literally for just a few weeks, when you need to effectively, let's say, take the reception, lobby or the elevators under maintenance, right?

I'll give an example of this. So when we started talking to our partners at Hyatt about potential upgradation of the Hyatt Regency, there was a product improvement plan given to us, which included multiple areas. And we're happy to inform you that of those multiple points that we had agreed with Hyatt, many of them have actually been complied with, while the hotel has been operating.

And that includes addition of a 17,000 - 18,000 square feet of meeting space that we call EQ :IQ, a complete renovation of an existing restaurant that we relaunched as Zeta. We have upgraded the existing rooms. So we don't, as I said, we don't expect a meaningful impact and typically we do this upgrade work during the few weeks when business tends to be poor.

So on an ongoing basis, we don't expect material interruption to any business because of the proposed renovations and rebranding. And in any case, two of them, their contribution to our earnings is negligible. So there is effectively nothing to think.

Giriraj Daga: No, but it will have fixed costs to be absorbed, right? That is also one of our

tasks. Okay?

Management: Yes.

Giriraj Daga: My last thing is that what percentage of, let's say, contribution you got it from the foreign, basically customers. And what was the percentage in FY20, normal year prior to COVID?

Ashish Jakhanwala: So in the last quarter, we were 79% domestic and 21% international. Also, I'd like to highlight the fact that we have a large portfolio of mid -scale and upper mid -scale hotels, which any case have a significant business coming from domestic sources. But if we were to separate the upscale segment, we've actually seen the international business just barely recovering to the pre - pandemic levels.

So just to give you the exact data, just give me 10 seconds. It used to be about 42% in the upper upscale space in Q2 of 2020. And that number today is at about 37%. So from 42% to 37%, there's still about a 5 % point gap in terms of contribution from international business travel.

Giriraj Daga: And you agree that once that number goes back to normal, the year will also be visible, right?

Ashish Jakhanwala: Yes. And we have seen historically, the international business was coming at about a 30% -35% rate premium. We have been seeing quarter -on-quarter improvement in terms of contribution of international business travel to total business. So you're absolutely right. It's a latent opportunity. Every quarter we've seen some recovery. So without the broader market really shifting, this 5 percentage point improvement in the room nights being sold to international business will have an impact on the weighted average room rates.

Giriraj Daga: Sure. Thanks a lot.

Ashish Jakhanwala: Just to give you data points here, the domestic rate is about INR 7,200 today and the international rate is about INR 9,900. This is only in the upper upscale segment, where we see a larger contribution from international business. So that's really the gap between domestic and international.

Moderator: Thank you, sir. Our next question is from the line of Dhruvesh Sanghvi from ProsperoTree. Please go ahead, sir.

Dhruvesh Sanghvi: Yes. Just trying to understand a little bit of the history. So, you mentioned that dots can be connected only from the past. So what are the learnings that, when you started in 2012 to 2015 period and started collecting these assets, what did not work out well and what were the learnings that you have adapted for the future whenever you do? And I'm not considering this COVID -led problems because that was completely unimaginable.

So I'm not looking at answers from the COVID learnings because that could be around the leverage area, which you have actually survived very well. But I would try to understand from you how you think about the past decade and what were the assumptions that went wrong or where were you aggressive in your assumptions? And some thoughts around that? Thank you.

Ashish Jakhanwala: Yes. Thank you so much. So I can highlight two or three big lessons, right? One is the lessons in the markets. And what we have learned is that for a company like ours, we do find a safe haven in Tier 1 markets. And I don't want to be misunderstood that we don't believe in Tier 2 markets. We do believe in the strength of the Tier 2 and Tier 3 markets. But purely in terms of risk reward, we have seen Tier 1 outperform Tier 2 by a large margin. And we've been thinking

if that was just anecdotal, it was just a small blip in a long cycle or there is a statistical evidence for that risk reward. And we've actually been able to isolate that. What we've realized is that let's take two extreme examples of markets. In a market like Bangalore, today we have about 22,000 -odd rooms operating in different branded categories. This is a market where we've seen office space grow at about 3 million square feet a quarter and growth rate on an annualized basis will be about

8% to 10%. We've seen the airline business in Bangalore also grow in the same zip code of about 10% to 12%. So fundamentally, all demand indicators are leading to a growth of 8% to 10%, 12%.

For the supply to keep pace with demand growth, they need to add or they need to open 2,200 rooms a year in that market. And we just don't see that happening because it's a fairly large inventory to be added every year, year-after-year for the next four years to five years. So what we are seeing in Tier 1 market is that the demand has really left the supply by a large margin. And now the supply is finding it difficult to catch up with demand. And therefore, you tend to see more stable performance in these cities.

Let me take another extreme example. And I will not say a city's name here because all of us have hotels in different cities. And I don't want to necessarily talk more about any market. But there's another city B, which is not a Tier 1 market. Their total inventory today is less than 1,500 rooms to 2,000 rooms. Demand growth is yet there 10%, 12%. I'm not questioning that. But the bigger problem is, for the supply to grow at 10% to keep pace with demand, they barely need SAMHI Hotels Limited

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150 to 200 rooms in size. So therefore, in those markets, we are a little anxious about seeing a repetition of what the core markets saw between 2008 and 2018.

So let's not forget, '8 to '18, India was never oversupplied. It is just that India had 50,000 rooms, which grew to being 1,50,000 rooms. And therefore, that period did not allow the sector to perform to what we all expected it to. We fear that some of the Tier 2 markets may again expose you to that low supply base. And therefore, on a low supply base, adding incremental supply of 10%, 12% is not that difficult. So that's one lesson that if you want to have a reward matrix, Tier 1 gives you a good place to invest your capital and have your assets.

And the good news really is there is more than enough opportunity for you to grow in Tier 1.

And that's by the way, just because of the size of the office market growth and airline growth in those markets. So that's one lesson. The second lesson that we learned and which is very peculiar to our business is, we started by saying we buy underperforming, undermanaged hotels. And we typically will acquire those hotels, make significant changes to the product, bring a strong brand. And because of that, we've seen the performance really transform, often 2x, 2.5x on RevPAR. One of the lessons we had was in some of the instances, like Four Points Vizag or Four Points Ahmedabad side, we decided to defer capital expenditure in stages. So for instance, we'll say we'll do public areas in one year and we'll wait and do guest rooms in second year or third year. What we've realized is for customer, it's either a complete product or it's an incomplete product. The customer is not interested in your percent chart, about saying I've done 40%, they will not give you 40% higher rate. So till such time you don't complete your renovation program, do not expect the markets to reward you for your underwriting. That's the second lesson.

And the third lesson is F&B is a lot of hard work. And I'm not trying to say that, we will not do that hard work. But what we've seen is incremental returns coming from the room business are outstripping anything we can get from food and beverage business. And I'm not talking in terms of revenues. I'm talking in terms of net contribution margin from that business. So we've seen the competition from standalone F&B outlets, both in terms of quality, ease of access, pricing and the cost structure is really something that as a hotelier, I would find difficult to compete with on an on-going basis.

So, if I was to really summarize our top three learnings, it would be Tier 1 versus Tier 2. Don't be cute about deferring

renovations. And third is really about F&B. Having said that, I know you've been gracious by saying let's not talk about COVID, but for a company like ours, it is important. And I think there are lessons in that as well. And one of the lessons of COVID is this industry needs to fundamentally transform its cost structure to increase the ratio of variable cost to fixed cost.

Because see what happens in it, I'm not worried about pandemic happening again or our response to pandemic being so severe again across India for all of our hotels. But we have also to be prepared one hotel going through a period of turmoil. It could be because of a metro rail construction in front. It could be because of a local unrest and so on and so forth. We've learned a lesson that, it is going to be helpful for the sector and definitely our business to move from a

high fixed to a low fixed, but transfer that to a variable cost structure. We aren't yet there, but that's clearly a path that we want to walk.

And that's why I would say that COVID is not something we'd like to ignore. COVID is something that we've got to take some lessons from where we are.

Dhruvesh Sanghvi: Thanks a lot for this. And just around this topic, you had also, somewhere I think in my reading and that it is almost impossible considering the cost of real estate or the cost of construction and the land. It is almost impossible that anybody can offer a decent quality room below INR 3,500. Is this metric correct, number one?

And number two, if this is so, on the other hand, when we talk about, constant increases in RevPAR or, average room rates, but the kind of market that we are as a country, can we really absorb a 10%, 10% increase or 15% increase for five years? I mean, is n't it a little bit of a, too much of positivity building in?

Ashish Jakhanwala: So, current average room rate into 1.15 raised to the power five. I'm not saying that, I am not saying that we have a guaranteed 15% rate growth for the next five years. One needs to be cautious. I absolutely respect what you're saying. One needs to be cautious about, what is the true price elasticity of demand and beyond which you will kind of dispossess your customer to a different segment altogether, homestays and stuff like that. But I think let's understand where we are today.

And also often we think when we look at India, we look at two extremes. We look at the total size of the population, which often excite many companies about the potential of growing their business in India, they are disappointed. And then they look at the other extreme of two and a half thousand dollars per capita income. And again, there's a disappointment there because how many of those people can really afford to check into a hotel where the average room rate is INR4,000. I will repeat that for us, the compelling story is Tier 1 office airline markets. And I'll explain the reason for that.

We realize that India behaves like a developing country, like you mentioned, at the top of the pyramid. And by that, do we sell a Four Seasons Hotel for \$600 in India? Not yet. Can we have five Louis Vuitton stores in a single city? Not yet. So at the top of the pyramid, we do kind of exhibit signs of being a developing country. At the bottom of the pyramid also, we, exhibit signs of being a developing country where you can get a meal in Bombay for INR10, right? You can get a great Vada Pav for INR10 - INR20, right? It's the middle where there is a massive demand bulge.

So if you go to a mall in India, the shirts that you buy, the cars that we all buy, the travel that we are undertaking today, we all understand the price that we are paying is almost reflecting the price that we would have paid for those services and products in a developed country. And that's just because the urban India, both the size and the paying capacity is n

ot diminished relative to

many other markets that we talk about. So that's really a more philosophical long-term view.

But our rates are not high today. If you see in a market like Bangalore, which is clearly a lead market for hotel performance, driven by the fact it has 200 million square feet of occupied office

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space. In a market with 200 million square feet of occupied office space, I feel elated to sell a Holiday Inn Express for INR4,000, which is barely \$50, right?

If I travel to Sydney, and please forgive me here for comparing a developed to a developing country. If I go to Sydney, where there is 60 million square feet of occupied office space, nobody thinks twice about buying a Holiday Inn Express for \$135. And we are not saying \$50 is going to become \$135 tomorrow, day after tomorrow, or in three years or four years. All we are saying is, demand supply, the fact that the headroom for growth is for many years to come.

Now, whether we can get to a 15% CAGR for five years, I would not necessarily give any guidance as far as that's concerned. But we do feel there is little resistance and a lot of headroom for growth for hotel rates in India, especially in large markets with urban customers who have the ability to pay comparable prices for other products and services.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session.

I would now like to hand the conference over to Mr. Ashish Jakhanwala for closing comments.

Ashish Jakhanwala: So thank you so much. You know, it indeed is a pleasure to be in the public space. Thank you so much for taking out time to talk to us. We feel really, really excited. And our excitement does not have a very high degree of, you know, beta with the market. We are excited about the

business that we've created. We are excited about the fact that the locations and the products and the brands that we operate in key markets have a lot long headroom to grow. We're very excited about the fact that with very little effort in capital expenditure, this company will see almost 17% of its inventory, about 900 rooms, performing to a very different level in the next few quarters.

We're also very excited about the fact that we don't need to look outwards to acquire anything, to add 600 rooms to a portfolio, to go to about 5,500 room company. So I think with all of that and the fact that the company will start producing free cash from quarter three onward, we are very excited about the future prospects of SAMHI. Thank you so much for joining the call today. And if you have any further questions, please get in touch with us or with Strategic Growth Advisors who support us on investor relations.

Moderator: Thank you.

Ashish Jakhanwala: Thank you.

Moderator: On behalf of SAMHI Hotels Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

## **Call: Feb 2024**

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Sub: Transcript of Q3 FY24 Earnings Conference Call

Dear Sir / Madam,

Please find enclosed the transcripts of the Q3 FY24 Earnings Conference Call held on Monday , 5th February , 2024 at 10:00 AM.

You are requested to kindly take the same on record.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain  
Senior Director - Corporate Affairs,  
Company Secretary and Compliance Officer

Encl.: As above  
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SAMHI Hotels Limited  
Q3 FY24 Earnings Conference Call  
February 05, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 6th February 2024 will prevail.

MANAGEMENT : MR. ASHISH JAKHANWALA – CHAIRMAN AND  
MANAGING DIRECTOR

MR. RAJAT MEHRA – CHIEF FINANCIAL OFFICER  
MR. GYANA DAS – EXECUTIVE VICE PRESIDENT AND  
HEAD OF INVESTMENTS  
MR. NAKUL MANAKTALA – VICE PRESIDENT ,  
INVESTMENTS

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Moderator: Ladies and gentlemen, good day and welcome to SAMHI Hotels Limited Q3 and 9 MFY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwal, MD and CEO from SAMHI Hotels Limited. Thank you and over to you, sir.

Ashish Jakhanwal: Thank you so much. Good morning and thank you for taking out time today. With me, I have Gyan a Das, who is the EVP and Head of Investments, Rajat, who is Chief Financial Officer and also Nakul, Vice President Investments. And along with my colleagues, we have Strategic Growth Advisors who are also our Investor Relations Advisors. We have uploaded our presentation on the exchanges and I hope everybody had an opportunity to go through the same. We're quite pleased to present to you the summary of our performance for Q3 FY24.

Quick highlights. We have actually seen a very strong operational growth, RevPar improving by about 20.3% on a year-on-year basis, very strong RevPar growth and a full quarter impact of the ACIC acquisition has led to a robust revenue growth of 39.5% and EBITDA growth of 51.4% on a year-on-year basis. We also crossed a strategic milestone in the last quarter for about INR100 crores or one billion INR of EBITDA on a pre-ESOP basis.

With the strong growth in revenue and EBITDA that we've seen in the last quarter and reduction in finance costs, we are seeing a rapid transformation both in terms of path to profitability and also free cash from the business. During the last quarter, which is Q3 FY24, we have seen our PBT almost reaching break even, including considering impact of ESOP expenses and this obviously sets a strong path towards near-term profits. Free cash from business was INR460 million or INR46 crores and we continue to hold about INR300 crores or INR3 billion of cash. We expect some of this cash to be further used for reducing gross debt and reduce interest expenses. A very strong presence across price points, different brands and being in key markets in India continues to be the driving force behind a strong performance and will be the lead indicator for our future growth. During the last calendar year, key cities in India have a total office absorption of about 40 million square feet.

Our primary markets such as Bangalore, Hyderabad, Pune and NCR, which account for almost 67% of our inventory, benefited from a total absorption of about 30 million square feet of this 40 million square feet or about 76% of India's absorption. Similarly, in the aviation sector, we've seen that it's reclaimed its pre-pandemic levels and actually we remain fairly optimistic about a supply-led growth from here on because this sector has really not seen a lot of growth from pre-pandemic levels, largely on account of supply limitations.

Against the backdrop of very strong office and airline growth, we have seen RevPar strengthen quarter-on-quarter and as mentioned earlier in the last quarter, it touched 20% growth over the previous year. Within segments, we've seen the upper upscale and upscale grow at a RevPar of SAMHI Hotels Limited

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about 28% year-on-year. This portfolio contributes about 43% of our revenues in that quarter. The broader mid-scale portfolio grew at a RevPar of about 12% to 16% year-on-year. In addition to this, we continue to take steps for further improvement in the performance of our hotels and improving our market share. Asset income from hotels was at about INR269 crores or INR2.6 billion, a 40.5% growth

over last year. However, within that, if you see the breakup, for the same store hotels, the growth was about 17.6% and the additional benefit came from full integration of ACIC portfolio for the quarter. In terms of EBITDA, as I mentioned earlier, we achieved a strategic milestone of about INR100 crores EBITDA for the quarter.

The same store hotels saw an EBITDA growth of 27.8% and then we had an impact of ACIC integration, taking the full EBITDA for the quarter to 1.08 billion or about 100 crores. As we integrate the ACIC portfolio into our business, we have new inventory addition coming in the

current calendar year, ongoing renovations ; we are fairly confident that this INR100 crores of quarter EBITDA is just a great base for our earning trajectory. We cannot say that this is our best as yet. In terms of operating margins, we have seen the portfolio has delivered an EBITDA margin of 40.3%. We expect this to improve as we stabilize the ACIC portfolio and also the hotels which are due for or are under renovation, where the margins have about 800 basis points scope of improvement.

As we get the whole portfolio to converge where our same store hotels are performing, we expect overall margins to also expand materially. One of the key insights from our business intelligence platform that we've highlighted in the current presentation is how the occupancies are trending on weekdays and weekends. The weekday occupancies across our entire portfolio remain fairly high in the range of almost 72% to 81%.

If you see on Tuesday, Wednesday, Thursday, the occupancies were ranged around 78% to 81%. This is for a nine -month period starting April to December 2023. While weekday occupancies remain strong and will remain strong because of demand supply, we actually expect the weekend occupancies to keep improving over a period of time with increase in discretionary spend and domestic travel.

And I think that change will materially benefit how the income of hotels, especially in our portfolio, can benefit in the years to come. For all quarters, for the quarter, all three segments which is upper upscale, upscale, the upper mid -scale and the mid -scale saw very strong operating performance. We've seen upward trajectory in occupancy, RevPar s and AR Rs when compared to the same quarter in the previous year.

Given the strong performance of our portfolio, we are quite excited about accelerating our growth projects. As of today, we have an existing operating inventory of about 4,800 rooms and we have already taken steps to increase it to about 5,400 rooms by FY27 at minimum. In the short term, our growth strategy involves integration of the ACIC portfolio, renovating and rebranding a substantial portion of our existing portfolio and introducing new inventory.

By September 2024, we expect to have about 180 rooms added, including our entry into the Calcutta market. We will have additional 130 rooms fully renovated and rebranded and these

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310 rooms make no or very little contribution to earnings as of last quarter, or quarter 3, 2024. Completing this inventory addition will provide a strong boost to our H2 performance in FY25, over and above the fact that we are seeing continued improvement in RevPar s in our same store hotel.

Also, in future, the proposed renovation at large hotels such as Hyatt Regency , Pune, will transform a large asset base and its contribution to our business. We can quite assure you that our time -tested strategy of conversion and turnaround is equally effective when applied to our portfolio from time to time to create a differentiated outcome.

With this, I will request Rajat to take you through a financial summary of the business.

Rajat Mehra: Thanks, Ashish. Good morning. Let me take you through a quick walkthrough of our financials. With an asset income of INR2.6 billion, which is 40.5%

above last year, we achieved an asset level EBITDA of INR1.08 billion, or a margin of 40.3%. Adjusting to corporate G&A, the total EBITDA prior to ESOP and one -time expenses is INR1 billion. This is a strong growth of 51.4% on a year -on-year basis.

We have seen some material reduction in our finance cost. As of last quarter, the finance cost was INR651 million, or INR65 crores, which has reduced materially from INR1.14 billion, or INR114 crores, as of quarter two of financial year 2014. With the reduction of gross debt and also cost of financing, we expect further reduction in the finance cost. PBT prior to exception item was negative INR60 million, as against a loss of INR803 million for the last year.

We are almost breaking even at PBT level and are confident of turning positive in the near future.

We would like to highlight that during January 2024, we have received a notice from Maharashtra Industrial Development Corporation, MIDC, regarding termination of lease of project land in Navi Mumbai. The asset is owned by our subsidiary Duet Navi Mumbai, and it has filed a writ petition in High Court of Mumbai challenging the notice received from MIDC. For abundant caution, as an impairment for the value of land and related assets, SAMHI has made full provisions during the quarter under exceptional items worth INR768 million. However, it is important to note that this asset is not projected to have any contribution to our revenues and EBITDA in the next two to three financial years.

As of 31st of December, our net debt stands at INR18.4 billion versus INR29.4 billion in June '23, which was the pre -IPO debt. Our current cost of debt has now reduced to 10.2% versus the 13% which was prior to the IPO. Over the period, our leverage position is consistently improving, and as on December 31st, 2023, our net debt to EBITDA, including the ACIC, for a

full trailing 12-month period is at 5.1 times.

This will continue to improve as we have strong growth coming our way. Rapid reduction in debt and finance costs, combined with increase in EBITDA, is paving paths towards reaching sustainable debt levels and yet allow free cash flow generation for growth.

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Ashish Jakhanwala: Thanks, Rajat. So, I think in summary, our optimism and excitement comes when we actually layer a strong portfolio we've built, and in markets that you've seen very good office and aviation demand. We layered it with a very compelling market opportunity, and clearly the market is very strong for the hotel sector. We have an established track record of growth, and now we have increasing financial flexibility.

So, as I said earlier, while we have crossed the strategic milestone of INR100 crores EBITDA for a quarter, we believe this is just the beginning and the best is yet to come. With this, I'd like to thank everyone for joining the call. We are here to address any questions which can be obviously addressed on the call here or be redirected to us later or to strategic growth advisors. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Karan Khanna. Please go ahead.

Karan Khanna: Yes, thanks for the opportunity. Am I audible?

Ashish Jakhanwala: Yes, Karan, you are.

Karan Khanna: Yes. So, I see this continuing on the discussion we had earlier this week also. How should one rate the development in Navi Mumbai in terms of cancellation of the lease? What was the indemnification cover for the entire land parcel which got cancelled? And re-sultantly, earlier during the call, you also spoke about, you sounded quite confident about getting to a 5,500 room inventory by end of FY'27. How should one read that in the context of the recent development at Navi Mumbai? So, that's question number one.

Ashish Jakhanwala: Hi, Karan. Okay, Karan. So, Navi Mumbai, w

e will tackle in three different parts actually. One

is the accounting impact. The other is the legal case and the status and the remedies available to us. And third is actually repercussions and impact on the business.

As far as accounting, we've taken the worst-case scenario already in our books and no further risk is left exposed to the business. So, we took the worst-case scenario in our books in quarter three, we have not really left any risk for any future impact of this or any consequence of this ongoing discussion with MIDC on our financial statements, right. So, that's settled for all times.

In terms of legal case, obviously, as we feel very strongly about the actual position that we have vis-a-vis MIDC on this particular case; we have filed a writ petition. It is listed for a hearing later in the week. I would restrain from commenting on that till such time the matter is not listed.

As far as indemnities are concerned, we obviously, as any standard purchase agreement, we are reasonably protected in terms of indemnities we have from the sellers. Now, while the auditors have made a provision for about INR10 crores indemnity, in this particular case, the indemnity, in our opinion, may fall into fundamental reps and warranties where the indemnity should provide us a cover for the full purchase price. So, that's the second legal including any recourse is available under contract.

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Now, let's focus on the main issue, which is what is Navi's Mumbai impact on the business? And I think we met a lot of you over the course of the last few months. And we kept stating that when it comes to a greenfield development asset in India, we actually always use it as a footnote information. We have not provided any forecast or guidance.

Our only guidance was this hotel will open towards the end of FY27. Therefore, we were not estimating this hotel to bring any EBITDA or revenue to SAMHI till FY27. Actually, it would only start from FY28. And therefore, for the foreseeable future, this as set has no impact on our business, except for the fact it would need about INR2.4 billion or INR240 crores of capital expenditure for it to be completed.

Now, let's model out the worst case scenario that our appeal and high court and any subsequent appeals we may be entitled to, do not get this asset to be protected. We actually are not very perturbed about that because as I said, this asset came to us through a portfolio acquisition. We would have ideally not bought a greenfield site for development. We continue to track and negotiate some very interesting and creative opportunities in the box that we are used to doing, which is not greenfield, but which is brownfield acquisition, long leases, right.

All of those opportunities bring revenue and EBITDA much faster than would a greenfield development. So, if we were not to win our argument as far as this asset is concerned, we actually think we can redeploy that same 2.4 billion in assets which would bring revenue and EBITDA in an accelerated fashion rather than in a deferred fashion. Our confidence in 5,400 rooms is, I would say, certainty because there is about 350 rooms which are lying in this bucket. The rest are lying in buckets which are under development right now.

So, replacing 350 rooms through a brownfield acquisition turnaround or a long lease is something we are tracking very, very well as of today. Hopefully, in the next quarter or two, we should be able to confirm one or two opportunities. So, as far as business is concerned, we see no impact of this particular development on our business.

Karan Khanna: Sure. This is useful, Ashish. Thanks. This is a follow-up. When we think about the acquisition opportunities that you would like to pursue in any segment that you would focus on, whether it is upscale or mid-scale or upper upscale, or any of these segments

are fine with you as long as

they are -- So, what kind of IRRs would you be targeting?

Ashish Jakhanwala: So, I think, normally, currently, I have a certain checklist. One of the checklists is that we should remain in key markets, which means that the seven or eight markets that we keep talking about where we see very good momentum of office and aviation demand. So, we will like to maintain that discipline for now.

Number two, we will play the segments that we are good at, which is starting from mid-scale, going to upscale, upper upscale. We do not intend violating that segment discipline as of now. The third, as I said, is we typically like assets which have near-term income, right, which means that we are not necessarily looking at houses of land for development.

We are looking at either ready buildings or ready hotels where we can either complete it to a hotel or we can convert it to a good branded hotel. So, that would be the checklist that we will follow.

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follow. As the pipeline that we have today, I can assure you, it all confirms to that checklist that I have just mentioned.

These are all opportunities in the top seven, eight cities. These are all opportunities that will eventually be positioned between mid-scale to upscale. And these are all opportunities where we will have access to income on a near-term basis, which would mean between 15 and 18 months, and not a greenfield development where it takes three to four years.

And of course, IRR is important, but that is hygiene. Karan, so I would not talk much about it. Solving for a certain return on capital employed and doing it at below replacement cost is a hygiene that we have followed and will continue to follow.

Karan Khanna: Sure. And my last question on your net debt-to-EBITDA, what kind of guidance would you like to give on that front by FY25-FY26?

Ashish Jakhanwala: So, I think for FY25, we've already given and we'll maintain that guidance of going to about 3.5 times. We are seeing a rapid reduction in debt-to-EBITDA every quarter. As Rajat mentioned, we are at 5.1 times as of end of December. Don't forget, when we talk about a INR100 crores EBITDA number for quarter three, there's a lot of more upside built into that because that was the first quarter of ACIC.

We're still -- ACIC has gone into a Marriott managed portfolio from 1st February. It will go into a full Marriott managed portfolio probably sometime in first quarter of FY25, and that brings substantial impact on the contribution of that portfolio to our portfolio. Two, let's not forget the fact that about 310 rooms today are under very advanced stages of opening or rebranding. And those rooms in our portfolio have had no impact of EBITDA in quarter three.

So, then you add the impact of that on our overall business and plus continued RevPAR growth in our existing business. So we are fairly confident of maintaining a guidance of 3.5x towards the end of FY'25 on a net debt to EBITDA.

Karan Khanna: Sure. This is all for now. Thank you and all the best.

Ashish Jakhanwala: Thank you.

Moderator: Thank you. Our next question is from the line of Aditya Jhaver. Please go ahead. Mr. Aditya, your line has been unmuted. Yes, please go ahead, sir.

Aditya Jhaver: Yes. Thanks for the opportunity. Actually, I have a question on the business part, which is unclear. So, pardon me -- can you hear me?

Moderator: Yes, sir. Now it is clear. Please go ahead, sir.

Aditya Jhaver: So my question is whenever we buy out an asset, then we say that we operate it in the name of Marriott or some other party. So how does that work? So Marriott will have the management or we have the management there. So, can you explain on this part when you say operate? I'm a little unclear on this operation.

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Ashish Jakhanwala: Okay, Aditya

ya. So, all of our hotels minus the ACIC portfolio are on management contract with the hotel companies. So, under a management contract, day-to-day operations are outsourced under a contract to a Marriott or an IHG or a Hyatt. And we retain, obviously, all the asset management rights in that asset.

So, ACIC portfolio today is franchised, which means it is being managed by us. And over a course of time, we actually intend for that also to be under a management contract where the day-to-day operations will be managed by Marriott for those hotels.

Aditya Jhaver: Okay. So, what do they charge, sir, for us if we give the management contract to them?

Ashish Jakhanwala: So, Aditya, we'll take you through our P&L so that you can see the exact. So, if you see in the last quarter, the total cost towards management fee was 4.9% of our revenues.

Aditya Jhaver: Okay. So, basically, we have two kinds of portfolio. One is managed and one is franchised. And we tend to move to a franchise to again manage. So, that is our focus totally.

Ashish Jakhanwala: That's right, Aditya.

Aditya Jhaver: That's right. Okay. And in terms of when you say take time for operation. So, suppose in Calcutta, we have bought in some of the keys -- so how much time does it take to renovate and then operate then give it to management contract?

Ashish Jakhanwala: So, with respect to Calcutta, it's a hotel that is yet to be completed. So, it's not a renovation. I put that slide on the screen right now. The building is ready. It is in fit-out at this stage as we speak. And this hotel is scheduled to open by September of 2024. In terms of conversion, this is one example that you're talking about. So, in Greater Noida, this hotel has been operating under our own transition brand called Caspia Pro.

This hotel is currently under renovation. And we started the renovation somewhere in mid-January. And we expect also this hotel to be open before September 2024. And this is 137 rooms. So, this is an example of renovation and rebranding. And the prior slide is more for a brownfield being completed for an operating hotel, which is Calcutta.

Aditya Jhaver: Great. Sir, and if you could -- it's just a request, if you could publish ROCE of some particular assets you know that some are very old and some are very new, right? That would give a great sense that when operating leverage or that will kick in. So, that is just a request from my end.

Ashish Jakhanwala: Sure, Aditya, point noted. We'll try and provide some ROCE analysis in subsequent quarters, both by maturity of assets and we also feel sometimes it's important to look at ROCE of different cities. Because each city is in a certain racetrack. For instance, Bangalore, we believe is doing really well on the average room rate. Our early calculations show that our assets in Bangalore would be delivering a ROCE of somewhere in the early to mid-20s.

So that's a very healthy ROCE. And then it will be followed by markets like Hyderabad, which are also now rapidly growing and improving. So, we have that analysis ready, but I don't want SAMHI Hotels Limited

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to present inadequately prepared information. Point noted, you will see some analysis of ROCE in the subsequent quarters.

Aditya Jhaver: Great, great. Thank you. All the best. If I want to connect, I can connect to SGA and the management team. Right. If I want to understand better.

Ashish Jakhanwala: You're more than welcome.

Aditya Jhaver: Thanks. Thanks. All the best.

Ashish Jakhanwala: Thank you.

Moderator: Thank you. Our next question is from the line of Nihal Jham. Please go ahead, sir.

Nihal Jham: Hi, good morning. Am I audible?

Ashish Jakhanwala: Yes, Nihal.

Nihal Jham: Yes. Thank you so much, Ashish, and congratulations on the performance. I just had one observation and question that when I look at the RevPar performance for your upper ups

cale and

the other category, there's a decent divergence in terms of how we've seen that.

I think it's 20% plus for one and it's close to 12 and 16 for the others. So, is this a location specific issue or isn't that this is the divergence you're seeing across categories where the premium segment is having better pricing power versus the mid-scale segment?

Ashish Jakhanwala: So, Nihal, a couple of points there. One is that last year, the upper upscale hotels are still ramping up in quarter three. Now, if you look at what differentiates these segments, they are more or less in the same cities.

To some extent, the upper mid -scale has assets in, let's say, Coimbatore, which will drag the performance down because we've always believed that the Tier 1 is really outperforming all other city categories. So, there is some impact of mid -scale and upper mid-scale being in Tier 2 cities like Nasik, Vizag, Coimbatore, so on and so forth. But also, let's remember the fact that upper upscale assets have a higher dependence on international business travel.

They had a lower base last year, Nihal, because the international business travel was recovering every quarter last year. This year, we have seen reasonable recovery in that. So, some bit of a base effect also has kind of allowed the upscale to shine vis -a-vis the last year.

And the second, as I said, is the reason that our upscale is concentrated in tier one. Our mid -scale and upper mid -scale have some sprinkling of Nasik, Coimbatore, Goa, and Vizag, where we've really not seen as good a growth as we've seen in the big cities. We'll try next time, try and give you this analysis by city, and you'll be able to really clearly see as to how is the city impact, not just a segment impact actually.

Nihal Jham: Just one clarification here was that for the recovery of international travel, you mentioned that that also became a driver for the upper upscale segment in terms of the better performance.

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Ashish Jakhanwala: Yes, international travel has been growing as a proportion of overall room nights sold. It is still marginally lower than where it used to be on a pre -pandemic level, but it is definitely higher than where it was in quarter last year.

So, I think that is one factor when it comes to upscale performance. Upscale typically we are about 35% international business travel, 35% -36%.

Nihal Jham: And just one more question. Is the portfolio, is the current pipeline that you have of say rooms that you identified cognizant on what the outcome for the new Navi Mumbai litigation is, that 5,400 is the target, or that is an independent assessment that will happen and we could actually end up increasing that room count also depending on the opportunity being accretive and say even if the Navi Mumbai litigation goes in our favor, just to understand that.

Ashish Jakhanwala: Yes, so I think, you know, we didn't start pursuing growth, you know, when we had no idea of the Navi Mumbai development. Actually, up until December end, MIDC was giving us all requisite approvals, including a fire NOC . And then suddenly in January, we got this a bit of a disappointing surprise. That's why we've gone to the courts. So, therefore, whatever we've been doing has not been dependent on the outcome of Navi Mumbai. It's actually driven by how we are confident about creating a reasonable financial flexibility in our balance sheet for growth, right?

So, if you look at, you know, Rajat talked about how, you know, on a trailing 12 -month basis that you see, which means that we are including the full ACIC portfolios, EBITDA, right? We have achieved about INR358 odd crores of TTM EBITDA against an annualized interest cost as of today of about INR200 odd crores, right? So, if you see there's a flex of about INR158 crores, even if we assume zero growth, which in my opinion is going to be

a bit too pessimistic an assumption, right?

So, with the growth coming our way in our existing portfolio, plus the fact for very negligible capital, we're going to put 300 additional rooms in operation by September. We actually see our EBITDA reasonably expanding from the 358 TTM basis to a very different basis on a full 12 -month basis. Our finance cost, which is at about INR200 crores, we only expect it to marginally reduce because we continue to negotiate with banks and also achieve certain refinancing events, right?

So, this company is now getting to a point where it has reasonable cash, both for achieving its committed 3.5 debt -to-EBITDA by end of next year, but also having residual free cash to fund certain growth projects, right? So, Nihal, even if the Navi Mumbai project was to be, was to be in our favour, which we're expecting today based on the merits of the case, right? In spite of that, we expect to add a few more projects and therefore the count will be in addition to 5,400 rooms. God forbid, if we take the worst -case scenario that Navi Mumbai is not something that we want to pursue in future. Actually, even in that case, if you're talking up until FY '27, FY '28, we expect the 5,400 rooms to be, it won't be 5,400 rooms, it'll be higher than 5,400 rooms.

5,400 rooms, Nihal, was not a guidance on growth. It was a confirmed inventory that we own, which needed to be operationalized by FY '27. We have resisted from giving any future growth

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guidance so far, but that's largely coming from one thing we've been saying aloud, which is we

have the financial flexibility, we have the track record, and we see the market opportunity for growth.

One footnote I like to put there is we are also pursuing what has worked really well for us, which is long-term variable leases, right? As some of you may know, part of our portfolio is on these 40 to 60-year revenue share leases, which is effectively our capital-efficient asset light model. A few opportunity that we are pursuing today are on long-term variable leases, where the capital efficiency is very high. For a very little capital, you can keep installing a lot more capacity. So, the growth is independent of the outcome of the Navi Mumbai development, and 5,400 rooms is not a stated ambition for growth. It was only committed inventory with the company. The growth will obviously be ahead of that, with or without Navi Mumbai.

Nihal Jham: Understood. This is clear. Thank you so much.

Moderator: Thank you. Our next question is from the line of Dhruvesh Sanghvi. Please go ahead.

Dhruvesh Sanghvi: Yes. Am I audible?

Moderator: Yes. Please go ahead.

Dhruvesh Sanghvi: Ashish just wanted to have your views on, how should, as an industry, we should think about the cost for the similar kind of hotels as yours, in terms of new rooms. Let us say, we take a broader basket of the top seven cities where you are in. If you can give a broad understanding of what is the cost of production equivalent metric for per room basis that people cannot sell below 3,000, 4,000, or some number and some reasoning around it.

And where I am coming from is that why is India so expensive when it comes to this overall room rates basis, that far better properties are sometimes available in international places at a cheaper cost than ours. Like, I just wanted to understand where is this coming from?

Ashish Jakhanwala: So, Dhruvesh, let me first put the comparison in correct context, right? And my apologies, a lot of our discussion will be centered around big city business hotels, right? So, I would urge, participants on this call to not triangulate that to Tier 2 leisure resorts, non-business hotels, right? That's a completely different model, so to say.

If you look at Tier 1 business hotels, right? And if you compare the size of the India market today, travel

and tourism market, right? The average room rates in India continue to be at a significant discount to their global peers. I'll give you some examples. Today, I feel really excited to report the numbers that I have reported wherein a Holiday-Inn Express, and I'll take you to that actual slide.

If you see, yes, if you see for a Holiday-Inn Express platform, we are pretty excited to report an average rate of INR3700, which is \$45. Now, if you were to separate Holiday-Inn Express in a Bangalore or a Hyderabad, that number would go to \$50, \$52, right? Now, Bangalore and Hyderabad are markets which today have 195, 100 million square feet of occupied office space. SAMHI Hotels Limited

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They're adding anywhere between 7 to 12 million square feet of office space every calendar year. And in a market like that, to sell a Holiday-Inn Express for \$45 to \$50 does not make us nervous about having outpriced ourselves, right? And please don't get us wrong, we're not trying to be too ambitious comparing ourselves to Singapore or Hong Kong or Tokyo or New York. We're still comparing ourselves to office markets that are much smaller like Sydney, where a comparable hotel will be selling for \$120, right?

So we actually think today, hotel rooms in India seems to be expensive because we were used to very cheap hotel rooms for last decade. But if you were to compare a hotel room price to an airline ticket price today within India, or if you were to compare a hotel room price to that of a comparable hotel in a similar city globally, you would actually think that there should be a lot more excitement and expectations from the industry to keep growing this average room rate. That's point number one.

Point number two, what can spoil this party? I don't think it's demand. Because demand is unquestionably very promising for broader economy and therefore for travel and tourism. We're just an economic indicator for how the larger economy is growing, right? What spoils the party for hotels tends to be the supply, right? And that is where we have now entered a period of very stable supply growth, largely on account of the fact that the big cities are sitting on reasonable inventory, right?

So you look at Bangalore, today it has about 22,000 branded rooms, okay? We actually got somebody to collect total number of rooms in Bangalore from one of the OTAs: it's 109,000 rooms in Bangalore, right? So 109,000 all rooms, right? 22,000 branded rooms. For this city to grow at 7% to 8% on demand, it needs many more rooms that the city is capable of creating, right? So today the supply is not even 50% of the demand in Bangalore. No surprises, our ROCE is as looking at premium mid-20s, right? Hyderabad is following, Gurgaon is following, right?

So we actually think that today the supply is in a state which is going to remain very stable, which is going to remain way below where the demand is growing and therefore as operators, owners, asset managers, we feel fairly confident that there is good five, six years before we need to relook at demand and supply.

In terms of cost per key, I think for each segment that would vary. For the upper upscale, upscale if you look at the industry data, you would see that the construction cost for this is in the range of about INR1.2, INR1.4 crores per key. If you look at the upper mid -scale, which is Fairfield's and Four Points, that same construction cost would be INR60 to INR80 lakhs. And if you look at the mid -scale segment, that cost would be in the range of INR40 to INR60 lakhs. This is construction cost, does not include land costs, right?

So that's really the going in cost for a hotel development in India. You have to overlay on top of that land cost, you have to overlay on top of that the cost for three, four years of a development cycle. And that's why you would feel that even at the current room rate, i

t is not extremely,

extremely attractive that you'll have also money flying in, right? Especially in Tier 1. So I think SAMHI Hotels Limited

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we feel fairly confident about a reasonably long and a stable supply environment. Demand, as I've said, we've never had any questions on, not today, not in the last decade.

Dhruvesh Sanghvi: Sure. And just one more follow-up on that is that, considering the environment that you have explained, I find you to be very conservative with the kind of aggressive history that you have had. Is it, I mean, why are you certainly so conservative in terms of growth now when the money is flowing for you?

Ashish Jakhanwala : So, Dhruvesh, the past is a fact and I can't deny it, right? And the future is a promise which I typically don't make, right? So the facts can't be changed. And what is the fact? And I did talk about this, by the way, if you see, I think it's important. I think what we are saying is we are future ready. And I'll echo your sentiments here, right?

First, I think we see phenomenal opportunity, right? The office market, the aviation market is growing unabated, right? 40 million square feet being added by this country in a year is another Singapore, almost another Singapore, right? So this is really exciting times for us to put hotel in. Yes, yes. Total Singapore office supply will be 40 to 60 million square feet, right? So you're almost adding maybe two-third of a Singapore in a single year in India, right?

Two, our past strategy of acquisition turnaround, and also much lots talked -about strategy of variable leases has worked really well for us. The reason why we took the bold call of doing a INR1,200 crores IPO, resolving our debt in one go, was to allow us the financial flexibility to grow the business, right? But Dhruvesh, I will talk about growth as I keep delivering it. Today, I had to answer because a lot of people expect that, oh, the whole growth was 5,400 rooms. That's absolutely, my apologies. We, I think, express our agenda incorrectly or inappropriately. 5,400 rooms is what we hold in the business today, of which 4,800 are operational, and the balance 600 were in different stages of development.

That is not our growth path. Our growth path will come from deploying the free cash we get from the business for new opportunities, both acquisition turnaround, also variable leases, which tend to be very, very financially accretive. So you're absolutely right. We are focused on growth, and 5,400 rooms was not our growth target or promise.

Dhruvesh Sanghvi: Fine. Thank you. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Pankaj Bobade. Please go ahead.

Pankaj Bobade: Hello. Am I audible?

Ashish Jakhanwala : Yes, Pankaj.

Pankaj Bobade: Well, thanks. Thanks for taking my question. As I understand, we are more of a business hotel. I mean, ours is a business -related hotel group, and our presence is mainly in the cities which are more of business centers, which is in line with what hospitality industry is in around the globe. But of late, we have seen in India that religious tourism is gaining currency, and I mean, the footfalls at cities like Varanasi, Ayodhya, are far higher than what Goa is witnessing. So just wanted to understand, do we have any plans to capitalize on this booming market?

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Ashish Jakhanwala : Pankaj, of course, nobody wants to get on the wrong side of religion ever, right? But I think there's clearly a lot of pockets of demand in India. There is core business travel, there is the traditional leisure travel, there is the new homestay -led leisure travel in India, which is a completely different segment expanding very rapidly. And within that is a subset of religious

travel, right?

So there are quite a few pockets of growth in India. For us, our immediate

focus is on continuing

growth in our core business markets, and that's largely leveraging our existing portfolio. I mean, look at ACIC. The fact that this portfolio was at 32% EBITDA margin, and we are confidently confirming to you that we see that growing to high 30s, if not 40s in a short period of time, is largely because we can leverage our existing portfolio in big cities to create economies of scale, right?

So for us, our near-term target is to use our existing portfolio and use that as, I would say, a base to jump for a higher inventory in the similar market. We are continuing to evaluate how one can create a sustainable, a scalable, and a profitable business, both in leisure, including the subset of religious tourism. But I would say that we are nowhere close to creating a strategy or having a conviction to start deploying capital, right? Does not mean that we don't believe in those opportunities. We need to have our own business model, and we don't do anything which is one-off, right? Do two or three. We need to have something which is scalable, which is sustainable, and which is financially accretive to us as well, right?

Two, don't forget the fact that religious travel, because it is so attractive, is also attracting a fair bit of private capital, right? Which means a lot of HNIs and individual investors are putting capital for hotel development in religious places, and that's a supply environment that we would like to watch out for before we deploy our own capital. So for a variety of reasons, we like all of this, but we are being clear of that in the near term to focus on our core strategy.

Pankaj Bobade: Thanks. And second question would be, what is the timeline, if you could give, by when we would be positive on PAT level?

Ashish Jakhanwala: So, let me take you through that. So as in the last quarter, yes, if you see, we delivered a PAT of 60 million before the one-time exceptional item, a PAT loss, a PBT loss of INR6 crores before exceptional item. I did mention to you earlier that we took the call of almost writing off the entire value, because we do not want any impact of that coming in the subsequent quarters, right? So with this strong performance in quarter three, Pankaj, we think that we would report a positive PAT in the next quarter or two quarters, right?

I mean, the next quarter seems very highly likely to be a PAT positive quarter, but it's about a quarter or two that we will be PAT positive on a sustainable basis. We were almost there, but for the exceptional provision that we made for a single issue.

Pankaj Bobade: So you mean to say we have written off INR76 crores before PBT, right?

Ashish Jakhanwala: No, after PBT, before exceptional items, let me just take. So as in the front page of the financial statement, there'll be PBT before exceptional and PBT after exceptional. So we've written it off as an exceptional item, post PBT, before yes, if you see here.

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So we have a PBT excluding exceptional items of six crores loss. Then we have taken the exceptional item to report a PBT and then PAT size. So if the 760 was not there, you can see that we had 60 of PBT loss and then we had some tax income, which was coming to us.

So we would have been almost breakeven even on the, we would have been on a, we would have been almost, breakeven on the PAT level in quarter three, but before the exceptional item. So quarter four looks like a very strong contestant for being a PAT positive quarter.

Pankaj Bobade: So we are almost there, right?

Ashish Jakhanwala: Yes, we are there. I mean, and now it's more semantic and optics. Otherwise, from a financial perspective, we are there.

Pankaj Bobade: Okay. Thank you. Thanks a lot and good luck.

Moderator: Thank you so much. Thank you. Our next question is from the line of Dhruv Agarwal. Please go ahead.

Dhr

Dhruv Agarwal: Yes. Hi, can you hear me?

Ashish Jakhanwala: Yes.

Dhruv Agarwal: Yes. Good morning, sir. I have a little bit more questions. So pardon me for that, sir. So basically, sir, SAMHI Hotels is multi-branded and is present at multiple price points. And as we can see that travel and leisure segment has increased multi-fold after COVID, which act as a road driver for hospitality industry.

So in relation to that, what kind of RevPAR and occupancy level one should expect in coming years, say for 2024 to 2028 at consolidated level, sir?

Ashish Jakhanwala: Okay, Dhruv. So you're asking something that is a bold forecast, right? Okay, let's look at the historical numbers.

We have seen, so for the last four quarters, there has been a concern if we reach the peak of the

cycle, right? This pretty much started, I think, last, yes, here. So if you see, we have seen minus the seasonal adjustments of different quarters, we've actually seen the respite growth accelerate from 15% in the first quarter to 16% in the second quarter to almost 20% in the third quarter, right?

We believe that the industry from a demand supply perspective is well positioned to maintain a double digit RevPAR growth. I would kind of not give a very specific point target, but I think a double digit RevPAR growth is a very reasonable expectation for the industry to deliver over the next two to three years, right? The second, which is even a more important aspect, is that as the occupancy levels today are reasonably, reasonably okay.

And I'm just putting the slide here for our portfolio nine months occupancy. If you see Delhi 80, Hyderabad 78, Pune 76, Chennai 72, other cities 72, Bangalore 69, what we are seeing really is SAMHI Hotels Limited

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that the occupancy levels have in across India have reached that magical 70 plus mark, right? Now, we would expect this to continue to grow.

And unlike the historical myth that business hotels can't reach a 72%, 73% occupancy, we've actually seen business hotels do really well in occupancy levels, largely on account of the fact that we are doing very strong on weekdays, right? So the weekday occupancy, if you see, has been almost in the 80% mark for the last nine months. We believe that with very little supply coming in the most of the metros, the occupancies should continue to remain fairly strong and have the potential to stabilize more closer to 80, then closer to 70, as was the expectation, you know, for many years for business hotels, right? That's number two.

Rate growth will obviously be good, because now hoteliers are not worried about filling up the rooms, they are quite confident about sustainable high occupancy levels. So I think you would see them improving the rates year-on-year basis. We have seen some of the corporate rates for the next year being signed upwards of 10% growth on a year-on-year basis. That gives us the confidence of a double digit RevPAR growth.

But the most important thing really, Dhruv, is operating leverage. If you're talking about a RevPAR growth of 13%, 14%, right, for a good quality operator asset owner, that would mean that the EBITDA growth is in excess of that, right? And I think that would be the focus for many large good quality asset owners in India. Because you are in a long upcycle, the operating leverage will all accrue majority to the asset owners, right?

So we actually think we are in a very sweet spot, where even if we get an 11%, 12% revenue growth on same store basis, that should give us a 14%, 15% EBITDA growth for the same store assets as well, right? And for us, you would see that we are trying to make sure that we are not only dependent on the market forces.

And therefore, we have a lot of growth prospects within the company. I'm not talking about the new acquisitions or leases. But within our portfolio, a lot of our hotels will be repriced during

the

current year and towards the end of the year under a new brand, operate at a much higher average room rate. A lot of our new inventory will be ready to be completely operational. And the operating leverage from the ACIC portfolio will start to kick in.

So as far as we are concerned, we have delivered really solid both revenue and EBITDA growth. We believe we can continue that for a reasonable period of time because of the fact that growth is all already owned by the company for next several quarters now.

So Dhruv, I'm sorry I've not given you an exact numerical answer to this. But I'm only telling you that we are fairly confident and optimistic about a double-digit revenue growth, continued operating leverage, which will allow EBITDA growth to be higher than that. And for our portfolio in specific, have multiple levers over and above market forces to make sure this growth continues.

Dhruv Aggarwal: Right, sir. Sir, one more question related to that only. Sir, you have said, is my understanding correct with regarding to EBITDA margins, you are saying 14% to 15% growth in EBITDA margins would be there over the years. So is my understanding correct, sir?

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Ashish Jakhanwala: No, EBITDA, absolute EBITDA growth, right?

Dhruv Aggarwal: Yes, yes, yes.

Ashish Jakhanwala: Yes, absolutely. I mean, a 10% revenue growth should give you a 13%, 14% EBITDA growth. If you're looking at 12% to 13% RevPAR growth, then you'll actually see, look at this here, our same store assets, the revenue growth was 17.6%, EBITDA growth was 28%. So that's the

operating leverage you're talking about. So EBITDA growth for next several years will continue to far exceed the revenue growth. And that is something that a lot of us need to start focusing our attention on, not just on rate occupants here.

Dhruv Aggarwal: Okay, okay, fair enough. Like, sir, excluding the increase in number of rooms, are there any further growth plans of the company like to venture into something new, which will act as a driver for increase in the revenues, sir?

Ashish Jakhanwala: So, we don't need to really disturb the apple cart, but I'll give you an example, one example, and there are many more like that coming our way. Look at this particular hotel, this is currently a 301 room hotel, which has 79 apartments. This is a high efficiency in Pune. We have initiated steps to A, increase the inventory, because we have the scope for increasing inventory in this particular asset. So it can potentially go from 301 rooms to almost 330 rooms, right? That's one. We're adding more F&B spaces, because we are seeing discretionary spend improving, and there is a demand for dining facilities. Then we are looking at actually a reasonable renovation of the public areas, restaurants and meeting spaces, and all of this will help us improve what we call our rate share in the market. So that basically means that today, if we are achieving 90% of a competitive set, we expect that to improve to over 100% of our fair share, right?

So that gives you, a rate growth, which is independent of where the market is headed. This is one of the assets we are preparing and we'll showcase that to you in the next quarter presentation. We will bring two more large assets in focus, where we expect that we have reasonable intervention thought through, where those assets can deliver a much higher growth than the market would without those interventions, right?

So I think given the fact that we have 31 hotels that we own today, these hotels are in different markets at different price points, we have a huge experience of turning around hotel assets that we acquire, but people should, acknowledge the fact that after five, six years, the same experience can be reapplied to your existing assets as well, right?

So we're doing this to Hyderabad, Pune, we'll bring a strategy for Sheraton

on Hyderabad to you in

the next quarter. We're doing something with four points Pune also, which we'll showcase to you next quarter.

So there's a fair bit we're doing to our portfolio through, which will help us reposition a reasonable part of our portfolio to a very different price category over the next four to five quarters. And all of this, unlike Greenfield development, is a very quick turnaround.

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Dhruv Aggarwal: Okay, sir, fair enough. And so like, what would be the percentage of repeat business across hotels, sir?

Ashish Jakhanwala: Repeat business. So what we can tell you is that the business coming from loyalty members, right? And as our hotels operate with Marriott, which has a very strong BONVOY program.

We have IHG and we have Hyatt, so there's Gold Passport and there is IHG rewards. We have seen that loyalty members constituting more than 40% -50% of our total business, right? Now this number will have a huge swing between one and the other hotels, so giving an average is often misleading.

But on an average, we've seen over 40% -50% of our customers are loyalty members, which means you have a certain stickiness to the customer. Repeat visitation, of course, is a little less relevant as is how much of the loyalty customers are using your hotel, what's the power of the loyalty program. And that number is pretty healthy when you are with programs like Bonvoy and IHG rewards.

Dhruv Aggarwal: Okay, right, sir. And sir, like one more question, like if suppose you have given any hotels for like contract management to say Hyatt, and in the same city, sir, Hyatt is also having his own hotel also, sir. So don't you think like, sir, there would be a pricing war, isn't it?

So like, how are we able to deal with, sir, such circumstances? Like, is there any, like, within the contract, is there anything like within certain kilometers, that has not opened his own hotel, sir, like that, or like, what is the basically the contract in that, sir?

Ashish Jakhanwala: So first of all, we have an area of protection. Whenever we sign a contract with a hotel company, we have an area of protection around that hotel where they can't sign on the contract of similar category. So that really is the first circle of protection for us.

And beyond that, really, you cannot, I think what we need to worry about is supply, and the fact is, whether it's a Hyatt or a Marriott or a Taj, you need to worry about supply, not about just the brand that it carries, right. So we're not very perturbed about, for instance, we give no exclusivity, we take no exclusivity, right. And that's largely because our focus is on demand supply, and creating an area of protection around the hotel.

So I think that has not really bothered us. But just as a footnote, current operators that we have, all the three operators don't have any of their own invested assets in India. So there is no, from

that perspective, there's no conflict, where within the same city, they have an owned asset and a managed asset, Marriott, IHG and Hyatt .

Hyatt has some joint ventures in India, of course, with Unison Hotels, but other than that, these operators don't have their own invested capital in assets, they are operating purely as a service provider as an operator. And that, of course, creates an additional layer of comfort for us that, their whole source of income is making sure the hotels are run well for the owners that they're running these hotels.

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Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session.

I would now like to hand the conference over to Mr. Ashish Jakhani for closing comments.

Ashish Jakhani: Thanks, everyone. We quite enjoyed the discussion. We have taken down some notes for future quarterly discussions.

I would

I'd reiterate that even though we have shown phenomenal revenue and EBITDA growth in the last quarter, that's not yet the best. Two, we are well on our track to deliver both a PAT positive first quarter and also stay course on 3.5 times debt-free EBITDA in the near term. And with that, I think over the next few quarters, we will start, focusing a little bit on the growth prospects and we will start discussing them with you as well.

So, with that, thanks for your time and look forward to speaking to you at the end of the fiscal year.

Moderator: Thank you. On behalf of SAMHI Hotels Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## **Call: May 2024**

*(no extractable text — likely a scanned image PDF)*

## Call: Jun 2024

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06" June 2024 SAMHI Hotels Ltd.

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

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Dalal Street, Mumbai 400 001 Bandra Kurla Complex,

Maharashtra, India Bandra (East)

Scrip Code: 543984 Mumbai — 400 051

Scrip Code: SAMHI

Sub: Transcript of Q4 FY24 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q4 FY24 Earnings Conference Call held on

Thursday, 30<sup>th</sup> May 2024 at 03:30 P.M. IST.

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

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SAMHI —SALART HOTEL INVESTMENTS ==

SAMHI Hotels Limited

Q4 & FY24 Earnings Conference Call

May 30, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30<sup>th</sup> May 2024 will prevail.

SAN —SALART HOTEL INVESTMENTS =

MANAGEMENT:

MR. ASHISH JAKHANWALA — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EXECUTIVE VICE PRESIDENT AND HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VICE PRESIDENT, INVESTMENTS

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SAMHI

Moderator:

Ashish Jakhanwala:

Rajat Mehra: SAMHI Hotels Limited

May 30, 2024

Ladies and gentlemen, good day and welcome to Q4 FY24 Earnings Conference call of SAMHI Hotels Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO of SAMHI Hotels Limited. Thank you and over to you.

Thank you so much. Good afternoon everyone and thank you for taking out time today. With me I have Gyana Das who is the Executive Vice President and Head of Investment, Rajat Mehra who is Chief Financial Officer, Nakul Manaktala who is Vice President of Investments and also our Investor Relations Advisors, Strategic Growth Advisors.

We have uploaded our result presentation on the exchanges and I hope everybody had an opportunity to go through the same. To begin with, I will request Rajat to give us a summary of financial performance after which I will give you a small brief on business and then open the floor for Q&A. Rajat, over to you.

Good afternoon. Our asset income for Q4 FY24 increased by 35% YoY from INR 208 crores to INR 281 crores. Occupancy remained healthy at 76% with majority of RevPAR growth being driven by rates. EBITDA for Q4 FY24 prior to changes with respect to ESOP was INR 108 crores, a healthy increase of 36% over the same period last year and representing a margin of 37%. This included a one-time cost in corporate G&A relating to the ACIC integration. On a full-year basis, our asset income increased from INR 750 crores in FY23 to INR 963 crores in FY24 representing an increase of 28%.

EBITDA prior to ESOP for the full year increased from INR 263 crores in FY23 to INR 348 crores in FY24 representing an increase of 32%. With strong operational performance and continuous reduction in finance cost, I am happy to inform you that the company has reported positive PAT of INR 11 crores for the quarter. However, if we were to include ACIC performance for that period that is not consolidated in our financial statements, that we report as pro-forma, we have reached a strategic milestone of revenues crossing INR 1,000 crores and EBITDA pre ESOP at INR 368 crores which provides the company a solid base for future growth in FY25 and beyond.

Our Ne

t Debt stands at INR1,824 crores which is about 4.9 times EBITDA for a full-year period on a pro-forma basis. Given strong performance and reduced leverage, we have been able to reduce our cost of debt from 13% pre-IPO to about 9.8% and have further room for reduction in the coming quarters. In the second half of FY24, post the PO, the business produced about INR100 crores of incremental free cash post-debt servicing.

Our total cash balance is about INR 260 crores and growing each quarter with free cash from the business. This gives us tremendous flexibility to achieve both our goals, that is growth as well as further reduction of debt. I will now request Ashish to take us through market and business updates.

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Ashish Jakhanwal: SAMHI Hotels Limited

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Thanks, Rajat. So I will start by reiterating that the pro-forma performance for FY25 which as Rajat clarified included ACIC performance for the non-consolidated period. It actually truly reflects the potential for SAMHL So we actually start FY25 with a portfolio which has delivered INR 1,000 crores of revenue, an EBITDA of about INR 370 crores and we have gotten the business to deliver profits in the last quarter. So how do we use this base to grow? I will focus on three areas.

First is market performance and our ability to leverage that, Second is operational performance of the business and opportunities therein and the last bit is about the opportunity, ability and the direction to grow SAMHIL On market performance, the macro environment remains very promising and I am very pleased with the efforts my team has put in creating a large portfolio in some of the strongest performing markets across India.

Hyderabad, Bangalore, Pune and NCR are the top markets in India for aviation growth over the past decade and also basis the size of the office space per hotel room. These would also be the top four markets for SAMHI in terms of revenue and contribute about 70% of our total revenue in the last year.

These locations and also the strong brand partnerships that we have will continue to drive our hotels to capitalize on a very strong market opportunity. Given our locations across all key office markets other than Mumbai, and across price points, we remain very well positioned to capitalize on India's growth story.

Our overall portfolio RevPAR growth was 17% Yo and each of the segments we operate in have delivered good RevPAR growth, though with some variance.

Our Upper Upscale segment, which represents about 43% of our total revenue, leads the pack and delivered a 22% RevPAR growth for the entire year. Given these hotels are located in key markets of Bangalore, Hyderabad, Pune and Gurgaon, we see RevPAR growth in these hotels growing at a higher pace than for comparable Upscale, Upper Upscale hotels in other markets. In terms of operational performance, we see tremendous value to be unlocked in our operating margins during FY25.

For the last reported quarter, i.e. Q4, we reported an EBITDA margin of about 33%. This was basis an asset level EBITDA of 41%, a further 3% expense for corporate G&A and an additional 4% cost towards ESOP costs. This breakup is important because we see material reduction in ESOP expenses during FY25. Corporate G&A which saw an increase in FY25 will also see material reduction during FY25 and will reverse to FY23 numbers if not below, as the ACIC corporate team integration is now completed.

ACIC portfolio that you know we acquired in August had reported a 30% EBITDA margin for the period prior to acquisition has already reached 37.5% EBITDA in the second half and almost touching 39% in the last quarter. Therefore, we see a margin expand by about 3 percentage points in FY25 even if we take the same revenue levels. And again, there will be some quarterly variations, but overall for the entire year we feel fairly confident that there is an inherent embedded advantage for our

r P&L.

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SAMHI

Moderator:

Karan Khanna:

Ashish Jakhanwal:

Karan Khanna:

Ashish Jakhanwala:

Karan Khanna: SAMHI Hotels Limited

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The last bit is about opportunity and ability to grow and first I will take up some low hanging fruits. So we are ready to open about 300 new rooms in the next few months. This includes the first hotel in Kolkata, rebranding of our hotel in Greater Noida, an addition of 54 rooms to our existing Holiday Inn Express hotel in Bangalore.

Since this inventory will be opened by beginning of quarter 3, we expect this inventory to benefit from a relatively stronger H2 during FY25. We are also in the planning stages to renovate and rebrand two of our other large hotels and this will further help us drive their performance.

We now have a strong visibility of free cash from business. If I take the last 6 months run rate of INR100 crores free cash, we expect to accumulate a minimum of INR 450 crores of cash in the next few years adding to about INR 260 crores of cash we hold with us today. We will use this to pay down our debt, renovate our existing hotels, but in addition to that we are evaluating certain opportunities to continue to grow SAMHI's portfolio.

These follow our cardinal rules. Stick to core markets. Do not take the development risk and maintain a discount to replacement costs. Thank you for your time and we will now take questions.

Thank you very much. We will now begin the question and answer session. We will take our first question from the line of Karan Khanna from Ambit Capital. Please go ahead.

Thanks for the opportunity and congrats team on first quarter of operational turnaround. Firstly, just a clarification in the investor presentation you have mentioned about INR225, INR250 crores of free cash flows in FY25. Could you confirm if the same is after reducing around INR200 crores of interest payment. So if you could just confirm that?

That's right, Karan.

So resultant Ashish what kind of debt reduction do you foresee by end of FY25 and starting which quarter do you really start seeing an inflection point in terms of free cash flows translating into debt reduction for the business?

So Karan if you see since just after IPO, our net debt to EBITDA has been falling every quarter. We have stated an objective to get to about 3.5 times Net Debt to EBITDA by end of FY25. And I think given the accumulation of the free cash in the business we feel reasonably confident about achieving that target.

So that's our stated target that we should get to about 3.5 times Net Debt to EBITDA by end of FY25. Now if you're asking me to give a definitive numerical number on debt as of end of FY25, I reserve to say that because we're also seeing some incremental EBITDA opportunities both from the hotels we are ready to open and also potentially from some of the growth opportunities that we are pursuing right now.

Sure. And that's fair. So second question Ashish while I look at your exit RevPAR growth which has been around mid-teens, do you believe you can sustain this or perhaps a low-teens sort of a RevPAR growth in FY25-26 as well given going by the results you've seen with other listed

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companies in the overall industry? I think the RevPAR growth has seen some moderation in potentially the fourth quarter of last year. So how should we read that and even in April?

So Karan quarter-on-quarter RevPAR growth sometimes tends to be a little misleading. If we look at the full-year RevPAR growth for most of the players at least the ones who reported we've seen that to be in the mid-teen ranges. When we look at the growth in demand coming in the key markets and we extrapolate that against these very well-known supply growth, there is no reason to believe that the industry cannot sustain. As you rightly said an early teen to a mid-teen RevPAR growth.

We've always said that we will be happy if the markets that we are in can operate anywhere between high single-digit to early double-digit RevPAR growth because there is operating leverage that results in pretty good EBITDA growth.

Sure. And thirdly, Ashish I think last quarter obviously we've seen some issues with the Navi Mumbai acquisition. So any update on the Navi Mumbai land issue at this point or is it still under litigation?

So it is still subjudice. The courts are closed. We will not comment on anything which is subjudice, but we continue to believe that we have both a strong case and also very strong merits to undertake that development. We have communicated that to the authorities. We still expect a favorable response and outcome. But as I said because the matter is subjudice, I would not comment beyond that.

Sure. And lastly if I look at the fourth quarter your other expenses have increased almost 16% Q-O-Q versus 4% growth in revenue. So what explains the delta of around INR17 crores this quarter? Is there any one-off there or is it just normal business?

No, that actually includes a one-off. So as you know we acquired ACIC in August of 2023. We have indicated an integration of that business with ours and integration happens at two levels. One at the corporate level and then obviously at the hotel level. At the hotel level the integration is going very well.

You've seen the margins expand. We have taken a one-time cost of about INR4.5 - 5 crores in quarter 4 on account of completing the integration of the corporate team. So Karan that's one-off and non-repeatable.

Great. Thank you, Ashish and all the best to you.

Thank you, Karan.

Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.

Thank you for the opportunity. I just wanted to understand what would be your interest cost and depreciation for FY25?

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'With the current pricing that we have reached to a 9.8% and further reduction, we are expecting our interest cost to be in the range of about INR 200 crores for next year. And our guidance for depreciation is about INR 130 odd crores.

So I was just trying to understand more in terms of, I mean, how confident are you on a huge delta of PAT for FY25 or you think given the sort of or you think that the growth will more sort of come from increased level of RevPAR I'm just trying to understand what makes you confident that we'll sustain profitability going ahead this year?

Sol think there are a couple of pivots to maintaining PAT growth. First, of course, as you rightly said is facing healthy RevPAR growth, but I think people often focus too much on RevPAR growth. We need to also focus on operating leverage. So if you look at our investor presentation, we have segregated same store from overall company and that's important because for a high growth company like ours acquisitions can always lead to a good revenue and EBITDA growth. If you look at the same store approximately 13%, 14% revenue growth led to about 19% EBITDA growth and that's operating leverage. So therefore we believe that we're not necessarily dependent on high teens revenue growth or RevPAR growth. All we need is the market to 'maintain as Karan said earlier, healthy RevPAR growth which should deliver a really healthy EBITDA growth. So that's one delta.

The second big delta is, as I said, production and corporate G&A. So rather than doing that piece by piece you're expecting about 4 to 5% point improvement in EBITDA on the same revenue itself. So if you take a total revenue of about INR 1000 crores which is on a pro-forma basis, you're almost getting INR40 crores to INR50 crores added to the PAT because of the improvement in ESOP expenses and corporate G&A-

And

on top of that if the market delivers another 10% revenue growth which is about, let's say, additional INR100 crores of revenue growth, you will see a commensurate EBITDA growth coming from the business. So when you combine the market opportunity being delivered through RevPAR, operating performance through the flow-through or the EBITDA expansions, a definitive decrease in ESOP and corporate G&A. I think we'll remain fairly confident about delivering a very differentiated EBITDA, PAT in FY25 and I'm not even relying on certain accounting gains that Rajat is hitting on which Rajat can speak to all of you about actually. So if you see in the quarter 4 results there's an exception income of about INR3 crores which is

actually a reversal of an impairment hit that we had taken. In 2020 when we actually entered COVID there was a large hit of impairment expense that we booked in our books. And as we speak, we are actually sitting on about INR660 crores of that impairment losses which includes the write-off that we took for the Navi Mumbai as well

Now as we go along, when auditors are looking at the performance of the hotel, for one of the hotels, they have reversed impairment. And as we go along during the year you will see similar kind of reversal of impairments over this year as well as next year.

Okay. So would that be a significantly large number this year or that again depends on how the auditors see it out of the INR660 crores?

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I don't want to give a specific number to this and leaving aside what's the outcome of the Navi Mumbai, but I still feel there's going to be a decent amount of reversal that we can expect. Along with that, we are also sitting on a huge amount of tax losses against which we never created a deferred tax asset. Now as our companies are turning positive and one of the companies actually turned positive last year, we are also expecting deferred tax assets to be created.

And at this point of time by March end we are sitting on close to about INR600 crores of such deferred tax assets which are not recognized in the books. And so those are also some kind of an accounting write back that you would see coming over this year, next year. So impairment reversal you can see during the year, but most likely the deferred tax creation of the assets will happen by the end of the year.

But we are pretty confident that some bit of reversal will definitely hit both on the impairment reversal as well as creation of deferred tax.

Sure. Thank you. Very clear. Thanks.

Thank you. Next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Yeah. Hi, gentlemen. Just a question on the Caspia Pro Greater Noida which is currently under renovation. So when we say it's under renovation does it mean that it is in a complete shutdown mode or it is in a partial shutdown mode how does it work? And how soon do we expect it to be back and up in terms of the new rebranded hotel?

Yeah, Murtuza, Greater Noida Caspia Pro is in a full shutdown mode since February of this year and this hotel will reopen in October.

Okay. Thank you.

Alongside Calcutta and additional rooms in Bangalore as [ mentioned earlier.

Thank you. Next question is from the line of Bhaskar Chaudhary from Entrust. Please go ahead.

So a couple of questions on the pipeline. Could you tell us quarter wise how many rooms are you adding for the next 2 years? And what is the capex that you will need to incur for these and how much have you already incurred?

So Bhaskar we are adding about. Okay. So for Greater Noida we are having 137 rooms. These rooms were open till about January and then we shut them down for full renovation and rebranding. So these 137 rooms, alongside 111 rooms in Kolkata and 54 rooms in Bangalore

Whitefield, gives us a total of 302 rooms. As it happens, they will all open in the quarter ending September starting October. So that's the zip code.

After that, we don't have any openings during the course of the year. Next year we add apartments to our Hyatt Regency in Pune. We add about 22 apartments to that hotel. We are also then undertaking expansion of our hotel in Chennai, Sriperumbudur. Currently, we have 155 rooms. We expect to add about 86 rooms to that hotel, but Hyatt Regency Pune we expect to add

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the apartments by same time next year. Stipermubudur we have not started the work as yet. So we would not like to give a definitive opening date for that. This obviously excludes any new opportunities that we can identify.

And as I stated in my opening remarks we stay away from Greenfield development and anything we would look at as an opportunity will always be a quick capex to revenue cycle, so that we can't discuss today. As and when we find those opportunities and secure them, we can obviously discuss those as well.

So any quick capex that you're planning to do for these three, four additions and Brownfield expansion?

So for the three hotels that are about to open, we have actually incurred large part of the capital expenditure. The total capital expenditure we have actually spent is about INR 30 crores. So only on these three hotels about INR 70 crores was the total capital expenditure. 30 spent, 40 is what we'll spend in the next quarter.

Okay. 40 to be spent.

That's right.

Okay thanks. I'll come back in the queue.

Thank you. Next question is from the line of Raghav Malik from Jefferies. Please go ahead.

Yeah. Hi, sir. Thank you for the opportunity and congrats on a good set of numbers. I just wanted to dive into one of the earlier questions on RevPAR guidance. So you said high single digits to low double digits is what we can expect going ahead. Could you provide some sort of granularity on amongst our three segments where would you probably see the higher end of the RevPAR or would it be divided kind of value?

So Raghav I'm sorry to bust the myth, but we don't think RevPAR has moved by segment. They actually move by cities and this has been a raging debate in our ecosystem. So if you look at cities and in our investor presentation slide 17 we have the city-wise RevPAR growth where you can clearly see that you pick the large office aviation markets, they've all grown, Hyderabad 22, Bangalore 12, Delhi 24, Pune 17 so on and so forth.

And it's the other cities which are lagging at about 6% RevPAR growth. So we continue to believe that the RevPAR growth story is very relevant to cities and markets and within those markets, if that city is growing well, all segments will tend to benefit. We haven't really seen in the same micro market different segments behaving differently in terms of RevPAR growth.

There are always differences numerically, but not really material to discuss.

We believe that Hyderabad and Bangalore are getting so much of new office supply and if you look at the data that we've been able to collect for last year, Bangalore added 14 million square feet of new office space, Hyderabad 7.5 million square feet of new office space and that's really

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ahead of, let's say something like a Delhi-Mumbai which is 5.2 million and 6.2 million respectively.

So these two cities clearly in our opinion are leading the pack in terms of expansion of organized market. And we are direct beneficiary of when the organized markets grow. So we believe Bangalore and Hyderabad are poised to continue to grow really strong. In terms of absolute RevPAR, we believe Hyderabad still can catch up to Bangalore and it

herefore can deliver higher

growth in the next 2 years, but both these markets put together should deliver easily mid-teen RevPAR growth.

So I think for us we believe that it's a very market-driven outcome. That's what we've always focussed on and listen I have no surprises. I think 100 years back Conrad Hilton said that there's three things important in a hotel: location, location, and location. And we see that when you look at slide number 17, the big cities are driving RevPAR growth. So I think I remain very upbeat when I look at the growth of the office market. I remain very upbeat when I realize that the air passenger movement has crossed last peak of 68 million to get to 69 million passengers in the Interreported quarter. Put these few things together and negligible supply, I think statistics clearly are showing a very strong RevPAR growth and that's the basis of our guidance. It's not a hope. It's not an expectation. It's just statistical derivation from demand and supply.

Okay. Thank you, sir. Thank you for that detailed answer. I have just one more question if I can go ahead. So in the Upper Mid-scale assets that we have which is a majority of our revenue, it

appears that occupancy out here is slightly lower than our average occupancy that we've seen. Just wanted to understand if that is because of the integration of the ACIC portfolio and addition of new rooms or is it like a portfolio-specific?

Tust, Raghav clarifying. You're talking about Upper Mid-scale, right?

Yes sir upper Mid-Scale Slide 24 I think in your presentation.

So Upper Mid-scale includes, if you look at slide 24, that actually includes the ACIC portfolio.

Also, if you look at the fact the Upper Mid-scale has a higher proportion of other cities, the Coimbatore, the Vizag, Goa. So Upper Mid-scale clearly saw a little bit of relatively lower RevPAR growth compared to an Upper Upscale as a combination of the fact that it has some portion of ACIC.

It has some portion of hotels which have not been yet renovated and rebranded like Caspia in Delhi and also the fact there are markets like Vizag, Coimbatore and Goa which have not performed as good as the larger markets. They're all doing well to be clear, but not as strong as the bigger markets.

If you look at and just to clarify actually the contribution of this segment to our total revenue is about 42%. About equal contribution comes from our Upper Upscale & Upscale. That segment Raghav on an yearly basis, delivered a 22% RevPAR growth. And I would like to take your attention to that. There's a lot of future strategy built into that. Why has our upper upscale delivered a 22% RevPAR when most other Upper Upscale portfolios have delivered 15%, 16% RevPAR growth.

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And the answer lies in the fact that our Upper Upscale & Upscale is concentrated in Hyderabad, Bangalore and then, of course, sprinkling in Delhi and Ahmadabad, but majority is Hyderabad and Bangalore. So our Upper Upscale has delivered 22% RevPAR growth, but that's not the segment which is the hero. The fact is it is maturity Hyderabad, Bangalore which are the heroes within there.

Okay, so again city-specific is the way to kind of look at this. Got it. Okay, thank you. I'll come back in a few. Thank you so much.

Thanks Raghav.

Thank you. Well take our next question from the line of Sunil Jain from Nirmal Bang Securities. Please go ahead.

Thanks for this opportunity. Can you spell out how much is the ACIC revenue and the EBITDA in the current year and what is the scope for improvement in margin for the ACIC portfolio alone?

So if you look at total income the contribution of ACIC is about INR 134 crores of total revenue. That's in the reported financials and the impact in EBITDA is in addition of about INR 48

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crores of almost INR 49 crores. So that's the ACIC contribution to the overall portfolio in FY24. So that's your first question.

I think your second question was with respect to the margins. So in H2 of FY24 which is period post-acquisition, ACIC has delivered a margin of 37.5%. This is what we call asset EBITDA and this compares to about 42% asset EBITDA for Non-ACIC hotels.

Yeah. So that much scope is there?

Yes. As I mentioned Sunil, in quarter 4 this portfolio already reached 30%, but full admission quarter 4 is a strong quarter. So I would not say that that's copy and paste for the rest of the year without incremental efforts, but absolutely we think ACIC portfolio should deliver an asset-level EBITDA of 42% and above. And interestingly as we integrate that completely, it will also have a snowball effect on our balanced Marriott operated hotels. Because ACIC is all Marriott brands. So whatever was the operating expense in our pre ACIC Marriott operated hotels eventually they will also benefit in terms of some margin expansion because some of the cluster overheads that we have there would get amortized over 6 additional hotels.

Yes true. And whether we need to do some capex or some expenses to make it full-fledged? INR 25 crores.

And that will be over a period of what?

So we've already started that work. We believe over the next two quarters we'll spend about INR25 crores in the entire ACIC portfolio for it to be fully integrated. So there are really two

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steps to doing that Sunil. The first was making sure these hotels. So there were really three things to be done.

The first was the integration of the corporate office. The second was to ensure that these hotels would be sales and revenue support from Marriott. And third would be then transitioning into a full management contract under Marriott. So we've ticked the first two boxes which is integration of the corporate infrastructure that is why we took a hit of INR 4 crores in the last quarter in our corporate G&A, but we'll go back to what it used to be.

These hotels are now being sold by Marriott sales and revenue cluster teams across cities starting February. So we will see some improvement and how they are priced and the last bit as they move towards a full management contract is when you'll start releasing the full benefits. So all that process is going to take another quarter to two and during which we'll have to spend that money.

Okay. And second question is related to the city-wise market. This Bangalore no doubt a lot of office addition are there, but the IT industry is not adding any workforce over there. So are you seeing any impact of that or likely to see?

So Sunil good news. India is a real economy and no longer a call center and that reflects in Bangalore also. So if you see at page number 21 of the investor presentation you would realize that the contribution of IT/ITeS to room sales has gone down from almost 15% to about 10%. So even in a city like Bangalore we were used to see IT/ITeS contribute about 28% to the total revenues and that over the years has now come down to about 17%, 18%.

So yes IT/ITeS potentially is seeing some pressures, more global than local, but the fact is that Bangalore is a microcosm of India which perhaps 20 years back started as a cheap labor cost arbitrage destination, but today is a real economy. So Bangalore also over the last 20 years has evolved into a large commercial center. A part of that is ITATGS, but a large part of that today is you know what business as usual.

Insurance companies, banking and finance, a lot of tech innovation startups, defense, pharma.

So good news is that we are now getting our customers from many more segments than we used to get let's say 5 years back.

That is great. But this Chennai market is seeing extraordinary growth. So a

nothing specific to

industry or it's our property?

That's the problem with data Sunil that sometimes it misleads. So Chennai has two different clusters. One is the Chennai city and the other is Sriperumbudur. So we have a hotel in Sriperumbudur and given India's focus on Make in India a lot of manufacturing shifting to India I am really pleased to report you that the Sriperumbudur Hotel actually saw 37% RevPAR growth.

So it's not whole of Chennai. It is actually the Make in India which is becoming successful, largely concentrated in an industrial park called Sriperumbudur. If you were to have asked me the same question a decade back, Sunil, I would have said I don't believe in industrial parks. T

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will always go to an office market, but I must admit that now several industrial parks across the

country are seeing so much of build-up of production capacities and growth that they are becoming really attractive markets for hotels to invest in.

So this is Sriperumbudur and not just Chennai. This is for people who are looking to invest in Chennai, looking at that 31% RevPAR growth. I want to be very transparent its Sriperumbudur and not all of Chennai.

And the last question about April and May. Are we seeing double-digit RevPAR growth YoY?

No, not in April and May because of the elections, but we are seeing good business on books coming back for 15 June and further on. We are growing on a YoY basis. That's good in spite of the elections and unprecedented heatwave that we are seeing in North India. We continue to see growth YoY basis, but I suspect it may not touch double-digit across all hotels.

Thank you very much for answering my question sir.

Thank you Sir.

Thank you. Next question is from the line of Atul Daga from Daga Securities. Please go ahead.

Sir, can you share the city-wise ROCES if that is possible so that we can exactly understand the return profile because that would be a right metric to look at?

Yeah. So Atul fantastic question. Can I come back with this answer in the next two minutes if you have any other questions. We have this data, but we need two minutes to dig it out.

No I will wait that's fine.

So we'll take another question and then come back to Atul for a response on this.

Definitely. Yes.

Thank you. We'll take our next question from the line of Dhairya Trivedi from DIT Investments.

Please go ahead.

Hi, sir. Congratulations on a wonderful set of numbers and thanks for taking my question. So, can you please elaborate on what are the levers for margin improvement when the ACIC Marriott portfolio moves from franchise to manage?

So interestingly often people think that the cost levers are hidden in the cost lines of the P&L, but often those levers are hidden in the revenue line of the P&L. In ACIC what happens is when a hotel is operated under a franchise agreement it does not really have the same set of strong support from an operator as it would have in a management contract and to replace that business, they often have to rely on high-cost customer acquisition channels like OTAs.

And by the way OTAs are fantastic. They're a great business partner. What's important to note is that that business comes at a certain cost. So in ACIC what we were noticing was that the

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component of business coming from OTAs was disproportionately high and it was subjected to a very high commission also. Two things have happened post our acquisition being integrated with the Marriott infrastructure.

First the commission itself has come down because of the scale that we have and the scale that

Marriott has honestly. And the second is the percentage of business coming from OTAs also materially coming down. So because of that we are seeing a direct boost to our margins because the customer acquisition cost has gone down. So that's part one.

The part two is really how do you dissect the revenue and if we can probably discuss this in a subsequent quarter, but when you look at the revenue if I was to pick one quarter in ACIC, you would realize that the revenue growth is very muted, but the EBITDA growth is very healthy and the reason for that is that we have decided to effectively shut some parts of business which were contributing to revenue, but effectively were not accretive from an EBITDA perspective. So we're not just chasing a vanity revenue number or we're not chasing money in the till at the end of the day. We're actually chasing business and revenue which is accretive to us at a profit level. So combination of changing the customer acquisition strategy, shutting down some parts of businesses which were effectively in our opinion, zero profit has helped us move the EBITDA margin from 30% pre-acquisition to 37.5% post-acquisition.

And as we said earlier, we are fairly confident that this number will touch about 41%, 42% in the next few quarters.

Very clear. And sir broadly what would be the difference between a franchise arrangement versus a management contract?

So the big difference is that in a franchise agreement the owner of the hotel is required to operate the hotel including sales and marketing. Of course, you can sell your hotels through the brand.com but you don't get any active sales support from them. In a management agreement, the management of the day-to-day operations of the hotel are done by the operator and under

which they also provide you the full support of the National Sales Office and International Sales Office side. So that's really the big difference between the two.

Understood. And sir is it fair to assume that we can do an incremental EBITDA of INR 70 odd crores from the ACIC portfolio as well as the 300 odd keys that we'll be adding in FY25?

Sorry, can you repeat you're saying incremental EBITDA of?

Incremental EBITDA of roughly INR 70 odd crores from the ACIC portfolio as well as the 300 odd keys that we'll be adding in FY25?

So 300 odd keys that we're adding, they're all Holiday Inn Express hotels and their current EBITDA per key would be for Holiday Inn Express hotels around 4.5 lakh, 5 lakh per key so that's really INR 500,000 times 300 rooms that's the incremental EBITDA coming from those 300 rooms. ACIC did a total revenue for the year about INR 200 odd crores for the full year. The EBITDA from that reported in our P&L was about INR 48 crores.

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On a INR 200 crores revenue we expect the margins to be about, with the good margins to be about a INR 90 crores EBITDA. So you will see about approximately INR 45 crores incremental EBITDA coming from ACIC. So I would think more about without any revenue growth just the 'margin expansion in the opening of those 300 rooms, we believe that number is close to about INR 50 odd crores.

Okay, is this adding both the ACIC as well as the Holiday Inn?

That's right.

Okay understood sir. Thank you very much.

If you allow us we'll answer Atul on his question on the ROCE. So Atul overall, SAMHI's ROCE is about 8%, excluding ACIC 10% to 12%. Bangalore is leading the pack at about 20% ROCE, 20% plus actually. Hyderabad is almost touching about 20% ROCE and the rest of the portfolio is ~10%. The smaller markets like Vizag and Coimbatore would be like less than 10%, but thankfully their contribution is not very material to our business.

So, Bangalore is way ahead of 20%, Hyderabad touching 20%, That's really the spread of ROC

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by cities.

Thank you, sir. We'll take our next question from the line of Bhaskar Chaudhry from Entrust.

Please go ahead.

You've mentioned earlier in the call that the corporate G&A would be a significant lever for increase in profitability. So any number of targets for the next 2 years on that line it was about INR 45 crores in FY24?

Yes, so FY24 was inordinately high because as we said we acquired the ACIC portfolio in August. We integrated the team. We got that completed in March. We took some one-time settlement expenses and all of that, In FY23 if you realize our corporate overhead was about INR 29 crores we are fairly confident that in FY25 we expect the next corporate expense, our net corporate expense to go back to the FY23 level which is about INR 29 odd crores. So about INR 15 crores savings from that.

Thank you. We have a next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Yeah, bi, Ashish. My question regarding you are talking about the city-wise office space addition and Bangalore is on the top and then Hyderabad and other cities and I see that Mumbai is now at the bottom. So you are trying to say that Mumbai ARR growth or RevPAR growth is likely to be lower compared to Bangalore, but when we see the Bangalore ARR growth in the past was lower and Bangalore market is recovering. So can you talk about how the city-wise couple of cities versus Mumbai and New Delhi ARR growth or RevPAR growth in next 2 years to 3 years outlook?

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No, Sumant sorry. I apologize if I got misunderstood. We've never said that Mumbai is not a great market. We don't have a presence in Mumbai. So our view is that Bangalore, Hyderabad, Pune, Delhi, all the core markets we repeat including Mumbai are where bulk of economic activities will continue to happen.

Don't forget Mumbai - cities like Mumbai also get impacted because of a very large base so that city is already the commercial capital of India for the last I don't know what 50 years, 60 years. So it continues to be a very important city for hotels as well. I believe all core markets and the definition of the core markets would continue to be Delhi, Mumbai, Bangalore, Hyderabad, Pune, Chennai, Kolkata.

'We believe all core markets will benefit from India's growth story. There may be some seasonal variations, but other than that I don't think I can pick one over other. We clearly like Bangalore and Hyderabad a lot better because the entry is cheaper, the base is lower. The opportunity for upside growth is much higher. So that's really a very corporate, internal company's view, but we like Mumbai as much and that's why we've been fighting for Navi Mumbai honestly. Otherwise, it was not worth the fight.

So as per your PPT Bangalore and Hyderabad is doing extremely good for you. So can you talk about this momentum is likely to continue say compared with the industry also, all the industry players? Do you think because Bangalore has started recovering late compared to other markets and there was an issue in the Bangalore market Hyderabad was doing extremely good, but Bangalore is doing good currently. So do you think FY23 industry-wise also other players overall industry is going to do better in the Bangalore market versus other?

No, I think we believe all core markets including Bangalore, will deliver really good results for everybody in FY25, FY26. I see the supply is visible for at least next 3 years if not longer. And at least in that 3 year supply horizon we're not seeing any material threat because of new supply. On demand, Sumant we have to just ask ourselves a question. If there anything happening to Indian economy, India's growth story, political administrative reforms, interest from global investors and the answer to all of those things is we don't see anything

negative. So if we don't

see anything negative on the demand side and we see very muted supply as I said earlier, it's not my point of view or an opinion. It's a statistical inference that we're deriving from putting demand and supply together. So yes everybody will benefit in core markets and again please it does not mean others will not benefit in other markets, but I'm taking a larger broader view of the next 2 years, 3 years from a statistical perspective. Leisure markets are doing exceedingly well. They continue to do well, but I think core markets provide a margin of safety that attracts us to them.

And how is the current scenario post-election, how is the forward booking for June month?

So listen in business hotels the lead time to booking is not very long, but we are seeing very good business on books for 15 June onwards and July. So even though April and May were slightly muted and again let me clarify they still continue to grow over same period last year in spite of elections and the heat wave, but obviously they're not growing at 20%, but we have started seeing good momentum in bookings starting 15 June and then, of course, July onwards.

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LI

SAMHI

Sumant Kumar

Ashish Jakhanwala:

Sumant Kumar;

Ashish Jakhanwal:

Moderator:

Ashish Jakhanwala:

Moderator: SAMHI Hotels Limited

May 30, 2024

And what about expectation and you have an industry had because of election the business is going to be impacted? That is below or above your expectation?

No about the same actually if you ask me about the same. I think the heat wave in North Sumant was unprecedented especially people who are in Delhi or Ahmedabad or Jaipur and these cities. I think the heat wave alongside elections kind of compounded some issues, but again 'I reiterate before anyone if you start getting worried, we continue to see in spite of all of that growth on RevPAR on a YoY basis and that says a lot about the strength of the industry that it can absorb two big events and yet grow on a YoY basis.

Thank you Ashish.

Thank you Sumant.

Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like

to hand the conference over to Mr. Ashish Jakhanwala for closing comments. Over to you, sir. Thank you so much for your time and your questions. They were all well placed. I will reiterate the fact that what our asscts delivered in FY25 which is a INR1,000 crores top line and about INR360-0dd crores of EBITDA that makes us very excited about where SAMHI is headed in the near term. We'll continue to engage with you and provide you what our views are on both the sctor and our company and look forward to speaking to you soon. Thank you so much. Thank you.

Thank you members of the management team. On behalf of SAMHI Hotels Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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## Call: Aug 2024

IMART HOTEL INVESTMENTS —

12% August 2024 SAMHI Hotels Ltd.

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G

Dalal Street, Mumbai 400 001 Bandra Kurla Complex,

Maharashtra, India Bandra (East)

Mumbai — 400 051

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcript of Q1 FY25 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q1 FY25 Earnings Conference Call held on

Monday, 05 August 2024 at 11:00 a.m. IST.

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

Correspondence:

Tel: +91 124 4910100 Fax 44910199 www.sambi.co.in

SAMHI AT HOTEL INVESTMENTS =

SAMHI Hotels Limited

Q1 FY25 Earnings Conference Call

August 05, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 5<sup>th</sup> August 2024 will prevail.

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—SALART HOTEL INVESTMENTS =

MANAGEMENT:

MR. ASHISH JAKHANWALA — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER —

MR. GYANA DAS — VICE PRESIDENT AND HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VICE PRESIDENT, INVESTMENTS

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SAMHI

Moderator:

Rajat Mehra: SAMHI Hotels Limited

August 05, 2024

Ladies and gentlemen, good day and welcome to the SAMHI Hotels Limited Q1 FY25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant line will be on listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO of SAMHI Hotels Ltd.

Thank you and over to you, sir.

Good morning, ladies and gentlemen. Welcome to SAMHI Hotels' Earnings Call for the quarter ending June 30, 2024. I have with me my senior colleagues, Gyana Das, who is the VP and Head of Investments, Rajat, who is Chief Financial Officer and Nakul Manaktala, who is the VP of Investments.

We also have on call our investor relations advisors, strategic growth advisors. We have uploaded our Q1 FY25 financials and presentation on the exchanges and I hope everybody had an opportunity to go through the same. To begin with, I will request Rajat to give us a summary of the financial performance after which I will give you a small brief on business and then open the floor for Q&A. Rajat, over to you.

Thank you, Ashish and good morning, everyone. It gives me immense pleasure to announce SAMHI's financial performance for the quarter ending June 30, 2024. Our asst income, which captures the revenue generated from our hotels, stood at INR251 crores, registering a year-on-

year growth of 31% as compared to the same quarter last year.

This is driven by good same-store growth and the addition of ACIC portfolio. Same-store assets saw a strong RevPAR growth of 13% year-on-year. This helped us maintain 7% total revenue growth even after a muted quarter of F&B, especially MICE.

Our asset EBITDA, which captures hotel-level profitability, stood at INR25 crores (erroneously spoke INR25 crores instead of INR20 crores), registering a year-on-year growth of 32% as compared to same quarter last year. Asset EBITDA margin stood at 37.7%, being diluted by the impact of ACIC portfolio, which stood at 35% for the quarter.

With ACIC portfolio conversion

to managed hotel under Marriott, coupled with the integration benefits with our existing Marriott portfolio, we should see material margin improvement over the coming quarters.

We have seen material reduction in net corporate G&A and ESOP expenses at INR1.2 crores and INR4.4 crores respectively. On the basis of this, I am happy to report that our reported consolidated EBITDA stood at INR5 crores, registering an 88% year-on-year growth as compared to same quarter last year. Consolidated margin, too, has reached 34.6%, with material headroom for further growth. Depreciation expense and finance cost has been stable at INR30 crores and INR56 crores respectively, leading to a reported PAT of INR4 crores.

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SAMHI

Ashish Jakhanwala:

Rajat Mehra:

Ashish Jakhanwal: SAMHI Hotels Limited

August 05, 2024

Given that Q1 is seasonally the weakest quarter of the financial year, we should see material growth impact over the coming quarters. From a capital structure perspective, our net debt as on June 30, 2024, stood at about INR1,860 crores, with a cost of debt of 9.7%. With continued growth in our EBITDA on the same store basis coupled with incremental EBITDA from our growth project, we believe our balance sheet would continue to remain strong. I am happy to report that ICRA has updated our credit rating to A- stable, which is a testament to the steps we have taken to improve our capital structure and P&L. With that, I shall now request Ashish to take us through the market and business updates.

Thank you. Rajat. There was just one slip of tongue the asset EBITDA was INR20 crores which was erroneously I think it was slip of tongue to INR25.

So sorry.

Thank you. Rajat. I think we remain fairly confident and excited about both near-term and long-term, and that stems from several factors, both external macro and internal. On the external front, I think we are fairly upbeat about how our core markets continue to grow. Rapid expansion of commercial office space and aviation market in India will continue to boost demand for business travel and associated lodging services.

We believe that the headroom for growth in our core market remains to be long-term and very promising. Our portfolio is well located to take advantage of this macro trend. This reflects in delivering strong same-store revenue growth.

In the last reported quarter, our same-store assets, which excludes the recently acquired ACIC portfolio and the Caspia Pro in Greater Noida, which is under renovation, delivered a 13% RevPAR growth in Q1 FY25, driven by robust demand as demonstrated in the office space net absorption and aviation growth in our core markets. Our four core markets of Bangalore, Hyderabad, Delhi, NCR and Pune captured 67% of the 9 million square feet of office absorption delivered in Q1 FY25. We probably will discuss this in Q&A, but these were the four markets that also delivered very strong RevPAR growth year-on-year for the first quarter.

On the aviation front, passenger growth trends continued with 72 million air passengers in the quarter, with all major cities growing in high single-digit growth. We, however, saw a weaker quarter with respect to MICE business, its consequential impact on F&B, and overall revenue growth, which was lower than the actual RevPAR growth. However, with elections out of the way, we expect this to be fully recovered in coming quarters.

EBITDA margins for the same-store assets expanded by 80 basis points year-on-year to 40%, in what is seasonally the weakest quarter and should improve over the next few quarters. With better realization from food and beverage, higher overall revenue and strong flow-throughs to EBITDA, we believe that we have significant room for EBITDA expansion on the same-store basis. We are also quite excited about the ongoing and planned renovation and or rebranding opportunities within our existing portfolio,

which is and has been core to our strategy.

'We have demonstrated track record in successfully re-rating the performance levels of our assets through our products and brand-level interventions. We are currently renovating our 137-room

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Caspia Pro in Greater Noida and rebranding it to Holiday Inn Express, which is scheduled to open in October this year. Greater Noida tends to be a very strong market in H2, and this hotel will be open to benefit for that period.

We've also signed the agreement with Marriott to renovate and rebrand the two ACIC portfolio assets in Pune and in Jaipur, totalling 330 rooms. These will be converted into Courtyard by Marriott in Pune and a Tribute Portfolio Hotel by Marriott in Jaipur. This will move the assets from where we classify them currently, which is upper mid-scale, to an upscale segment, and therefore materially re-rate average rate profile and a bit of potential of these assets.

Additional renovation plans to upgrade rooms and facilities in Hyatt Regency Pune, Sheraton, Hyderabad, Fairfield by Marriott Hyderabad, and Four Points Vizag will further drive incremental revenue growth from these hotels. And of course, we have signed a management contract with Marriott to convert the ACIC portfolio, even the other four which are not being rebranded, to managed hotels from the current franchise. This, coupled with integration of the assets with our existing network of Marriott hotels, shall create operating efficiencies and enhance margins across our upper mid-scale portfolio.

Finally comes our growth through inventory expansion. We have set a target of delivering about 10% to 15% inventory cater over the years. As of now, we are scheduled to open 163 new rooms in Calcutta and Bangalore between September and November of this year under the Holiday Inn Express brand.

Addition of 22 apartments in Hyatt Regency Pune will commence soon as planned. We are also very happy to inform you that we have identified the opportunity to add 54 rooms at Sheraton Hyderabad by converting some underutilized F&B and third-party leased office spaces. As you know, Hyderabad is a very strong performing market, and being able to add 54 rooms is highly accretive.

Seeing strong performance of the hotel in Sriperumbudur, which is Fairfield by Marriott, we are starting to plan the addition of 80 rooms there, and we expect that the total incremental revenue from the additions that I have just spoken about will be in the zip code of about 70 crores if we take FY '24 RevPARs. So, all of these growth opportunities are internal to the portfolio. Most of them are underway and completely in our control.

In addition to these internal growth opportunities, we also have a very highly visible and actionable pipeline of both acquisition turnarounds and long-term variable leases. These have the potential to add at least 25% EBITDA on FY '24 pro forma basis. They will continue to remain highly capital efficient and in the core markets that we operate in.

We'll keep you updated as we make progress on this. The combination of all the above, which is same-store growth, renovation, rebranding opportunities within our existing portfolio, inventory addition in our core markets within our existing portfolio, and then last but not the least, addition of new inventory, continue to drive a sustainable compounding of revenues in EBITDA and create a significant value for our stakeholders.

'With this, I shall open the floor for Q&A. Thank you.

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SAMHI

Moderator:

Karan Khanna:

Ashish Jakhanwala:

Karan Khanna: SAMHI Hotels Limited

August 05, 2024

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Hi, Ashish, Rajat and team. Thanks. Just a couple of questions from my side. Firstly, if we talk about the ACIC portfolio,

io, where your asset EBITDA margins versus the rest of the portfolio

asset EBITDA margins. The gap has reduced from about 770 bps to 320 bps this quarter. When do you expect this to converge? And as a follow-up, what kind of EBITDA accretion do you expect because of all the renovation and rebranding activities that you're taking up in FY 125+ FY '26 from the ongoing project?

So, Karan, on ACIC, you're absolutely right. We have moved the margins materially from where we had acquired them. We expect that by the end of the fiscal year, which is in quarter three and quarter four of the current fiscal year, you will see the EBITDA margins of ACIC converge with that of our same store portfolio, which is in the range of about 40%.

That's the first part of your question. The second in terms of incremental potential from — so there are really two buckets, Karan. One is the renovation and rebranding and the second actually is the addition of inventory. So from renovation and rebranding, which is currently in the near

term is really the Caspia Pro into Holiday Inn Express, and in the long term is the two Jaipur assets. In the Greater Noida, actually, if you ask me, while we call it renovation and rebranding, the contribution of that hotel to our EBITDA over the last six months has been almost not zero. So Greater Noida rebranding and reopening in October will almost be tantamounting to adding new inventory and will bring the full EBITDA potential to our books.

The renovation of Pune and Jaipur — so Pune starts around January 2025, the renovation. We expect the renovation — and we're not shutting the hotel for renovation. So we'll continue to take benefit of the income coming from the hotel during the course of the renovation. But we expect the renovation to be completed over the course of the next three or four quarters. And subsequent to that, as we have disclosed in our presentation, we're at least expecting a 15% jump in RevPAR, just based on the FY 24 numbers.

So if you see, we're expecting approximately — and Karan, if you just take a ballpark, that would rerate the EBITDA by almost INR10 crores from the current — so FY 24 was about INR17 crores, INR17.5 crores. We expect that number to be in INR25 crores to INR27 crores. If you don't take any rate growth in that market, just take the RevPAR corrections. Jaipur is a slightly longer project.

We are starting to plan Jaipur today, so I would expect that Jaipur will take additional quarter or 50 to get delivered. But the upside in Jaipur is almost to the extent of 50%, because this asset currently in that market is quite underperforming. So we think these three — Greater Noida will be a complete new addition, even though it's a rebranding. And Pune and Jaipur have a significant EBITDA upside between those two assets.

Sure. This is helpful Ashish. Second question, while you spoke about potential acquisitions and opportunities to do variable leases, in the past we've also spoken about asset recycling. So any update there? Any discussions with potential buyers that you would like to share on that front?

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SAMHI

Ashish Jakhanwal:

Karan Khanna:

Ashish Jakhanwala:

Moderator:

Natraj Shankar:

Ashish Jakhanwala: SAMHI Hotels Limited

August 05, 2024

Yes, so that is something that we, as you know, as a large owner of multiple assets, we will constantly look at recycling a capital to make sure it deployed at places where we think it's got the best returns. We are discussing potential recycling of at least three of our assets. But as I've always mentioned, that secondary market in India tends to be slightly shallow and time-consuming. So we'll not be able to make any promises. But yes, we are making progress on at least three assets in terms of asset recycling.

Sure. And lastly, on Caspia, New Delhi, and Four Points by Sheraton Vishakhapatnam, any update on the rebranding of the same and the brand? And when do you expect that to operate

nalize?

So, Caspia, Delhi, current, we already have a contract signed with Marriott for a Fairfield by Marriott. We have not yet started the work on this asset. This is one of the assets that we would consider, you know, to be part of our asset recycling strategy. And that's why we've held it for renovation. Vizag, is an asset where there is no rebranding. It's just improvement in the guest rooms. We have completed the planning exercise. I think by the end of the year, we'll have the markers completed. And then we'll start the work on that hotel.

Thank you. The next question is from the line of Natraj Shankar from DSP Mutual Funds. Please go ahead.

Hi. Thanks for the opportunity. I have two questions. One has two subparts. The credit rating upgrade that you got recently, what is the benefit that you expect from interest cost point of view? That's one. And related to that is the current debt that you have and the maturity profile of it. Would you require any funding? How do you plan that?

That's the first part of the question. And the second is, if you take Hyderabad, Pune and Delhi as a market, while there is every reason to be optimistic on the tourism in general. How do you think about supply across tiers, both in the low, mid and the upscale over the next two to three years? This is most likely the longest question in terms of supply. Could you just — these two will be very helpful. Thanks.

Yes. So I think — and I'll ask Rajat to chip in. But our interest rates, as you would notice, have been constantly falling, coming down. At this point, they're about 9.7%, both with improvement in the cash flows, overall market sentiment. And of course, that's reflected in the credit rating.

'We think this will come up 9.5% in the near term. That's really not a lot of effort on our side. It's just weighted average in fact, we still have some high-cost debt, which we are waiting for the

lock-ins to get to expire, subsequent to which we'll be able to refinance them. So that will come down to sub 9.5%.

Two, we really don't have other than one NCD which is maturing in 2027, Jan 2027 and which we are fairly confident of refinancing prior to that. Other than that, we really don't have maturities. All of our debt is long-term. The total repayments due over the next 12 months is about INR50-odd crores, - INR50 crores, INR55 crores. So as far as repayments are concerned we have a very strong profile of repayments over the course of the next 10 to 12 years. Only the maturity due is in Jan 2027 which gives us adequate time to refinance that. So that's part one.

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SAMHI

Natraj Shankar:

Rajat Mehra:

Ashish Jakhanwala:

Natraj Shankar:

Ashish Jakhanwala:

Natraj Shankar:

Ashish Jakhanwala: SAMHI Hotels Limited

August 05, 2024

Part two in terms of supply demand and supply. Actually the three markets that you mentioned, Natraj which is Hyderabad, Pune, and Delhi are the three markets which perhaps we're seeing amongst the large peers, the lowest supply growth. Pune is almost negligible circa 1%, 1.5% CAGR if at all. Hyderabad is in the IP code of maybe 3%, 3.5% supply growth. A lot of it is actually delayed and not expected to come online anytime soon and Delhi tends to be very micro-market driven.

So you will see supply coming in Acropolis, but Gurgaon which is where our assets are mostly and especially the mature parts of Gurgaon are seeing almost negligible new supply come in. So as we've constantly mentioned that we're seeing very solid demand growth. I mean, Natraj, let's go back to the fact that just one quarter we saw 9 million square feet of office space getting absorbed and 72 million passengers flying through Indian airports.

That's sort of a size for demand compared to a supply growth of 3%, 4%, 5% will ensure that the operating performance for hotels remains very stable and we get an opportunity to therefore yield it to our advantage over the course of the next few years. I'll take a

pause, allow you to

have any follow-on question if you have on this.

Great. This is very helpful. And could you also touch on the Bombay, the New Bombay side one part of supply-demand, Mumbai and New Bombay and when you said you have some high-cost debt out of the 2,200 approximate sum what would be the high-cost number of debt and what is the percentage made on that, if you could? That would be helpful?

So the current debt that we have which is high-cost is actually there is one loan that we have about, the NCD that we talked about INR380 crores and then there is a small loan that we have from another institution about INR60 crores. The ROI that we're paying is blended in the range of about 11%, 11.5% on both these put together and as Ashish said we're fairly confident of actually getting these refinanced in the near future.

So about INR440 crores of the INR2,100 crores to 150 gross debt is we are holding at about 11%, 11.5% while the overall average is 9.7. So that actually gives you a direction of where our cost of debt actually is. As we refinance these two we are fairly confident of bringing down the average cost of 9.5% on current rate, interest rates level.

Okay. That's helpful. On Mumbai and New Bombay?

So New Bombay, you're asking about supply?

Yes correct more on the supply side as opposed to demand side?

So New Bombay is seeing some construction activity if this market has done exceedingly well, but we will admit the fact that it's a relatively new market. It is getting a lot of supply interest, but Natraj we need to also understand that the opening of the newest Mumbai airport I think the size of the demand that will get generated in that market will be far in excess of what the supply can cater to as of today.

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SAMHI

Natraj Shankar:

Ashish Jakhanwal:

Natraj Shankar:

Moderator:

Jinesh Joshi:

Ashish Jakhanwala:

Jinesh Joshi:

Ashish Jakhanwala: SAMHI Hotels Limited

August 05, 2024

So as of today we expect about 1,300 rooms as the stated supply in that market. Existing supply is 1,300. We think if everything gets added by end of FY28-29 we expect this to go to about 3,000 rooms so that's doubling almost doubling of supply, but if you look at it from an absolute perspective 3,000 rooms catering to New Mumbai airport and whatever is happening in New Mumbai that's just about Aerocity.

So when Aerocity was created in Delhi, it actually was talking about adding probably slightly more than these rooms and nothing really happened to either Delhi or Aerocity. So we do believe Navi Mumbai will remain to be a very healthy market. Mumbai in general will continue to be a strong market, not that we have any operating asset in that market. So we cannot profess to be experts there, but as we track that market we remain fairly upbeat about that market.

And just a quick follow-up if I may. The 1,300 rooms that you're talking about is relevant to the mid-scale, up-scale?

All branded.

Okay. Thank you so much. Appreciate it. All the best.

Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Yes. Thanks for the opportunity. Sir, I just needed one small clarification. Our current room inventory is about 4,300 rooms and we plan to add about 327 rooms which would result in an inventory growth of about 7% odd. But in the PPT we have mentioned that our guidance is about 10% to 15%. So if you can please help me bridge the gap here?

Yes. Thank you, Jinesh. So you are absolutely right. When we are guiding towards 10% to 15% inventory CAGR over the years, that would include both what we are delivering through our internal growth projects, but also the identified pipeline of opportunities that we will expect to close over the next few quarters. So put together we are fairly confident of delivering 10% to 15% inventory CAGR.

Can you highlight something about the pipeline of opportunities which you have with you currently? An

thing which you would want to quantify or any deadline or timeline which you would want to share?

Yes. So I think as I said we have an active pipeline of at least three opportunities that we are tracking. Even if we are able to achieve a 30% success rate on that we believe that we should be able to deliver what we have stated almost a 25% incremental EBITDA over what we have delivered in FY24.

And when we give these numbers we tend to completely ignore any inflation effect or benefit. So we just pick FY24 revenues and FY 24 RevPAR and kind of multiply that with the inventory we expect to add. So we have a very actionable pipeline. Unfortunately, giving more details without us achieving closing will be inappropriate.

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SAMHI

Jinesh Joshi:

Ashish Jakhanwala:

Jinesh Joshi:

Rajat Mehra:

Jinesh Joshi:

Rajat Mehra: SAMHI Hotels Limited

August 05, 2024

But as I said we remain confident that within the current fiscal year we will be able to lock in growth opportunities which will reflect both a combined 10% to 15% inventory CAGR, but actually more important an ability to add 25% to our EBITDA in the coming years over FY24 numbers. And just to add to that Jinesh sorry just to add to that we would like to confirm, however, that these opportunities remain steadfast in our core markets.

So I think what's important is to follow discipline while we're wanting to grow. So A, these opportunities are a blend of what we call acquisition and turnarounds and long leases which means our capex per key tends to be way lower than replacement costs. And two they remain to be in our core markets, core office markets where we continue to see both good demand growth and also good RevPAR growth for our hotels year-on-year.

Sure sir. One last question from my side. So our same store RevPAR growth was about 13% in this quarter and the other two peers that have reported so far their same store RevPAR growth was about 3% to 4%, So any specific reason beyond the high office absorption example which you highlighted that has led to a double-digit growth in a slightly weaker quarter, so to say?

So, Jinesh it will always be a factor of the markets I mean we've been saying this repeatedly and I know we tend to focus too much on segments. We believe that cities sometimes tend to be more important than segments. If you look at the RevPAR growth by cities we've seen Bangalore

grow almost at about 17% year-on-year. No surprises. Largest office market in terms of net absorption.

The second highest growth rate was both in Hyderabad and Pune in the zip code of about 16% each, again driven by the growth of the office markets. NCR was at about 10%. And if you look at our portfolio spread, Jinesh, right, almost 70% of our revenues come from Bangalore, Hyderabad, Pune. And if add NCR, about 80%. So when you have, you know, your presence in markets which continue to have good growth in terms of office space, the weighted impact reflects in the overall portfolio, right?

Two, we will also clarify that we don't operate in leisure markets, right? And therefore, we tend to probably over the years deliver more stable growth rates, because leisure markets are the markets which tend to have higher fluctuations between seasons. Business hotels also have seasonality, but not to the extent that you will see in leisure markets.

Got that. Sir, one small clarification required, given the fact that we are doing some bit of renovation and rebranding. So how is the renovation capex accounted? I mean, is it capitalized, or does it flow through your P&L as repairs and maintenance?

The majority of these repairs and renovations that we are doing are actually getting capitalized other than very small work which is being done as a maintenance capex in our existing hotels. So wherever there is a rebranding which is happening or maybe additions of the inventory, all of that amount is getting capitalized and will be part of our fixed assets.

ed assets.

Got it. Thank you so much and all the best.

Thank you so much.

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SAMHI

Moderator:

Nirvana Laha:

Ashish Jakhanwala:

Nirvana Laha:

Ashish Jakhanwala:

Nirvana Laha: SAMHI Hotels Limited

August 05, 2024

Thank you. The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Hi, thanks so much for the opportunity and congrats on a great quarter. So Ashish, one clarification. You said 25% EBITDA growth on FY'24 base. So is that a CAGR or is that like a one-time growth?

One-time. So our pro forma asset EBITDA for FY'24 was about INR400 crores, just INR1 crore short of INR400 crores. When we gave a guidance of 25%, which means we're talking about almost INR100 crores EBITDA being added from incremental pipeline that we have visibility of

This is over what timeline?

So it will vary. We believe that this incremental EBITDA growth will start coming in FY'26, but very small stub. FY'27 onwards, you start seeing this EBITDA growth coming into our P&L. Most of our opportunities, actually all of our opportunities are acquisition or existing assets or near-ready assets, right, Nirvana. So we don't see any lag between capex and revenue in EBITDA, other than maybe two or three quarters during which you either complete or renovate the assets. So we have picked up the FY'24 RevPARs, a basis which if we add this inventory, it will add additional INR90 crores of EBITDA from starting FY'27. There could be a small stub in FY'26, but honestly, it's more to take it from FY'27 onwards.

Got it, Ashish. And in terms of the acquisition, given that we are still carrying substantial debt, so is there any thought right now at this juncture for the company to go for more of an asset light model for some time?

So, Nirvana, I think there are three parts to this answer. Number one is we continue to see very strong growth in our EBITDA, if you see, on a year-on-year basis. And by the end of the current fiscal year, we are fairly confident to generate incremental INR225 crores to INR250 crores of free cash.

This is over and above the existing free cash of about INR300 crores that we hold in our books. And then, of course, you have FY'26 coming beyond that, right? So, we are building a very strong liquidity position from the current business, which is doing, obviously, you know, we're very satisfied with what it's delivering to us.

Obviously, part of this will be used towards continuous deleveraging, or it will reflect in our net debt because of the cash we hold, either two ways, right? The third is something that Karan kind of asked upfront about asset recycling. So we believe that some bit of asset recycling will be done, as I fully admitted that asset recycling needs a counterparty, and therefore, we are kind of averse to making any firm promises.

But it is a stated strategy, and we will deliver on that for sure over a period of time. So, part of it will be funded through asset recycling. And last but not the least, I will pick on your one word that you used, asset light. Because we believe in ownership of the P&L, given the operating leverage we are seeing in the market.

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Ashish Jakhanwala:

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We actually use a word called capital efficient, which is delivered through our variable long-term leases, where we actually don't end up paying for land and building, and we only pay for fitting out the building and very quickly start adding that EBITDA to our overall portfolio. So, I think we have a good balance of both stability, safety net, and also growth. And combining all of these factors together, Nirvana, we feel fairly confident that we will be able to achieve it. Thanks. Just one last question. So, if you can tell the OCF we generated for this quarter, and your thoughts on

it of your peers, exact peers actually recently did a capital raise and managed to completely deleverage their balance sheet. So, I understand that from an investing point of view, it seems like there's a lot of value in the stock currently, so I'm not suggesting right now. But as part of the roadmap going forward in the next two to three years, as management, do you think that's a possibility we would like to consider in terms of raising equity capital, maybe just to clean up the balance sheet? Because in the past, we have faced, during COVID, etcetera, a lot of issues due to debt. So, just these two questions. Thank you so much.

Nirvana, we are a professionally managed company, which itself should assure everyone that we are here to serve the interest of the broader shareholders. And at any given point of time, if that requires us to take an action, we will not hesitate to do that. If that includes raising capital, so be it. But I will reiterate that as of right now, we have a very strong liquidity. We are seeing very good cash being generated by the business. Our growth is a lot internal, which is very capital efficient, because most of the capital has already been invested and being carried in form of our current capital employed.

So, I think we are very, very confident where we are today. But I will obviously assure you, not that it is needed, that being a professionally managed company, the Board will kind of consider what's the best path for the company in due course of time. One thing we don't do, Nirvana, which I'd like to highlight, is we are a high growth business, which is evident from our revenue and EBITDA growth, not just year-on-year, but for the last five years.

But what we've not been doing, and perhaps we'll start doing, is separating the capital allocated towards growth, because unfortunately, all of that gets clubbed into a single EBITDA line. We've not been doing so far, but I hear a lot of comments that we get. We will start allocating capital towards growth, which will bring near-term EBITDA. So, investors have a very clear visibility of how we foresee the balance sheet growing in future.

The operating cash flow number, Ashish, if you can give that?

So, I tell you, we had about INR34 crores of operating free cash in the quarter one.

Okay. This is after pay down of some debt, or is this the operating cash flow?

No, this is operating cash. This is EBITDA minus interest. We didn't have significant debt repayment in the current quarter. So, really that is being redirected towards mostly our current - in this quarter, it went towards capex, which was to open the hotels that we have to open in the next quarter or so.

Okay. Thank you for that. Wish you all the best

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Ashish Jakhanwal:

Moderator:

Pranav Shimal:

Ashish Jakhanwala:

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Pranav Shimal:

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Thank you.

The next question is from the line of Pranav Shrimal from PINC Wealth Advisory. Please go ahead.

Yes. Good morning, sir. Congrats on the great results. Most of my questions have been answered. Just one last question, sir. In the coming three quarters, where do we see the demand coming from? In which cities do we see the maximum demand coming from?

Pranav, you stumped me with this question because the answer is going to be very long, but I'll try and keep it short. So, the quarter 3 and quarter 4 have always ended up being very strong quarters. A combination of increased business travel, great season for MICE and social events. So we expect quarter 3 and quarter 4 in line with the previous years to remain very strong and robust.

I think the demand continues to come from a very active expansion of economic activities across the key large cities, which is then reflected in increasing net absorption of office space, more travellers taking to airfares in India. If I'm

not wrong, 72 million passengers would have been the highest ever. So we are finally beating the pre-pandemic level of passenger movements. And anybody who takes a flight, a percentage of those people end up staying in hotels. So I think we remain fairly upbeat.

We also think that a lot of large events which got deferred in quarter one and we definitely saw some deferments when we compare it to the same period last year elections and also often people ask us what happens in elections that people don't do events. It's actually the fact that liquor ban applies a day before and after. And just general concerns around people movement. So we've seen some deferments so that we believe some of that MICE events will start to then spread over quarter two, three, four.

Business travel will become strong. We are seeing good pickup in weekend occupancies, which is driven by an increase in what we call urban leisure means people traveling from one city to the other city for sporting events, rock concerts, general seeing the country. So I think all of these will kick in to give us a good subsequent quarters and actually a few years, if not more than that.

Perfect. And one last, I might have missed. What was your capex number this year?

Our capex number this year. So this year, the total growth capex we are expecting is about INR138 crores.

Yes. INR138 crores. So this includes the renovation rebranding?

Yes.

So that will get added to the asset or does this add to the P&L?

No. This is capex. This is capex. So this is capex in the 302 rooms that open between October and November. This includes the addition of rooms in Hyatt Regency, Pune. This includes

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conversion of the ACIC franchise to manage. So this includes all of these activities, which, as I said will be hugely beneficial and all are going to be part of our assets.

Perfect, sir. Thank you so much.

Pranav, just to clarify, we already incurred a significant amount of maintenance expenditure but that's already a part of a P&L before we reported a beta. So that's separate. This we are talking about being the capital being deployed to either rebrand, add inventory or a material renovation in hotels not maintenance. Thank you.

Thank you. The next question is from the line of Pavas from Aditya Birla Mutual Funds. Please go ahead.

Hey, Ashish, could you touch upon how the last few days have been in terms of say, occupancy and ARR for, say, July and August? And if I deep dive into your performance, you have a better performance than peers but a lot of it is driven by occupancy rather than ARR. So how is that shaping and how much further you can push the envelope on this particular front?

If left to me, I would have definitely talked about July because it definitely looks better than quarter one, but I think the best thing is to hold off for the entire quarter. We've seen good recovery in revenue growth in the last few days, which is almost a month now. So that's part one. And that's not a surprise because we actually did a deep dive of quarter one and we realized that RevPAR was good as expected.

And when you look at occupancy and rate, Pavas, a lot of time actually, when you look at the portfolio level it depends on which asset kicked in, which asset went contributed. So sometimes your average rates for the portfolio or a segment will start to move. But generally, we've seen both rates and occupancies hold pretty good. We wanted to be sure that our statement that MICE led to the F&B revenue being muted.

We have done a deep dive, and we have realized that it was MICE event, which did not happen this year related to last year, which has led to a slightly muted F&B performance. Otherwise, I believe our revenue growth on same sort would have been closer to 11%, 12% and not 7%, 8% really. And which

is what we will expect to see in the coming quarters in terms. That was your first question.

Second question going forward, I think the occupancy levels remain to be pretty stable. There will always be some sort of asset level decision to play between occupancy and rate. But we do continue to believe that you will see. And I think we've said it a few times. Our view is that high single digit to early double digit is RevPAR the growth that the market can deliver on a sustainable basis over next several quarters, actually.

Now, quarter-on-quarter, you'll see variations and there's a holiday when there is some global political or national level event. But we believe we are very well set to deliver high single digit to early double digit in terms of total revenue growth. We had 7% same sort in quarter 1 RevPAR was 13%. As we fixed F&B, we would have gone to about 11.5%, which is where we would like to see the rest of the quarter.

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Okay. And could you give some more colour on the segments like upper upscale, mid-scale, upscale, how they are trended in last few days?

Yes. So I think the growth is across segments. But, Pavas, I will reiterate. We have always, when we have been digging deep into the performance levels, we've always seen as a factor of the market and not of the segment. I'll reiterate several times because I want to give the right point of view to our investors. So in the current quarter, we are seeing really very satisfactory growth year-on-year across all markets minus Goa, which remains to be flatish. It's not the best time for Goa and the rains have been torrential this time. But other than that, most markets have remained pretty strong in terms of year-on-year growth ahead of where quarter 1 was, and across segments.

Okay. But anything particular about any of the segments which is kind of different from the rest of the pack?

No, not really. What we are seeing is that our hotels across segments, for instance in Hyderabad are doing really well, in Bangalore, they're doing extremely well. But in some of these smaller markets we tend to see the growth rates being slightly muted. I will see my Fairfield by Marriott in Hyderabad doing really, really well. But that's in line with how Sheraton is doing and how Holiday Inn Express is doing that. So across three segments, we are seeing performance of that city remain fairly robust.

'We are seeing good performance in Bangalore even though Bangalore has always been on a high base. But we need to remind people that in Bangalore different micro markets were behaving differently. So we've started seeing other micro markets like Whitefield, where a lot of supply came in the last three years has started to stabilize and show some growth, which is also reflected in the peer reporting. We are seeing Delhi remain very stable and growing well. So I think segments, we cannot really identify a trend that separates one segment from the other. We clearly can find trends between one city or the other city:

Okay, great. And earlier also in your communication you have highlighted quite often that tier 2 and tier 3 cities are not kind of seeing the same buoyancy as the rest of the tier one city.

Anything changing now? Is it finally kind of going down the curve or still tier 2, tier 3 are not in that upstream?

So see, I'll tell you. So I'll tell you RevPAR growth for quarter 1 compared to same quarter last year. Bangalore 17, Hyderabad 16, NCR 10, Pune 16, Chennai 3, Ahmedabad 10, others 4. So the data tells us that key cities have done well Chennai has been a bit of a laggard. Within Chennai, actually, we have assets in Sriperumbudur and in the city.

And Sriperumbudur continues to outperform and how? To the extent that we are intending to add 80 more rooms in that hotel. But this is the actual data of our portfolio for the last quarter.

ter.

So you can clearly see the big cities are showing RevPAR growth, which are pretty robust. I

think small cities are good. But the question is your ability to forecast them with accuracy for the next 3 years to 4 years, quarter-on-quarter.

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Pavas:

Moderator:

Kaustubh Pawaskar

Moderator:

Kaustubh Pawaskar:

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Moderator:

Kaustubh Pawaskar:

Ashish Jakhanwala:

Kaustubh Pawaskar

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That tends to be slightly challenged because of the low inventory base that they have. Bangalore, Hyderabad, Pune, Delhi, Bombay have such large inventory today and solid performance that our ability to forecast those markets tend to be slightly more, I would say, assuring than our ability to do the same for smaller markets. It does not mean those markets are not good or strong. It just means that the margin of safety is much higher in the big cities for us. I can only speak for SAMHI.

Sure, that helps. Thanks. That's all from my side.

Thank you. The next question is from the line of Kaustubh Pawaskar from Sharckhan by BNP Paribas. Please go ahead.

I just need one clarification on slide number 17.

Sorry to interrupt you, sir. May I request you to please use your handset?

One second.

Yes. Kaustubh, you're talking about the presentation.

Yes, hello. Is it better now?

Yes, sir.

Yes. Just a clarification on slide number 17. You have mentioned that you are planning to add 302 rooms and the revenue potential from these rooms is around INR25 crores to INR30 crores. In your initial comment, you mentioned about some INR50 crores of revenue potential. I just want to understand those figures in a better term?

Yes. You're absolutely right. INR25 crores to INR30 crores come from the assets that are listed on that slide. And then in addition to that, you mentioned the timeline. Yes. Slide number 16. So, the 25 to 30 only captures the box that is ready to open in the next, I would say, 2 months to 3 months. The INR50 crores number includes addition of rooms to Hyatt Agency Pune, incremental rooms in Stiperumbudur, which you would be mentioned there also, and the incremental rooms in Sheraton Hyderabad, which we have identified recently, and we will give more details for that in the next quarter.

Just also from the renovation point of view. So, are there any other properties which you are, going ahead looking forward to renovate? Because I think that is, this is kind of a strategy for you to, get upgradation in terms of, revenues or in terms of RevPAR. So, going ahead, maybe, in 26,27, are there any, specific properties you are looking for renovation?

So, we have given the list of almost all the properties we are intending. And I think this slide captures a lot. So, if you see, three are already almost in the final stages of being completed. The work has started in Hyatt Agency Pune. It is a large asset. It is an upscale asset in a key market. So, the total revenue per key added is much higher, honestly. Then, we have just disclosed, I think, a month back to the market about assigning management contract for conversion of Pune

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and Jaipur assets to a higher category. We believe the EBITDA from those assets will grow 40% to 50% from what it was FY24.

Basis the renovation and rebranding without considering the impact of market growth, right?

The Hyatt Agency Pune, we are undertaking some renovations alongside the addition of the rooms, which will include it getting a new restaurant, also a variation of the ballroom where we expect to improve a market share for the social event. Similarly, in Sheraton, Hyderabad, we are improving the ballroom space for a better market share of the social event. So, there is a fair bit of work that we are unde

rtaking. I had kind of tried summarizing that just the inventory addition will lead to about INR75 crores to INR50 crores of incremental revenue. 'We have not factored in that the impact of the renovation and rebranding of the hotels that we are undertaking. So, that's an incremental impact. That was my point. Because I guess renovation rebranding will add on to whatever the revenue, we'll be getting from the room addition?

That's right. Absolutely. We have given a RevPAR guidance on where post-renovation and rebranding of the two ACIC Hotels we expect the RevPAR to be. But we have not really factored that in when we tell you about INR70 crores to INR50 crores of incremental revenue. That, to clarify, is only from incremental inventory being added in our existing portfolio without any acquisition to be made from third parties.

Thanks for the understanding. And all the best for you.

Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Ashish Jhakanwala, MD and CEO of SAMHI Hotels, for closing comments.

So, we'd like to thank everyone for taking out time today. And we did enjoy the line of questions. In summary, we remain very, very happy and pleased with what we've delivered over the last, I would say, almost 4 reported quarters post going public. We believe that this is just a warm-up as far as the portfolio is concerned. The integration of ACIC portfolio is going exactly as planned.

The renovation and rebranding of the new inventory is going exactly as planned. Core to what we do, we have identified more opportunities within our existing portfolio without looking outwards. And as we try and fortify the external growth opportunities, we believe that we will set SAMHI for success, not just in the near term, but also in the long term. So, we look forward to continuing to engage with all of you. Thank you for your time. Thank you so much, everybody.

On behalf of SAMHI Hotels Limited, we conclude this conference. Thank you for joining us. And you may now disconnect your lines.

## Call: Nov 2024

SIMART HOTEL INVESTMENTS —  
SAMHI Hotels Ltd.

Correspondence SAMHI Ltd

Tel: +91 124 4910100 Fax 44910199 www.sambi.coin 14<sup>TM</sup> October 2024

BSE Limited National Stock Exchange of India

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Dalal Street, Mumbai 400 001 Bandra Kurla Complex,

Maharashtra, India Bandra (East)

Mumbai — 400 051

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcript of Business Update Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Business Update Call held on Monday, 07%

October 2024 at 11:45 a.m. (IST) to discuss the Acquisition of Innmar Tourism and

Hotels Private Limited ("ITHPL").

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: 4s above

SAMHI —SALART HOTEL INVESTMENTS==

SAMHI Hotels Limited

Business Update Conference Call

October 07, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7% October 2024 will prevail.

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SAMH KT HOTEL INVESTMENTS =

MANAGEMENT:

MR. ASHISH JAKHANWALA — CHAIRMAN, MD & CEO

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANADAS—EVP, HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VICE PRESIDENT, INVESTMENTS

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Moderator:

Ashish Jakhanwala:

Moderator: SAMHI Hotels Limited

October 07, 2024

Ladies and gentlemen, good day and welcome to the SAMHI Hotels Limited Business Update

Call. This conference call may contain forward-looking statements about the company which

are based on the beliefs, opinions and expectations of the company as on date of this call.

These statements are not the guarantees of future performance and involve risks and

uncertainties that are difficult to predict. As a reminder, all participant line will be in listen-only

mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. Participants are requested to limit their questions regarding the business update only. Any other business-related questions shall be answered during the Q2 FY'25 Earnings Call.

I now hand the conference over to Mr. Ashish Jakhanwala. Thank you and over to you, sir

Thank you so much. Good morning, everybody. This call is with respect to the acquisition that

we had announced on the Friday. I have with me on this call my colleagues, Rajat, who is the

CFO, Gyana, who is EVP, we've got Nakul and of course the team from SGA.

I'll take a one-minute summary of the transaction and then we'll leave the floor open for Q&A.

So, as on Friday, we announced the completion of execution of the Share Purchase Agreement

for 100% acquisition of Innmar Tourism and Hotels Private Limited. This company owns and

operates a 142-room hotel in the heart of Whitefield, Bangalore, which as we all know is one of

the key commercial markets in India. There is further expansion opportunity and we plan to add

a second hotel with about 200 to 220 rooms and therefore the total inventory of the complex will

20 up to 340 to 360 rooms in the upscale and the upper upscale segment.

We've always liked the demand-supply situation in the large office markets and with this

acquisition, we strengthened our market share in Bangalore, which as we know is India's largest and fastest-growing office market. We already own and operate six hotels with about 900 rooms in Bangalore across segments and with the completion of this acquisition, we'll add another 142 rooms on an immediate basis with another 200 rooms being added over a period of time. We are in advanced discussion with an international operator so that these hotels can be managed under

upper upscale and upscale brands.

We have seen strong performance of our hotels in the upper upscale and upscale segment and therefore the 340 to 360-room complex in Whitefield will significantly augment the same store growth of our existing portfolio once the renovation and the proposed expansion is completed. This will also be the second twin-hotel complex which is owned by SAMHI, the first one being the 336-room Courtyard by Marriott and Fairfield by Marriott in Outer Ring Road, Bangalore, which has been a resounding success. That's the summary of the transaction.

I now pause and open the floor for questions.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nirvana Labs from Badrinath Holdings. Please go ahead.

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Hi, Ashish. Good morning. Congratulations on the acquisition. My first question is that this new hotel appears to have been owned by the ITC group. Can you confirm that? Therefore, my question would be, normally we turn around properties which are owned by a single owner or something like that. What gives us the confidence that the property that ITC was operating, we would be able to improve the metrics?

Thank you so much for the question, Nirva. Just to clarify, the hotel was not owned by ITC. It was owned by individual investors. It was operated by ITC till 31st March 2024 under a 'management contract. We remain fairly confident about the upside and there are very specific data points which gives us that confidence.

Number one is the inherent quality of the product. We are buying something where there is a 28-square-meter room. There are four restaurants. There is over 10,000 square feet of meeting and functions space. This sort of a product configuration in the Whitefield micro-market is currently doing a RevPAR of about INR6,500. This hotel's reported RevPAR was about INR3,500.

'With the improvement in the product, putting a strong brand with good distribution in place, we are very confident that this hotel will be able to achieve a fair share in terms of RevPAR. As said earlier, it was reported to be about INR6,500. But it does entail us improving the product and also partnering with a strong brand to make sure that the distribution and the loyalty programs are strong.

Got it, Ashish. In terms of improving the product, do you already have a renovation capex figure in mind that would be needed? And second, this tie-up with the international brand. When do you envisage this hotel to start operating?

Three separate questions. Just in terms of timelines and status, the hotel actually is operating. 'We bought an operating hotel. We continue to keep it operating. The renovation of the existing hotel will start around March of 2025. It does not warrant or require a full shutdown. So, we can continue to operate the hotel while it is undergoing renovations. That's part one.

Part two is in terms of the completion timelines, we expect that renovation to be completed by quarter four of FY'26 or quarter one of FY27. Subsequently, this hotel is prepared to be completely repositioned in the upscale space.

Two, we are, as I mentioned earlier, in a fairly advanced discussion with an international operator. We have a non-binding agreement signed. I think over the next 45 days; we should be able to confirm that as we get the definitive agreements concluded.

In terms of capital expenditure on the existing 142-room hotels, we are currently estimating the total capital expenditure to be in the range of about INR 70 crores for renovation and rebranding.

Got it, Ashish. And if I may, last couple of questions on the deleveraging. So, in the last call, you had said that organic growth capex this year would be around INR140 crores, Now we have acquired this asset for around INR200 crore

es. And our interest pay-out for the year is likely to

be also around INR200 crores. So, I'm just summing up all the outflows. So that looks like in

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the range of INR50 crores. And our operating cash flows, if we go by history, should be around INR400 crores-INR420 crores. So is the net deb, therefore, this year going to increase by about INR150 crores?

No, so I'll tell you. Our gross debt was about INR 2,160 crores. We had a total cash and cash equivalent of about INR 400 crores. So that gave us a net debt of INR 1,860 crores, which is the last reported numbers. Just to clarify, the INR 150 crores investment that we had mentioned on existing improvements, innovations, rebranding is actually for over a period of about two, two and a half years. So yes, that's not for the current year.

In the current year, actually, that number is substantially lower because a significant part of that is going in the conversion of Four Points, Pune to Courtyard Pune and conversion of Four Points, Taipur into a part of the Tribute Collection Hotel, which really is deferred towards FY'26 and Taipur may go into first quarter of FY'27 also, right.

So, for the current fiscal year, we have a much lower capital expenditure as far as the existing portfolio is concerned, including the acquisition that we made on the Friday. We expect our total capex to be in the zip code of about INR 300-odd crores, about INR 290 crores to INR 300 crores, of which our cash balance was about INR 400 crores, and we expect to generate an operating cash, as you said, of about - the free cash, post-interest servicing, to be in the zip code of INR 225 crores to INR 250 crores for the full year.

So, if you take that, we will have about INR 600 crores, INR 650 crores of capital available, of which INR200 crores has been directed towards this acquisition. Additionally, INR 100 crores will be directed towards other material renovation and rebranding, and we'll still maintain a fairly reasonable level of liquidity in the business. And in terms of net debt, of course, because the cash is being used for acquisition, you will see there is no change in the gross debt, but in terms of net debt, the net debt will, in the short term, increase by the extent we use the cash, which is INR 205 crores.

Sure. And in the quarter before that, you had said that your FY'25 goal for the net debt to EBITDA was about 3.5x, which now looks extremely unlikely. So, would you like to revise that guidance?

So, I'll tell you. So, if you look at the impact of the acquisition on net debt to EBITDA without really allocating any capital towards the acquisition, it'll be - we had 4.9x end of FY'24. We would be still materially better than that. We should be in the zip code of about 4.4-odd times net debt to EBITDA if we account for the INR 205 crores we spent on the acquisition. We are, as we've discussed on the last call, we had mentioned that we're looking at certain capital recycling opportunities.

Again, we had said we can't promise them because the secondary markets in India takes time for assets to be recycled. But as we conclude that asset recycling, we expect to generate almost equivalent to the size of the acquisition that we've made, right, but much higher EBITDA.

potential from the asset that we bought than what we're trying to recycle. So, with the asset recycling concluded, we should be able to be in the zip code of, I would think about 3.6x, 3.7x,

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Moderator:

Karan Khanna:

Ashish Jakhanwala:

Karan Khanna:

Ashish Jakhanwala:

Karan Khanna:

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which is slightly higher than 3.5x. Without completion of the asset recycling, we should be in the zip code of about 4.4x.

Got it, Ashish. I'll come back in the queue. Thank you so much.

Thank you. The next question is from the li

ne of Karan Khanna from Ambit Capital. Please go ahead.

Yes, hi, thanks. Ashish, just a couple of questions. Firstly, if you can talk more about the 'Whitefield micro market where there's about 3,000 rooms currently under supply. What's the kind of supply that you're expecting in the next three to five years across mid-scale, upscale, and upper upscale?

So, Karan, Whitefield is a market, you know, it's one of the large office markets, as you know. In terms of new supply, what we are seeing in Whitefield is a significant re-rating of the market because of the rebranding. So, we are actually expecting two or three hotels to go through some rebranding. Over the current 2,900 rooms, we expect the supply CAGR to be at about 5% to 6% over the next four to five years. That's the data that we have as far as the new supply is concerned

of hotel rooms in the Whitefield market.

Sure. And just a follow-up on, while you did comment on the existing hotel, but the greenfield development, what are the kind of capex and timelines that you have in mind for that?

So, Karan, in terms of the capex on adding 220 -- right now we are estimating about 200 to 220 rooms. And basically, it's the fact that we're going to position that in the upper upscale. The capex for that will be in the zip code of about INR 270 cr

expect to start the work, I would say, same time next year because our focus is to renovate the existing hotel. Timeline, we

existing hotel. And of course, we need approval for the addition of the block. So, we expect to start the work same time next year. And I think it's safe to assume that 30 months is the cycle subsequent to that.

Sure. And lastly, if you were to think about both the renovated hotel and the Greenfield hotel that you'll be constructing, is it safe to say that the margin profile for this hotel will possibly be higher than your current margins of about 35% to 40% range?

So, we have a real good proxy here. We have a 336-room Courtyard by Marriott and Fairfield by Marriott twin hotel complex in Outer Ring Road, Bangalore. The average rate for that blended two brands is about INR 13,000. We do an EBITDA of about 70. The TTM EBITDA would be in the range of about INR 75 crores. The margins in this hotel are very, very strong. It's about 51%. The Whitefield market, we acknowledge, is a slight discount to Outer Ring Road. Outer Ring Road is a far healthier market as of today.

But with the supply situation stabilizing, the better metro connectivity that Whitefield has, by the time our hotel is fully renovated and by the time the new hotel block is added, all we're expecting is that Whitefield will start getting to the same spot as where Outer Ring Road is, in which case the margins will be pretty healthy and so would be the potential EBITDA that this hotel can create.

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And lastly, the F&B and the MICE opportunity in these hotels, will there be a better opportunity versus the existing portfolio?

Absolutely. So, we are inheriting four restaurants and about 10,000 to 12,000 square feet of existing meeting space. Of those four restaurants, actually three were shut. So, the performance of the hotel was obviously severely compromised because of that. We are obviously going to rejuvenate the entire food and beverage working alongside the operator. So, the existing hotel will end up having at least three, if not four. F&B outlets, we will keep the 10,000 to 12,000 square feet of meeting space.

And as when we add the new hotel, that itself will have at least two F&B outlets plus incremental meeting space. So, we will be able to create the right pivots for large meetings and centres, given the amount of meeting space we'll have across the two properties, and also the number of F&B offerings. So, you're absolutely right.

The proportion of food

and beverage income to the total revenue in this hotel will be in excess of what we see as an average for our upscale portfolio.

Great. Thanks, Ashish, I'll come back in the queue.

Thank you. The next question is from the line of Tarang from Old Bridge Capital. Please go ahead.

Just wanted to check a couple of things. In your presentation, you highlighted Sheraton, Vivanta, and the likes. Whereas, generally, SAMHI has been in collaboration with brands such as Fairfield and likes. Now, there is a Fairfield which is about a kilometre away. I'm not sure if it's managed by SAMHI but the ARR for that property versus the ARR for the property that have been highlighted in your presentation are significantly different.

So, I just wanted to get a sense, are you potentially looking at a different collaboration this time around with maybe a much more premium name? And second, the Fairfield at Whitefield, is it managed by you or is it not managed by you? Because my sense was, it was I think Argon was the entity which is managing that hotel.

So, Tarang, just to clarify, you're absolutely right. The Fairfield by Marriott at Whitefield is owned by us. And you're right, it does an average rate of about 5500, let's say, plus minus. So, that's actually a very interesting reference point that is worth discussing. So, the Fairfield by Marriott is a 19-square-meter room, one all-day dining, and small meeting spaces. And with that product, it drives a rate of, if you see Q1 numbers, it was INR 5,600 ARR with an occupancy of 79.4%, so pretty strong. The existing hotel that we have here has a room size of 29-square-meter

with, as T said, four F&B plus 12,000.

So, this hotel will be positioned in the upscale segment. Fairfield is in the mid-scale segment. And therefore, there's a complete segment difference between the two hotels. And given how well we are doing in the Fairfield by Marriott Whitefield; we are actually fairly stoked and confident about how we will be able to position this hotel in a higher category. Now, of course, we have not been able to share today because of there not being definitive agreements, the name

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of the operator and the brand, but we can clearly, with confidence, confirm that it will be branded in the upscale space with an international operator.

Just to further highlight, we also have a Holiday Inn Express in Whitefield, right. Which is a 14-square-meter room. And even that hotel does extremely well with literally no food and beverage. So, this is a market we, as I think we have mentioned earlier, we are tracking about 45 micro-markets across India. These are micro-markets which have a very large density of office space, continue to grow rapidly every year. And we believe in each of these micro-markets over the next many years, we should be able to kind of put price ourselves into upscale, upper-mid-scale, and mid-scale.

In Whitefield, we have the mid-scale presence in Holiday Inn Express, which was originally 160 rooms, it is now going to about 200, 210 rooms. We have the Fairfield by Marriott, which is a smaller hotel. With this, we will have presence in the upscale and the upper-upscale. So, with this, we would have completed all the three boxes in one of the key micro-markets in India.

Sorry. Go ahead for your next question.

No, I think once we get to hear a little more about the deal, I think it will be logical for me to ask the next set of questions. But for the time being, this is good and thank you. All the best.

Thank you, Tarang.

Thank you. The next question is from the line Ayush from Manyavar Family office. Please go ahead.

Most of my questions have been answered. Just one question. Current RevPAR for the current quarter is 3,250, right?

That's right.

And you're targeting it for approx. 6,300, right?

That's right, Ayush.

And what would be the occupancy of the current hotel?

62%.

Okay. Perfect. Okay. Thank you.

Thank you. The next question is from the line of Dhairya Trivedi from DIT Investments. Please go ahead. Mr. Dhairya, I would request you to unmute your line and speak, please. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Yes. Thanks for the opportunity again. Ashish, there was a note put out to Exchanges which said that SAMEHI had put up corporate guarantees worth INR380 crores in favour of SAMHI

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Ahmedabad. So, if you could explain what this is for. Is SAMHI Ahmedabad taking any fresh loans?

No. So, it's actually an interesting question. We have an existing facility in SAMHI Ahmedabad which is for Sheraton, Hyderabad. The hotel is Sheraton, Hyderabad. The entity is SAMHI Ahmedabad. It had issued NCDs to a lender for an amount of INR 380 crores prior to the IPO. The NCD was for a period of four years. It carried effectively - the effective interest rate was about 13.5% because it was done prior to our offering.

'We have refinanced that particular facility, the entire facility we're refinancing of INR 380 crores and the revised pricing will be 9.3%. And the tenure will be 15 years. So, it's not anew, okay, it's net debt neutral because we are refinancing an existing facility and materially reducing the cost of interest from 13.5% to 9.3%.

Okay. Fantastic. So, the 5% delta on INR 380 crores will show up in a reduction in our interest cost, right? Going forward?

It will show starting this quarter because, and Rajat, you can confirm to me when is the disbursement happening?

So, Ashish, part of the disbursement is happening today, tomorrow, which is about INR 155 crores and the balance disbursement will happen by the end of this month when the make-whole period for the existing NCD holders expires.

Yes. So, with that, you will actually start seeing impact of this in our financial starting quarter three itself.

Sure. Very clear. Thank you, Ashish. That's all. All the best.

Thank you. Thank you, Nirvana.

Thank you. The next question is from the line of Dhairya Trivedi; from DIT Investments. Please go ahead. Mr. Dhairya, I would request you to unmute your line and speak, please.

Yes. Hi. So, thanks for taking my question. Now, my first question is, do these 140 rooms start contributing to the top line immediately from Q3?

That's right.

Okay. Understood. And till the time we finalize. ...

Both top line and bottom line, this hotel is profitable. It's not as profitable as we would eventually make it to be, but we are acquiring a hotel which has a running revenue and profits. And because this hotel itself has no debt and no debt has been secured for this acquisition. It actually has only a positive benefit to our entire channel. Not obviously meaningful, but just directionally.

Right. And till the time you finalize the agreement with the operator, does the hotel continue to operate under the same brand name?

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That's right. It will continue to be operating as Trinity Hotel Bengaluru Whitefield. We are in discussions with the operators to ensure, just as we had done in ACIC, that even prior to the renovation and rebranding, our effort, and we cannot make any promises toward that, but our effort is that this hotel

I start benefiting from an operator's sales and marketing and distribution support. And as that comes, we'll obviously see improvement in the performance of this hotel, even prior to the undertaking the renovation and rebranding. And of course, subsequent to that, we see a material change.

Right. So, the renovation, you said, starts 12 months from now, right?

No, it starts in March 2025, so about six months from now.

Okay. And what will be the total timeline for these 220 rooms plus the 140-room renovation?

Fair to say roughly three years from today?

So, two stages or two phases. In the first phase you will see the renovation being completed.

And as I said, that should get completed by quarter 4 of FY'26 or quarter 1 of FY'27. That's the completion of the 142-room renovation and rebranding. And the completion of the additional - the commencement of the work on the additional hotel will start same time next year we would say, end of quarter 2, starting of quarter 3 FY'26. And as I said, we should take about I would think 28 months to 30 months for completion of that particular hotel.

Okay understood. And sir just to understand why has there been no growth in the top line of this

hotel for the last 2 years? I see the revenue numbers for FY'23 and 24 both are stagnant at roughly INR24-odd crores when the industry itself has done so well. So, any qualitative comments regarding that?

Well, first of all it was - the asset was effectively being held for sale. We had initiated the dialogue almost about 7 months, 8 months back and any asset which is being held for sale by any owner will tend to often not fight for market share because it's being transacted. Two, I think there is a component of the product. This hotel is very well maintained, it's in good condition, good working condition.

But the product is a little outdated relative to what has happened to the Whitefield market and we have seen very good, solid branded hotels come into the Bangalore Whitefield market. You have the Marriott, you have the Taj Vivanta, you have the Sheraton Grand, you have the Den, you have the Hilton, you have our Fairfield. So, it's a market where over the last few years, we've seen material improvement in the product and the brand.

And therefore, this hotel's ability to fight for its market share was obviously limited. It's classic turnarounds that we've seen over the last decade. None of this surprises us. It just gives us the confidence that the upside is imminent because we're not really, we're not forced to underwrite where Whitefield market is headed. All we're underwriting is that post-completion of the renovation rebranding, we should get the fair share of what the market has delivered in the last 12 months.

And if you can please reiterate your net debt guidance for FY'25?

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So, let me tell the numbers again. So, on adjusting for the INR 205 crores utilization of free cash towards this acquisition, we will be at a reported net debt to EBITDA of 4.4 times. If we allocate the growth, the capital we have deployed towards this acquisition and see our operating hotels, our net debt to EBITDA on operating hotels should be in the Zip Code of about 3.7 times which is very close to what we had guided for.

And if we are able to complete our asset recycling plan, then it should be in the Zip Code of 3.4x which is net debt to EBITDA on operating assets setting aside INR 200 crores for the capital we've invested in this asset. I'm sorry, I've given you a few ratios, but that's how we look at it. Sorry I was asking on the absolute number of net debt for FY'25 please?

Absolute sorry

My bad. So, the total absolute net debt will be INR 2,060 crores.

INR 2,060 crores.

Yes.

Okay understood. Thank you so much. All the best.

Thank you. The next question is from the line of Pradyumna Choudhary from JM Financials.

Please go ahead.

Yes, hi, Ashish. Just wanted to get your sense on a steady state basis where do you see the EBITDA upon capital employed for the new - this acquisition stabilizing act, at what number?

Sorry, EBITDA per?

Upon capital employed.

Total NOI yield. So, we expect the NOI yield of this asset to be in the Zip Code of about 14% to 15%. Largely taking the average rates delivered by the competitive hotels in the current year.

So, we in M&A are pretty reticent to do forecasting because we have enough to deliver in any case on our own. So, the last thing we want is to bet something in the market. So, if we just freeze the average rates that the market is delivering today, this hotel, this investment is going to generate around 14% to 15% NOI yield, which is total EBITDA over total capital employed.

And when would that number be possible three years from now?

That's right.

But like just if you look at both the hotels that we are doing like on a steady basis, so the capex

comes out to be around INR 5 crores per room and you gave an average rate of 5500, even if you assume a 75% or 80% occupancy. So, the revenue per room probably would be around 20 lakhs?

No, so I'll tell you. Actually, there's a very good benchmark or a proxy that we have and I take your attention back to our 336 room Courtyard and Fairfield by Marriott. And Fairfield by

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Marriott is really upper mid-scale and Courtyard by Marriott is an upscale. And the room split is 50-50 there. That hotel currently does an average rate of about 13,000. And the EBITDA it delivers is about 20 lakhs to 23 lakhs per key.

So that's the EBITDA potential of 50% mid-scale, 50% upscale. Here, we will be 100% upscale or upper upscale. And we're talking really 2 years, 2.5 years, 3 years from now. We actually expect the EBITDA per key to be pretty much in line with the numbers that we've mentioned right now. And with that you should be able to get to about 14% to 15% NOL yield.

Somy, this was for Fairfield by Marriott.

Yes, Courtyard by Marriott and Fairfield by Marriott in Bangalore Outer Ring Road. There, the EBITDA per key delivered in the past is 22.3 lakhs per key.

But you said that we are expecting an average rate of around 6,500 rooms for this new hotel, right?

That is RevPAR. That's not average room rate. INR 6,300 is the RevPAR. And if you're operating at 70% occupancy, that gives you to our average room rate of about INR 9,000 on FY'24 basis.

So even then, sorry to adjust...

No, I'll explain you. I get your dilemma. So, there are really two hotels in this that we are underwriting. The first hotel, which is a renovation and rebranding, which is 142 rooms, that is what will be positioned in the RevPAR zip code of INR 6300, INR 6400, right? The 220-room addition, which is obviously an upper upscale hotel, will be at least a 25% premium to the rate that we mentioned here. So, if you go to the blended average rate for the two-hotel complex, that would be very different to the 6300 RevPAR that we mentioned. That's number one.

Number two, as Karan had asked earlier, the ratio of food and beverage income to total income in this hotel is substantially different than the hotel that we were just mentioning earlier. For six restaurants eventually and almost 16000, 17000 square feet of meeting space, the contribution of food and beverage to total revenues would be substantially higher than it is in a typical Courtyard and Fairfield.

So when you put the impact of existing hotels, the rate positioning of the new ho

tel and the

impact of the food and beverage that we've actually bought, because those are restaurants that exist, that's what is guiding us to say that the EBITDA per key of this complex will be comparable to EBITDA per key of the complex that we operate in Bangalore and the difference between them will be about 2.5 years 3 years. That's really the growth that we are effectively betting that's where Bangalore Outer Ring Road is today, Whitefield will get to being there in the next 2 years, 3 years.

And just one last question was how this capex of INR 1.5 crores per room, how does it compare to our existing portfolio? What would have been the capex per room for our existing portfolio?

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So, in the upscale space, our total capex per key will be about INR 1.2 crores per key and this will come out to be approximately INR 1.5 crores per key. Yes, so that's the difference. But that includes the averaging impact of Hyatt Place, Gurgaon. But if you look at the other hotels, slightly higher. So INR 1.2 crores versus INR 1.5 crores.

Thank you.

Thank you. The last question is from the lin of Tarang from Old Bridge Capital. Please go ahead.

Hi, just wanted to nibble down on the INR 70 crores refurbishment expenditure. The fact that the hotel is in a decent condition, what would be the nature of this INR 70 crores outlay? Because it adds up to about 50 lakh per key?

Yes, so Tarang, what we are contemplating is restarting the three restaurants which are shut right now. We are looking at a full soft refurb of the guest rooms, all the 142 rooms. We will undertake, of course, material changes to the IT infrastructure of the hotel because it needs to be connected to an international operators network.

It will include investment in MEP which will obviously bring cost benefit in terms of improving efficiency and significant improvement in the public spaces which is ballroom and the restaurant. So, these are -- I would say towards more conservative. Conservative in capex means you are kind of putting more contingencies on top of it.

So, we are carrying a 15% contingency in the number that we are telling you. But it is effectively a full repositioning the hotel, almost a segment and a half up. It's about INR 5000 a square foot of the built-up area, which is the right spend on some MEP and FF&E. So often this spend is better understood on a per square foot basis, because the nature of the food and beverage in the public areas keep changing. So here it will turn out to be about INR 5000 per square foot of renovation expense.

Thanks.

Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Thank you so much for taking out time at short notice. I will reiterate that our excitement about this opportunity. We have in the past guided towards an inventory growth of 10% to 15% annualised. This particular opportunity, obviously secures a large part of that growth for the next 2 years.

What is also material as a note is that all of this inventory is coming into our upper upscale and upscale segment where the revenue per key is almost at 2x of our portfolio average. So, this 340 room to 360 room addition, will have a significant impact on both the top line and on the bottom line.

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Not to miss the fact that we expect to drive significant scale economics, because this will be our 7th hotel in Bangalore and once we complete the second hotel that would be the 8th hotel in Bangalore. So, we would have made sure that we have the large presence in our city and scale economies will not just benefit this particular hotel, but will also benefit our existing portfolio.

in terms of allocating some overheads across more rooms than exist today.

So, we remain very upbeat and excited about this opportunity. Thank you so much for your time and we'll keep you updated as we confirm the brand partnerships and renovation programs here. On behalf of SAMHI Hotels Limited, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

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## Call: Dec 2024

SIMART HOTEL INVESTMENTS —  
SAMHI Hotels Ltd.

Correspondence SAMHI Ltd

Tel: +91 124 4910100 Fax 44910199 www.sambi.coin 19" November 2024

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G,

Dalal Street, Mumbai 400 001 Bandra Kurla Complex,

Maharashtra, India Bandra (East), Mumbai — 400 051

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q2 FY25 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q2 FY25 Earnings Conference Call held on

Monday, 11th November 2024 at 11:30 a.m. IST.

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: 4s above

HI ———SMART HOTEL INVESTMENTS———

SAMHI Hotels Limited

Q2 FY25 Earnings Conference Call

November 11, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio

recordings uploaded on the stock exchange on 11 November 2024 will prevail.

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MANAGEMENT:

MR. ASHISH JAKHANWALA — CHAIRMAN & MANAGING DIRECTOR

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EXECUTIVE VICE PRESIDENT & HEAD (INVESTMENTS)

MR. NAKUL MANAKTALA — VICE PRESIDENT (INVESTMENTS)

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Moderator: Ladies and gentlemen, good day and welcome to SAMHI Hotels Limited Q2 FY25 Earnings call.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*", then "0" on your touch tone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala — Chairman & Managing Director, SAMHI Hotels. Thank you and over to you, sir.

Ashish Jakhanwala: Good morning, ladies and gentlemen. Welcome to SAMHI Hotels Earnings Call for the quarter ending September 30, 2024.

I have with me today Gyana Das, who is EVP and Head of Investments, Rajat, who is the Chief Financial Officer and Nakul, who is VP of Investments. We also have on call our investor relations advisors, Strategic Growth Advisors. We have uploaded our Q2 FY25 Financials and Presentation on the Exchanges. And I hope everybody had an opportunity to go through the same.

To begin with, I will start off with some exciting new developments for our growth, along with a brief update on the business performance for the quarter. Post which I will request Rajat to give us a summary of the financial performance and then we will leave the floor open for Q&A. Starting off, I am quite pleased to announce that on 7th October, we signed a long-term variable lease for an existing building in the heart of HITEC City, Hyderabad, which will be converted into a 170-room upper-upscale hotel. With this and the earlier announced acquisition in Bangalore, Whitefield, SAMHI has secured three upper-upscale and upscale hotels with about 525 rooms in core markets of Bangalore and Hyderabad. These three assets are all in different

stages of development, which I will take you through one by one.

The first is an operating 142 room hotel in Bangalore, Whitefield, which we acquired in October 2024. We see significant upside in the revenue and EBITDA potential of this asset, once it is renovated and rebranding to the upscale segment, for which, we are in adv

anced stages of

discussion with an international operator. The second is an additional tower to be developed adjacent to the existing hotel in Whitefield. This would add another 200 to 220 rooms in the upper-upscale segment to be managed by the same operator.

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'We then come to the recent acquisition of the building in Hyderabad, for which we have secured the leasehold rights. This is located in the heart of HITEC City in Hyderabad. The building is being taken over on a long-term variable lease linked to revenues and we will complete the fit outs to convert it into an upper-upscale hotel with about 170 to 175 rooms.

The shorter capex to revenue cycle in this development will lead to quick contribution to incremental revenues and EBITDA starting Financial Year 2027. Moreover, the variable lease nature of the development wherein our investment will be limited to the fit outs will boost both our return profile and also provide capital efficient growth for SAMHL.

So, in summary, these additional 525 rooms all in the upscale and upper-upscale segments and in our core markets of Bangalore and Hyderabad shall materially augment the growth of our portfolio. Moreover, since these assets are in different stages of either operation or completion, we shall ensure strong incremental revenue and EBITDA growth over the next three years to four years. Just as a reference on a trailing 12-month basis, the revenue in upscale hotels in Bangalore and Hyderabad market was upwards of Rs. 50 Lakhs per room. This demonstrates the true potential of the 525 rooms that we are adding to our portfolio.

Now talking about our existing portfolio assets, we are very excited about how our core markets, especially Bangalore and Hyderabad continue to grow, which is also where we have secured our growth pipeline. This is demonstrated by both of these cities absorbing almost 10 million square feet of the 22 million square feet of office space in the first-half of Financial Year 2025 on a net basis. In addition, air passenger growth in Q2 was highest in Bangalore and Hyderabad at 13% and 14% respectively, reinforcing our confidence to densify our presence in these two markets. Our operating portfolio of hotel assets are well located to take advantage of the sectoral tailwinds which reflect in delivering strong same-store revenue growth. In the last reported quarter, our same-store assets, which excludes the recently acquired ACIC Portfolio and the Caspia Pro in Greater Noida which is under pre-opening, delivered at 16.5% YoY RevPAR growth in the second quarter, driven by robust demand as demonstrated in the office space net absorption and aviation growth in our core markets. Operating performance remains strong with 13.3% YoY revenue growth in our same-store assets, resulting in EBITDA growth of about 20.2% leading to a margin expansion to almost close to 40%. As we move into seasonally stronger second-half of FY'25 higher revenue led primarily by ARR growth and strong flow throughs to EBITDA, will result in further margin expansion.

Next is a quick update on the internal growth levers we are working on for the improvement of the performance of our existing hotels. The integration of the ACIC Portfolio is progressing smoothly as planned, contributing to a significant margin improvement approximately 590 basis point in Q2 FY'25 compared to H1 FY'24 which is pre acquisition. This is currently at about 36% for the quarter. We have also completed the renovation and rebranding of the 137 room Caspia Pro in Greater Noida and to be reopened as Holiday Inn Express. In addition, the 165-room new hotel in Calcutta and Bangalore also under the Holiday Inn Express brand have been

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completed. All these 300 rooms are currently under pre opening and should start co

ntributing to

revenues in the next few weeks.

We have also received approval to convert the commercial block in our Sheraton, Hyderabad assets into 42 additional rooms. And in addition, we are converting some of the public areas to 10 additional guest rooms. All of this should get operational by Q3 to Q4 of FY26. Hyderabad being a strong market, this will have a significant impact on the revenue and the EBITDA potential of that asset and our portfolio. However, we do see some short-term impact of about Rs. 2 crores per quarter, which was the rent coming from the commercial block, till such time we have not operationalized the guest rooms.

Our internal projects also include conversion of the two mid scale ACIC hotels in Pune and Jaipur to the upscale segment and the room expansion in Hyatt Regency, Pune and Fairfield, Sriperumbudur, all of which have been summarized on Page 27 of our quarterly presentation.

The combination of the above that is strong same-store growth, the internal growth levers that I just mentioned above and the three new upscale projects in Bangalore and Hyderabad that we have secured, shall continue to drive a sustainable compounding of revenue and EBITDA and create significant value for our shareholders.

While the growth initiatives require capital, most of these are being funded from our cash and internal accruals with quick turnaround of these hotels as only one has a long-lead time, we expect to see material growth in our EBITDA in the near-term. In addition, we are progressing to recycle some capital through sale of few non strategic assets. All this together gives us high degree of confidence of maintaining a very high growth without compromising on the quality of our balance sheet.

I will now hand over the line to Rajat to take you through the "Financial Summary" for the Quarter. Rajat. Over to you.

Rajat Mehra: Thank you, Ashish and good morning, everyone. It gives me intense pleasure to announce SAMHI's financial performance for the quarter ending September 30th, 2024. Our asset income, which captures the revenue generated from hotels, stood at Rs. 266 crores, registering a YoY growth of 20% as compared to the same quarter last year. This is driven by good same-store growth and the addition of ACIC Portfolio. Same-store assets saw a strong RevPAR growth of 16.5% YoY. This helped us maintain a 13% same-store revenue growth with MICE and F&B revenue recovering after a muted Q1.

Our asset EBITDA, which captures hotel level profitability, stood at Rs. 104 crores, registering a YoY growth of 28% as compared to the same quarter last year. Asset EBITDA margin stood at 39.11% being diluted by the impact of ACIC Portfolio, which stood at 36% for the quarter. With ACIC Portfolio conversion to managed hotels under Marriott now completed, we should see material marginal improvement over the coming quarters.

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Our corporate G&A and ESOP expenses were stable at Rs. 2.3 crores and Rs. 4.4 crores respectively. On the basis of this, I am happy to report that our reported consolidated EBITDA stood at Rs. 97 crores, registering an 80% YoY growth as compared to the same quarter last year. Consolidated margin too have reached to 36% with material headroom for further growth. Depreciation expense and finance cost has been stable at Rs. 29 crores and Rs. 56 crores respectively, leading to a reported PAT of Rs. 12.6 crores. As Ashish mentioned, the seasonally strong H2 should result in material expansion of PAT as compared to H1 levels on the back of higher EBITDA and stable depreciation and finance costs.

From a capital structure perspective, our net debt as on 30th of September 2024 stood at about Rs. 1,880 crores with a cost of debt of 9.5%. Also, our average tenure of the debt is now more than 10 years, this provides us with a very conducive leverage environment for our business.

Post the acquisition of Bangalore, the net debt increased to Rs. 2,080 crores. However, of this, Rs. 300 crores is allocable towards investment in growth, including the assets as Ashish mentioned are in pre-opening.

The Hyderabad lease requires very little capital upfront and hence has an inconsequential impact on our net debt. With sustainable growth in EBITDA due to strong performance of our existing hotels and ongoing growth initiative. And as Ashish had mentioned earlier, with some capital recycling, we are confident of continuing to strengthen our balance sheet and reduce the overall leverage in the near-term.

With this, I shall open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: Ashish, I had a question on the HITEC City micro market. If you can talk a bit more about the market in terms of occupancies and ARR for similar price hotels in the market? And when you compare this versus Whitefield, so HITEC City obviously has a much higher supply of branded rooms, how do you see this in terms of demand supply and the rate of playing out in this market? And rather this you can also reiterate what kind of CAPEX do you envisage for the Bangalore and Hyderabad properties put together and timelines for the same in FY'25, FY'26 and FY'27?

Ashish Jakhanwala: Karan, first of all, I think we have been tracking Hyderabad market, as you know, we have as of today 4 hotels in that market and our assessment is that HITEC is an extremely strong market. We have a small Holiday Inn Express there, which outperforms the rest of the portfolio. You are absolutely right, Hyderabad HITEC City market is far more mature than many other markets, has a reasonable existing pace of supply, but that has performed extremely strong. So, the data available to us for FY'24 demonstrates that the average rate of the competitive set was almost Rs. 12,400 and the RevPAR was about Rs. 9,200. Also, it is important to note is that the RevPAR saw a growth of almost 26% YoY in FY'24 vis a vis FY'23.

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So, this clearly demonstrates what we have been kind of reiterating for the last several quarters that the strong growth in the office market, the strong growth in the aviation market and the fact is there's very little new supply in that market is providing very strong tailwinds to Hyderabad and also to micro markets like HITEC City. So, we have acquired this existing building in an extremely strong performing market with very little new supply threat in the foreseeable future. And given the fact the building is already ready and we expect to operationalize it in the next 6 odd quarters, we expect to take benefit of those tailwinds and really have no sight of new supply. I will take a pause. Karan, if you have any follow on questions on the market. But it's a very strong market, growing in double-digits YoY and no new supply.

Karan Khanna: Rajat, just update on the kind of capex that you envisage for both Bangalore and Hyderabad in next two years to three years?

Rajat Mehra: Sure, Karan. So, Bangalore, as we say, there are two assets predominantly. One is an operating hotel which has got 140 rooms. To rebrand that hotel, we are expected to spend close to about Rs. 70 crores to Rs. 80 crores over the next 12 to 18 months. On the additional inventory of our 200 to 220 rooms, we are looking at spending about Rs. 270-odd crores. This should get spent over the next approximately 3 years or so. On the Hyderabad asset, there is about Rs. 180 crores to Rs. 190 crores is the total CAPEX. Since that's got a shorter time to the market, we are expecting this to be spent over the next 18 to 24 months.

Karan Khanna: Ashish, second question, with these acquisitions and these de

velopments, how do you envisage

the balance sheet moving forward in terms of net debt to EBITDA, any changes to your previous guidance for FY'26 and FY'27?

Ashish Jakhanwala: So, Karan, as you remember, we had done an update call post the Bangalore acquisition, wherein we did the math, we had an intended target of 3.5x, 3.6x net debt to EBITDA end of FY'25 because of the Bangalore acquisition, where we have spent about Rs. 205 crores to Rs. 210 crores some more expense towards that asset by the end of the year. On our base of our financial statements, the leverage will be about 4.5x net debt to EBITDA. If we, however, allocate the capital that we have invested in the Bangalore asset. we will get to about 3.7, 3.8x net debt to EBITDA.

Our capital recycling efforts are going on, of course we need a counterparty. But as we materialize them, we expect to get close to the 3.7x net debt to EBITDA with the Bangalore acquisition. Hyderabad is a very interesting Karan, because honestly, our upfront investment in that asset, which is land, building, all the MEP equipment is lower than Rs. 20 crores. And therefore, has inconsequential impact on our balance sheet as of today. Also, in the last quarter, our net free cash generated post interest servicing was about Rs. 45 crores. As we get into the seasonally stronger Q3, Q4, we expect the cash generation to be substantially higher than the Rs. 45 crores we have done in quarter 2. So, therefore, a lot of capital that is going into the renovation, rebranding of the existing Bangalore asset and completion of Hyderabad is happening through internal accruals or the cash that we have.

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So, no new debt is being assumed as of date for these two completions and therefore, we should maintain the guidance that we had given you and including the Bangalore acquisition, we should be in the zip code of about 4.5x. And depending on the success of the capital recycling effort, we should be able to bring the leverage down closer to the 3.7, 3.8 zip code.

Karan Khanna: The second question, Ashish, you had six hotels which you moved from franchising into 'management contract with Marriott. So, has been the initial response? Has there been any uptake that you are seeing because of those efforts taken by the Marriott team?

Ashish Jakhanwala: So, Karan, these are 6 hotels which were ACIC Portfolio. The transition to the management contract happened in October of the current year. So, it's just been a month. We have already seen a significant improvement in the operating margin, but that has been an effort going on for the last two-three quarters. As we speak, there is an effort to change the business mix so to say, that will have an impact on two or three parameters. The first is really the source of the business and we are clearly expecting over the next few quarters, the contribution of OTAs to reduce that has a direct impact on the margins improving because there's a commission attached to that. And the second is in markets like, especially Hyderabad and Pune, we really expect to rationalize the pricing and see a growth in average room rates of these hotels. So, we are seeing results as we had anticipated in terms of what's happening to ACIC. And then, of course, it is important to add for the audience that of those six hotels, two hotels are currently being planned to be completely rebranded and repositioned in the higher segment. So, the Four Points in Pune and the Four Points in Jaipur are being planned to be rebranded as Courtyard by Marriott and as part of the Tribute Collection by Marriott.

So, Karan, I will take that opportunity to highlight one significant change in SAMEHI because of the three acquisitions and also because of these two rebrandings, what is happening is that the share of our upscale portfolio is materially changing to our overall portfolio. So, if you see,

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torically, we have had about 1,074 rooms in the upscale segment of the total 4,800 rooms. With all of this that we are doing, we are expecting the total inventory to grow from 4,800 to about 5,600. But of that 5,600 almost about 1,900 rooms will be in the upscale segment. The second important point to note is that in FY24, we have seen the upscale hotel performance to be almost 2x in terms of revenue per key to our portfolio average.

Both these three acquisitions plus the two conversions are actually helping us to significantly reconfigure our own portfolio and have a much higher share of the upscale where we expect the revenue per key to be at least twice that of the portfolio average. So, I just thought, I will grab the opportunity to explain this particular one which is related both to the three acquisition and also to the two conversions we are doing in the ACIC Portfolio.

Moderator: Thank you. The next question is from the line of Pavas Pethia from Aditya Birla Mutual Fund. Please go ahead.

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Pavas Pethia: Ashish, Thave a question about this HITEC City hotel. Is this one-off kind of thing or there could be many more kind of this variable lease which could be available for you? Something like which is already a ready building. And secondly when you spoke about this Rs. 160 crores - Rs. 170 crores of CAPEX and it's just the fit-out CAPEX, isn't it expensive for say Rs. 1 crores per key investment?

Ashish Jakhanwala: So, Pavas, there are two questions really, one is the opportunity set and the second is your response from the CAPEX per key. So, on the first one, we think that unless I have missed something historically, this would potentially be one of the first. I can't claim the first, but one of the first office building conversions to a hotel. I think this is really important because over the last 13 years, SAMHI has demonstrated its capabilities to continue to grow, finding different opportunities to suit different market cycles. And often people used to wonder as to how would we grow that the hotels are performing really well. I think here is our answer, that we have always been creative to find opportunities to grow our business.

We already have, prior to Hyderabad, we already had seven hotels. All in Holiday Inn Express portfolio where we had what we call variable long-term leases. And let me explain this for the audience, variable means that the rent is being paid as a percentage of revenue. And beyond the first three to five years, there is really no, so to speak committed rent that we have to pay and that's just to manage unforeseen liabilities. And the long-term means that the leases have to be in the zip code of 40 to 60 years. So, we already had seven hotels, but all in the Holiday Inn Express portfolio. And therefore, their revenue contribution was approximately 13% to the total portfolio.

Now as we continue to pursue growth, it is important that we find a capital efficient way and I will be cautious to say asset light, Pavas, because we believe that in a market like India where growth tends to be slightly lesser than you would see for our sector and other economies, you really don't want to go so asset light that you only have assets for 10 to 20 years and you only get 5% to 10% of the revenue. You want to work hard in this market to get 80% to 90% of the revenue if not 100% and have the assets with you for decades, so that they can benefit as the micro markets transition in those cities. So, for us, being capital efficient is more important and variable lease provides a phenomenal opportunity for doing so.

We had indicated historically that we would like to make sure that the percentage of revenue coming from variable leases should go from 13% to about 20% in the near-term and about 25% in the long-term. And Hyderabad provides us an immense opportunity to kind of follow that path

because this is the first upper-upscale hotel that we have on a variable lease model, where the revenue per key is substantially higher. We do think this opens up an avenue of new growth for SAMHI, where we can to adoptive conversion of non hotel buildings and buildings which are not finding commercially viable landing in their respective micro markets, but can be great hotels. And therefore, we completely believe that this opens up a new avenue for our growth in the future. So, that's part one.

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Part two is your comment on CAPEX per key. So, this hotel is being converted to an upper-upscale segment, where on an early assessment basis, we believe that about Rs. 1 crore per key continues to be at a substantial discount to what an upper-upscale hotel would be. We would request a little patience, because in the next few weeks we will also confirm to you the brand partnerships we have in Hyderabad and also in Bangalore. And post which, I think you would be fairly convinced, that the overall investment that we are making in Hyderabad is at a material discount to what would it take to build a similar category of hotel on the same spot.

Pavas Pethia: Sure. And just lastly on this overall number of keys, in presentation, one is 4,800 other is 4,040 in the second last page. So, what is the existing number and how the ramp up to this 5,600 happens? You have given some guidance for the next quarter, what's getting added? But if you could give a much more granular pathway to this 5,600 keys?

Ashish Jakhanwala: I will do that. So, prior to the acquisition of the Bangalore asset, we had 4,800 rooms in our portfolio. Post 4th October we have added 142 rooms to our portfolio and that's why you see that number going past 4,900 rooms. To that you have to add about 327 rooms, which is internal growth. I'm referring to actually Slide #0 of our investor presentation. So, 327 rooms are added through, rooms being added in our existing portfolio, which includes 76 rooms in the upper-upscale upscale, which is the Sheraton, Hyderabad and Hyatt Regency, Pune. We are actually adding inventory to both these existing hotels.

We are adding 86 rooms to our upper mid-scale portfolio, which is largely the hotel in Sriperumbudur, we are adding a block. And we are adding about 165 rooms to our Holiday Inn Express platform through the opening of Holiday Inn Express, Kolkata and additional rooms in Bangalore. So, that's 327. Over 4800 plus 327 plus 142 plus we will also add about 200, 220 rooms in Bangalore in our second phase. Then we have Hyderabad in lease of about 170 rooms. So, when you add all of this together, actually numerically it is 5,640 rooms. That's how the transition from 4,800 to 5,640 rooms is.

All of this is today assets owned by the company and are not subject to any second, third-party race for acquisition. And for now, we have also excluded Navi Mumbai from this, where the matter continues to be sub-judice and therefore we do not find the confidence level to add that inventory to the portfolio. But there's an additional 350 room opportunity with the company and as it is still with us. But without that it's about 5,600 rooms.

Pavas Pethia: Yes, actually I was looking for the timelines rather than the actual key numbers.

Ashish Jakhanwala: Sorry, sorry. So, in terms of timeline, we are currently at 4,900 rooms. The mid-scale inventory of 165 rooms will be added, Pavas, should be added before the end of November. We could have some OC delays in Calcutta, but plus minus you could say that in the next few weeks 165 rooms will be added to 4,900 rooms. So, we will cross 5,000 rooms within the current calendar year. Then the addition in Hyatt Regency, Pune and Sheraton, Hyderabad will be completed before

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the end of the next fiscal

year. So, before we end FY'26, you will have an incremental about 150 to 160 rooms being added to our portfolio.

The Hyderabad lease of 170 rooms will be added in FY\*27. Our expectation is in the end of first-half, the hotel should get operational. And then the last 220 rooms will be added in Bangalore which Rajat had earlier mentioned is about three years period. So, that's really the timeline of growth in the portfolio. 165 within the current calendar year, the balance is being done 76 rooms in the next, I would say 6 to 9 months. Sriperumbudur is the only one which will take another 18 odd months. Hyderabad, as I said, end of H1 FY\*27 and Bangalore in three years.

Moderator: Thank you. We will take our next question from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Sir, I just want to understand this arrangement in the HITEC City a bit better, especially from the lessor perspective. Because I mean, if he has a corporate tenant, then it provides a fixed annuity stream, versus having a hotel operator, whereby his income is linked to the revenue that we earn. So, what can be the rationale for him to switch from a corporate tenant to a hotel operator?

Ashish Jakhanwala: So, Jinesh, a couple of pointers here. First of all, every real asset needs to go through a best use analysis. And what we have seen as often in India, unless you are not a part of a large business or an office park, the rentals in standalone office buildings tend to be at a discount to what would be considered a grade A office rent in a business or an IT park. The second is that even a building owner is a businessman. And he can clearly see the fact that while offices are being added at 8 to 10 million square feet a year, hotel addition in some of these markets is now slowing down to 2% or 3% a year, which means that the revenue growth from the hotel tends to be fairly healthy. And therefore, when you combine the two and our ability to bring a strong product and a strong brand, assures and owner to give his building to us, partner with us for a period of 40 to 60 years actually. And really be satisfied to take a percentage of the hotel revenue as its lease rent. So, I would not say that every owner would do this, but I think there are unique opportunities where combination of the existing building, the existing market opportunity between commercial office space and hotel. And also the reputation that we have built in terms of how we can sweat these assets, helps us get some of these variable leases. This is not the first one. This will be the 8th one in our portfolio.

Jinesh Joshi: And secondly, till the time we rebuild this building into a hotel, there will be some revenue loss to the owner, so are we supposed to compensate for that or how is the arrangement over here?

Ashish Jakhanwala: As of today, it is an empty building. It's a ready building built for an office, but has no tenants.

There's really no tenancy loss to the owner.

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Jinesh Joshi: And one last question from my side, in this arrangement, I believe the entire revenue and the P&L will belong to us and we just pay our rent to the owner, which is linked to the revenue. Is that understanding correct?

Ashish Jakhanwala: Jinesh, absolutely right. So, the way it will impact our P&L is as follows, we have taken a long-term lease on the assets. So, 100% of the revenue comes to us. As a part of our operating expense, we will pay rent to the owner. There will be some minimum guarantees for the first three years to five years. Those minimum guarantees under Indian accounting standards will come below EBITDA, but in the long-term because beyond five-year period it's all linked to the revenue of the hotel, it will come above EBITDA as an operating expense. And then obviously we will report EBITDA after paying the rent to him. So, the entire P&L

continues to be with us. He gets

a percentage of revenue as a lease rent which becomes an operating expense for us in the long-term.

Jinesh Joshi: Sorry, sir, one last question, is the percentage fixed? And what is the percentage which we will be sharing with him?

Ashish Jakhanwala: So, we can't share the percentage, Jinesh, because these are bilateral transactions. The percentage remains fixed because the lease is very long-term, we typically may have a staggered approach where after the first 20 years, 25 years we give a small incentive in terms of the percentage increasing. But largely, the percentage remains fixed through the tenure of the lease.

Moderator: Thank you. We will take our next question from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Ashish, in the press release for this Hyderabad long-term lease, you had said that the post development cost will be lower than replacement cost. So, just trying to understand, how you are calculating this. So, the CAPEX that we will do on this is about Rs. 180 crores, Rs. 190 crores, if I heard right, this added to the lease asset that will sit on our balance sheet as we add these together. You are saying that this will be lower than the cost of constructing a hotel from the ground up in that locality, is that understanding correct?

Ashish Jakhanwala: Nirvana, absolutely right. So, whenever we looked at a leasehold asset, it will be improper to ignore the cost of the lease. And therefore, you have to take the value of the lease added to your capital investment to determine what's your total capital and whether it is at discount or replacement cost or not.

Nirvana Laha: And right now the replacement cost for a hotel of this profile per room would be how much, if you can indicate?

Ashish Jakhanwala: Nirvana, only thing is, as I said, we will announce the brand partnership in the next few days. But the upper-upscale segment in heart of HITEC City, Hyderabad, if we take the last few reports done by Hotel Consulting Firms, the construction cost is being stated to be in the zip code of Rs.

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1.5 crores, Rs. 2 crores per key and on top of that you have to add the land cost. So, typically land cost, I'm reluctant to say anything about land cost because we are not in that business. But typically, the land cost tends to about 30% of the total project cost. So, you are looking at just the construction cost of an upper-upscale hotel in heart of Hyderabad to be in the zip code of Rs. 1.5 crores to Rs. 2 crore.

On top of that, you have to add land cost and Nirvana, not to forget, if you start building a hotel, you have to also add the time value of money. And typically, it takes you about three to four years to get a hotel up and running. So, that's why developing new hotels tend to get, in our opinion, fairly expensive, the margin of error is not very comforting. Whereas, when you do acquisitions and on top of that, you do acquisitions in a manner where you are effectively transferring part of the value of the hotel linked to the revenue of the hotel in future, you effectively are able to kind of create a much larger, much higher margin of error, which I think is absolutely critical in a business like ours.

Nirvana Laha: I will understand better as you declare more. Next question is on the market overall, so if I look at your upper-upscale and upper mid-scale, the occupancy on a Q-o-Q basis dropped by 200 bps and 100 bps, respectively. That was one data point that I thought was interesting. And the other one in terms of airline traffic, it has been fairly static over the last four quarters. It's not able to breach beyond the 70 million mark, I think on your PPTs. So, any comments on the overall demand scenario for you specifically and also for the overall industry?

Ashish Jakhanwala: So, Nirvana the demand scenario is to

be fairly stable. I think quarter-on-quarter, a little drop for

growth in occupancy levels is just an operational adjustments. We have seen RevPAR grow

pretty strong across all segments actually. Just Nakul, if you can take into the slide on the RevPAR. So, if you see upper-upscale RevPAR growth was about 16% in quarter two. Upper mid scale was about 21%. So, you know both these segments continue to grow pretty strong in terms of RevPAR. There's always quarter-on-quarter rate versus occupancy adjustment, but RevPAR is what we look at.

I think you've asked a very important relevant question, which is we are seeing a stable airline passenger movement and Nirvana there are no surprises there. It's completely constrained by capacity. So, if you saw the Indigo results, they did mention that there were significant amount of grounding of their aircrafts because of engine issues. And when the market leaders who has, I don't know you guys will know better, but 60% market share of the total aviation market in India has constraints on capacity. It obviously reflects overall passenger numbers.

We actually think that because the airline capacity takes a little bit of time to be added because of the fact that this is really a duopoly between Airbus and Boeing as the capacity gets sorted and at least between Air India and Indigo, they start adding more aircraft. You should see an unleashing of the passenger moment, because it's really at the brim right now in terms of capacity. It's a capacity constraint issue when you look at the office space on the other side, it

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should tell you that a lot more people are occupying office spaces in India and therefore, naturally a lot of people want to travel, but it's really a capacity constraint issue right now.

Nirvana Laha: Last question if I may, so on your net debt to EBITDA, sorry I missed what you had said earlier on the call. So, I think you said you'll end the year around 2,100 and you are maintaining a guidance of 4.5x net debt to EBITDA, did I catch that right without assets.

Ashish Jakhanwala: Yes, it is right, Nirvana. We have about Rs. 180 crores cash and now most of our growth is coming from internal accruals and cash. So, we should maintain that net debt level till the end of the fiscal year.

Nirvana Laha: And when you report this number, do you report it on a pre-ESOP EBITDA basis or is that the post-ESOP EBITDA that this ratio that you can?

Ashish Jakhanwala: Pre ESOP.

Moderator: Thank you. We will take our next question from the line of Prolin Nandu from Edelweiss. Please go ahead.

Prolin Nandu: I just have one question and this is something which I as an investor is thinking about. I mean in terms of growth versus the balance sheet discipline, while I see the net debt to EBITDA over the years have come down a lot. But just want to understand from your end, let's say if we think about next six quarters, are we done with pretty much whatever we wanted to acquire? Or let's say hypothetically, for if a good deal comes, which will, it's a Rs. 200 crores, Rs. 300 crores deal, it will take your net debt to Rs. 2,100-odd Rs. 2,200-odd. Are you willing to still stress that number and take that deal or? Right now, we are more focusing on executing on whatever assets that we have? So, just want to understand from your point of view, how do you think about growth worthy, maintaining the balance sheet discipline?

And where I'm coming from Ashish, is the fact that while you have done your assessment in terms of how the demand will pan out. Historically, this industry has been cyclical, right? So, let's assume for whatever reason, things go wrong or something like COVID happens then this net debt level is still very, very high, because the denominator will just vanish quickly, right? So, how do you think between growth and discipline on the net debt part?

Ashish Jakha

nwala: Thank you so much for your question, so, first of all, let me objectively state that where we are today, we feel that we have secured a fairly exciting growth pipeline for SAMHL And therefore, we are not likely to do a large acquisition. Most of our growth pipeline are variable leases where honestly the upfront capital is almost negligible. So, to answer you, you can safely assume that, we have committed significantly to the growth of the business. And here a lot of our focus over the next few quarters is going to be executing on these opportunities so that we can actually deliver the EBITDA from these assets. That's part one. Part two is in terms of leverage and I think we have over the last few quarters articulated our comfort level,, which is that in the near-

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term we would want to see the business in the zip code of about 3.5x and over a medium-term also we need to take it down to less than 3x.

Given the fact that all of our debt is very long tenor, which is more than 10 years, a less than 3x net debt to EBITDA is a very, very comfortable position including kind of creating scenarios for a fairly downside few quarters. And I think that's happening on account of the fact that whatever growth capex we have invested, which is effectively going to take our net debt to EBITDA from that 3.5, 3.6x to 4.4, 4.5x in the short-term. But in the near-term, which is once these hotels get operational, they materially start helping us lower the net debt to EBITDA levels. If we had

invested this capital in Greenfield, I would have been very worried because honestly, you keep investing capital for multiple years before you see EBITDA. But in our case, as we invest the capital, it's a matter of a few quarters before you start seeing them back of that investment coming in terms of your bottom line.

And the last bit, which I cannot probably reiterate enough, is the fact that we have committed disclosed intent to recycle some of our capital. And I think it's safe to assume Hyderabad as we mentioned is largely a cash neutral transaction because of its structure. The money that we invested in Bangalore, we are more than confident that over the next few quarters we should be able to recycle that by divesting some of our non-strategic assets, which really don't have any 'material impact to our EBITDA. So, when you combine the overall strategy that we have in place, which is a strong growth in our earnings, putting our money in assets which can bring short-term growth to revenue and EBITDA and add on top of that the fact that we have some capital recovery expected from capital recycling, we feel very confident that we will be able to deliver the leverage targets. And we are very respectful of the fact that the business needs to be prepared for an unforeseen down cycle, whether it's a few quarters or longer than that. We have suffered and therefore as a management team, let me assure you, we can never be indignant to that scenario.

Prolin Nandu: Just a follow-up. See, again, when you give a target of net debt to EBITDA, there is an implied assumption in terms of how the EBITDA will grow. And when the unforeseen circumstances come that EBITDA will not play out. So, is there a hard stop or a hard target on where you want to get an absolute net debt number to in let's say two to three years? And largely, are we willing to take a proposal to go to raise equity to bring down our net debt to equity level in let's say, I mean in the near-term?

Ashish Jakhanwala: I will answer the second one. I think given the fact that SAMEI is a professionally managed company. Both our intent and our ability to recapitalize the company as and when the need arises or probably let me assure you ahead of the need arises is rather simple and straightforward. However, having said that, there is a lot of to-do's that we had to deliver, we believe we are on

track to deliver promises that we had made last year and what we have been discussing over the quarters. So, we are fairly confident that given that it's a professionally managed company and the board has a fiduciary to maintain a good quality balance sheet. That path is probably simpler  
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than SAMHI as relative to it would be in some other companies. So, that's part one of your question.

Part two, I think in terms of the absolute net debt level, Prolin honestly, the answer depends on how we assess the EBITDA to be. So, you are absolutely right, I'm not trying to evade giving you a number, but in all standards, the board and the management will make an assessment of what is a very highly achievable number over the next two to three years, not really underwrite very high market growth, largely underwrite depend upon income the investments that we have made. So, it's fair to assume that you take the FY'24 EBITDA on stable assets, you estimate the EBITDA coming from the growth initiatives that you've invested. And bases that you calculate what your net debt levels should be.

I think what we typically are reluctant to do is when we are looking at leverage in the company, make very bold assessment or assumptions about where our existing portfolio will be headed. So, when we talk about future EBITDA, it's largely about executing on the growth that we have invested in and not necessarily underwriting a very high growth of EBITDA from existing pool of assets.

Moderator: Thank you. We will take our next question from the line of Yash Dedhia from Maximal Capital. Please go ahead. I request you to restrict to two questions please.

Yash Dedhia: Sir, one thing is how much of tax loss are we carrying in our balance sheet which can be set off against future tax?

Rajat Mehra: Tax losses, so these are close to around Rs. 2,500 crores of total PAT losses that we carry forward. With the 25% tax rate, you know 25% of the Rs. 2 and half thousand or Rs. 2,500 crores is what we will actually see as a deferred tax impact on the balance sheet.

Ashish Jakhanwala: So, effectively to simplify, we on other than some leakages in our subsidiary level, Yash largely we expect to remain zero tax company for the foreseeable future, given the fact that we are carrying about Rs. 2,500 crores of losses, which gives us about Rs. 600 odd crores of tax shield. But to be clear, you know taxes are applicable at an entity level, so there could be small tax leakages at one or two subsidiaries. But largely, we will remain to be a zero-tax company.

Rajat Mehra: You know, with the current assessment that we have done, we don't see any of our subsidiary actually will be paying taxes over the next three years. And depending upon the kind of investment that we make in capex and otherwise, this may actually get deferred further. But as of now, the earliest one will be probably in three years. But beyond that, it will be probably ranging to six years or eight years.

Yash Dedhia: And on the recycling basis, so how do we look at our current portfolio like you know obviously we are trying to probably increase the mix in favor of upper-upscale. But what's the velocity behind, what kind of hotels are there because We were under the impression that everything

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which is under our engine is running smoothly and efficiently already. So, then what becomes non-core and why are they getting sold? And if they are getting sold then what kind of multiples on EBITDA are we looking at?

Ashish Jakhanwala: So, Yash, very interesting. I think everything is doing well but, I wish. I would think 90% of our portfolio is doing really well, 10% can do a lot better. But that's not the reason, what's not doing better. We will work hard to make sure it does good. But there

are certain assets where we expect

the markets to be not as exciting as we want them to be. So, for instance, if you look at markets like Hyderabad or Bangalore or Pune, these are four markets or Delhi for instance, the NCR.

These are four markets for us. These are markets which give us the confidence that they'll continue to grow anywhere between high single-digits to early double-digits revenue growth which is what we want. And you saw our same store asset where the revenue growth was 13%, the EBITDA growth was 20%. So, that's the sort of operating leverage We carry.

So, even if the larger portfolio grows between 9% to 11% total revenue growth, we remain fairly excited about how our earnings growth will be, especially given our financing cost is coming down, depreciation remains stable. So, we really see a very strong operating momentum in SAMHI over the next few quarters. But yes, there are a few assets where we don't expect the market to support us in terms of delivering that double-digit revenue growth. And we on the contrary have secured markets like Hyderabad and Bangalore where we are very, very convinced given the data that is available that our money being deployed in those markets will help us 'maintain and secure double-digit revenue growth.

So, it's all about reallocating capital from assets and markets where we expect the revenue growth to be substantially lower than what we are seeking as a company. And this helps us make sure that we maintain high growth without exerting any pressure on our balance sheet and also take concerns about constantly reducing our leverage. So, it's a strategy of balancing growth with balance sheet, using the capital that we have stuck in some of our assets. Now I will be reluctant to exactly tell you the market, because I don't want potential buyer to start discounting those markets. So, I will stay away from saying which market we have our own opinion, but we do feel we have to reallocate capital from some assets and market where our excitement is far lesser than our excitement about the rest of the portfolio. And that's something which has nothing to do with cycle, nothing to do with what we have done in those assets historically, it's all about future proofing our business and I think every two or three years you'll see some rebalancing of our portfolio.

Moderator: Thank you. We will take our next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: My question is on the line for ACIC hotel, we have now two quarters back-to-back seeing RevPAR growth of double digit. Now, T mean, in this year that is 13% and 16% and last year 'we have seen like consistently between 15% and 18%. So, can we continue to see this RevPAR

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growth going ahead for quarter three and quarter four as well? We have been consistently doing that 15%, 17% on YoY basis.

Ashish Jakhanwala: Vignesh, I think, I would maintain our long-stated view that sustainable total revenue growth in our markets will be in the zip code of high single-digits to early double-digits. We obviously expect to keep beating that if we continue to get the tailwinds that they're getting. But I would T myself, my team and I would advise our investors to feel comfortable and happy if the markets give high-single digits to early double-digits RevPAR growth. We believe that most of the large markets have the right economics in terms of demand and supply. But you know it's also a business which is very temperamental and there are often quarters when one single event or lack of an event can kind of disturb those averages. But that's really the long-term sustainable growth that we are targeting from our same store of assets.

However, we as a company feel that we have a lot more ammunition to kind of beat the market averages and that's happening through what we classify as in

ternal growth projects and they've

been articulated well on our presentations, I will not go into the details. But all of the internal growth projects that you see are really an effort for us to make sure that we constantly beat averages and that's really perfect job of a management team in a strong market that can you beat the averages.

Vignesh Iyer: Second question from my side is the movement that we are seeing in upper-upscale from 1,070 rooms that we have and yes we estimate that it could reach 1,900. So, two things on this part, I wanted to understand. First thing is what is the timeline, if you could guide me on around which quarter? And second is it that the movement of 900, almost 800 rooms that is getting added to upper-upscale is the majority of that coming from ACIC Portfolio?

Ashish Jakhanwala: No. So, if you see the breakup of approximately 900 rooms, 525 rooms is the three acquisitions that we have made. 76 rooms is the growth of inventory in our existing operating assets. So, almost 600 of these circa 900 room is coming from incremental inventory. The balance circa 300 rooms is coming from the two conversions of the ACIC Portfolios.

Vignesh Iyer: And the first part of it, sir, I mean timeline on that?

Ashish Jakhanwala: So, it's really staggered and that's a good thing that our delivery of premiumization of our portfolio starts from the 142 rooms we acquired in Bangalore, the 76 rooms in Hyderabad and Pune will get added let's say by the same time next year. The Hyderabad asset will get added sometimes in FY'27. The second Bangalore asset will get added let's say three years from now. So, the process has already started and almost I would say every six months you would see the upper-upscale inventory growing from the existing base of 1,000 rooms. And in a three-year period moving to that circa 2,000 room inventory that we are disclosed right now.

We understand the concerns on the timeline, so we will try and update and invest the presentation over the next few weeks and upload it to our website, so that the investors have a clear view of

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the timeline. We understand that that's one concern that probably has not been addressed adequately in the deck that we have uploaded.

Moderator: Thank you. We will take our next question from the line of Siddharth from Caprize Investment LLP. Please go ahead.

Siddharth: I have a small question as to, will you be raising funds to reduce your overall debt, so can we expect any fundraise in the short-term?

Ashish Jakhanwala: I think given we are a professionally managed company, unless I don't have this discussed at the board level, I really don't want to make any loose statements about it. But I will reassure, that given we are a professionally managed company, our ability and our intent to recapitalize ahead of the requirement is fairly certain. But today we have no such discussions. We have had discussions at the board level in terms of assessing the opportunity and the risk, but we have not really reached a decision until such time I will not be able to comment on the timeline.

Moderator: Thank you. We will take our next question from the line of Krishna Shah from Ashika Stock Broking. Please go ahead.

Krishna Shah: I have one question. I wanted to understand the ramp up period for the new hotel that we are building. What time will it take to reach the optimum occupancy level that we target between 70% to 75%?

Ashish Jakhanwala: This thing you are talking about Hyderabad, Bangalore?

Krishna Shah: Yes, yes. The new hotels, yes.

Ashish Jakhanwala: Okay. So, as I said, there are three components to that. The first one is the existing operating 142 room hotel in Bangalore, Whitefield. We expect that in the next 18-odd months, the hotel will get rebranded. Till then, the hotel continues to remain fully operational and at the end of 18 months, as we

renovate and rebrand the hotel, is when we will see a big change in its performance. Historically, we have seen that in existing operating assets it takes about two quarters to deliver a strong performance given the fact that you get time prior to the rebranding to take the steps that you need to.

The second one will be Hyderabad, which we mentioned will be opening somewhere in FY'27. And we expect that it will take about, I would think 12 to 15 months for us to deliver strong performance, largely given the fact that the market is doing about a 75% occupancy, very strong rates and we don't see any new supply in that micro market at least in the timelines that we expect to operationalize the hotel. So, we expect very quick stabilization of these two hotels. And the third one which is a new block in Bangalore Whitefield, honestly, it's at least three years away from opening, so I would not comment on stabilization of that hotel yet.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. Ashish Jakhanwala for closing comments. Over to you, sir.

Ashish Jakhanwala: Thank you everybody for your time. As I mentioned in my opening remarks, we feel fairly confident and excited about adding this growth to our portfolio. We also remain fairly confident about the fact that our ability to do these long-term lease conversions provides us a path for a fairly capital efficient growth in the future. We think the existing portfolio is well poised to

continue to deliver industry-leading growth rate. And with that, I think we are looking forward to closing a strong FY25 and positioning SAMHI for greater success in the next year or two. So, with that, thank you so much for your time and we look forward to speaking to you soon. Moderator: Thank you, sir. On behalf of SAMHI Hotels Limited, we conclude this conference. Thank you for joining us. And you may now disconnect your lines.

## Call: Feb 2025

SIMART HOTEL INVESTMENTS —  
SAMHI Hotels Ltd.

Correspondence SAMHI Ltd

Tel: +91 124 4910100 Fax 44910199 www.sambi.coin 05<sup>TM</sup> February 2025

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,

Dalal Street, Mumbai - 400 001, Bandra Kurla Complex, Bandra (East),

Maharashtra, India Mumbai — 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q3 FY25 Earnings Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q3 FY25 Earnings Call held on Thursday, 30%

January 2025 at 02:00 p.m. IST.

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: 4s above

HI SMART HOTEL INVESTMENTS:

SAMHI Hotels Limited

Q3 & 9M FY25 Earnings Conference Call

January 30, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30<sup>th</sup> January 2025 will prevail.

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SMART HOTEL INVESTMENTS: v

MANAGEMENT: MR. ASHISH JAKHANWALA - MD & CEO

MR. RAJAT MEHRA — CFO

MR. GYANA DAS — EVP & HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VP (INVESTMENTS)

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January 30, 2025

Moderator: Ladies and gentlemen, good day and welcome to the SAMHI Hotels Limited Q3 and 9 Months

Ashish Jakhanwala:

Rajat Mehra: FY25 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “\*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala - MD & CEO of SAMHI Hotels Limited. Thank you and over to you, sir.

Thank you so much. Good afternoon, ladies and gentlemen. Welcome to SAMHI Hotels Earnings Call for the Quarter Ending December 31, 2024.

Thave withme today, Rajat Mehra who is the CFO; Gyana who is EVP and Head of Investments; Nakul Manaktala — VP of Investments. We also have on call our Investor Relation Advisors, Strategic Growth Advisors.

We have uploaded our Q3 FY25 Financials and Presentation on the Exchanges and I hope everybody had an opportunity to go through the same.

To begin with, I will request my colleague, Rajat, to give us a “Summary” of our “Financial Performance<sup>TM</sup>”, after which I will give you a small brief on business and then we will open the floor for Q&A.

Rajat, over to you.

Thank you, Ashish, and good afternoon everyone.

It gives me immense pleasure to announce SAMHI's Financial Performance for the Quarter Ending December 31<sup>st</sup>, 2024.

Starting off, I would like to point out that this is the first quarter when both the current quarter

and year-on-year comparable quarter have full consolidation of ACIC portfolio given the August 2023 acquisition date.

Our asset income, which captures the revenue generated from our hotels, stood at INR 296 crores registering a year-on-year growth of 10% as compared to same quarter last year. This growth is

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driven by same-store assets delivering a strong RevPAR growth of 15% year-on-year. The ACIC portfolio had muted revenue growth as we have currently focused on completing the transition from “Marriott Franchise

’ to “Marriott Managed” coupled with fixing the cost structure. With those initiatives completed, our focus for ACIC portfolio now shall solely be towards increased market penetration and revenue growth during financial year 2026.

Our asset EBITDA, which captures hotel level profitability, stood at INR 1 crores for the current quarter, registering a year-on-year growth of 13% as compared to same quarter last year. Asset EBITDA margin stood at 41.2% demonstrating 90 bps year-on-year improvement. ACIC portfolio margin stands now at 39.4% for the quarter, which should move towards 40% or so going forward in Q4 FY25. We have seen material reduction in net corporate G&A and ESOP expense both at INR 4.4 crores each.

On the basis of this, I am happy to report that our reported consolidated EBITDA stood at INR 113 crores for the current quarter, registering a 25% year-on-year growth as compared to same quarter last year. Consolidated margins have reached to 37.9% with headroom for further margin expansion going forward. Depreciation expense has been stable at INR 29 crores. We have one of our pre-IPO high-cost loans during the quarter which has been refinanced and would result in an annual saving of INR 16 crores. However, this comes with a non-cash accounting entry related to the write-off of the upfront fees paid prior to the takeover of the loan. This has inflated our reported finance cost by Rs. 6.5 crores to Rs. 62 crores.

All in our reported PAT stood at INR 43 crores. Adjusted for non-cash finance cost entry, our PAT would have been circa INR 30 crores. From a capital structure perspective, our net debt as on December 31st, 2024 stood at about INR 2,060 crores with the cost of debt of 9.4%. The quarter-on-quarter increase in net debt on account of growth CAPEX that we have incurred for the acquisition of the Trinity Hotels in Bangalore, Holiday Inn Express additional rooms and W Hotel developments. Our operating assets are now at trailing 12 months net debt to EBITDA of 4.3x after adjusting to the growth CAPEX that has been incurred.

’With that, I shall now request Ashish to speak us through the market and the business update.

Thank you, Rajat. As Rajat mentioned, we witnessed a very strong 15% RevPAR growth for same-store assets. This was a result of continued demand from an expanding office market across our key cities and a record passenger movement of 77 million passengers during the last quarter.

The new hotel supply continues to remain very low in key cities and creates a perfect environment for RevPAR growth.

Bangalore and Hyderabad, two of our key markets and also the markets where we are adding new inventory, continue to see robust office space growth and a strong increase in airline passengers. The amount of investment in interest that the tech sector is getting alongside the global capabilities center will continue to boost demand in these cities. Bangalore benefits from

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a very large base and while Hyderabad we feel has phenomenal infrastructure in place. As we see continued revenue growth, we remain focused on revenues to improve our EBITDA margins as Rajat mentioned, at the asset level, delivered EBITDA margins are 41.2%. Within that, the same-store assets achieved an EBITDA margin of 42.2%. ACIC is almost touching about 40%. As discussed in past calls, we are working on a few fronts to deliver strong growth in addition to what we expect from our same-store assets. And I think the first part of that is pretty transformational in which we are changing the whole portfolio construct where the upper upscale and upscale hotel portfolio through various steps will double in inventory from about 1000 current rooms to over 2000 rooms. It is important to note that this segment of hotels operate at much higher revenue per room as compared to our current portfolio average. These increases in inv

entories happening via the following, work has started to add 54 rooms in Sheraton, Hyderabad and 22 rooms in Hyatt Regency Pune, These shall be completed in FY26 and since these are part of the existing operating hotels, the stabilization timeline shall be very rapid. Next, we are repositioned two of the upper mid-scale ACIC assets in Pune and Jaipur, adding to about 330 rooms into a Courtyard by Marriott and the second hotel in the Tribute Portfolio by Marriott. The 217 room Courtyard in Pune will therefore be the second Courtyard in our

portfolio following the hugely successful Courtyard by Marriott in Bangalore, Outer Ring Road. The W Hotel in HITEC City, Hyderabad and the Westin Tribute Combo Hotel in Bangalore, Whitefield will together add about 530 rooms in key and high performing micro markets. We have witnessed both of these micro markets, which is HITEC City and Whitefield perform very strong over the past few quarters.

In our upper mid-scale portfolio, we are adding about 80 rooms to our existing Fairfield by Marriott in Chennai, Stipumbudur. The existing 153 room hotel has seen strong performance within our portfolio and after this expansion, that hotel would be 230 rooms. Lastly, in our mid-scale or the Holiday Inn Express Portfolio, we have seen successful renovation and rebranding of the erstwhile Caspia Pro into Holiday Inn Express with 133 rooms. This hotel reopened in December 2024 and is gradually capturing market share within the Greater Noida precinct. The other 170 odd rooms in Calcutta and Whitefield, Bangalore are fully ready and waiting for final approvals, which are expected shortly. We also continue to make good progress for asset recycling as discussed on our earlier call and this will help us reallocate the capital for both better margins and improve the process.

I would request participants to access our Q3 FY25 Investor Presentation that has been uploaded to view some of the images of the growth projects we are working on. This will give you a good idea on how we are transforming a portfolio and its impact on the financial outlook.

With this, I shall open the floor for Q&A. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes Karan Khanna:

Ashish Jakhanwala:

Karan Khanna: to ask a question may press "\*" and 1 on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press "\*" and 2. Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Hi, thanks for the opportunity and congrats, Ashish team on another quarter of operational turnaround. So, Ashish, my first question is on the broader market, we have seen about 3 or 4 years of very strong performance on the luxury hotel rooms. Increasingly, do you think that next 2-3 years, we will possibly see the mid-scale and the upscale segment doing potentially better than the luxury segment? And in that context, how do you think about potential RevPAR outperformance for your portfolio compared to, let us say the luxury hotel rooms in the next 2-3 years?

So, thanks Karan. You are absolutely right, we have now seen, I guess about 8-9 quarters of strong performance. The early indicators for the current quarter continue to indicate pretty strong growth on a year-on-year basis. We think the occupancy levels are now mid 70s in several markets, touching high 70s. If you were to break that within day of the week occupancy, we are seeing weekdays doing anywhere between 80%-90% occupancy levels in some of our key markets and hotels and therefore that really leaves the room for rate growth. I think in terms of segment performance, Karan, we feel that

for the next several quarters, all segments will continue to perform well. Having said that, we believe that the inventory position that we have created in Bangalore and Hyderabad and the future supply that we are bringing through the W in Hyderabad, the Westin Tribute in Bangalore, I think that will have a substantial impact on how SAMHI's performance turns around over the next few quarters and years because these are undisputedly some of the best performing markets, not just in terms of hotel performance, also in terms of office absorption and airline growth. So, I think our excitement is stemming from the fact that we have secured the right growth pipeline in cities, which are fairly well poised for continued RevPAR growth and you will see the impact of that starting this year, when we add rooms to, let us say, Sheraton Hyderabad, next year, I am saying FY 27 when we start seeing the opening of W in HITEC City, Hyderabad and then, of course, beyond that the Westin in Bangalore.

Sure, this is helpful, Ashish. My second question pertains to your net debt. So, we have seen about almost Rs. 2 billion increase this quarter and your net leverage is at about 2.1x, which is your peak net debt guidance as well. Do you still maintain the 4.5x net debt EBITDA for FY25 and 3.5x for FY26 and as a followup, do you also see any potential asset recycling opportunities materializing soon, in which case the leverage or the net debt to EBITDA potentially could be at a lower level?

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SAMHI Ashish Jakhanwala:

Karan Khanna:

Ashish Jakhanwala:

Karan Khanna:

Moderator:

Pradyumna Choudha

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So, Karan, first, just to clear, you are absolutely right. We have the peak leverage levels right now because we have already accounted for the CAPEX we spent on Bangalore acquisition and Hyderabad. Now, starting Quarter 4, all of the CAPEX that we are incurring in, development of these assets is coming from our internal accruals and free cash. With that, we remain fairly confident of achieving the 4.5% net debt to EBITDA on a reported basis, end of the current fiscal year and then subsequently because our EBITDA growth is pretty substantial, we expect that to quickly de-accelerate to 3.5 net debt to EBITDA Levels. So, we are absolutely on track. And to add to that I did make a comment, Karan, that we are making good progress on asset recycling. We believe that as we probably start that program that will obviously further assist our ability to further accelerate the deleveraging, which means that the path to that 3.5x could be slightly quicker basis the success of that asset recycling and we are making good progress so far.

Sure. My third and last question, if rebranded the Caspia Pro in Greater Noida to Holiday Inn Express, so if you can talk a bit about how has been the change in terms of the ARR, RevPAR since last week of December when you rebranded this into Holiday Inn Express?

So, Karan, the Holiday Inn Express, Greater Noida opened in December 2024, it has just been just about a month. Just give me a second. I am just looking at the performance data, so this hotel used to operate at a rate of about Rs. 2,300, early numbers and that is because it is just the first few days. The hotel is currently trading at month to date at about Rs. 5,600. So, we have seen a 2x growth, but word of caution, Quarter 4 is undoubtedly the best quarter at least our company tends to see because of how business travel stacks up in this current quarter. So, I would not guide people to think that Holiday Inn Express Greater Noida will sell at Rs. 5,600, but it is just that it has transformed into a 2x change with renovation and rebranding.

Sure, this is helpful, Ashish. Thank you and all the best.

Thank you. Ladies and gentlemen, in order that the management is able to address questions from all participants in the queue, we request you to please

ease restrict your questions to 2 per

participant. You may rejoin the queue for follow-up questions. We have the next question from the line of Pradyumna Choudhary from JM Financial Family Office. Please go ahead.

Yes. Hi, Ashish, congratulations on a good set of numbers. I just wanted to understand a bit more on the ACIC side, what has been the revenue growth. You spoke about muted RevPAR growth over there. So, that means it has been absolutely flat and second would be, what is happening in terms of you spoke about transition and all, but on the ground, what really was happening which actually prevented us from growing on the ACIC portfolio given the strong tailwinds across the hotels that we are currently seeing?

Thank you for your question. So, let me first assure you what we are seeing is a part of the plan and not either a surprise or disappointment. So, just to give you numbers, during the quarter that we just reported, the total income in ACIC remains flat vis- vis the same quarter last year, but

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Pradyumna Choudha

Ashish Jakhanwala:

Pradyumna Choudha

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the EBITDA margin is expanded by about, actually the growth in EBITDA was about 10% with a margin expansion of 300 basis points. So, what had happened was that till about October, November, these assets were franchised and in November they transitioned to Marriott manage. All the efforts towards restructuring the organization, change in food and beverage has now been implemented and that is why even on a flat revenue we have delivered almost a 10% EBITDA growth.

The second thing which happened Pradyumna, it is very standard when you transform a hotel from franchise to manage is you tend to draw a lot of business which is low rated and not high margin. So, the first thing one needs to do is to free up the bandwidth to secure the high rated high margin business, but the first step has to be to lose and let go of the low rated low margin business. So, that has happened in the last quarter. You will see the revenue growth coming into this portfolio starting the current quarter, because now all of that cleanup has happened, lot of low rated accounts have been now flushed out of the system. There is a part of the plan which is delivering margin expansion, EBITDA growth and starting Quarter 4. As we start seeing the revenue growth coming into this portfolio, you will then see a significant flow through impact on to the bottom line.

Understood. And just to follow up here, so the muted revenue growth was account of lower occupancies or lower muted ARR growth or was it a combination of both?

Actually, if you ask me pretty much the same, both are flat and so is the F&B income also right. So, it is actually when I am looking at the data here, we are seeing occupancy remain flat, the rate also kind of remain flat and F&B the income was exactly the same Rs. 13.2 crores for the quarter. So, overall metrics were kept flat, but the EBITDA went from Rs. 19 crores to Rs. 21 crores.

Alright. And my last question is regarding the CAPEX plan for FY26 and FY27, if you could just give the broad numbers that would be really helpful?

Yes, so FY25, we have now at least we had made a lot of investments. In the current quarter, we only expect about Rs. 20 odd crores of capital expenditure which is Quarter 4. For the next fiscal year, we have approximately Rs. 200 crores of capital expenditure of which about Rs. 50 crores will go towards the new rooms opening in Sheraton and Hyatt Regency. And the good news is that that capital expenditure brings immediate profit because these are existing operating hotels and then the balance about Rs. 125-Rs. 140 odd crores is between the W Hyderabad and the Tribute and Westin Bangalore Whitefield.

And FY27 plan you have or it is like?

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Ashish Jakhanwala: About 150 crores a year for FY27, FY28 for us to be able to deliver the Westin in Bangalore in Pradyumna Choudha

Ashish Jakhanwala:

Moderator:

Jinesh Joshi:

Ashish Jakhanwala:

Jinesh Joshi:

Ashish Jakhanwala: FY29 as we have indicated. So, for both FY27 and FY28, we expect about Rs. 150 crores annualized capital expenditure.

Alright. Thank you and all the very best.

Thank you so much.

Thank you. We have the next question from the line of Jinesh Joshi from PL Capital. Please go ahead.

Thanks for the opportunity. Sir, just one observation from my side. Our same-store RevPAR growth is about 15%, but our revenue growth is 11%, which perhaps indicates that F&B revenue growth in this quarter was a bit subpar. Now, given in this quarter, the MICE revenue typically tends to be higher given the concentration of wedding dates. Any reason why the F&B revenue growth was lagging this time around and also in this context, how should we think about F&B growth going ahead?

Yes. So, I think a very good question. I will just further break, so first of all, absolutely yes. The RevPAR growth of 15% resulting in a total revenue growth of 11% means lower than 15%, actually lower than 11% F&B growth. So, we have seen F&B grow at about 5% on a year-on-year basis. Not within that what is interesting is that we have seen the venue revenue, which is what you are referring to the meeting spaces, the ballrooms and all of that has actually grown at 13% year-on-year. So, you have seen reasonable growth in the MICE or the events related business. It is the specialty restaurant, the outlet income, which has remained almost flat, right. So, we have seen some sort of flattening of revenues in the outlet revenues. I cannot really naturally I think it is too early to blame external factors. Give us a quarter or so. We are reviewing internally both our pricing products, probably some marketing efforts that we need to make in 3 or 4 specialty restaurants that we have. Our total F&B contribution is just about 25%-26%. It is not very substantial, but we see opportunities to improve the outlet revenues because we don't really see a problem per se as you mentioned in the overall MICE or the events revenue.

Got that and sir, in the opening comment, you also mentioned that the ACIC portfolio is expected to shift from the franchise route to the management contract route in November, so with the shift happening, what kind of RevPAR growth are you expecting given the fact that in the 9 month, your number on the ACIC side was relatively flattish?

So, I think the main focus now, so first of all, the whole transition has been completed. All the organization changes that needed to be made, I would believe 90% of those changes have been fully completed so far. The focus therefore now is completely repricing the asset. Our expectation is that from current quarter, you will start seeing the rate growth coming into the ACIC portfolio. Occupancies are at 72%-73%. So, they are pretty stable and good. You will see

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Jinesh Joshi:

Ashish Jakhanwala:

Jinesh Joshi:

Ashish Jakhanwala:

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Abhishek Khanna:

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Ashish Jakhanwala:

Abhishek Khanna:

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a churn of the rate mix and I think in FY26, you should expect 90%-11% total revenue growth in ACIC.

Sure. And the last question from my side and the margin rejig exercise in ACIC, is it fully complete or do you think that further elements in terms of cost rejig are yet to be pending, which can lead to further improvement in margin because I need this 9%-11% RevPAR growth, the flow through for EBITDA will be there from this element, but anything from the cost side which can lead to an improvement in the margin is what I want to understand?

So, I think on cost we have, so whatever you are seeing with

flat revenue, we have got the

margins up from almost 32% to 40% now. Going forward, the margin expansion will really be a result of flow throughs from incremental revenue. So, first of all, we do definitely see the margins in ACIC portfolio cross 40%, remain there for an annualized basis. You will always see quarter 1, quarter 2 being slightly lower. But I think on a full year basis, you will see ACIC definitely cross 40% plus, but that movement from let us say 39% for the quarter or for the last year, let us say 36%-37% to 40% is now going to be largely a factor of flow through of incremental revenues.

Got that. Thank you, sir.

Thank you.

Thank you. The next question comes from the line of Abhishek Khanna from Kotak. Please go ahead. Mr. Abhishek Khanna, your line has been unmuted.

Yes. Am I audible?

Yes, you are audible.

I just wanted to check. I understand the Caspia Delhi is going for renovation starting January as you mentioned in the presentation. Could you share what was the contribution to earnings in terms of, let us say, the revenue or EBITDA for this hotel annually, if any?

Rs. 1 crore. That is it.

Negligible. Got it. And when do you expect to complete this innovation broadly a year or so? Is that how it is?

Yes, that is about a year. Our Fairfield Portfolio today, Abhishek delivers us EBITDA, so our Fairfield Portfolio does an EBITDA per key of about 10-12 lakhs. We do expect this hotel to kind of be positioned on the lower end of that. So, I will say closer to the 9-10 lakhs per EBITDA. Effectively, Abhishek this hotel was being kept operational because of the licensing issues and that is why the EBITDA was just about Rs. 1 crore. As we renovate this hotel and it is a pretty

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Abhishek Khanna:

Ashish Jakhanwala:

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quick light renovation, Fairfield, we do expect the contribution from these 140 rooms to be materially different to what we have seen in the past. I is in FY27.

Got it. And second, on slide 10 of your presentation where you have given the waterfall from the asset income and the asset EBITDA 3Q 24 to 3Q 25. It says the acquisition contribution is 56 million, does that include ACIC and Trinity both in the two lists and the EBITDA contribution is Rs. 4 crores or you mentioned in the notes that it is ACIC plus Trinity, is it both of them or just Trinity?

Both, because ACIC, we will take to same-store starting 1st April. Yes, once we complete the fiscal year for just the sanctity of the numbers. From 1st April or first quarter FY26, ACIC will be kind of included in the same-store. In such point, ACIC and Trinity both are adding up to that acquisition impact.

Does that mean 960 keys plus 140 keys of Trinity were generating Rs. 6 crores of quarterly

revenue and Rs. 4 crores of quarterly return?

Additional. ACIC remains flat and therefore the large amount of incremental revenue that you are seeing is actually from Trinity.

So, you are saying the first bar, which is 2692 for asset income, includes part of the ACIC income?

That is it. That was reported, absolutely.

Got it. And then the last question from my end, given the capex plans for the next 3 years Rs. 200 and Rs. 150 crores each for the years after that, that broadly adds up to what you have given as the planned CAPEX for the Hyderabad and the Bangalore hotels, from what I remember I think Rs. 150-Rs. 200 crores for Hyderabad and probably Rs. 300 odd crores for Bangalore existing plus new, is that all the CAPEX that you plan to do or there is some additional CAPEX that you will do for the renovation etc., and the addition of existing keys that you are doing on the portfolio that you already have?

Abhishek, I just add to what I said earlier. So, if you see the total CAPEX plan for Bangalore continues till FY29 and when you

are adding a whole block of rooms, a large part of the CAPEX.

actually seeing not really back ended, but like spend towards the completion of the project and FF&E and other items, right. So, the current Rs. 200-Rs. 220 crores for FY26, Rs. 150 each for FY27, FY28 and then of course the Westin Bangalore going into FY29 gives us the whole pool of capital, which is required for next year, Sheraton in Hyderabad room addition, we need about Rs. 50 crores for that it is required for some bit of the renovation and Caspia Delhi for instance, is very low, it is about 8 lakh, 10 lakh per key Rs. 14 crores renovation that we are envisaging for massaging for Caspia Delhi and the rest is basically going towards the Westin and the W.

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Abhishek Khanna:

Ashish Jakhanwala:

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Abhishek Khanna:

Moderator:

Shubham Ajmera:

Ashish Jakhanwala:

Ashish Jakhanwala:

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We don't forget we already have assumed in our, of course, we don't give a guidance, but in our internal business plan our financial statement already carries approximately Rs. 40-Rs. 50 crores of expense that we take through a P&L and that pretty much captures all capital expenditure that is needed to be incurred in our existing operating portfolio. So, in addition to the CAPEX that we are setting aside outside of the P&L, our P&L always carries a significant amount of charge towards capital expenditures, both maintenance and sometimes slightly longer term and that number will be about Rs. 40-Rs. 50 crores.

Got it, so just confirming the next 2 years of Rs. 150 crore each would also probably include some towards, let us say expansions at Chennai and the other hotels that you do, there may be. That is right.

But the balance for W / Bangalore being slightly there in FY20 is how it is?

Only for Westin Bangalore. The W will be fully spent in FY26 and FY27. We are pretty much on track to open that hotel in FY27 right now. So, W has to have flow through the capital expenditure for this period. The renovation of the existing hotel in Trinity is not a high amount and that will also be done in FY27, early 28 and Westin goes in FY27.

Perfect. That is helpful. Thanks a lot.

Thank you. Participants who are joining question queue are requested to please restrict your questions to 2 per participant. Please rejoin the queue for follow up questions. We have the next question from the line of Shubham Ajmera from SOIC. Please go ahead.

I just had a question that in Quarter 4, basically, do we see a topline reverting to 10%-15% level in Quarter 4?

We are seeing pretty good business in books, Shubham. But I would like to abstain from giving a very definitive guidance. But I can for sure say that looking at the business on books today and we still have 60 odd more days to go in the current quarter, the total revenue growth does remain higher than what we have seen for the prior quarter.

Thank you and basically, second question was when we look at the EBITDA margins of our hotel versus some of the other listed hotels, do we expect that even our EBITDA margins will start inching towards 41%-42% level?

Yes, absolutely, no doubt about it.

Actually, we don't like too much of breaking the numbers because it looks like unnecessary

justification, but if you look at our upscale portfolio, which is very stable, there is no new addition, no ACIC. We actually see the EBITDA margin of what 43%-44% there and as we

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Shubham Ajme;

Ashish Jakhanwala:

Moderator:

Yashowardhan Agarwal:

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Yashowardhan Agarwal:

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integrate ACIC as some of the mid-scale hotels starts to improve performance, I think the least we expect is the

number that you just mentioned.

Great, sir. Thank you and all the best for the next financial year.

Thank you.

Thank you. The next question is from the line of Yashowardhan Agarwal from Arthya Wealth & Investments. Please go ahead.

Hello, I am audible?

Yes.

Congratulation on good set of mmbers and thanks for the opportunity. Sir, my first question is on the debt. So, carlier you had explained that how will net debt to EBITDA will look like in terms of absolute debt so sit, if you can talk about that how the debt reduction plan would be and absolute debt that you were expecting by FY25, FY26-FY27 end so if you can talk on that? Yes, I think I only patly got your question, which is the first part that how do we intend to reduce our debt, right? Can you repeat the second part of the question?

Sorry to interrupt, Yashowardhan before you ask your question again, we request you to please check the mode that you are using on the handset, you do sound a little muffled.

Is it better?

Please go ahead.

So, the question is that please explain the net debt we are expecting in FY25, FY26 and FY27, but can you please talk about the absolute number that you would be seeing in the year end? And what s the road map towards the reduction because you have just highlighted the CAPEX plan, so if you can talk more than that?

Absolute debt reduction right. So, as of today, our gross debt is about Rs. 2,200 crores, which has remained pretty much the same for the last several quarters. Our net debt has increased on account of utilization of cash for the acquisition in Bangalore, Hyderabad and capital expenditure towards the opening of the two or three Holiday Inn Express hotels that we have.

So, our gross debt has remained same. There could be marginal changes quarter-on-quarter on account of overdraft limits being drawn and deposited, so on and so forth. But largely it remained the same, right. In terms of the gross debt level, it will obviously come down on account of two factors. One is the fact that we continue to make scheduled repayments to our term loans on a yearly basis. So, there is a part of the cash that the business generates which s used towards

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Yashowardhan Agarwal:

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repaying the gross debt, right. The second is of course the fact that if you look at our current cash production being done by the company, interest expense and capital expenditure, we expect that we will always maintain a slight surplus which will further go towards further reducing our nct debt. And the last but not the least our potential impact of an asset recycling where when we just sell an asst and all of that cash cither gocs towards reducing gross debt or cash in the company reduces in the net debt the asset recycling will further allow us to reduce the net debt right. In terms of an absolute number of where we expect the gross or the net debt to be over the next let us say, 3 years, we actually think that it will be closer to Rs. 1,700-Rs. 1,800 crores of

net debt over the next let us say 2-3 years and that will be a factor of really the cash generations and asset recycling. So, we see Rs. 1,700-Rs. 1,800 crores of net debt in the business and this is without any so to say, expectation of the capital raise for an external capital.

So, but this is after considering the asset recycling that we are trying, right?

Yes, some bit of asset recycling. The amount from asset recycling as we have indicated earlier is not very substantial about Rs. 200 odd crores, so about Rs. 200 crores from asset recycling and the balance, let us say, about Rs. 100-150 crores is the incremental cash that the business will generate because of the efforts we are making. So, that will take our net debt from Rs. 2000 crores to Rs. 1700 crores.

Thank you, sir

. And sir, in terms of asset recycling, if you can share how many rooms are you expected to recycle so in terms of total room that we can see after next, let us say, one or two years our asset recycling strategy successful, what will be the total luxury number of rooms? Let me clarify. The assets that we are considering for asset recycling are, I have to follow the following criteria. Number one, the contribution of EBITDA from those assets should be, I would say minuscule, and therefore they really don't impact the path that we have set for the company in terms of where it is headed in terms of revenue, EBITDA and PAT. So, these are assets which don't really contribute significantly to our current revenue and EBITDA. Second, obviously we want to recycle capital in markets where, we believe in the market, but we believe we have a better opportunity of that capital going to some other markets, right. So, we expect the room count to be not substantially different, Yash. I would think that cumulative rooms across these assets that we would recycle would be perhaps 200-250 rooms. We are adding far more inventory in our portfolio and the recycling is being done of assets which are in the mid-scale space and therefore the revenue contribution is also not substantial.

'Welcome, sir. And sir, just last question if you share the RevPAR growth citywise for Bangalore, Hyderabad, Pune and Delhi?

So, just give me a second. So, we saw for the quarter ending December 31 - Hyderabad RevPAR growth was 24%, Bangalore was 20%, Pune was 17%, Yes, that is the RevPAR growth that we

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Yashwardhan Agarwal:

Moderator:

Aditya Singh:

Ashish Jakhanwala:

Aditya Singh:

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have seen. We have seen some smaller markets grow disproportionately, like Vizag at 28% and Coimbatore at 31%. But I don't take those things. I think those things are a pinch of salt because there is a base which is playing into those numbers, right. They started from a very low base.

So, my excitement continues to be about Hyderabad being at a very large base last year and yet growing in 24% RevPAR year-on-year, same for Bangalore. Our Bangalore hotels are some of the best performing hotels in the portfolio and yet we saw a RevPAR growth of 20% year-on-year and that is for same store, so no impact of acquisitions and disposals on that. And Pune also remains pretty impressive at actually 17% RevPAR growth.

Thank you.

So, sorry to interrupt. We request you to please rejoin the queue for further questions. Thank you. Ladies and gentlemen, to ask a question you may please press "\*" and 1. The next question is from the line of Aditya Singh from Robo Capital. Please go ahead.

Hi, thank you for the opportunity. Sir, going through the page 18 of PPT, can you please explain me what are the new projects or new keys that we are adding in FY25 and FY26, for instance, serial #2 Holiday Inn Express, Kolkata, that belongs to the new opening category, so that will be new keys, right?

That is right.

And the conversion will be just the conversion from X to Y, right?

Yes, so good question. Let me clarify it for you and even Nakul just help me here. So, in FY25, Greater Noida was a conversion does not change the total inventory reported by us. The Calcutta 111 rooms and the new 56 rooms in Bangalore Whitefield adding up to 170 rooms, is an incremental inventory. FY26 of 54 rooms in Sheraton Hyderabad and 22 rooms in Hyatt Regency Pune are new rooms, were not renovated. They are actually increase in inventory. So, we see about 80 odd rooms or 76 odd rooms improving in FY26. Then, if you look at Pune, Caspia Delki, Four Points, Jaipur, these are all conversions, so they don't change the total inventory. The Fairfield by Marriott, Chennai, Stiperumbudur, which is 86 rooms, is again an additional inventory which will add to the total

total count. And then, of course, the W Hyderabad 170 rooms is a completely new hotel and in Westin and Tribute Portfolio, Bangalore Whitefield of the intended 362 rooms, 142 is existing to be rebranded and the balance 220 odd rooms is the new inventory. So, that is really, I will take you through the entire summary of both projects, where there is a conversion and where there is actually an impact on the total inventory. Alright, I got my answer. Thank you.

Thanks, Aditya.

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Moderator: Thank you. We have the next question from the line of Kaushik from Trader Capital

Kaushik:

Ashish Jakhanwala:

Kaushik:

Ashish Jakhanwala:

Kaushik: Management. Please go ahead.

Yes. Hi, Ashish, actually I want a medium-term perspective. Three years out, where do you see the revenue number in the EBITDA margin number, 3 years out?

So, Kaushik, we will not give guidance on 3 years forward, but I do refer you to a page number 17 of our presentation. If you look at how we are transforming the portfolio construct, Kaushik, right, all the answers lie there in, right. So, for instance, we have 1000 rooms currently operating at 43 lakh per key, we have 2100 rooms operating at about 22 lakhs per key revenue and we have about 1500 rooms operating at about 12 lakhs per key. When you look at the portfolio construct 3 years forward, even if I take the same revenue per key that I get today, this demonstrates about a 35% overall revenue growth, right. So, if we are doing about Rs. 1,000 — 1100 crores today on a trailing 12-month basis, there is about 34%-35% embedded growth just as to how the portfolio is transforming and I am making an assumption that total revenue growth is now "0" from now till then. Because that is one place where I think as a management we kind of have our own point of view which is that revenue growth will remain to be in high single digits to early double digits so, but that calculation is brought of forecasting this. But what we are very certain is just the reconstruction of the portfolio has an embedded 35% revenue upside for which A, we don't need to acquire anything further; B, we don't need any capital debt or equity and all of that is going to be funded through both internal accruals and internal growth. I am sorry I am not giving you a number but Slide #17 has a number.

Great, no problem. Yes, I got the direction. And the next question is from longer-term question.

So, how do you see SAMHI being the hotel operator, how do you see in the next, longer term, what is your ambition to scale number of keys or to churn more number of EBITDA? What is your vision or aspiration as a SAMHI brand? That's all I need.

First of all, we don't share vanity numbers like number of rooms, Kaushik, I will be very honest. We clearly want to create a company of substance, and the substance will reflect in revenue in operating margins, which is EBITDA and also the earnings strategy, which is the PAT. And I think where we have positioned the company today, which is good base of hotels substantial growth which has already been sort of acquired over the last 2 years, free cash coming from the business. I am fairly confident that we will unlock tremendous value both on P&L and also on the balance sheet, right and what we unlock in the P&L will be reflected in terms of revenue and EBITDA and what we unlock in the balance sheet will be obviously then close round to our PAT and net earnings, right. So, we believe that in the next, let us say 5 odd years, this company will be nothing of what you see today because of the internal capabilities that you have created, both on growth and also on how we will continue to strengthen our balance sheet.

Great, but will be growing at 10%-12% CAGR consistently and turning higher EBITDA margin, right? That is how we will be positioning for 5 odd years?

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Ashish Jakhanwala: Yes. So, again, Kaushik, we will do the math. If we just have to come to office in the morning,

Kaushik:

Ashish Jakhanwala:

Moderator:

Yash Darak:

Moderator:

Yash Darak:

Ashish Jakhanwala:

Yash Darak:

Ashish Jakhanwala: Behere till 9 in the evening, work hard, work honestly and you have 35% growth on slide number 17 without markets growing even 1%, right. If the markets grow at 6%-7%, that 35% growth can easily become 50%-55% growth over the next 3-4 years so that really gives you that early

double digit, total revenue growth. We have so far looked at our quarter-on-quarter presentation and we try and explain same store separate to total portfolio, but we have always delivered almost at 1.25-1.4 multiple of EBITDA growth over revenue growth. So, which means if our revenue growth is 10%, the EBITDA growth in a bad quarter will be 12.5%-13% in a good quarter will be 14%-14.5%. So, we think that we have the right ingredients now to sustain that growth over the next 4-5 years, and as I said without much dependencies on external environment.

Good, all the best, Ashish.

Thank you.

Thank you. Ladies and gentlemen, if you wish to ask questions, you may please press "\*" and 1 on your touchtone telephones. The next question is from the line of Yash Darak from RSPN Ventures Private Limited. Please go ahead. Yash, your line has been unmuted. You may proceed with your question.

Hello.

You may proceed, sir. You are audible.

Yes. So, sir, my question is, Q3 based on the occupancy seasonally weak quarter because as we are not a business hotel and because of the corporate holidays, we see a definitely occupancy in Q2

Yes. Are you asking do we see a different occupancy in Quarter 3?

Yes.

So, Yash, actually Quarter 3 would be probably the second-best quarter for our business traditionally, Quarter 4 being the best and you are right. Quarter 3 tends to kind of be slightly lower because we have the two holiday seasons, Diwali, Dussehra and Christmas, New Year. So, we do see some redundancies in our business hotel portfolio which is most of our portfolio in that quarter whereas Quarter 4 once people go back to work, we tend to see pretty strong performance through that, right. But I would think the occupancies remain, if you look at last year, Quarter 3 was 72.6% portfolio occupancy, same store and Quarter 4 was 77.2%. So, Quarter 3 is same as quarter 1 and quarter 2 in terms of occupancy. The rate does tend to move 10% up because on non-holiday days you have strong demand and in Quarter 4, you obviously

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Yash Darak:

Ashish Jakhanwala:

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Ashish Jakhanwala:

Moderator:

Sunil Jain:

Rajat Mehra: SMART HOTEL INVESTMENTS— SAMHI Hotels Limited

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take advantage of the fact that you have high occupancies and good rates, but you don't really get to lose that I would say almost 3 or 4 weeks between Diwali, Dussehra, Christmas, New Year. Dussehra, Diwali, of course one needs to be cautious, follows Hindu calendar, so may sometimes be on the edge of quarter 2 and Quarter 3, sometimes in Quarter 3. So, yes, to that extend Quarter 4 is always a better quarter for us than Quarter 3.

Got it, sir. Thank you. And last question is on the bookkeeping side. So, if there was not this one-off cost in the interest of Rs. 6.5 crores, so our interest would have been around Rs. 55 crores, is that understanding right?

So, actually, Yash, the interest was Rs. 55 crores. This loan that we refinanced where the pricing went down from 13.5% to 9.3%. The upfront fee that we had paid to that lender 2 years back that was amortized over the tenure of the loan, but because we refinanced the loan much earlier, the unamortized portion had to be taken as an expense for P&L. So, that Rs. 6.5 crores was a completely non-cash impact on the P&L. The actual interest expense was still about Rs

. 55

crores.

Got it. Thank you so much.

Actually, interest cost is slightly lower than total finance cost including some of the leasehold accounting impact which comes in our P&L finance cost.

Thank you so much.

Thank you, Yash.

Thank you. The next question is from the line of Akshat Bairathi from Flute Aura Enterprises Private Limited. Please go ahead. Akshat, your line has been unmuted. You may proceed with your question. Mr. Akshat Bairathi, are we audible to you? As there is no response from the current participant, we will move to the next question, which will be from the line of Sunil Jain from Nirmal Bang Securities Private Limited. Please go ahead.

Yes. Thanks for taking my question. Sir, you said that interest cost has come down, so this quarter it was 55, so it can come down in the coming quarter.

In Quarter 4, it should come down in the coming quarter because this quarter actually had this one-time hit. Otherwise in general, it will also be reducing because of the fact that the overall cost of borrowing also from the previous quarter has gone down. We are now at a weighted average cost of 9.4%, 50 our overall actual interest cost that is service to the bank not the one which is actually the P&L hit will be circulated about Rs. 50 odd crores plus the other Ashish said, the lease expense and other things. We are looking at a reduction in what was reported as the finance cost in Quarter 3 vis-a-vis that Quarter 4 will be definitely lower.

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Sunil Jain: And sir, the second question about recycling. So, have you identified any of the assets which Ashish Jakhanwala:

Sunil Jain:

Moderator:

Dhairya Trivedi:

Ashish Jakhanwala:

Trivedi:

Ashish Jakhanwala:

Dhairya Trivedi: you want to recycle or has done some exercise or?

Yes. So, we have identified the assets. Our confidence stems from the current conversations and offers that we have, which we are obviously negotiating and doing further diligence in terms of actionability. So, assets have been identified. We have a bank who is helping us with the process and we have some degree of interest which gives us the confidence about committing to the asset recycling approach.

Thank you very much.

Thank you. The next question is from the line of Dhairya Trivedi from DIT Investments. Please go ahead.

Good afternoon, Ashish and team and congratulations on walking the talk as far as the numbers are concerned. I had a couple of questions. One is, are we expecting any revenue loss in FY27 when the Four Points Pune and Caspia Delhi convert to Courtyard and Fairfield respectively?

Not really. So, Caspia Delhi, of course, has no impact because that hotel hardly contributed anything to our numbers, at least in terms of EBITDA. The Four Points in Pune conversion is being done on a phase wise manner and actually if you see the revenue improvement that we are seeing because of the conversion to 'Marriott Managed' pretty much covers for the part inventory that we will keep taking for renovation during the year. So, we really don't see any, there could be marginal, but nothing material in terms of the impact of renovations on the performance of the hotel.

Understood. And what would be the EBITDA per key for the Holiday Inn Portfolio of our Noida, Kolkata and Bangalore, the weighted EBITDA per key?

So, the weighted average EBITDA per key for the Holiday Inn Express portfolio is about 5 lakhs per key. So, let us break it up. Greater Noida is an average market so far in terms of performance within our portfolio. We are very excited that even though we are adding only 56 rooms in Bangalore, the room size there is actually significantly larger than our existing hotel and we are going to price that at a substantial premium to our existing hotel. So, in terms of weighted average, the impact of the 56 rooms may almost equal into that of a 75-80 room hotel, right

t. And

Caleutta is a good market, especially at that price point. So, the overall inventory addition of 330 odd rooms should operate at premium to the current average in terms of EBITDA per key.

And as far as Sheraton Hyderabad and Hyatt Regency Pune, fair to assume roughly 20-22 lakh per key EBITDA?

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SAMHI Rajat Mehra:

Trivedi:

Ashish Jakhanwala:

Dhairya Trivedi:

Ashish Jakhanwala:

Dhairya Trivedi:

Ashish Jakhanwala:

Moderator: SMART HOTEL INVESTMENTS: SAMHI Hotels Limited

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Yes, 20 lakhs per key. So, Sheraton, we are very excited, Dhairya, because it is a market which has been doing really well. I just give the numbers earlier where Hyderabad RevPAR growth was 24% in the last quarter. And therefore in such a strong market with no new supply when you immediately add about 55 odd rooms to an existing operating hotels, two things happen, A,

of course, the revenue per key is pretty much the same that you get in an existing hotel; B, flow throughs from that revenue should be, in our opinion upwards 60% because of the existing hotel is operating at a 43%-44% EBITDA margin. Then, a lot of sunk cost is captured by that and the new room should operate at a fairly high margin. So, that was very exciting adding those 55 rooms. By the way, the current quarter did see a negligible reduction in our rental income because those offices are the places you are converting to the additional rooms. But as I said, by September, October, we have those rooms open well in time for H2 and same for Pune where we have seen a RevPAR growth of 17% in the last quarter. We are actually adding 22 apartments, 50 these are between studio 1 bedroom, 2-bedroom apartments and we actually think that they should continue, they will perform really well, so at minimum we should expect about a 20 lakh per key EBITDA on those assets starting H2 FY26.

Got it which means that W HITEC City Hyderabad when it opens, I think they should be much higher given that it is an upper upscale asset?

So, let us take some numbers for context. Our Courtyard in Bangalore Outer Ring Road does an EBITDA of about 31 lakhs per key, clearly an out performer. It does a rate of Rs. 16,000 high occupancy. But what we are seeing interestingly in our Fairfield in Hyderabad Gachibowli it is ramping up really quickly trying to catch up with our Fairfield in Outer Ring Road Bangalore, right. It is almost a race that they feel Bangalore used to be at a rate of 8.5, Fairfield, Hyderabad was at a rate of 5.5. Fairfield, Hyderabad has gone at a rate of 7.5, Fairfield Bangalore has gone to a rate of 9.5, right? So, we actually think that HITEC City is very mature, very low vacancy, constant news of GCC is opening there. The latest news this morning was McDonald's setting up their global capability center in HITEC City, right, no new supply. I think that market with a brand like W and an operator like Marriott and the location that we have, we should expect it to deliver Courtyard level performance in future, which is actually 30 lakhs per key.

Got it. And we are expecting this to open in the second-half of FY27. Is that understanding right?

Yes, we should get quarter plus for FY27 for this hotel.

Perfect. Thank you so much. Thank you and all the best

Thank you, Dhairya.

Thank you. The next questions from the line of Shrinarayan Mishra from Baroda BNP Paribas.

Please go ahead.

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SAMHI Shrinarayan /Mishra:

Ashish Jakhanwala:

Shrinarayan Mishra:

Ashish Jakhanwala:

Ashish Jakhanwala:

Shrinarayan Mishra:

Ashish Jakhanwala:

Shrinarayan Mishra: SMART HOTEL INVESTMENTS— SAMHI Hotels Limited

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Thank you for the opportunity. Can you hear me?

Yes, we can.

This is my first question. Will it be possible to give the ROCE breakup between the three segments, for upscale and midscale and upper upscale and upscale?

Yes, just give us a second.

So, the upscale segment will deliver about 16% odd ROCE. Actually, if you

ask me it is pretty

similar. Actually, it is only the upper mid-scale because ACIC which is at about 6-0%, the 'mid-scale is at about 12% to 13% and the upper upscale is about 15.5%-16% and we actually expect upper midscale also to get to about 14%-15% once ACIC is fully, we get what we need from ACIC, including conversions and all of that. Yes, that is the number for you right now, but one good news and that only just disclaimer, it is not our guidance on ROCE, it is just how good can good be. We have one hotel in our Holiday Inn Express Portfolio in Hyderabad, which is now almost getting to (+50%) ROCE right. Now, again I will repeat the disclaimer that does not mean that we are saying our portfolio will get to 50%, but often we are asking ourselves that what is the real headroom and the way we have constructed our portfolio, Karan started with this question mid-scale, upper mid-scale upscale, we actually feel that is the RevPAR cycle continues for which the data demonstrates it should continue. Our cost basis is actually very low in part of our portfolio Holiday Inn express for instance, just about 28-29 lakhs per key, right. We actually can see substantial transformation of the ROCE profile as you can see the flow through go straight to the bottom and then impact ROCE. So, the average is around 14%-15%, but I was just giving you what we think how good can good really be when a market at an asset hits bullseye.

So, for most matured properties which you would have, so what would be the range of ROCE there?

I think I will rather take this question depending on where the city cycle is or a market cycle is.

A city like Bangalore for us today and this will not include Trinity, right. A market like Bangalore today would be sitting at almost (+20%) ROCE for us as a market and we have one Courtyard, three Fairfield by Marriott and two Holiday Inn Express Hotel. So, very well spread in within the city and within the segments. It is about a (+20%) ROCE in that market. You would have markets like Hyderabad touching mid-teens. You would have markets like Delhi NCR now going towards mid-teens. So, you typically see a good profile and as I said, as the markets mature and start delivering a consistent RevPAR and RevPAR growth, the potential is ready to cross that magical 20% number on ROCE.

Thank you so much. The second question, last one from me, so I was reading through FY24 Annual report wherein we have highlighted that IT/ITeS has been the top contributor to  
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SAMHI

Ashish Jakhanwala:

Shrinarayan Mishra:

Ashish Jakhanwala:

Moderator:

Ashish Jakhanwala:

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revenues, and we are trying to diversify from that, but our recent properties seem to be in those areas. How is the concentration now and are we doing anything about that or we are happy with that so it is growing, so we want to be intentionally high concentrated in that?

So, first of all, I think we are seeing a reduced contribution from IT/ITeS sector, generally across our portfolio and including in so-called Hitech cities like Bangalore and Hyderabad, right. So, on a year-on-year basis, we have seen other sectors kind of contributing relatively more to what they were. It is not that the absolute business is necessarily reduced from IT/ITeS, but what happened is that a lot of growth has come in sectors like and that is where things get little gray. 'When we talk about startups, a lot of startups can also be classified in the IT/ITeS sector, right. So, this classification as one needs to be a little careful about how precise or indicative it is. But if it is indicative we have seen IT/ITeS contribution recede, giving way to other sectors, smaller companies, it could be healthcare, it could be biotech, it could be defense, it could be infrastructure, it could be BFSI consulting, manufacturing and also such smaller companies where tracking the sector

or becomes difficult, right. So, these are multiple small accounts. All of them have kind of taken a higher proportion than IT/ITeS. So, I think it is not that we have a concern around IT/ITeS. We actually see an opportunity where our hotels even in Bangalore and Hyderabad are continuing to see diversification of where the business is coming from.

Thank you so much.

Thank you.

Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to Mr. Ashish Jakhanwala for closing comments. Over to you, sir.

Thank you so much, everybody. We truly enjoyed the Q&A, which I think leaves little for us to conclude with. As I had mentioned earlier, we remain very excited about having put the company on a path where over the next 2-5 years we have secured both unlocking value in the P&L and also in the balance sheet and we look forward to continue to work with all of you as we implement that plan. Thank you everybody and talk to you soon.

Thank you. On behalf of SAMHI Hotels limited, that concludes this conference. Thank you all for joining us, you may now disconnect your lines.

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## Call: May 2025

—SMART HOTEL INVESTMENTS—

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BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400 001,

Maharashtra, India

Scrip Code: 543984

Sub: Transcript of Business Update Call

Dear Sir / Madam, National Stock Exchange of India

Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai - 400 051, Maharashtra, India

Scrip Code: SAMHI

Please find enclosed the transcripts of the Business Update Call held on Thursday, 24"

April 2025 at 11:00 a.m. (IST) to discuss the strategic partnership of the Company with

GIC for an upscale & hotel investment platform in India.

You are requested to take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

HI ———SMART HOTEL INVESTMENTS———

SAMHI Hotels Limited

Business Update Conference Call

April 24, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings

uploaded on the stock exchange on 24 April 2025 will prevail.

HII ———SMART HOTEL INVESTMENT S

MANAGEMENT: MR. ASHISH JAKHANWALA — MD & CEO

MR. RAJAT MEHRA — CFO

MR. GYANA DAS — EVP & HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VP (INVESTMENTS)

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Moderator: Ladies and gentlemen, good day and welcome to the Business Update Conference Call of SAMHI Hotels Limited.

This conference call is being hosted to discuss the strategic partnership of the company and GIC for upscale+ hotel investment platform in India, and the company will refrain from discussing anything and business performance or financials for Q4 FY 25.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "\*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Ashish Jakhanwala — MD and CEO of SAMHI Hotels Limited. Thank you and over to you, sir.

Ashish Jakhanwala: Thank you. Good morning, everyone. First of all, thanks for taking out time at such short notice. We are obviously very excited about taking you through the transaction that we have just

announced this morning.

I will give you a quick summary of the transaction and then we will leave the floor open for Q&A. We have uploaded a Business Update Presentation on the stock exchange and website, and I hope you had a chance to look at it, otherwise we can obviously cover it in Q&A.

In summary, SAMHI Hotels has entered into a partnership with GIC, which is a leading global institutional investor to establish an investment platform for upscale and higher category of hotels in India. Attracting GIC demonstrates our ability to attract high quality institutional investors through a life cycle which started with first investment from Sam Zell and GTL, followed by an investment from International Finance Corporation, Goldman Sachs, Asiya, and now the partnership with GIC.

The transaction involves, and to clarify, is limited as of now to three of the company's subsidiaries that own the Courtyard and Fairfield by Marriott Bangalore Outer Ring Road, the Hyatt Regency in Pune, and the recently acquired Trinity Hotels in Bangalore, Whitefield

d.

GIC is to acquire a 35% stake in these three subsidiaries against the total investment of Rs. 752 crores, which will be split in two parts, about Rs. 603 crores upfront to be used to reduce debt across our portfolio, and a small amount towards these expenses, and Rs. 149 crores over the next two years to part fund the capital expenditure for the proposed Westin & Tribute Portfolio

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Bangalore Whitefield dual branded hotel. This transaction follows our stated strategy of capital recycling and will lead to significant reduction in debt and a partnership with global investor of GIC's stature for funding future growth. On closing, we expect Rs. 580-odd crores of reduction in debt and 15% to 20% upward impact on PAT on account of this transaction.

The total investment of Rs. 752 crores across three subsidiaries is based on the total value of those three subsidiaries being about Rs. 200 crores. It includes primary investment for debt repayment, capital expenditure across all three subsidiaries, and secondary to acquire shares in SAMHI JV from SAMHI, and these funds will obviously further reduce debt across SAMHI entities.

'With this transaction, our net debt to EBITDA at closing is expected to be less than 3.5x, which is ahead of what we had anticipated in terms of our leverage level. But more important, it accelerates our path to take the leverage down to less than 3.0x in the next 12 months, and without compromising on growth. The reduction in debt gives significant boost to our future cash flows, and also the fact that part funding of the Westin & Tribute Portfolio Bangalore Whitefield will be done by GIC.

The transaction structure and impact on financials has been provided for in the business update presentation. But in summary, besides the short-term impact of significant deleveraging of our balance sheet, the real value of this partnership reflects in what it means for future growth. As upscale hotels are capital intensive, but now with a strong partner and a much healthier balance sheet, we have the ability to grow this platform beyond the three seed assets. This augments our existing plan to double our inventory of upscale hotels, which will have significant impact on our revenues and profitability.

Ladies and gentlemen, this is the summary of the transaction. I would now leave the floor open for Q&A.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. The first question is from the line of Murtaza from Kotak Securities. Please go ahead.

Murtaza Arsiwala: Hi, Ashish and team. Congratulations on closing this transaction, hopefully it should address some of the debt concerns that investors had. Would you be able to share some kind of trailing EBITDA that these assets had, and if you could put a forward number to that as well in terms of what is the targeted EBITDA one should be looking at from these assets, both with the incremental 220 keys that would be just useful and for context to the Rs. 2,200 crore of valuation.

Ashish Jakhanwala: Murtaza, thank you. So the trailing 12 months EBITDA from these three hotels as of December 2024 was Rs. 133.8 crores. That reflects the value of about Rs. 2,200 crores against the trailing EBITDA of Rs. 133.8 crores.

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Murtaza Arsiwala: Okay. And the debt number that you are reducing at the SPV's, does this make all of these SPV's completely debt free or what's the position of debt at the asset level, both pre and post those transaction?

Ashish Jakhanwala: So Murtaza, of the three entities, SAMHI JV" will become debt free, Innmar is already debt free and will remain debt free, and Ascent Hotels will continue to have debt of about Rs. 200-odd crores. The balanced debt reduction is actually happening across other SAMHI entities bec

ause

this transaction does allow upstreaming of certain capital from the subsidiaries to the parent company. And then parent company is then further using that capital for reduction of debt across other subsidiaries, and of assets in the parent itself.

Murtaza Arsiwala: Okay. So the money which comes to the parent from the subsidiaries, that allows you to reduce debt elsewhere?

Ashish Jakhanwala: Absolutely.

Murtaza Arsiwala: Okay, fantastic. Alright. Thank you so much. I will come back in case I have more questions. Thank you.

Ashish Jakhanwala: Thank you.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Yes. Thanks for the opportunity. Sir, my question is on debt reduction, which will be about Rs. 600 crore from this fund raise, and consequently the interest cost will also come down. But how to think about the minority interest factor given the fact that we would now be earning about 65% in JV? You mentioned that these three assets had about Rs. 134 crores of TTM EBITDA, but in the PPT you have mentioned that the PAT will be about 15% to 20% post the reduction in interest. So does it take into account the minority interest factor adjustment? And how to think about that going ahead given few of these assets, especially the one in Bangalore, the two assets in Bangalore are yet to begin operations, especially the second one, first one is there but rebranding is pending, so your thoughts from that side?

Ashish Jakhanwala: So Jinesh, absolutely, when we talk about the impact on PAT, we have considered both the reduction of interest, but also an inclusion of a minority interest that we will create because of this partnership. So our estimates of 15% to 20% upside in reported PAT considers the impact of the minority interest as well, so that has been considered when we give the impact on PAT. I think the savings in interest cost on two accounts, the immediate savings will obviously be on account of straight interest reduction because of the lower debt, but we also believe that with a strong partner like GIC and the fact that our balance sheet now is very strong, we expect the interest rates also to come down from the current levels. Last time we had reported about 9.4%, we expect those interest rates to fall over the next six months. So, a combined impact of both these two will also have a significant impact on interest reduction, and the minority interest as

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far as currently our estimates are, we have factored that in to give guidance on 15% to 20% upside on the PAT.

Jinesh Joshi: Got that. And sir, my second question is with respect to your answer to the earlier question whereby you mentioned that Ascent will still have some debt of about Rs. 200 crores, while the money that comes into the SPV will be used to pay off debt at the parent level. But if the funds are reached at the SPV level, why are we not knocking off the entire Rs. 200 crores of debt at the Ascent level, because that money is brought by GIC. So why are we reducing the debt at the parent level?

Ashish Jakhanwala: So, two things. First of all, the transaction the way it is structured, we needed to give GIC a 35% stake. So if you look at SAMHI JV, which is one of the subsidiaries, there the transaction involves both primary investment in the company and that money is going to 100% retire the debt in that company. It also includes a secondary transaction where GIC is buying a small percentage share in that SPV from SAMHI to get to 35%. And obviously, that money comes into SAMHI's books of accounts which we then use to retire debt in other companies.

In Ascent Hotels, SAMHI has infused a significant amount of shareholder debt over the last several years to support that business. And GIC, when it invests the primary capital in that company, that capital is being used to

effectively repay the SAMHI shareholder loan. And you would appreciate that any strategic investor of GIC's stature would not want an equity partner to also be a debt provider in an entity. So Ascent Hotels is returning the debt provided by SAMHI to SAMHI, and therefore that money also will be used by SAMHI to pay debt, both at the parent level and also across some of the other subsidiaries.

In Innmar, there is no debt. And the future capital expenditure that we are anticipating, a part of that to the extent of about Rs. 150 crores will be brought by GIC, and therefore our capital commitment to that project also reduces materially because of this investment. So if you look at all of these three entities, the transaction has been structured to provide GIC with a 35% stake, number one. Number two, it has been done to make sure that it is tax neutral, which means we have no capital gains tax across the entities. Three, if you look at the trailing EBITDA of about Rs. 133 crores and an outstanding debt of Rs. 200 crores in these entities, the debt to EBITDA in this portfolio is extremely, extremely healthy. So we have just decided to allocate capital in a way that will leverage the balance both in entities which are now a joint venture with GIC, but also entities which continue to be 100% owned by SAMHI Hotels.

Jinesh Joshi: Understood. Sir one last question from my side, I think the commitment from GIC is approximately Rs. 2,500 crores, and they are putting in about Rs. 750 crores in this leg. Now

given the fact that the commitment is quite higher, will they have any kind of exclusivity to chip in with respect to any future M&A that we do, or will those transactions be independent of that? And also given that the commitment is quite massive in nature, I mean, is there any exit plan lined up for them, how to think about that?

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Ashish Jakhanwala: First clarification, the \$300 million stated commitment is by the platform and not by GIC alone, and it does include the seed assets. So that's just a clarification, so the numbers are different to, Jinesh, what you have just mentioned. But yes, it still gives us a firepower for growth. If you see, if you just do the simple math, \$300 million, 35% stake coming from them, 65% from us, and of that 65% majority of that by us has been contributed through the current seed assets. But there is firepower that we can draw from our partner for future growth. Now, that's Part 1 and clarification.

Second, in terms of exclusivity. As we have mentioned, the intent of the partnership is to start with the seed assets but of course grow this platform in the upper upscale space. So yes, GIC. And this platform, let me say this platform actually has, where we own 65%, GIC owns 35%, this platform has the first right on upscale hotels that we find as an acquisition opportunity. But however, if this platform is not desirous or cannot execute on those opportunities, then SAMHI obviously has the flexibility to continue with those opportunities. So that's Part 1 on upscale. On the midscale portfolio, there is no exclusivity or there is no such provision. Having said that, as we all know, GIC is a formidable partner, brings tremendous stature and appeal to the business. And we would obviously be keen to see and explore opportunities to expand this partnership with them in the future. But there's no such contractual obligation or promises on either side. The last bit on exit, GIC is known to be a high quality long-only institutional provider of capital. We just started the partnership with them, Jinesh. Our lesson, and we have built this business with institutional capital over the last 14 years, and our only lesson is, one should focus on building a good business. And if you do build a good business, eventually the monetization opportunities for investors come by themselves. Now, unlike S

AMHI which started with a lot

of capital deprivation in a different decade, this partnership is starting with no capital deprivation, very healthy balance sheet, a very strong market cycle. And we actually believe all of that, plus the growth that we can provide jointly to this platform, will create a pretty attractive equity story which will find its own ways of monetization and value creation. So, I think both the partners know that there may be an opportunity or requirement of monetization in the long term, but in the near future that's not really the point of discussion or deliberation at our end. Jinesh Joshi: Sure, sir, got that. And congratulations on this transaction and bringing down the concern surrounding it. Congratulations. Thank you so much.

Ashish Jakhanwala: Thank you.

Moderator: Thank you. We will take the next question from the line of Prashanth Biyani from Elara Securities. Please go ahead.

Prashanth Biyani: Yes. Thank you for the opportunity and congratulations on the transaction, sir. Sir, on this platform, is there any first right for the platform on Greenfield assets if we want to build it in any of the segments?

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Ashish Jakhanwala:

Prashanth Biyani:

Ashish Jakhanwala:

Prashanth Biyani:

Ashish Jakhanwala:

Prashanth Biyani:

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Prashanth Biyani:

Ashish Jakhanwala:

Prashanth Biyani:

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So, as I mentioned earlier, this platform has the right of first offer on all upscale or higher category of hotels, whether they are greenfield or brownfield or acquisitions. So irrespective of the development type, so long as it's an upscale hotel, this platform has the first right.

And any broader informal discussion with regards to how many keys would the platform want to have in the next, say five, seven years?

No, I think as a company and to that extent we are very aligned with our partner in GIC. We really do not believe in crystal ball gazing or vanity numbers. We believe that this platform will throw a serious amount of free cash every year. In addition to that, both the partners have now the ability to bring additional capital. So we have capitalized this company extremely well for

growth, that's point one. Point two is our last decade of credibility and experience of acquisitions and turnaround, and we do believe that skill sets we have acquired over the last decade combined with the strong liquidity that we provided to this platform and a partner like GIC would make us a fairly competitive platform for future growth. I am sorry, but I will not be able to give you any definitive guidance on hotels or rooms. But we do believe that with the capital and the partner, there is a fair bit of excitement coming our way on this platform. And because we have kind of resolved all concerns around balance sheet, it also encourages the broader platform that is SAMHI to continue to see growth opportunity.

And for new asset additions, we will continue to have focus on inorganic growth rather than now having more focus on greenfield, would that be correct assumption?

Absolutely, absolutely. I think we have always stated that we believe that in the segment that we operate in which is an urban business hotel, the best value is created, this is the best risk reward mechanism. I can't say the best value, the best risk reward equilibrium is in acquisition and turnaround, that's our skill set. And therefore, that would be the focus for this platform as well.

Okay. And lastly, sir, in SAMHI JV, how much percentage is GIC buying from us and at what value?

So, in SAMHI JV, they are buying 14% from SAMHI and the balance, the gap between 14% and 35% is through infusion of funds into the company. That's how they are getting to 35%. And 14% is at what price?

Okay. So SAMHI JV Rs. 115 crores is the price paid for 14% stake.

Okay, that is it from my side, sir. Thanks.

Thank you. We will take

the next question from the line of Pradyumna Choudhary from JM Financial Family Office. Please go ahead.

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Pradyumna Choudhary:

Ashish Jakhanwala:

Pradyumna Choudhary:

Ashish Jakhanwala: April 24, 2025

Hi, Ashish. Congratulations on this transaction. I had a couple of questions. The first one being, you spoke about the debt status of the three entities post the transaction. But when you speak of SAMHI JV and Innmar becoming debt free, and Ascent having Rs. 200 crores of debt, are you including any shareholder loans or will we be completely getting rid of all the shareholder loans in these three entities?

There will be no shareholder loans in these entities, Pradyumna.

Understood. Second was, what was the thought process to get GIC in these entities rather than at the listed entity level? Why I am asking this is because I believe the EV to EBITDA at which this transaction is happening seems to be at around 17.5x trailing EV to EBITDA, which seems to be only a slight premium to what our listed entities' valuation is, right? But this is coming at the cost of the exclusivity which we are losing, not losing but we are giving up 35% stake in this upper-scale hotels and above category. So what was the thought process for you guys and also from GIC's side?

So, Pradyumna, first of all, I think we have clearly stated that we believe that recycling our capital is an important pivot for creating shareholder value. I do not see this as loss of 35% or dilution of 35%. The way we see this is, we had invested certain capital in these assets. We have worked hard on these assets over the course of several years. We have created a certain value which is, it's a reasonable upside from what we had invested. When we monetize 35%, we are taking some of our invested capital back from these assets, and that capital will be redeployed in creating new assets.

So, I think it about making sure that we keep the company flushed with capital for growth, and part of it is coming from capital which is stuck in our existing assets, right? So from our perspective, capital recycling for a company like ours is a fundamental pivot to creating long-term shareholder value over and above what the sector gives you. Because what the sector gives you is pretty much a range bound for all peers and for all players. So that's one. And I think we are very excited that we have been able to do it; A, in a meaningful way; B, with a partner with tremendous reputation and capabilities to support the growth of the business in future.

In terms of this right of first offer, I think, as I mentioned in my introduction call, the reason why so far we have limited it to upscale hotels is also because of the profile of upscale hotels. These hotels tend to be fairly capital intensive. And as we grow this upscale platform, having a formidable partner of GICs stature really helps us balance risk and reward. One of the things, and my apologies, we did not mention in our summary, as a part of the transaction, SAMEHI is also entitled to an asset management fee of 4% of the EBITDA. And in addition, we can charge some development fees in assets where they are undergoing certain development.

So, on one side while we are letting go of part of our profits, we are recouping a lot of capital. That capital clearly is intended to be deployed for growth and therefore will bring outsized

returns for us. And in addition to that, purely from a cash and cash return perspective, we also

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have this incremental 4% asset management fee which is applicable to the current pool of assets and will also be applicable to the future assets that we add to the portfolio. So, I think, we believe this is a great way to recycle our capital, continue to provide growth to SAMHL not stretch the balance sheet.

Now coming to your qu

estion about why in subsidiary, why not in the parent? I think the answer is very simple, we found a great quality partner who brings reputation, governance, processes, and their contribution in the private space can be far more active then can never be in a public space. And because we are a professionally managed company, we actually believe that that sort of an influence is a value creator for us. So we like to benefit from their active participation in these joint ventures rather than just having another institutional investor in the cash payable. And we all respect them and I think we learn a lot from them, but an active participation from an investor like GIC, I believe, will create a lot more value than an Excel sheet can demonstrate in the short term.

Pradyumna Choudhary: Understood. That was very clear. Thank you. And just one follow-up with the asset management fee, you spoke about 4%, this would directly flow down to your EBITDA, right?

Ashish Jakhanwala: To SAMHI's, parent entity.

Pradyumna Choudhary: Great. Thank you.

Moderator: Thanks. The next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: Yes, hi. Thanks for the opportunity. Hi, Ashish and team. Just a couple of questions from my side. And then congrats on this transaction. So first, Ashish, because of this transaction, given that your net debt to EBITDA comes down to about 3x and the absolute leverage on the balance sheet comes down drastically, how are you thinking about future free cash flow that the business will generate? Will you look to now potentially become more aggressive in terms of asset development or will the focus be towards enhancing the balance sheet or reducing the further leverage on the balance sheet? That's question number one. And second, what does this transaction do to your credit rating eventually? And do you see the finance cost coming down further in the coming years?

Ashish Jakhanwala: Karan, so first of all, being a public company teaches you a lot because you hear a collective wisdom and an opinion from not one but hundreds of investors. And we heard it loud and clear about leverage. Even though we believe that we have invested capital in high return assets over the last year, a year and a half. And as they mature and stabilize, they will resolve our net debt to EBITDA in the company. But over quarters, we respected an opinion coming our way which said this business is volatile, every quarter there is news coming which makes people worried. And therefore, high leverage is not something that investors feel comfortable with. And

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therefore, I will remind ourselves that we had promised that we will go to 3.5x by end of FY \*25, and we had given an eventual target of 2.5x being a healthy debt to EBITDA.

Prior to this transaction, because of the Bangalore acquisition, we had actually kind of gone to about 4.4x net debt to EBITDA, including the money spent on acquisition. And obviously, the 3.5% target was being delayed by a year, and 2.5x even further. With this transaction, we are very, very happy that as we close this transaction, we are fairly confident, almost certain that the net debt to EBITDA on closing will be less than 3.5x. Within the next 12 months, because of what we are seeing in terms of EBITDA growth, we are very, very certain to bring that down less than 3x. And immediately after that, we feel the path to get to that 2.5x and less than 2.5x net debt to EBITDA is fairly easy and almost, I may say, automated, right.

Now, when we look at the next three years to four years of how we see the business growing, which is our existing pool of assets, the new Holiday Inn Express is coming alive across the three markets, the W in Hyderabad which is under development, the Tribute and the Westin in Bangalore. When we combine all of that together, Karan, if you tak

e a range of between around

15% to 20% EBITDA CAGR, which we believe is fairly conservative given the growth pipeline, this company, which is SAMHI as a portfolio, will accumulate about Rs. 1,000 crores to Rs. 1200 crores of cash. Of which, we already have identified use of about Rs. 500 crores, which is on the CAPEX that we announced earlier. Therefore, we are now seeing and having clear visibility on an investable surplus of about Rs. 500 crores on our own account, we are not talking about what our partners can contribute in the upscale space. So that's one thing. I think we have taken the company to a position where we can focus on growth without compromising on our

path to deleverage to 2.5x and lower than that, point number one.

Having said that, I would not subscribe to saying that we will be aggressive on acquisition, because that's not a factor of capital availability, that's a factor of discipline you have learned in life, right. And we believe aggression in acquisitions never works well in the long term. So we will continue to be very disciplined. We will continue to be very range bound. We have certain dos and don'ts, we would like to continue to follow them. Having said that, I think the team has built a very healthy pipeline of assets. So that's how we see the growth come through. The other good news, Karan, and we have spoken about that in earlier call, is we continue to see opportunities on long term variable leases. So as we combine a healthy balance sheet, a lot of free cash coming our way, plus the contribution from our partner subject to their liking the deals, and our ability to also combine our greater share of long-term variable leases, we feel fairly excited that we have opened SAMHT's path to growth. But again, I will remind ourselves, aggressive is not a word that we subscribe to. We like to maintain a fairly disciplined approach to growth because I think that's the way for long term financial success.

Second question, credit rating. Absolutely yes, I think our net debt to EBITDA, the credibility that a partner like GIC brings to a portfolio, we definitely expect our lending partners to acknowledge that and reflect that in the pricing of the debt. We were at 9.4% as of December

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2024. We are fairly certain we will be circa 9.2% in the next few weeks. And our target is to now push it lower than 9% given where our balance sheet will be upon closing.

Karan Khanna: There's one follow-up question, Ashish. So you spoke about long term variable leases, does this platform also allow you to potentially add assets under long term variable leases or will the assets have to become entirely owned by the platform?

Ashish Jakhanwala: No. See, the upscale platform with GIC is agnostic, except for the fact that needs to be an upscale hotel with 100 rooms and above. But it can be leasehold, it can be a freehold. And in the larger portfolio, which is a broader midscale, which is also where we are seeing a phenomenal amount of growth, we continue to see a very strong pipeline of leasehold assets.

Karan Khanna: Sure. That's helpful, Ashish. Thank you. And all the best.

Ashish Jakhanwala: Thank you. Thank you, Karan.

Moderator: Thank you. We will take the next question from the line of Anil Shah from Insightful Investment Managers. Please go ahead.

Anil Shah: Yes. Hi. Congratulations on the deal. Just two questions, this asset management fee of 4%, could you just clarify is it exactly on revenue, is it on EBITDA, is it on assets?

Ashish Jakhanwala: Hi. The 4% fee is 4% of the EBITDA generated by the hotels owned by the platform.

Anil Shah: Okay, 4% of the EBITDA. And it includes the existing assets as well, which —

Ashish Jakhanwala: Yes.

Anil Shah: Perfect, perfect. And second simple, just to be clarification, and one of the JV which is Ascent, 'we are also transferring Rs. 200 crores of debt to the

new platform, is that correct?

Ashish Jakhanwala: No, no. The existing debt will continue. So in Ascent, there are two sorts of debt right now. There's a debt from ICICI Bank, which is a third-party debt, that will continue as is. In addition to that, SAMHI hotels as a parent entity has provided certain loans to the subsidiary, those loans will be repaid to SAMHI Hotels.

Anil Shah: Right. So the ICICI Bank debt would be about Rs. 200 crores, is that correct?

Ashish Jakhanwala: That's right.

Anil Shah: And that will now basically go into this new JV wherein we have 65% and 35% will be obviously with GIC.

Ashish Jakhanwala: Absolutely, you are right.

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Anil Shah: So, as far as the parent is concerned, that debt is now moved to a JV, and we have 65% of that debt?

Ashish Jakhanwala: That debt was always in the subsidiary, and it remains in the subsidiary.

Anil Shah: Correct. Understood. Thanks. Those were the two questions. Thank you so much.

Ashish Jakhanwala: Thanks.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital Private Limited. Please go ahead.

Sarvesh Gupta: Good morning, sir. And thanks a lot for giving the opportunity and congratulations on the deal.

Sir, just a couple of clarifications. So this platform, you said the \$300 million commitment, so GIC's share is \$100 million. Of which, I think Rs. 750 crores you have already explained in the presentation. So is there anything apart from this Rs. 750 crores because that will leave only around Rs. 100 crores on the table, right, from the GIC?

Ashish Jakhanwala: Yes. So first of all, it's an indicative target, Sarvesh. You are absolutely right; the math says that

there's about 105 million odd GIC shares. Of which about 85-odd million is coming upfront. So there's balance \$20 million capital commitment basis this \$300 million number. But this is a very indicative number. The intent of both the partners is to grow this platform as the opportunities present themselves. And we would like to believe that post this transaction and strengthening of our balance sheet, both SAMHI and of course GIC's ability to put capital is unquestionable, both partners will be well capitalized to continue to exercise good quality growth opportunities. But \$300 million, the math will come out to about \$20 million of uncommitted capital from GIC, which if you see being 35% for future deals gives about \$60 million of total capital for an acquisition.

Sarvesh Gupta: Okay. And this 15%, 20% PAT upside you said is after including the minority interest? But does it include the interest cost reduction possibility also or is it just the debt reduction related interest cost reduction?

Ashish Jakhanwala: It's only currently a mathematical calculation on current interest rates and reduction in the gross debt. It does not factor in any reduction in the interest rate per say, I think that will be sharpening the pencil a bit too fine. And you are absolutely right, and I will repeat, we have factored in the 'minority interest as an expense when we have estimated a 15% to 20% upside on the reported PAT. And just for clarification, that reported PAT is without any exceptional items and non-cash DTA. As Rajat has mentioned earlier, we have accumulated losses in our balance sheets across subsidiaries and we do expect that in future years some of them may be recognized as income. But we are ignoring that, we are talking about pure PAT coming from operating business without any noise.

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Sarvesh Gupta: Understood. And on a follow-up to a previous participant's question, which was, why not take this investment at the listed entity level? So is that also because GIC may not have been interested in the portfolio, which is a significant part of our portfolio below the upscale sor

t of

level? So any color that you would want to throw on why or why not they may or may not be interested in the portfolio below the upscale level where we have a significant presence?

Ashish Jakhanwala: I would like to address it in two ways. I do not want to speculate on GIC's assessment of a broader portfolio. Having said that, last we checked the benpos, they continue to be a large holder of our stock in the public market. And its public knowledge, and they have been a holder for a very long time, since the IPO actually. So, without making any assumptions on their behalf, and as a management team we believe that they have conviction on the overall business. Now coming to this particular transaction, and I will repeat, this transaction involves a transaction where they have active involvement. And that obviously, as you know, is not possible in a public company. But in a smaller private entity, GIC has the ability to have a higher influence, something that we wholeheartedly welcome given their experience globally of investing capital in both the broader income producing real estate and in hotel sector. So I think the deal is structured to maximize the benefits that both partners can bring to the platform. I don't think that it in any ways has any aspersions on the balanced portfolio. It is just that three hotels are easier to underwrite, easier to do diligence on. And also, from our perspective, hotels like Courtyard, Fairfield, Bangalore, we have held them for 10 years and we have seen that hotel grow from zero to a fantastic performance. So, both partners, I think, came to a point where we found the assets where we are very happy to recycle some of the capital and they are happy to bring in fresh capital for future growth. So it's just where two people meet together.

Sarvesh Gupta: And sir, lastly, do they have any Put Option?

Moderator: Tam sorry to interrupt you, Mr. Gupta. I would request you to rejoin for follow-up questions.

Sarvesh Gupta: Sorry if you can just allow this one last question on the deal. Does GIC, do they have any put options on the shareholding that they have acquired in these assets?

Ashish Jakhanwala: No, there is no put option, other than if there's an event of default for full transparency. But other than in an event of default, which are customary in a shareholders agreement, there is no put option obligation on SAMHI Hotels.

Sarvesh Gupta: Understood. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Raghav Malik from Jefferies. Please go ahead.

Raghav Malik: Yes. Hi, Ashish and team. Firstly, congratulations on securing a great partnership. Just one clarification question, so these three assets of 700-odd keys in the upscale portfolio will come under this partnership, and you also mentioned any future upscale additions will be taken to GIC

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first. But what about these remaining, I think, in this latest presentation you said 2,000 total keys in the upscale portfolio, so would those be potentially coming under the purview of this partnership? That's my only question.

Ashish Jakhanwala: Raghav, thank you. So the way the transaction is structured, there is no obligation for us to

transfer those assets to the platform. Having said that, very similar to a new opportunity in the upscale space, if we were to consider part monetizing those assets because they are upscale, we will first take it to the platform. And if we can get to a meeting of the minds on terms and valuation, then we will offer it to the platform. But if not, then obviously we do not have to. But for the first two years, we in the upscale space will not take these assets to a third party investor. But after the two year period, these assets that are left in the upscale space can either remain with us. If we want to transfer them to a third party, as we have done with the existin

g assets,

we will first take it to the platform. If not, then we can take it to any third-party investor.

Raghav Malik: Okay. So even for the existing platform, at least a two-year period before they are taken to the platform and that may be the thoughts.

Ashish Jakhanwala: Yes, in the upscale space.

Raghav Malik: Okay. Thanks a lot, Ashish.

Moderator: Thank you. The next question is from the line of Rajiv Bharati from Nuvama. Please go ahead.

Rajiv Bharati: Yes. Good morning, sir. Sir, with regard to this SAMHI JV, when I see FY \*24 balance sheet, I see Rs. 330 crores debt there, and you mentioned it's currently debt free. So between let's say in the last 10 odd months, something has happened there?

Ashish Jakhanwala: It will become debt free post capital infusion by GIC, Rajiv. My apologies if we communicated otherwise. Currently, it continues to have the debt that was mentioned. But post infusion by GIC, SAMHIJV will become debt free.

Rajiv Bharati: Sure. And can you specify, let's say, revenue and EBITDA number these entity wise, the three entity broadly TTM?

Ashish Jakhanwala: Yes, sure. So SAMHI JV, actually the total impact to EBITDA was Rs. 74.1 crores, Ascent Hotels was Rs. 47.6 crores, and Innmar was Rs. 6.7 crores, this is trailing 12 months December.

Rajiv Bharati: Thanks. That's all from my side.

Ashish Jakhanwala: Thank you. Thank you, Rajiv.

Moderator: Thank you. The next question is from the line of Shaizad Shroff from Demeter Advisors. Please go ahead.

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Shaizad Shroff: Thank you for the opportunity. And congratulations on the transaction. A couple of questions.

On the asset recycling part, earlier we were thinking of selling down to 200, 250 rooms from the midscale segment, but the current transaction is more focused towards the upscale properties. So wanted to understand if there is a change in thought process or strategy there? And are we still looking to sell down those rooms from the midscale segment? Second question would be, going forward, how will the future upscale acquisition transactions be structured? Does GIC come on board from day one or SAMHI invests and acquires the property and thus takes the development risk and then flips it to the V2

Ashish Jakhanwala: So asset recycling is independent of the segment, it is based on a couple of factors that we evaluate at the Board level. It could be assets where we have questions on future growth, either because of market issues or the fact that the asset has really matured and we do not expect it to be on a trajectory that we typically ask of our assets, right. Now, to clarify, the asset recycling evaluation in the midscale portfolio continues, and we believe that we will continue to recycle some more of our capital in those assets. When we give our guidance on net to EBITDA, we have not considered the impact of that because, as I said, till it's not done it's not done, that's our belief, right.

Why have we done this? And I articulated to begin with, we believe that we had invested in these assets, other than Innmar the JV and Ascent we had invested really early on. We have done a lot of hard work, we have created substantial value. And it was only a fiduciary that we have that when we find a formidable partner like GIC, we are able to take some capital off those assets and use it for more productive purposes. In this case, on an immediate basis, the use is debt reduction. But the reality is that debt reduction is eventually leading to a lot of freeing up of cash for growth.

So it's not that the purpose is debt reduction, it's interestingly a very desirable outcome. But the end result is to effectively make sure that SAMHI's balance sheet is geared for future growth.

So that's why we have done this. We are very happy with both the partners, the value that we have created in these assets, the capital that we are getting, and the e

nd use today and in future.

But to repeat myself, our evaluation of recycling certain assets in midscale space continues, and we remain fairly optimistic, as we have mentioned earlier, of concluding one of that at least in the course of the next six to eight months.

Shaizad Shroff: Got it. On the second part related to future developments, will GIC come in from, yes?

Ashish Jakhanwala: Yes. So see, if you see a business model, Shaizad, we do not do greenfield development, generally. Never say never, we have done some developments historically, we may be doing

Navi Mumbai if we are able to resolve the issues with the administration there. But no, the purpose here is that if we find a new upscale opportunity, we will take it to the platform for it to evaluate. If the platform finds that opportunity attractive enough, then the platform gets to do that opportunity. If the platform either does not find the opportunity palatable or cannot meet the timelines around that opportunity, then we have full flexibility to continue to execute on that

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opportunity. GIC would have a small catch up period of 90 days, in which case they can come back and say, while we couldn't do it in time we can now do it. That's just to make sure that we respect the processes of a large investor such as GIC. But there is full flexibility to execute on deals that we believe in. But the short answer is, no. If there is a deal that this platform likes it goes day one, and typically we do not like buying pieces of land and doing development. We are not a developer; we are asset manager and that's what we take pride in and that's where we create value. So the assets will come upfront into the platform.

Shaizad Shroff: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes. Hi, sir. So as per your commentary, net debt to EBITDA is going to reduce to 3.5x. So what is the next two-year target we are having for net debt to EBITDA?

Ashish Jakhanwala: So as I said, Sumant, we are estimating that on closing of this transaction, once the first tranche of capital is infused, this is about Rs. 604 crores. Our net debt to EBITDA would be less than 3.5%. Obviously, that depends on where we closed the last quarter. In the next 12 months, given the pace that we are seeing in terms of EBITDA growth and performance of the hotels, plus the new inventory which will come live in Holiday Inn Express portfolio, we are fairly, fairly confident to take net debt to EBITDA below 3x. And that really sets the path for an accelerated landing at that 2.5x, which we believe is a very healthy debt to EBITDA for a company like ours, which today has all long-term debt which is between 12 to 14 years.

Sumant Kumar: Okay. And for the next leg of growth, our cash flow will fund that growth, or will it increase the debt or what, any other route?

Ashish Jakhanwala: No, we have adequate cash flows coming through into the business to fund growth. But Sumant, when I say that, there are always quarterly noises because of working capital, cash being utilized for growth. But if you were to take a yearly view, I think the company has adequate cash and adequate access to cash coming from its own operations to fund growth. Leverage is not the source of capital for growth for SAMHL.

Sumant Kumar: And my calculation, Rs. 16.4 is the EV to EBITDA deal value, and Rs. 2.8 crores deal by adjusted room that is the correct number, right?

Ashish Jakhanwala: Yes, approximately.

Sumant Kumar: Thank you.

Ashish Jakhanwala: Thank you, Sumant.

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Moderator: Thank you. We will take the next question from the line of Sunil Jain from Nirmal Bang Securities. Please go ahead.

Sunil Jain: Yes. My question relates to the parent

company debt, I think that will be around Rs. 1,250 crores, and trailing EBITDA if we calculate, then it will be at somewhere at around 4.5x debt to EBITDA. So how are you planning to bring it down as high cash generating assets now will be in JV?

Ashish Jakhanwala: Sorry, the total net debt in the company including the subsidiaries which are a part of this transaction will be Rs. 1,470 crores on closing. And basis that, we are estimating the net debt to EBITDA to be less than 3.5x, actually even if you see trailing 12 months EBITDA of the platform as of December 2024, you will see that number is very close to that, and that's how our conviction comes of being less than 3.5% on closing. So that's overall debt in SAMHI hotels on a consolidated basis, and the EBITDA of the company on a consolidated basis.

Sunil Jain: If you talk about just the parent part, because IV, you may not have full right to use the money in the parent company, so if the parent company -

Ashish Jakhanwala: That's the standalone basis excluding the JV. Non-JV assets. So in the non-JV assets we will be at about 4.4x net debt to EBITDA on basis of December 2024.

Sunil Jain: Yes. So how you are planning to bring that down? Because now the high cash generating assets will be in JV.

Ashish Jakhanwala: Yes. So the partners have agreed to put it in place, and I am using the word dividend policy or a cash distribution policy. But given the platform is going to be highly cash generative, there we reserve the right to make sure that the capital flows can be made available from that platform to both the shareholders actually, GIC and SAMHL to meet their requirements that they may have.

So we have structured the transaction in a way that we can have access to the free cash that the companies are generating if there be a requirement for us to do that.

Sunil Jain: Any target for the standalone, how much debt to EBITDA you would like to reach in the next two years?

Ashish Jakhanwala: I think our sense is that even in a non-platform asset, we maintain similar targets as we have for the overall portfolio. At the beginning, of course, the platform has much lesser leverage and non-platform assets have a higher leverage. But because of the fact that as I mentioned earlier, we have the ability to move cash. Plus the fact that some of our growth assets like the W in Hyderabad, the new Sheraton Rooms, the Holiday Inn Express that we have opened, they are all going live either this year or next year. You would see a substantial change in the EBITDA of,

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let's say, in the non-platform assets. So to answer you, our plan is to normalize debt to EBITDA across our portfolio, including the platform and 100% owned assets.

Sunil Jain: Second question relates to the -

Moderator: Mr. Jain, I am sorry to interrupt you, sir. I would request you to rejoin the queue for your further questions. Thank you so much. We will take the next question from the line of Moksh Ranka from Aurum Capital. Please go ahead.

Moksh Ranka: Hello, my question has been answered. Thank you.

Moderator: Thank you. We will take the next question from the line of Naitik from N'V Alpha Fund. Please go ahead.

Naitik Mutha: Hi, sir. Thanks for taking my question. Sir my question is, I needed some clarification in terms of the asset we have in Whitefield, which is The Westin & Tribute. So I just wanted to ask, the 140 keys that would be going for rebranding, that would also be coming online in FY \*29, so next two years they would also not be contributing, is that understanding correct?

Ashish Jakhanwala: So Naitik, the existing 142 room hotel is operating, will continue to operate through FY \*26. It will go under renovation in FY \*27. As we have mentioned earlier, we do not expect a shutdown of the hotel for a prolonged period of time. There could be a small period of two months to three

months where we will have to take the hotel out of operations when we do the public areas. But other than that, the intent is to do renovation in parts as we operate that hotel. And we will immediately start creating the new building for the proposed Westin.

When I say immediately, of course, it's based on the approvals from local sanctioning authorities. But we do expect that to start sometime towards the end of the current calendar year. So yes, that's the current plan. But the current existing hotel, which is branded Trinity continues to operate. We have an in principle agreement with Marriott for them to start providing us some support during the current year, even though hotel will not be rebranded. And with that support, we do expect that the performance of this hotel may see a material upside, actually even prior to us investing substantial capital or rebranding.

Naitik Mutha: Got it. And the total CAPEX that would be required here would be how much, including the new building and the rebranding? Because I guess Rs. 150 crores is coming from our partner, but how much would be the total CAPEX required?

Ashish Jakhanwala: See, Rs. 75 crores is the total anticipated capital there, and you are absolutely right, of that Rs. 149 crore comes from the partner and the residual will be funded by SAMHL. Actually sorry, the residual will be funded in the ratio of 65:35.

Naitik Mutha: Alright. Got it, sir. That's it from my side. Thank you.

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Ashish Jakhanwala: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today, which is from the line of Saurabh Gilda from JM Financials. Please go ahead.

Saurabh Gilda: So I just have one question. What is the targeted timeline for the closure of this transaction?

Ashish Jakhanwala: Thank you for asking this question, Saurabh. So the advice that we have received from the councils was that, because you are not seeding control in a material subsidiary, it did not require any specific shareholder consent. But we are quite aware of our status as a professionally managed company, therefore for governance we want to seek a shareholders' consent. I think the notice will be issued pretty soon, today or tomorrow. We expect the EGM to be called third week of May. I think I would believe that between 45 to 60 days we would close the transaction, at which point of time Rs. 604 crores get infused in a single tranche, and Inmar transaction will obviously come in Q2 and subsequently over the next 24 months.

Saurabh Gilda: Okay, got it. Thank you.

Moderator: Thank you. Thank you, sir. As that was the last question, I would now like to hand the conference over to Mr. Ashish Jakhanwala for closing comments. Over to you, sir.

Ashish Jakhanwala: So thank you, everybody. I know we have not been able to address everybody's queries. But SGA Advisors, who are our IR advisors, are going to be reaching out to all of you analysts,

investors, and we will make ourselves available over the course of the next week, 10 days if there be any incremental queries or concern, happy to address them. We understand we had given a very short time to this call, but we felt that nevertheless it's a good starting point. But as I said earlier, we are committed to address any further questions that you may have over a period of time. So thank you for your time and look forward to speaking with you soon.

Moderator: Thank you members of the management. On behalf of SAMHI Hotels Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you.

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## Call: Jun 2025

—SMART HOTEL INVESTMENTS—

06" June 2025 SAMHI Hotels Ltd. CIN BSE Limited National Stock Exchange of India

Refd Office: Ca Corporate Relationship Department Limited

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Road, O Dalal Street, Mumbai - 400 001, Bandra Kurla Complex, Bandra (East),

Iljit'm alimar Bagh, Delhi- Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q4 FY25 Earnings Conference Call

Dear Sir / Madam,

Please find enclosed the transcripts of the Q4 FY25 Earnings Conference Call with the Investors or Analysts held on Thursday, 30" May 2025 at 11:30 a.m. (IST).

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

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SAMHI Hotels Limited

Q4 FY25 Earnings Conference Call

May 30, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th May 2025 will prevail.

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SAMI I I o —SMART HOTEL INVESTMENTS—

MANAGEMENT: MR. ASHISH JAKHANWALA -MD & CEO

MR. RAJAT MEHRA - CFO

MR. GYANA DAS— EVP & HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — VP (INVESTMENTS)

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Moderator:

Ashish Jakhanwala: SAMHI Hotels Limited

May 30, 2025

Ladies and gentlemen, good day, and welcome to SAMHI Hotels Limited Q4 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO, SAMHI Hotels Limited. Thank you, and over to you, sir.

Thank you. Good morning, ladies and gentlemen. Welcome to SAMHI Hotels Earnings Call for the quarter ending March 31, 2025. Thave with me today, Gyana Das, who is EVP and Head of Investments, Rajat, who's the CFO, Nakul, who's VP of Investments. We also have on call our Investor Relations Advisors, Strategic Growth Advisors. We have uploaded our Quarter 4 FY 25 financials and presentations on the exchanges and I hope everybody had an opportunity to go through the same.

To begin with, I would give you all a quick recap of financial year 2025 and what all we've achieved thus far, This will also set the pace for our future endeavors, as we look at financial year 2026 and beyond. We'll then have Rajat, give a quick snapshot of our quarter 4 of FY 25 and full year FY 25 financials, following which we will open the floor for Q&A.

For financial year 2025 has truly been a transformational year for SAMHI as it is our first full financial year post our IPO in September 2023. Our portfolio led by markets in Bangalore,

Hyderabad, Pune and NCR continues to drive strong growth in both top line and bottom line. Our same-store assets delivered a 16.5% year-on-year RevPAR growth, which led to our group level revenue increasing by 17.5% year-on-year to INR1,150 crores.

Flow-through and margins remain healthy and EBITDA pre noncash ESOP was at INR443 crores for the full year, which sets the base for strong same-store growth going forward. From a growth perspective, we have made 2 very strong acquisitions this year, which complement

our

current portfolio and will augment our same-store growth over the next few years.

First, as you know, is the acquisition of the operating 142 rooms, Trinity Hotel in Whitefield Bangalore. We are in advanced stages of design and development of this asset, which will be converted into 362 rooms Westin and Tribute portfolio dual-branded hotels.

On current average rates, we expect this hotel to operate at about INR50 lakh to INR55 lakh per revenue range. So we are looking at an additional INR180 crores to INR200 crores of revenue from this asset on FY '25 average room rate basis.

Next is the long-term variable lease we have signed in Hi-tech City, Hyderabad for the conversion of an office building to a 170-room hotel being to be managed in the Marriott's W

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Rajat Mehra: SAMHI Hotels Limited

May 30, 2025

brand. Development has already started, and we expect the hotel to open in the second half of FY 27.

We believe that the strength of the market, a very strong and recognizable brand and the product shall position the hotel towards the top of the concept, with revenues per key upwards of INR60 lakhs, which will add another INR100 crores of total revenue on an FY '25 room basis for this hotel.

In addition to the above, we have 300-odd new rooms within the Holiday Inn Express portfolio in Calcutta, Greater Noida and Whitefield, Bangalore, which are now operational. Add to that, the 54 new rooms in Sheraton Hyderabad and 22 rooms in Hyatt Regency Pune. You will start seeing incremental revenues coming from this new inventory in FY '26, adding to our same-store growth.

Next is the milestone strategic partnership we have established with GIC, Singapore's sovereign wealth fund. GIC brings unparalleled institutional capabilities for us to benefit from. In addition to committing INR750 crores of capital of which INR80 crores have been received as of May 27th. This partnership has multiple benefits for SAMEL.

It strengthens our balance sheet by taking the net debt-to-EBITDA down to 3.2x on an FY 25 basis, thus unlocking substantial free cash flow generation going forward. It provides us INR150 crores of capex funding for the Western Tribute portfolio Whitefield development, where there is about INR375 crores of pending capex. It gives us access to a marquee institutional investor and capital partner in GIC to accelerate our growth.

With a strong balance sheet and significant freeing up of cash from operations post the debt reduction, we are now focused on growing our platform using our time-tested acquisition and conversion strategy. But also increasing through long-term variable leases. We have visibility of an actionable pipeline in our core markets. We're also very pleased to inform you that this was our first full year of profit. Obviously, after we've gone public.

With this, now I'll request Rajat to give us a summary of our financial performance for the quarter and the full year, and over to you, Rajat.

Thank you, Ashish. Good morning, everybody. It gives me immense pleasure to announce SAMHI's financial performance for the quarter ending March 31, 2025. On same-store assets, we have recorded a healthy 15.8% year-on-year growth in topline for the quarter, resulting in an EBITDA growth of 22%.

Complementing this is the ACIC portfolio, which now has crossed 40% milestone after multiple cost intervention steps taken over in the last 18 months since the acquisition. We will now truly unlock the value of ACIC portfolio in FY 26 and FY 27 once the revenue management of Marriott kicks in and we convert the Pune and Jaipur assets to Courtyard by Marriott and Tribute Portfolio, respectively.

The net result of this is a consolidated income of INR324 crores for the quarter ending March 31, 2025, representing a year-on-year growth of 12%.

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Moderator:

Karan Khanna: SAMHI Hotels Limited

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Consolidated EBITDA for the quarter stood at INR 131 crores

with a year-on-year growth of 21%. After accounting for a noncash ESOP expense of INR 4.4 crores our reported consolidated EBITDA for the quarter stood at INR126 crores, delivering a 31% year-on-year growth. The PBT for the quarter stood at INR42 crores and accounting for exceptional items, the PAT is INR 46 crores. I'm also happy to report that on a full year basis, we have reported a topline of INR 1,150 crores in the financial year 2025, delivering a growth of 18% on a year-on-year basis. Consolidated EBITDA pre-ESOP stood at INR 443 crores, growing at 27% on a year-on-year basis, which gives us a strong base to deliver future growth. ESOP costs stood at INR 18 crores for the year, which will reduce to INR 10 crores in FY 26 and will stabilize at that level. Depreciation and amortization expense are largely stable at INR 117 crores. Our overall finance cost stood at INR 229 crores, which includes INR 30 crores of noncash expenses relating to amortization of processing fees, interest on lease liability and other noncash in their accounting entries. Accounting for ESOP costs, depreciation and finance expenses, we have reported a profit before tax PBT of INR 80 crores. Further accounting for exceptional items, as mentioned, our reported profit after tax was INR 86 crores for the full financial year. From a capital structure perspective, our net debt as on March 31, 2025, stood at INR 1,967 crores with a weighted average cost of debt of 9.2%, with a 20 bps reduction in our costs from the previous quarter. With GIC capital infusion, our net debt is now around INR 1,430 crores matk, taking our net debt down to 3.2x, thus materially strengthening our balance sheet. After adjusting for the INR 250 crores of capital allocated towards growth projects such as Trinity Whitefield which has negligible EBITDA contribution in our financials at the current state, our net debt to EBITDA for our operating assets stood at 2.7x. The growth in EBITDA of our same-store assets coupled with the unlocking of value in our balance sheet post the GIC transaction, will lead to a strong cash flow generation for the funding of the capex commitment that we have in the future and further accelerate our growth through tactical merger and acquisition opportunities and long-term leases.

With this, now I open the floor for questions. Thank you.

Thank you very much. We'll now begin with the question and answer session. The first question is from the line of Karan Khanna from Ambit Capital.

Ashish, the first question, if I look at Slides 22 through to 24 of your presentation, what I can see is that the occupancies for upper mid-scale and the mid-scale hotels seem to be peaking out. Let's say, downward trend in your mid-scale occupancies, while even in case of upper mid-scale, it seems to be stable quarter-on-quarter and year-on-year.

So is that a trend that you're seeing where supply seems to have caught up on the mid-scale side because of which occupancies have been peaking out? Or is it your conscious strategy to focus 'more on the RevPARs rather than the occupancies in this segment?

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Ashish Jakhanwala:

Karan Khanna:

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Karan Khanna:

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So Karan, the strong RevPAR growth s a clear demonstration of the fact that there s no supply pressure on the performance. I think every operator and owner understands that our revenue driven by rate is more profitable than a revenue driven by just volumes. So this is a classic revenue management, yield management play. Wete seeing absolutely no stress from supply, and therefore, the RevPAR performance continues to be very strong, driven by average rates. The second question actually was, if you look at RevPAR for your overall portfolio, this was up 18% Y-O-Y. The revenues were up just 14%. So could you shed some light on the difference? And as a follow-up, I th

ink in the previous calls, you've spoken about ramping up the F&B offerings. So how is that progressing?

Yes. So Karan, we are sceing a stronger growth in room revenues largely driven by demand/supply airlines office. And that's why you would see in our portfolio, at least the RevPAR is continuing to remain ahead of total revenue growth. That's number one. In terms of food and beverage, the steps have been taken, but theyll start showing results towards, I would say, H2 of FY 26. Things like the renovation of the ballroom and Sheraton Hyderabad, improvement of the ballroom in Hyatt Regency Pune.

Some of the F&B initiatives we are taking for our upscale hotels. So all of those efforts are underway with an intent that we should start seeing an equal contribution from food and beverage growth as we are seeing in room revenue growth.

Secondly, you seem to reverse some provisions for impairment, I think for the Navi Mumbai

land litigation. So, could you share if that is the case and are you expecting any developments happening here anytime soon? Or is it pertaining to some I think claim from the sellers on the land?

Yes, so we had made provisions in quarter 3 of FY 24. As of today, of course, we had written off the value of that asset completely. We have fairly constructive dialogue going on with MIDC, which is the relevant authority Karan. As a team basis those conversations, we feel fairly confident that over the next quarter or 2 we would get written confirmation from MIDC, which will then allow us to write back that value of the asset into our books.

Sure. And my last question for the ACIC portfolio, while the margins seem to be converging well, which is very encouraging, the RevPAR seems to be lagging compared to the same-store portfolio. So please state what was the RevPAR growth for ACIC portfolio in 4Q and FY 25 and your expectation is going ahead on the same?

So what we are expecting is, Karan, that in ACIC, we need to remember that we have the Four points in Pune and the Four points in Jaipur. Which are being prepped for renovation and rebranding. So obviously, these are large hotels. Pune is one of the second largest hotel in the ACIC portfolio after Hyderabad.

Of these hotels that are not due for rebranding, let's say, Hyderabad in all, we have seen pretty impressive year-on-year revenue growth starting quarter 4 actually. Prior to that, because it was self-managed the focus was on cost management.

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Moderator

Jinesh Joshi:

Ashish Jakhanwala:

Rajat Mehra:

Ashish Jakhanwala:

Rajat Mehra:

Ashish Jakhanwala:

Jinesh Joshi:

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Post Marriott taking over the portfolio we've seen encouraging revenue growth, but we need to be mindful of the fact that there's 2 hotels in ACIC, which will have a deferred income growth on account of the pending renovations. 13% for the 3 assets which are not due for renovation. So we've seen in quarter 4, total revenue growth of 13%, a RevPAR growth of 13%. But the 2 other assets are due for renovation. So there, you will see flattish trends.

Next question is from line of Jinesh Joshi from PL Capital.

Sir, my question is on the sale of the Chennai hotel. I think when we did this transaction a couple of months back, the sale price was approximately INRS3 crores. However, in the results press release, we have stated that the sale price is approximately INR3 crores. And we have recorded some exceptional loss on that exit?

So if you can just explain this part a bit better and also a related follow-up is that given we have an asset recycling plan in place and we may choose to exit certain nonperforming assets in future as well. So is there a possibility that you might see such losses come through in future whenever we plan to basically exit?

So Jinesh just 2 clarifications. The sale price is INR 53 crores. I don't know what

There was a debt in that particular asset close to about

INR50-odd crores. So net proceeds...

Yes, INR 3 crores on net proceeds post settling the leverage on that asset but the sale price was INRS3 crores. That's point one. Point two, this was an asset acquired through the ACIC portfolio, whereas the time of the acquisition, we've had to create certain goodwill. So what we have basically done is written off the goodwill Jinesh.

Otherwise, we have sold the asset at a fair value. Answering your question about subsequent assets, there are very few assets where we have this issue of, I would say, material goodwill on top of the asset value. The assets that we are currently reviewing for asset recycling, none of those assets have any such issue. So we do not expect any such accounting adjustments to come for the future assets.

It will be positive.

Yes. Actually, some of those assets based on the current discussions will end up leading to profit rather than any accounting losses.

Understood. And so, in response to the previous participant's question, you mentioned that given you are expecting a feasible verdict from MIDC. There could be some write back also, which could come through as you saw in this quarter. So can you just share what was the total written down amount? And how much of it can be expected to be written back?

So Jinesh, we actually took a total hit of INR 76 crores in our December quarter financials in FY '24. When we get the favorable order, the entire amount will actually be reversed. There

cannot be any partial reversal. Its a very binary situation. Once the order is there in our hand,

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Jinesh Joshi:

Rajat Mehra:

Ashish Jakhanwala:

Rajat Mehra:

Ashish Jakhanwala:

Moderator:

Murtuza:

Ashish Jakhanwala:

Murtuza: SAMHI Hotels Limited

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which will be favorable since our discussions as of now. There will be a complete reversal of INR76 crores in our balance sheet and the P&L.

Sure. So the reversal that happened in this quarter, it pertains to this only, right?

It pertains to some other properties. The INR 76 crores of reversal still has not been taken into consideration. As we speak, we have close to about INR 138 crores worth of impairment that we have still not reversed. That's an opportunity which is available for us in the future, which includes the INR 76 crores that we are talking about.

So Jinesh, the number that has come in this current quarter is not for the Navi Mumbai. It's certain impairment provisions we had created during COVID times, right? And some of that, I think, reversed as we've seen consistently strong performance through the last several quarters, right?

And in addition to what has been taken in the current quarter, as Rajat clarified, there is approximately INR130-odd crores - INR138 crores of potential impairment reversals and INR76 crores is a part of that INR138 crores. So even if that - Navi Mumbai does not come, you're potentially still talking about INR 50 crores, INR 60 crores of impairment reversals to happen over the course of the next few quarters.

Maybe at the end of the year.

End of the year, actually. Impairment testing will be done at the end of the year.

Next question is from the line of Murtuza from Kotak Securities.

Just a question. If I look at my quarter 4 asset income that's grown by about 14% your same-store RevPAR growth is closer to about 20%. How do we reconcile the two? Is there any - I would have typically expected. So is it that the other revenues are growing at a slower pace? Or what should be the in-built if I were to look at quarter 4 asset income versus quarter 4 FY 25 asset income. What should be the implicit sort of room rental growth against that 14% overall revenue growth?

So Murtuza, thank you for asking that. Let me clarify it will be a benefit to all. So as you rightly said, if you look at the same-store for quarter 4, the total RevPAR growth was about 20%. And if you look at the Page number 16, where we've given the bridg

e for quarter 4, the same-store revenue growth was about 16%.

So there's this 4% drag because of the F&B and other income during the quarter, where the total RevPAR growth has kind of is higher than the total revenue growth. A large part of that, Murtuza, is we needed to do with if you ask me, what's happening in the food and beverage. Where we are seeing fairly muted growth year-on-year.

And as I mentioned earlier in response to Karan's question, actually, F&B growth is about 6.6% year-on-year Murtuza to be precise, right...

For the 4th quarter?

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Ashish Jakhanwala:

Murtuza:

Ashish Jakhanwala:

Moderator:

Pradyumna Choudhary:

Ashish Jakhanwala:

Pradyumna Choudhary:

Ashish Jakhanwala:

Pradyumna Choudhary:

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Yes, for the relevant quarter, the quarter 4. So that is a drag. But having said that, as we've explained earlier, 2 of our big ballrooms, the one in Hyatt Regency, and the other one in the Sheraton Hyderabad are now under planning for renovation. And you would see in H2 because

of that work being completed, the dilutive effect of food and beverage on total revenue will start to taper off.

So we should move again to the overall RevPAR growth more or less reflecting in the revenue growth number. Because the F&B...

Yes. But Murtuza, we need to be mindful of the fact that RevPAR growth, I would expect our portfolio to remain slightly ahead of the total revenue growth because we don't expect or underwrite the F&B to grow at the same momentum as we can expect rooms to grow.

I mean in markets like Bangalore and Hyderabad which are big markets for us, the demand supply and balance for guest rooms is leading to -- I mean, just to put things in context, Murtuza.

In a market like Bangalore in quarter 4, we saw a total RevPAR growth of 40% year-on-year.

Now when you see rooms growth being so bullish it will be difficult for F&B to catch up, honestly, right? So I think we should set our expectations for RevPAR growth to remain slightly higher than the total revenue, but 6.6% is also not the right number for F&B growth. The F&B growth should grow in double digits, right? So that the dilutive effect is not so large.

Next question is from the line of Pradyumna Choudhary from JM Financial.

Congrats on a good set of numbers. I just have 1 question. What was the Y-o-Y growth in Q4 for the ACIC portfolio?

Pradyumna, just give us a second. I'll give you overall and then for the 3 assets which are not under renovation. So the 3 assets which are not under renovation, the Y-o-Y growth was 12.9% RevPAR and 6% was total revenue growth, 11% was EBITDA growth.

So those are the 3 numbers. If we add the Jaipur and Pune assets which are now due for renovation, which is where the total income growth becomes flattish, actually, it's about 3.6%, but the EBITDA growth is still 8.2%.

Okay. So if we add Jaipur assets, then the total revenue growth is getting flattened. So basically, there's been a degrowth in the Jaipur asset. Is it right?

No, in both Pune and Jaipur, if you take them together, there is still a growth of about flat about 0.5%. But EBITDA growth is about 4%.

Understood. And when are we expecting these 2 assets to be converted?

So the work on Pune has actually started. We are in the process of completing the mock-up rooms. And through this year, we'll continue with the renovation. As you know, we are not shutting down the hotel for renovation. So therefore, we don't want to lose the existing revenue and profits we're getting from that hotel, right?

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Pradyumna Choudhary:

Ashish Jakhanwala:

Pradyumna Choudhary:

Ashish Jakhanwala:

Pradyumna Choudhary:

Ashish Jakhanwala:

Moderator:

'Vaibhav Mule:

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So the mock-up rooms are underway, should be ready in the next 1.5 months or so. And immediately after that, the work will start. S

o we expect that by the same time next year, we would have the hotel fully renovated and rebranded to Courtyard by Marriott.

All right. And what about the Jaipur?

Jaipur will start same time next year because we want to do the full renovation in that. So unlike Pune, Jaipur has high seasonality, we see a significant difference in the revenues in H2 and H1 in Jaipur market largely because it's got a lot of inbound. So the Jaipur renovation will really happen between, I would say, April 2026 and I would say around August of 2026.

Okay. We just want to ensure that for H2, it's available basically H2 FY 27, the Jaipur?

Pradyumna, you booked 80% of your profits in that hotel in F2 really. So you want to make sure that you won't lose much in the H1. And actually, because of the renovation and rebranding you will recover more than enough for whatever you lose in H1 and H2 with the revised brand.

So then right now, there is work going on, right, in Jaipur. So why is Jaipur not really growing in line with the overall industry?

No. So Jaipur because it needs a renovation and rebranding, Pradyumna till the time we don't improve the product, we really don't expect. It's being held in operations. But otherwise, there's nothing for us in terms of products to be able to push it in comparison to the competition.

Next question is from the line of Vaibhav Mule from Yes Securities.

First question on the Bangalore market. You said you saw total RevPAR growth of 40% year-on-year, which is actually very fabulous, but significantly higher than your peer set, which is operating in a similar location as yours. So I just wanted to understand the reason of such strong

RevPAR growth for Bangalore market?

So Vaibhav, I always therefore caution us from generalizing anything, including market performances. I mean today, Bangalore is a very large hotel market, it has very defined precincts and micro markets, which don't always necessarily behave in sync, right?

We benefit from 2 of our hotels, which is a 1 single hotel complex Courtyard Fairfield Bangalore, situated in outer-ring road Bangalore. And that stretch of road has seen to the best of our knowledge has seen the strongest of absorption and therefore, performance growth also.

So it's a very micro market-driven outcome. And therefore, there could be some discrepancies, 50 to say, between us and the broader Bangalore peer set. But yes, in our hotel, for the quarter, not -- I mean, for our portfolio in Bangalore, we saw 40% Y-o-Y for the quarter.

And for the entire year, also, it was 22.8%, actually. So it was not 1 quarter wonder. For the whole fiscal year FY 25, we saw the RevPAR for the city moved from INR 5,120 to INR 6,290, which is a growth of about 22.8%.

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'Vaibhav Mule:

Ashish Jakhanwala:

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Ashish Jakhanwala:

'Vaibhav Mule:

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Correct. And now you are opening Holiday Inn Express in Whitefield Bangalore only, it under preopening. So do you expect similar RevPAR trend for this property as well?

Yes. So what will also happen is that and while the inventory is small, Vaibhav it's 56 rooms, and our Bangalore inventory pool is pretty large, actually. But if you see the Holiday Inn Express, the current product is 14 square meter and has been doing really well. Its got about 160-odd rooms.

The 56 rooms addition is actually 17 square meters, and they are being positioned at a higher category. So actual RevPAR realization for the incremental inventory would be substantially higher than from the existing inventory in that hotel. So we do expect that to obviously also have a positive impact.

Generally, during the current year, we've seen North Bangalore, where we have a Fairfield by Marriott and Holiday Inn Express do extremely well, Rajajinagar and Tumkur Road. Outer Ring road, the Courtyard and Fairfield continue to do really well.

And then in Whitefield, we have 2 hotels, opera

tional one is the Trinity that we acquired recently.

And all 3 hotels are actually doing reasonably well. So we continue to expect seeing good performance from this market.

Okay. So you don't expect any sort of moderation in ARR in the coming year?

To be blunt, we have not underwritten such RevPAR growth rates. So we only feel really happy. If you're referring to 40% and 22%, and I will always say moderate your expectations. But I think this market will continue to deliver good double-digit RevPAR growth.

Okay. Great. And just the last bit on the renovation side. You said you are renovating 2 ballrooms. So what is the renovation expense for these 2 and any other renovation planned in the current year? And what is the total R&M expense related to that?

Okay. So let me take you through. There's a fair bit happening actually good that you asked that question. So in terms of total planned activities, we would have the opening of the additional rooms in Sheraton Hyderabad and Hyatt Regency, Pune. The work is going on. We expect them to be operational in at least starting of H2 plus/minus a month, depending on the final consent that we would require.

We then would also be renovating as I mentioned, the Sheraton ballroom and the ballroom in Hyatt Regency, Pune in addition to the additional rooms there. The ballroom renovation actually is a low capex, it's about INR 50 crores between the two renovations. The room inventory, of course, we've given the numbers earlier in terms of what the renovation budget would be. This is the majority of the renovations planned. And of course, the work that we start for converting Four Points, Pune into Courtyard Pune, that would start getting incurred during the current year. Overall, we do expect about INR 175 crores to INR 200 crores of capital expenditure during the fiscal year FY 26 of which INR 50 crores will be contributed by GIC in the specific Bangalore asset and about, let's say, INR 125-odd crores would be spent by us from our own cash flows.

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'Vaibhav Mule:

Ashish Jakhanwala:

'Vaibhav Mule:

Ashish Jakhanwala:

Moderator:

Bharat Sheth:

Ashish Jakhanwala: SAMHI Hotels Limited

May 30, 2025

Understood. And post renovation for these 2 ballrooms, do you expect better rates? Or do you expect occupancy improvements? So where is it currently lacking?

So I'll allude to Murtuza's questions earlier about why total income is 15.5% when RevPAR is growing at 20% or 21%. And the result is that the total F&B growth is around 6.5%, 7%. Now if you look at our portfolio, a majority of our F&B income actually comes from our upscale portfolio, and these 2 hotels are a large contributor to the upscale portfolio.

So as we get the better penetration and usage of these 2 large ballrooms in 2 big hotels, what we expect to do I see a higher growth in F&B income on a year-on-year basis, which means that if my RevPARs are growing at 20%, I expect the revenues to not grow at just 15%, but 16%, 17%, 18%.

As T mentioned, T always expects total revenue to remain short of RevPAR growth in markets like India, because the room demand is really, really strong. But the 5 percentage point dilutive effect that we saw last quarter, we should narrow it down to maybe 2, 2.5 percentage points really.

Understood. And just one last bit on the brand up-gradation. So can you expect the delta in terms of percentage ARR improvement that you expect for conversion to Courtyard, Fairfield and Tribute maybe for all 3 respective categories?

Yes. So I think our big opportunity is right now in Four Points to Courtyard and Four Points to Tribute. In Four Points Pune to Courtyard, our expectation, and we have said it earlier, it's about 20%, 25% total revenue growth.

In Jaipur actually because the asset is grossly underperforming. And there is a combination of both really bad product and also the brand that we're trying to bring in stronger. There, we expect the total

revenue and RevPAR growth to be upwards of 30% change. So we see this sort of change in both the market.

T would like to take your attention to the data on airline growth. And if you see markets like Hyderabad, Bangalore have grown between 12% to 16.5% year-on-year change in passenger traffic. And that's a good indicator for what's happening to hotel rooms also in these markets.

Next question is from the line of Bharat Sheth from Quest Investment Advisors.

Congratulations Ashish and team. Ashish, as you alluded that for the company growth will not be in line with the RevPAR because of lower growth in F&B. But in that case, how do we think about the impact on the EBITDA margin really can play out? If you can give some color on our EBITDA margin for the room as well as F&B and then overall impact.

So Bharat, fantastic question. And let me tell you, whenever you see a total revenue growth driven by room revenue, you do expect the margins to expand significantly, right, because rooms produce higher contribution margin as compared to food and beverage. If you see overall margin profile, if you look at quarter 4, which is Slide number 18, you would realize that our asset level

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SAMHI

Bharat Sheth:

Ashish Jakhanwala:

Moderator:

Pranav Shrimal:

Ashish Jakhanwala: SAMHI Hotels Limited

May 30, 2025

EBITDA has reached about 43% for the quarter after accounting for net corporate G&A is about 40.5%. We expect this to be a trend we should see on an annualized basis going forward.

So our expectation and endeavor is that not just for quarter 4, which we all know and accept as a strong quarter, we should see this margin profile remain applicable for all of SAMHI for the full year period. And we do expect to get there, I would think, in the next 4 to 6 quarters, so that the whole company's reporting these sorts of margins, not just for a quarter, but for the whole year.

And what are kind of a margin one should look forward for F&B?

So Bharat, if you look at Uniform System of Hotel Accounting, which is the only way to articulate departmental profit, in a USHA format, you would see rooms division producing about 60-odd percent contribution margins. And then F&B would be between 40%, 45%, right? But the big gap there is that HLP is accounted for below.

So unfortunately, it's not a true reflection of the margins because we all know food and beverages are energy guzzler. So accounting for utilities expenses within the Uniform System of Hotel Accounting are actually below departmental profit, we would think the F&B margins are not 'more than 35% really.

So there is a big gap between what margin rooms can produce and more so in a high capacity

utilization, higher rate environment related to what food and beverage can produce. So, we love the fact that our business is driven by very predictable, sustainable, repeatable rooms business. We just want to make sure that any drag which F&B brings to RevPAR to total revenue can minimize that drag in the times to come.

Next question is from the line of Pranav Shrimal from PINC Wealth Advisory.

Just a couple of questions from my side. Sir, firstly, are we still seeing any supply, demand mismatch going forward in our main areas which is Bangalore and Hyderabad?

So Bangalore, Hyderabad, Pune, NCR, which are 4 markets where probably we get 75% of our total revenues, right? We are seeing negligible. So Bangalore is still seeing some supply, but thankfully, the market size is so large that on a relative basis, the supply growth is just about 4% . 4.5%, 5%, against airline growth of 11.5%, 12%, office growth of about 8%, 9%.

So we are seeing demand remain 2x of supply growth in Bangalore. In Hyderabad, Pune and NCR, we actually just are not able to see any supply. So we actually expect Hyderabad to grow fairly rapidly. Interestingly, for the same segment of hotel, Hyderabad is still selling rooms at a reasonable discount to Bangalo

re.

And it is our expectation that over the next few quarters, we would see that gap narrow down, if it not be completely the same actually rates for the same set of hotels. So we are not seeing any reasons to worry about supply side. And one of the good thing about the sector is that because supply needs a hard asset to be built it's not something that will be surprised by next year.

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SAMHI

Pranav Shrimal:

Ashish Jakhanwala:

Pranav Shrimal:

Ashish Jakhanwala:

Moderator:

Nirvana Laha:

Ashish Jakhanwala:

Nirvana Laha:

Ashish Jakhanwala:

Nirvana Laha: SAMHI Hotels Limited

May 30, 2025

So we think we have a clear runway over the next at least 3 years before we start worrying about supply, having any meaningful impact. But I would caution you my optimism is extremely myopic about the market we are presenting and the markets that we are investing our capital in. It should not be applied to all markets, in all cities. Some of the Tier 2, Tier 3, we may see some higher supply growth relative to the Tier 1 market. But your answer - your question was about our market, we remain fairly upbeat about what we are seeing on demand and supply.

And coming to a Hyatt Regency and Sheraton in our PPT we said that well complete by this FY. Is there any quarter target that we have set to be opened by Q2 and...

Yes, quarter 3 is when we expect this inventory to be operational for both these hotels.

We can sort of estimate that H2 these 2 inventory will be contributing?

Yes, it will be.

Next question is from line of Nirvana Laha from Badrinath Holdings.

I have 2 questions. So the first question is if I look at the H2 revenue growth for the company when ACIC has been in the base, it's been about 12%. So going forward for FY 26, do you think that's a fair rate of growth that we can look forward to? And also if you can give the ACIC revenue and EBITDA for FY 25 and FY 24, please?

Okay. So in terms of total revenue growth, Nirvana, I think we've always maintained that for same-store hotels. And I think we'd like to repeat ourselves several times that when we look at KPIs and revenue growth, it's important to look at the same set of hotels because the moment you add new openings it just confuses a trend, right?

So for the same set of hotels, we expect the total revenue growth to remain in the early double digits, right? We've been saying it for the last several quarters, but market has been supporting a higher growth, but we maintain that for a sustainable long-term growth for same set of hotels should be a total revenue growth of early double-digits, right?

In terms of actual absolute, you would see about INR 190 crores revenue from ACIC for both years. Actually, 2024 was INR 192.2 crores, 2025 is INR 190 crores. So this is for all the 5 hotels put together.

Okay. And in terms of EBITDA, please, for the 2 years?

EBITDA was INR 66.8 crores in FY 24, it is INR 74.2 crores now.

And coming to a question on -- so I think in the press release I'm forgetting which document. I think you've indicated that interest costs, your projection is INR 140 crores for next year. And then there are some noninterest finance costs, etc., which I think this year was close to INR 50 crores, you can confirm that.

SAMHI

Ashish Jakhanwala:

Moderator:

Raghav Malik:

Ashish Jakhanwala: SAMHI Hotels Limited

May 30, 2025

So I'm just trying to understand next year, as we grow in early double digit and the EBITDA grows a little bit more, and the CFO that we generate next year after finance cost and capex, you indicated INR 125 crores of capex I think from SAMHIS profit. So do you expect some cash to go towards further deleveraging. My math is telling me you might have about INR 100 crores organic cash for further deleverage. So if you can comment a little on this?

So you're absolutely right. T mean even if you just look at -- and we hate doing a point forecasting for the future. But even if you look at FY

'25 numbers and what to draw pro forma for the current year, you would see that against the INR 443 crores of cash EBITDA pre-ESOP, we would have a cash interest expense of INR 143 crores. So you would see about INR 298 crores free cash before capex.

Now for the next year, if you were to apply, let's say, a 15% growth on EBITDA, backed by, let's say, 10%, 11% growth in total revenue you would expect the EBITDA to expand by about INR 60-odd crores. And all of that is a straight flow through to your free cash. So you would expect about let say INR 360-odd crores of free cash.

And our current estimate is that we need about INR 125 crores to INR 150 crores for growth capital expenditure and about additionally INR 20 crores of maintenance capital expenditure. And the rest is the free cash available, which is obviously available for either growth or deleveraging.

Next question is from line of Raghav Malik from Jefferies India.

Congrats on a good set of numbers. My first question is a follow-up to one of the previous questions. So the GIC co-investment on Four Points you mentioned, the Four Points conversion mentioned is INR 50 crores. But the other conversions that are happening and integrations into the upscale portfolio, talking about investment, what would the GIC co-investment the amount that you could quantify?

So Raghav, just to clarify, when you look at our total capital expenditure growth plan, the largest bit in that today is the Westin and Tribute Bangalore, where we have INR 375 crores of pending capex over the next 3 years, of that INR 375 crores pending capex, GIC will first bring INR 150 crores to get to a 35% position and the subsequent incremental will be funded in - by both partners in a 65%, 35%.

But we need to remember that the three subsidiaries that are part of the joint venture today have a trailing EBITDA of about INR 140 crores and a net debt of about INR 150 crores, INR 160 crores. So we do expect a lot of free cash to come through those subsidiaries. And our expectation is that, that itself will fund a reasonable amount of capital expenditure required to build out the Westin and Tribute.

For the other assets which are outside of the joint venture, let's say, the W in Hyderabad, the conversion of the Four Points to a Courtyard or Four Points to a Tribute which are the big capital expenditure items, that is going to be done from the free cash that we are generating in our business.

SAMHI

Raghav Malik:

Ashish Jakhanwala:

Raghav Malik:

Ashish Jakhanwala:

Raghav Malik:

Ashish Jakhanwala:

Moderator:

Ashish Jakhanwala:

Moderator: SAMHI Hotels Limited

May 30, 2025

Okay. So for that GIC will not be contributing?

No.

And the other question that T had was for May, what would revenue or RevPAR impact kind of have been because of any cancellations or rescheduling that we may have seen?

So we saw April being very strong and May because of that 1 week of escalations, we are for the month maintaining a reasonably, we're still maintaining a reasonable — small growth over last year. But for the quarter, we're maintaining a reasonable growth, actually. So because of a very strong April, we are maintaining a reasonable growth in the current quarter. But for the

month, it is so far kind of flattish because of what happened for those 2, 3 weeks really.

This is revenue growth, right?

Total revenue growth, yes.

Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to Mr. Ashish for closing comments.

Thank you so much. I'd like to thank you all for your time and of course, to our shareholders for their support. I think they're very proud of the fact that SAMHI has in just 14 years created an industry-leading platform. And we believe we are now ready to pivot the business towards this next phase of growth and value creation, and we look forward to continuing to talk to you and end up achieving that endeavor. Thank you so much,

and talk to you soon.

Thank you very much. On behalf of SAMHI Hotels Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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## Call: Sep 2025

—SMART HOTEL INVESTMENTS—

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Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q1 FY26 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q1 FY26 Earnings Conference Call with the Investors or Analysts held on Thursday, 14 August 2025 at 11:00 a.m. (IST).

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

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SAMHLI —SALART HOTEL INVESTMENTS=—

SAMHI Hotels Limited

Q1 FY26 Earnings Conference Call

August 14, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14<sup>th</sup> August 2025 will prevail.

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—SALART HOTEL INVESTMENTS—

MANAGEMENT: MR. ASHISH JAKHANWALA — MANAGING DIRECTOR  
AND CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EXECUTIVE VICE PRESIDENT AND

HEAD OF INVESTMENT

MR. NAKUL — VICE PRESIDENT, INVESTMENTS

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SAMHI

Moderator:

Ashish Jakhanwala: SAMHI Hotels Limited

August 14, 2025

Ladies and gentlemen, good day, and welcome to SAMHI Hotels Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO of SAMHI Hotels.

Thank you, and over to you, sir.

Good morning, everyone, and welcome to SAMHI Hotels Q1 FY '26 Earnings Call. Thank you for taking out the time to join us today. I have with me today Gyana Das, who is EVP and Head of Investments; Rajat Mehra, who's our CFO; Nakul, who is VP, Investments. We also have our Investor Relations Advisors, Strategic Growth Advisors.

We have uploaded our Q1 FY26 financials and presentations on the exchanges and I hope everybody had a chance to go through the same. Our objective today is to walk through the quarter's performance, share the context behind the numbers and give you a clear sense of where we are headed in the rest of the year.

Before we get into the numbers, I want to touch on a few enhancements we have made to how we report results. We've simplified disclosures and moved to a consolidated EBITDA reporting without any adjustments for ESOP or other expenses and clearly marked the same-store performance in orange, so trends are easier to track.

From this quarter onwards, we are also uploading a detailed Excel file on our website, which captures all of our historical financial metrics. This is about making our communication sharper and more transparent.

For the first quarter FY '26, same-store RevPAR stood at INR 4,760, which was up 10% on a year-on-year basis. It is worth noting that the month of May was very soft because of the geopolitical events and that impacted both travel and our performance. But from June onwards, performance was right back to April levels, proving this was a short-te

rm blip.

On a year-on-year basis, total income grew at 13% to INR 287 crores, EBITDA grew 19% to cross INR 105 crores mark and PAT rose more than three-fold to INR 19.2 crores. The broader macro environment remains robust.

Office net absorption across key Indian markets in Q1 was around 14 million square feet. That's a strong base for corporate travel demand. The 4 markets that matter most to us, Bangalore, Hyderabad, Pune and Delhi NCR, which together make up over 3 quarter of our income base, captured 66% of the country's total net absorption for the quarter.

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SAMHI

Rajat Mehra: SAMHI Hotels Limited

August 14, 2025

On the aviation side, cities like Mumbai and Delhi saw softer demand due to the geopolitical events and also the Ahmedabad crash, but the overall travel network remains healthy with cities like Hyderabad and Bangalore demonstrating 18.5% and 9.6% year-on-year growth in passenger traffic, respectively.

I'll now pass over the mic to Rajat, who will take you through the detailed financial performance. Over to you, Rajat.

Thank you, Ashish. Good morning, everybody. Our total income for the quarter stood at INR 287 crores, up 13% year-on-year. Revenue split was roughly 42% from Upper Upscale and 58% from Upper Midscale and Midscale. Given our current pipeline of upscale assets, including the W in Hyderabad and the Westin-Tribute Bangalore, this number will go towards 60% mark, giving a boost to our overall portfolio revenue per key.

When we break down income growth for the quarter, majority of it comes from our same-store portfolio, which grew at 9.1% over the same period last year, supported by contributions from new openings.

We did see a loss of INR 5 crores of revenue from discontinued operations related to asset sale in Chennai and conversion of Sheraton Hyderabad commercial space into hotel rooms. However, once the Sheraton rooms are operationalized in H2 of FY 26, we should see a strong ramp-up of the top line from there.

On the EBITDA side, we reported a consolidated number of INR 106 crores. Our same-store assets saw a 10.4% year-on-year growth. We did see marginal loss of EBITDA from discontinued operations, mostly related to loss of rent from Sheraton commercial space. We maintained a consolidated margin of around 37%, which is a healthy level for our portfolio mix in the seasonally weaker quarter.

Depreciation and finance costs mostly remained flat. Given that the GIC capital proceeds were received towards the end of the quarter, the finance cost benefits of the debt reduction will be seen starting quarter 2 of FY '26 onwards. On the basis of this, I'm happy to report that the company reported a profit after tax of INR 19.2 crores for the quarter.

Going forward, increase in the same-store revenue new inventory opening, stronger flow-through to the EBITDA and lower finance cost on the back of the GIC recapitalization will further enhance our PAT levels.

Finally, from a capital structure perspective, our total net debt stood at INR 1434 crores. However, accounting for the sale of Caspia Delhi, which we have signed yesterday, this would further reduce to approximately INR 1,370 crores, entailing a trailing 12 months net debt to EBITDA of 3x.

On the back of the strengthened balance sheet, our credit rating has also been upgraded by ICRA from an A- to A with a positive outlook. With an annual interest outflow of around INR 135 crores going forward, we will now see a strong free cash flow generation to fund our growth endeavors.

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SAMHI

Ashish Jakhanwala:

Moderator: SAMHI Hotels Limited

August 14, 2025

With this, I will now request Ashish to take you through the growth projects and the concluding statements. Over to you, Ashish.

Thanks. From a growth perspective, we are not just managing the portfolio we have today. We are reimagining what SAMHI will look like tomorrow, building a pipeline that will transform our scale, our brand presence

and our growth trajectory over the next few years.

Capital recycling remains core to our approach. We have signed on the definitive documents to sell our Caspia Delhi asset for an enterprise value of INR65 crores. Since FY 2023, we have monetized over INR210 crores of assets at an average EV" to EBITDA multiple of 20x.

This, coupled with the INR750 crores capital raise from GIC through the minority stake dilution in a few of our SPVs has helped us raise a cumulative INR960 crores to help us strengthen our balance sheet and create capital capacity to fund our growth.

We, at the same time, have invested or committed to invest about INR 1,000 crores towards inventory addition and repositioning of some of our existing hotels, where we target a 15% plus NOI yield. Therefore, the shift of capital from a 5% yield dispositions to 15% investments will allow us to create value beyond the typical market cycle opportunity and all this being done, keeping a sharp focus on our balance sheet.

We have over 1,000 rooms in active rebranding expansion or development. This includes marquee additions like the W in Hyderabad and the Westin-Tribute portfolio in Bangalore.

These new rooms in the Upscale segment will transform the revenue profile of the company.

We also have exciting redevelopment of the Four Points asset in Pune and Jaipur, which will materially change the earnings profile of these hotels. We have attached some of the projects progress and tenders of these developments in our investor presentation for your reference, which will give you a good idea on the quality of these projects.

Outside of these secured growth projects, We continue to actively evaluate additional accretive opportunities in our core markets. Expecting same-store growth of 9% to 11% and the impact of new openings over the next few years, we should generate an investable surplus of over INR1,700 crores over the next 5 years in addition to what we will require to fund committed capex.

We are seeking opportunities to deploy this towards tactical M&A and variable leases. This will 'materially add to our existing base and augment our same-store growth. To wrap up, Q1 FY 26 showed that our model is resilient. Our markets are fundamentally strong, and our strategy of disciplined growth and capital recycling is delivering results. The temporary main disruption is behind us and we are tracking well for the rest of the year.

Thank you for your time today, and we are happy to take questions now.

Thank you very much. We will now begin the question and answer session. The first question is from the line of Jinesh Joshi from PL Capital.

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Jinesh Joshi:

Ashish Jakhanwala:

Jinesh Joshi:

Ashish Jakhanwala: SAMHI Hotels Limited

August 14, 2025

Sir, my question is on our revenue growth for the month of May, which is at about 4%. But if I look at some of the markets like, say, Bangalore and Hyderabad, wherein we have a very strong presence, the ARR growth in the month of May was quite strong. I mean, if I talk about Bangalore, it was up by anywhere between, say, 15% to 20%. Even Hyderabad, the growth was in the band of about 20% to 25%?

So in that context, our growth predominantly appears to be a bit low and also the geographies that we are present in, in the southern market typically was less impacted by the disruption that you spoke of. So any specific reason for our growth in the month of May to be so low?

Jinesh, thank you so much. So you're right. Across the portfolio, what we've witnessed is that only the occupancies took a dip in the month of May at the height of the India, Pakistan situation for about 2-odd weeks. The rates actually remained pretty strong. To that extent, we see rates continue to grow in high single digits to early double digits. And that actually also reflects that you see in the April and June performance.

So other than the month which was directly impacted, we have seen performance remain

ns strong

in the other 2 months in the same quarter, largely reflecting the rate growth. So our rate growth also has been in line with what you are seeing in the broader market.

Now when it comes to the impact of that particular incident, we feel, one, of course, the North Indian market, both leisure and business got impacted because they were nearer to the conflict area. But business travel per se got impacted for that 2 or 3 weeks and which is where it has hurt us in the month of May. Other than that, we didn't see any other concerns.

And as I said, as you look at June, our total revenue growth went to about 12% year-on-year, which was about 13.6% in the month of April. So we don't see any reasons for concern and it was largely a dip in the occupancy because of cancellations, shifting of events, so on and so forth. We did not see any reasons to drop the rate because it was a very short-term impact. Understood. And sir, secondly, if I remember right, I think we opened Holiday Inn Express Calcutta in the month of May and I think even 12 rooms at Sheraton Hyderabad. So I believe in this quarter, we may have had some kind of an incremental revenue contribution from these hotels as well.

So is it possible to kind of share some color with respect to how the opening response has been to these hotels? And if you can maybe specifically also share the revenue numbers just for us to get some sense as to how these hotels are doing?

Yes. Total INR 7.3 crores was the incremental revenue from new openings. The breakup of that was about INR 2.2 crores from Greater Noida, which opened actually in the last quarter. So this quarter was the first full quarter.

Hyatt Calcutta, which is Holiday Inn Express Calcutta, which actually opened only in the middle of the quarter, had just a very small revenue of about INR 0.5 crores. And Trinity Bangalore, which was acquired last year, did INR 4.7 crores. So the total incremental revenue was about

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SAMHI

Jinesh Joshi:

Ashish Jakhanwala: SAMHI Hotels Limited

August 14, 2025

INR 7.3 crores. If you look at the investor presentation, Slide number 12, it does articulate the impact of the new openings.

The second part, which is about the early trends. So see, Calcutta is a really good market. Our hotel is located in the heart of the New Town. So we actually expect a really good ramp-up. H2 should be very good in this hotel. Greater Noida market tends to be very heavily skewed towards H2.

Because of the very large event spaces in the Noida, Greater Noida market, we have traditionally seen that H2 is the dominant part of the year for that market. And I think just the fact that this hotel has opened and started ramping up really well, we are quite excited about the performance of this hotel starting October for a 6-month period, which is a peak season.

Trinity, Bangalore is exciting because as of 1st August, this hotel, even though it's not been materially renovated or rebranded, this hotel has now being sold on marriott.com and managed by Marriott.

But that transition only happened on 1st of August after we concluded some simpler renovations and IT upgrade and fire life safety upgrades, right? So now that the hotel is being managed by Marriott from 1st August is distributed on marriott.com. We actually remain fairly excited about this hotel again in H2.

Now this is a slight bit of a pleasant surprise to us from what we had originally thought where we were anticipating this hotel to remain status quo for a much longer duration before it was renovated and rebranded. But because of our strong partnership with Marriott, we've been able to get this to be sold on marriott.com sooner than we expected and therefore, the results should start reflecting.

So very early days, but I think generally, we are seeing a very good response. The markets are all very, very good. And that, I think, sets a good base for the current quarter, but more important for H2.

Got it

hat. S, just one small follow-up on this. So if it is getting sold on Marriotts website, has the rebranding already happened to Trinity? And are we fetching the rates of Marriott currently or maybe from 1st of August, are those rates that are into play?

So remember, Trinity is not the final brand. Trinity is the brand that the hotel was carrying before rebranding. So this is an intermittent phase where the existing brand is being distributed on marriott.com. We obviously expect to get some benefits on how we are distributing revenue management and all of that.

Eventually, the hotel will be rebranded as a part of the Tribute Collection, Jinesh, which is still due. So this is an intermittent step. Otherwise, we would have just held this hotel as Trinity self-managed for a period of time. All we have done is made sure that this hotel is now managed by Marriott and sold on their website and part of the Bonvoy program.

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SAMHI

Moderator:

Samarth Agrawal:

Ashish Jakhanwala: SAMHI Hotels Limited

August 14, 2025

Eventually, this hotel will get fully renovated and rebranded, but that's in future. For now, it's

fully operational with a slightly different structure that we had originally planned for and which I think will work well for this hotel.

The next question is from the line of Samarth Agrawal from Ambit Capital.

So just a couple of questions from my side. On Caspia Delhi, which we recycled during the quarter, what kind of EBITDA was this asset making in FY '25? And why was it the case that the asset was not doing that well despite being present in a Tier 1 location?

So Samarth, 2 points. First, the hotel actually was not producing an EBITDA. It had resulted in a net loss - operating loss of about INR 1.5 crores in FY 25 was the net loss from this asset. Having said that, the peak EBITDA from this asset before that was about circa INR3 crores, right?

So INR3 crores was the peak EBITDA, then we actually put the hotel into a graded shutdown because it was not performing well, but yet the holding cost was about INR 1.5-odd crores. The second part of your question as to why this hotel was not doing well, actually, a couple of reasons.

Some which we inherently like as a company, which is poor product, lack of brand, and this is an opportunity. So one would argue why have we sold the asset instead of doing what we do. The bigger part was that while it is - when you look at into a Google map this Delhi, it's actually north of Delhi, where the business profile is very different to the business profile that we are used to. Number one, it is heavily driven by food and beverage.

This asset was a part of amixed-use development, which did not allow us to create the right size and capacity of food and beverage to attract what is the core business there, right? And two, we follow the 2 key themes of demand being driven by business travel, both office space and airline. And while NCR benefits from that, but north Delhi was a bit of an aberration where the majority of my customers were not really coming from the sort of businesses that we typically serve. We felt that even if we were to undertake the renovation of this hotel, which would have costed us incrementally about INR15 crores to INR20 crores and a sale price of INR65 crores.

So if you were to look to INRSO crores of opportunity cost, and we typically solve for 15% to 20% NOI yield, we were talking about the EBITDA of that hotel to be in the ZIP code of almost INR12 crores to INR14 crores.

And we couldn't underwrite that EBITDA in that asset in the forecast period. Of course, I'm sure it will come at some point in time. And therefore, we felt that this is a very good candidate for extracting our capital out and we continue to find really good opportunities in core markets like the rest of Delhi, I'm saying, which is where we have the core corporate demand, Bangalore, Hyderabad, Pune, Mumbai.

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SAMHI

Samarth Agrawal:

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Ashish Jakhanwala:

Moderator:

Prashant Biyani:

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So we actually wanted to make sure that we take the capital out from an asset where our yields will always be suboptimal and keep that capital prepared to be deployed in markets which will be far more accretive for us.

Understood. And just one last question from my side. ICRA upgraded your long-term outlook recently. I think Rajat referred to that during his opening remarks as well. Given this and the recent repo cuts, what kind of stabilized interest cost are you expecting by, let's say, FY '26? And then what would be the quantum of savings from just the reduction of interest rates?

Let me ask Rajat to add. So first of all, we have already seen almost a 30% reduction in our finance costs. They've gone down from INR195 crores to about INR135 crores. So that's about a 30% reduction. Current interest rate because average blended interest rate is at about 8.5%. The third data point which is important is the marginal cost of borrowing. At what cost are we borrowing recently. And that is in the ZIP code of 8.2% to 8.25%, right?

So we've already seen that given our strengthening of the balance sheet, consistent delivering the numbers that we had indicated, leverage, of course, going down. We have moved from what used to be a very high pricing to about 8.5%. We think incremental financing and refinancing will happen in the ZIP code of 8.2%.

We do continue to seek nothing short of 12 to 15 year financing, Samarth. And there is maybe a 10,20 bps premium to be paid for that vis-a-vis if you were to borrow 5-year or 6-year financing. But we know this business, it requires long-term financing with very little repayments in the first 3 to 5 years to make sure that from a cash flow perspective, you're fortified. So we are happy to pay a 10 bps premium for that if need be. But we are, at this point, 8.5% going down to 8.25%. If you were to ask me a guidance towards where we should be towards the end of FY 26, we think we should be targeting around 8.3%, 8.35% because there will be some legacy loans, which

'we can refinance, but there are certain costs attached to that. And the cost benefit of interest saving and what is the cash cost attached to that sometimes doesn't justify in the short term. FY 127, which is when we think we'll be more equipped to deal with some of those legacy financing costs, we should target the financing to come down closer to 8.1% in the current interest rate regime. I obviously -- I'm not qualified to comment on where the interest rates are headed. But in the current interest rate regime, we think it should be closer to about 8.1%, all-inclusive long term between 12 to 15 years.

The next question is from the line of Prashant Biyani from Elara Capital

Sir, in the presentation, you have mentioned in line as we grow SAMHI into being a market leader and then it continues. So what kind of market leadership are you looking at? Will it be in terms of number of rooms in a particular segment or it would be about profitability or something else? If you can share some tangible measurable benchmarks, which will define your leadership? Very good question, Prashant. Not easy to answer, but I'll try. I think one thing we want to be clear is we don't chase vanity numbers and which could potentially be the number of rooms, right? So we're clearly not claiming that we'll be the largest in terms of number of rooms because

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it all depends on the segment you're investing. It all depends on the market you're investing. It all depends on the quality of assets you're investing.

I think when we talk about market leadership, you're talking about our relevance within the hotel industry in terms of total revenue and therefore, total profits, right? And why are we so confident about saying that we are targeting SAMHI to be a market leader is

obviously explained in subsequent slides.

Sowe closed last year at a reported top line of about INR1,100 crores and an EBITDA of INR425 crores. Our PAT was some INR80-odd crores, right? What's happening in the next 3 years is quite exciting. And also even more exciting is the fact that a lot of it is already in our hands. First is the growth of the portfolio going from 4,600 rooms because of the addition of W, the Westin Bangalore and some other projects. The second is the transformation of some of our Midscale portfolio into the Upscale portfolio.

So if you look at - I'll get to the slide number. Basically, the stated - the installed capacity that we have in our portfolio right now. And if that was to operate at FY 25 average rate - FY 25 RevPAR, this portfolio should have delivered about a INR1,500 crores top line, right? So which means we do not buy anything.

We don't have to use our future cash for anything else. Yet this company without any growth in RevPAR from FY '25 levels will get to a top line of about INR1,500 crores, which is almost a growth of 40% from where we are right now and EBITDA target will be about INR600 crores, INR630 crores.

Because of this growth that we are seeing and these are investments we've already made, W Hyderabad, Westin Bangalore, 50 on and so forth, We've set them several times. And we are continuously seeing the same-store growth to be in the ZIP code of 9%, 10%, 11%. Now I'd like to reemphasize on that.

And even though we know May was really bad, what is heartening to see is in spite of almost 1/3 of a quarter being significantly impacted, the same-store revenue growth maintained that high single-digit number, right?

That only gives me a confidence that perhaps when we say 9% to 11%, we are erring on the side of being too cautious because in probably one of the Worst quarters because of a geopolitical event, we still delivered a 9%, 9.5% same-store total revenue growth.

If you were to just calculate that 9% to 11% same-store growth for the next 3 to 5 years, add the new inventory that we are committed to add and we don't have to buy anything, we actually expect that our total revenue should get to about INR2,200 crores to INR2,300 crores. This whole expansion leaves us with one gift and that is INR1,700 crores of investable surplus. And I'm talking about investable surplus after accounting for the money we need to spend to complete the W in Hyderabad and the Westin and the renovations and all of that. Now one thing SAMHI has delivered in the past is actually growth.

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SAMHI

Prashant Biyani:

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'Vaibhav Muley: SAMHI Hotels Limited

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We've demonstrated that we have the ability to find the right M&A opportunities at the right price. We've demonstrated our ability to secure long-term leases, which are highly capital efficient. One thing we suffered from in the past was our balance sheet and that was a factor of

a young company growing fast, right?

Today, I see SAMHI more as a mid-cycle company, which is mature, does not need to rely on external capital. A lot of -- whole of that growth is being funded from internal accruals.

So Prashant, when I put all of this together, right, and I look forward for next 3 to 5 years, I actually think that our target here is to position SAMEI amongst the top tier of hotel companies in India in terms of total revenue, in terms of EBITDA.

And of course, it will flow down to earnings because, as I said, all of this is being done from internal accruals or capital recycling and not from leverage. So you'll see interest rates — interest costs being stable or going down, right, and everything else expanding. So sorry for the long answer to a simple question, but that's how we articulate our statement of saying we want to be established as a market leader.

And secondly, sir, on CNBC in the morning, you had - if I heard you correctly, you mentioned that we may potentially

transfer 2 assets from SAMHI to GIC platform. So sir, why would you want to transfer ready established assets if that is the plan? And why not use GIC platform itself for organic greenfield growth as capital from that platform will be more patient capital than the SAMHI, if I have to say it that way?

No, no, no. So Prashant, what we are intending to say is we've already confirmed that our upscale growth will happen through the GIC platform. Obviously, I have to caveat it by saying that will really depend on the deal being liked by both us and GIC, right? So assuming that is the case, the GIC platform will be the principal vehicle of growth of the upscale hotels for us.

We believe there is an opportunity and there's an optionality more than an opportunity for us to transfer one more asset to that joint venture and which will basically allow us to recapitalize that joint venture with incremental INR350 crores to INR450 crores and giving us the firepower for growing that joint venture.

So it's an optionality we have and I think it is important for a company like ours to keep options to fuel future growth with that debt not being that option, right? Let me be very clear. So other than leverage, we want to make sure all options are available for us to grow the company in the future and potential ability to transfer one more asset to the joint venture to recapitalize that with additional capital is just one of the options.

The next question is from the line of Vaibhav Muley from Yes Securities.

First of all, congratulations on a strong set of numbers. My first question was on your - you had mentioned earlier that there is an opportunity for SAMHI to onboard an investor similar to GIC for your Midscale portfolio. So is there any development on that front?

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Ashish Jakhanwala:

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Ashish Jakhanwala:

Moderator:

Ashwini Agarwal:

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No, too early. I think Vaibhav that - again, as I said, capital recycling is core to how we see will create value in the long-term beating the market cycle. But at this point of time, I don't want to talk much because there's no conversation.

Allright. And regarding your Navi Mumbai litigation, have you received the outcome from that litigation? And when do you expect that project to commence construction?

So the matter is still under discussion. So it will be unprofessional for me to raise hopes. Having said that, there's no reason for any concern. We have maintained a very healthy dialogue with the administration. We have made applications. We'd like to believe that given our merits and our credibility, we should be able to sort out all issues by the end of the year and then commence work on that project. Market will come to know as we formally resolve that because we'll make an announcement and that also will require us to write-back the losses we had taken in that fiscal year. So don't worry. At the moment we receive a formal notification, we'll intimate the markets about it.

Perfect. And lastly, on your asset recycling strategy. So post sale of Caspia now, I think most of the properties are - remain core to our operating portfolio. So can we expect any more such asset recycling plans in the near future? Or do you think now asset recycling is more or less over?

No. Asset recycling will - on a very selective basis, we still think there are markets and assets where we can extract capital. If you look at our -- yes, I mean I think we were - yes, if you look

at Slide number 26, we had indicated about INR200 crores from asset recycling. INR6S crores is done with the Delhi sale and we think this still keeps the window open for an incremental about INR130-odd crores of asset recycling in future. But no near-term guidance on that. We believe we'll get it done in the period that we have indicated, which w

ill further bolster our ability to invest that capital elsewhere.

Allright. And just related to your asset recycling of Caspia. So New Delhi as a market, will that remain focus going forward? Or do you want to focus on your core market that being Bangalore and Hyderabad?

No. So core markets, but I'll clarify the core markets is Bangalore, Hyderabad, Pune, Delhi, Bombay, Chennai to some extent, Calcutta, all the large metros, which have large office space and airline passenger traffic. Right? So yes, we are looking at all of those markets.

The next question is from the line of Ashwini Agarwal from Demeter Advisors.

Could you just share what is the scale of EBITDA from the 4 operating properties that are now 35% owned by GIC?

So total EBITDA from GIC asset on a trailing 12-month basis is INR194 crores. (Erroneously mentioned INR 194 Crs. Correct figure is INR 130 Crs)

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Sorry, INR130 crores.

INR 130 crores. So out of the roughly INR 425 crores of EBITDA last year, INR130-odd crores is from properties that are now co-owned by GIC?

That's right. That's correct.

And do you have kind of a ROFR type of arrangement with GIC that any new upscale property that you pursue will be jointly developed unless they pass o it or something along those lines? That's right.

Okay. So it becomes kind of a balance sheet that's available to you for a 35% capital infusion.

But that happens at a cost basis. It's not that you develop the asset and then you roll it down into this JV. Would that be a fair assessment?

No. So each asset will — obviously will present the economics of those assets. So for instance, even in the Bangalore asset that we had acquired recently, because of the work which had been done, we had — it got revalued at about a 30% premium. In addition to that, we are entitled to a development fee.

So all put in together, we want to make sure that the economics for our efforts and our — if [ may use the word loosely intellectual property to acquire is well valued. But yes, generally, any new asset will come at a ground floor level.

Having said that, if we were to transfer any existing upscale asset, the valuation discussion will be a fresh, very similar to what we have done for Courtyard or Hyatt Regency Pune. And there, we want to make sure that the valuation reflects a fair value that we need to deliver to our shareholders.

Yes. So I want to come back to that first piece that you said. So how do you realize the IP for locating an asset for developing an asset. So you said that there's going to be a development fee that you will collect and then you said something else, which I missed.

So there are both things. There is actually 3 things to it. There is a development fee, there is an asset management fee, which is obviously providing a platform for the joint venture to - even though we are majority owners, but yet the minority shareholders is benefiting from the platform that we've set up. So there is an asset management fee that we charge from the platform in addition to the development fee.

And last but not the least, as I said, each deal will have its own economics, and those economics may include us acquiring an asset at a point of time, undertaking certain work that we do and then transferring it to the joint venture and for which there will be a certain price. But as I said, all of that will be on a case-to-case basis, depending on the risk and reward profile that we see for each asset.

But to summarize, I think we wanted to ensure that, A - we have access to really high-quality capital to grow our upscale and upscale tends to be more capital-intensive than the rest of our

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Moderator:

Raghav Malik:

Ashish Jakhanwala:

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portfolio. I mean, look at the Westin-Tribute Bangalore, it's about INR15 million per key, INR15 crores per key, whereas some of our leasehold assets or in midscale will be just as low as INR50 lakhs per key, right? And to that extent, by the way, SAMHI operates still in a bit of an archaic world. Our cost per key that we talk about for investments, I think, are stuck in time, but we are happy with that. We've seen the markets move to a level where we are finding it difficult to underwrite acquisitions, but we continue to find what we need to do.

Second, we get the benefit of a very high level of governance and diligence from a partner like GIC. And trust me, that is equally valuable as the company starts deploying a large pool of capital. I mean we run a professionally managed company. And therefore, it's even more important for us that when we deploy capital, we have the ability to get that tested from multiple sources.

Again, I repeat, there is capital concentration in upscale portfolio. And when we do that jointly with GIC, if we do that, it brings that additional layer of - whether or not we do it with them, one thing is certain, we'll get it vetted by them. So I think there are many intangible benefits beyond the ability to get that additional capital.

The next question is from the line of Raghav Malik from Jefferies.

So firstly, you mentioned in your opening remarks that because of some of the renovation at Sheraton Hyderabad currently, there was some impact on revenue and RevPAR growth for this quarter. So compared to this 10% number, if we just exclude that from this maybe like what would the RevPAR revenue growth have been for this quarter, if you could share?

So the total, if you see — and there is an adjustment of about - let me put the number right, please. There was INR2 crores in a quarter impact of the shutdown of those 2 floors, which have been converted from office to hotel rooms. And then there was about INR2.8 crores impact on a - if you were to compare last year to this year, which was largely the revenue from Four Points Chennai, which was sold earlier, right?

So total, if you see there was INR4.7 crores of revenue from what we call sold or discontinued operations and that's the impact. What is interesting is that just a , INR1.9 crores a quarter loss in Sheraton Hyderabad, which will continue in current quarter also, the room should open well in time for, I would say, Q4, if not Q3, the number of rooms being added is actually about 42. So that's a significant increase in the inventory in that hotel and we are adding those rooms at just about INR50 lakhs per key. So this is - the total revenue per key today is about INR0 lakhs per key, right?

So we are actually seeing pretty different profile from these 2 floors relative to the INR1.9 crores we used to earn on a quarterly basis, right? Yes, we think it is going to multiply multifold when those rooms are ready.

Sure. Understood. You're talking about INR1.9 crores on the EBITDA front, right?

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Moderator:

Rajiv Bharati:

Rajat Mehra:

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Yes, yes. because it was an office space, it flows straight to EBITDA because there were no expenses attached to it.

Okay. Understood. And just on the cost front, so I mean just bookkeeping, but the F&B and employee cost has shot up pretty significantly just compared to revenue. Is there some part of this will be normalized? Or is it like a bit of a structural change? Anything you could give?

No, I think largely you're seeing an aberration because of the dip in the month of May and also what has happened is that we have these new hotels, which have opened. And when the new hotels open, there is some bit of preopening expense, which gets into the P&L because in the first quarter of a hotel, they will end up — there's high

ring expenses and all of that.

So a combination of the preopening expenses and the fact for the new hotels, which is Calcutta and Greater Noida and the fact that we had a sudden dip in the month of May, which was

obviously - if it was known earlier, one would have taken corrective action because the dip happened for about 2 to 3 weeks, we couldn't take the corrective action. That's why you see some bit of a change in the cost. Otherwise, on a normal basis, we're not seeing any concerns on either of those 2 cost line items.

The next question is from the line of Rajiv Bharati from Nuvama.

And thanks for sharing that excel. Great job on you in terms of disclosures. So in that, can you explain row L60, this corporate income, which is 139 million. And the overall net corporate G&A is basically a positive number. Can you explain how is that coming?

This is Rajat here. So this is a onetime Ind AS income, which is on account of conversion of a convertible instrument that we had in one of our subsidiary to equity. So this is -- at the time when this money initially came, there was a total breakup of that money, which was done into an equity portion and also in terms of a liability.

That liability had a certain number, while the value of the instrument, while it was converted was lower. So the liability had to be actually written back and that's the onetime adjustment Ind AS entry that is appearing in the corporate income.

Rajiv, what is also important is, and sometimes - under Ind AS, only a partial view is there. So while there was a onetime income because of the GIC transaction and that was because in Ascent Hotel, where GIC participated at 35%, there was an earlier minority investor where he had a convertible instrument, which was settled. So their income came.

But at the same time, interestingly, there were expenses also which were with respect to the GIC transaction, right? But unfortunately or incidentally, they don't reflect in a separate line item.

And those expenses are largely on account of the ROC fee.

Because we had taken equity investments in these subsidiaries and in some of the subsidiaries, we had to increase the authorized capital. So there was also another INR2.5-odd crores of incremental expense that came because of the GIC transaction. These expense and income are all with respect to the GIC transaction in the last quarter.

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Rajiv Bharati:

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Sure. And with regard to Caspia and Greater Noida, which you had converted, what was the total capital employed? I mean, to start with and what was the conversion required? Because you said for New Dell, you said INR80 crores. And I remember in Q3, you had said that it's INR10 lakh per key. I thought it was INR12 crores, INR15 crores.

So the renovation expense in New Delhi would have been about INR15 crores to INR20 crores. INR55 crores is the sale price. So when we look at opportunity cost, we had to decide today that if we hold this asset, we need to, at minimum, solve for a 15% to 20% ROCE on what is the opportunity cost, which is INR65 and the incremental capital being deployed, right?

So we were comparing it to total opportunity cost, not just the renovation. The renovation cost will be in the INR15 crores to INR20 crores, which is for 142-room hotel. So that's about INR10 lakh per key. Total capital employed is INR23 crores. For Greater Noida, total capital employed is INR23 crores.

And the annualized ARR is what INR4,000 - 70% occupancy, how is it clocking?

For Greater Noida, yes, Greater Noida, you will underwrite at about INR4,000 occupancy of 70%, 72%. That is what you would underwrite for Greater Noida.

So that asset is a 40% ROCE in terms of...

Yes. So listen, ROCE in Holiday Inn Express tends to be really high. I mean if you look at,

for

instance, Holiday Inn Express, Hi-Tech City, Hyderabad, FY 25 ROCE will be -- and Nakul will correct me, but should be upwards of 40%, right?

So that's what we are kind of trying to explain that when we are extracting a capital from some of the assets where after all the hard work and INR65 crores sale price, INR15 crores renovation, we would have gotten to, let's say, barely 10%, we find that the same money can be taken in other assets where potentially we are solving for much, much higher ROCE. So you're absolutely right. Capital employed in some of these assets is really low.

So the external question is, let's say, if you were to, let's say, sell this asset for INR70-odd crores, so that I mean, we are not hooked on to that 40% ROCE. We will milk it for some more years and have it. At INR70 crores, INR55 crores, it's sellable, right?

We're not traders per se. I think the question we'll ask ourselves is at the sale price and plus

incremental capex that, that hotel may require, what is the sort of EBITDA we can generate. So we're not traders of the asset. And let me be very clear. People should not expect that we'll keep buying selling hotels. That's not our job, right?

We would, as a management team and a Board on a periodic basis, take a call on if our investors' money is invested in the right assets and if there is -- if there is a better opportunity to deploy that capital. At this point of time, we were very convinced and the sale of Caspia Delhi was debated at Board for 2 Board meetings, right?

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SAMHI

Moderator:

Yashowardhan Agarwal:

Ashish Jakhanwala:

Yashowardhan Agarwal: SAMHI Hotels Limited

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We realized that we have to take a call of this INR65 crores that we're receiving from Caspia sale plus what we would have invested about INR15 crores to INR20 crores in renovation what should we do with that INR50 crores, get it invested in Caspia, remain invested in Caspia or take it elsewhere.

And just the ROCE profile told us that what we have as an opportunity, let's say, in Hyderabad or Bangalore is far more accretive and with a huge margin of safety. And therefore, the call was unanimous. But other than that, we are not short-term traders of assets. We believe Greater Noida is only going to grow from the current level.

It is the start of the Delhi-Mumbai Expressway. The UP government has taken substantial steps to increase the industrial activity in Greater Noida. We are sitting on an asset with a capital employed of INR23 crores.

And we, therefore, feel this is a prime asset, which can potentially help us overall improve the ROCE profile of SAMHI. I mean it's a small asset, but each small asset contributes to the future success. So I think Greater Noida is a market that as of today, we remain very excited about. I think it's just the start of the performance of that market.

The next question is from the line of Siddharth from Fidelity International. Due to no response, we move on to the next question.

The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services.

If I look at our total revenue, there's an observation that F&B revenue is growing at around 7% versus RevPAR of 12% or 13%. So is it fair to assume that F&B revenue is going to grow in a similar line? And if not, then what are the steps taken by us to improve it?

So in the past few quarters, we had seen that F&B was a bit of a drag on our same-store growth. This time, we've seen that while in the same store, we have seen a total revenue growth of about, let's say, 12% in upscale, 11% in Upper Midscale -- RevPAR growth -- room revenue growth. F&B growth was in the range of about 7% to 8%, and that has led to the total revenue growth of about 9.9%, 10%.

So F&B growth is in line to what we expect. It is slightly lower than the RevPAR growth in the current quarter. But also this is a quarter when a lot of events don't happen. Don't forget, a large

e

part of our F&B income in our hotels is driven by corporate demand, MICE and similar events. And unfortunately, because of what was happening geopolitically, those are the events which take the biggest hit. So we have seen a reasonable growth in food and beverage. Our Midscale, interestingly, where you see our dependence on MICE is less, the F&B growth actually has been pretty decent.

And if I look at the presentation, it is given that we are going to do capex of around INR 880 crores between FY '26 till FY '30. But can you please give year-on-year number for '26, '27 and '28?

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So year-on-year. So we are currently estimating an annualized capital expenditure of circa INR175 crores to INR200 crores. It's quite well spread. This year, our capital expenditure is largely towards completion of the additional inventory in Sheraton and Hyatt Regency plus the work that we are doing in W Hyderabad.

Next year, we will see -- I mean, that work is largely done this year. Next year -- and total W expenditure, for instance, is about INR175 crores, INR180 crores, tight? Sheraton and Hyatt Regency, large part of capital has been invested already. Only some is trending over the next 1.5, 2 months.

Next year, we will see again the same run rate of about INR180 crores to INR200 crores. That's

towards commencement of work for the Westin in Bangalore, the conversion -- completion of 'W and commencement of work for the conversion of Pune and Jaipur assets.

A year after that, we'll continue to see the investment in the Westin Bangalore and completion of the renovation. So annualized expense will be on average about between INR180 crores to INR200 crores.

Got it, sir. And just the last question from my side. On the expansion plan, how is it going for the expansion plan that we have announced for FY '26? And when do you expect that to go live? And same question for the W Hyderabad as well. And if you can share some additional numbers on the W Hyderabad that what is the revenue or EBITDA per key that we are expecting?

Okay. So let's go year-by-year. This year, we are ready to open the additional rooms in Sheraton and Hyatt Regency. Total inventory in between these 2 would be about 75 rooms. Current revenue per key for these hotels will be about INRS0 lakhs to INRSS lakhs per key. So you can say that about 75 rooms at -- so that's about, 75 rooms into INR5.5 million for the year. So about INR41 crores -- INR41 crores annualized impact.

And because these are incremental inventory in existing hotels, we expect a flow-through of about 60%. So almost 60% of that at minimum will get flown down to your EBITDA, right? So that's about INR25-0dd crores on an annualized basis.

The W Hyderabad is progressing quite well. The work is happening on - it's a ready building actually. So it's more a retrofit project. We started the work on site. The design development is largely done. This market is really good. Our competitive - so we have a Sheraton in Financial District, which is about half an hour away.

And typically, Financial District sells at about a 15%, 20% discount to Hi-Tech City. But just the Sheraton itself s selling at a similar revenue per key. And in this case, INR65 lakh-odd per key should be the revenue profile.

So you should expect an incremental revenue of about INR110 crores from this hotel. But caution, this hotel opens in FY '27. We should expect that FY '28 is the first full year of operational -- operations for this hotel. Market remains very, very good. No new inventory getting added. Office space growth continues. So we actually expect that the revenue per key will continue to grow in this market as we open that hotel.

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SAMHI

Moderator:

Siddharth:

Ashish Jakhanwala:

Moderator:

Pranav:

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Pranav: SAMHI Hotels Limited

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And

then, of course, we should remember that the Trinity Bangalore, which was doing approximately INR20 crores a year top line, we actually expect that hotel to at least show a 30% growth in the current — in the next 12 months, let's not the current fiscal because the Marriott 'management has only started on 1st of August.

So let's say, September till next August, we actually expect that revenue from that hotel without any renovation or rebranding should grow at about at least incremental 25% to 30%. So that's really the near-term project.

And then in future, of course, we are very excited about as we open the Westin in Bangalore, that market is very strong. That hotel should be at least 220 new rooms added to the current Trinity, and that market is easily in the same ZIP code of about INRS million to INRG million or INRS0 lakhs to INR60 lakhs per key total revenue.

The next question is from the line of Siddharth from Fidelity International.

My question was around the F&B growth for the quarter. I think you answered it in the previous question, but could you just tell me again the F&B growth? And also, I wanted to understand on the initiatives which you have been talking about in F&B for last few quarters. You were talking about the F&B growth to be better in the future. So I just wanted to understand how are those things going? And what is the F&B growth we can expect in the future?

So the F&B growth for the last quarter was about 8% year-on-year. And this was in spite of the 'meeting spaces in Hyatt Place Gurgaon, Sheraton Hyderabad and partly in Hyatt Regency Pune being provided for selective renovations. All these 3 spaces will be ready , Hyatt Regency Gurgaon will be ready literally in the month of September.

So by end of September, that place is reopening for business. Sheraton Hyderabad should get done by October end. And same is the time line for Hyatt Regency Pune. Hyatt Regency Pune is much lesser intervention actually than the rest two.

So we actually expect that in H2, when the 3 of our upscale hotels have their refreshed boardroom spaces, we should expect the F&B revenue growth to start comparing to the RevPAR

growth, same-store, which is in the ZIP code of, let's say, 10%, 11%. So F&B growth should grow from current 8% to about 10% to 11% due to those changes.

The next question is from the line of Pranav from PINC Wealth Advisors.

1 just had a couple of questions. So sir, going forward, can we expect our debt to be around the range of, let's say, INR1,380 crores by the end of this year?

Yes. I think your net debt will remain in this ZIP code of let's say INR1,400 crores. There will always be quarterly shifts in the cash because of the capex. So I would think we should maintain a INR1,400 crores-odd net debt.

INR1,400 crores-odd net debt. And sir, as per your slide, so can we expect around INR60 crores of debt being repaid every year let's say till FY '30?

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Rajat Mehra:

Ashish Jakhanwala:

Pranav:

Ashish Jakhanwala:

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Pranav:

Ashish Jakhanwala:

Moderator:

Bharat Sheth:

Ashish Jakhanwala:

Rajat Mehra: SAMHI Hotels Limited

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Yes. So there is a total reduction of about INR300 crores over the next 5 years and that is as per the current contracted repayment schedules with some refinancing in place. So the total repayment is about INR300 crores over the next 5 years.

That's about INR60-odd crores repayment, net repayment every year.

Every year, correct.

Understood. And secondly, sir, could you throw some light on the corporate G&A expenses? Is that like a percentage of our revenue? Or is that expected to remain in similar lines, yes?

So if you see a large part of the corporate G&A is actually the salaries and wages of the corporate employees. For FY 26, those salaries and wages are seeing a marginal growth of about 3.5% over the last year. So we have

kind of maintained the corporate expense growth at a significant lower level than where the revenues of the companies are growing.

We always believe we were well capitalized in terms of team for a much larger revenue base.

So that's reflecting now. So that's the salary and wages in large part. Rent and administrative expenses remain very stable. So really, we are not seeing any significant growth in the corporate G&A really.

Understood. And sir, for the full year, can we expect around INR10 crores of ESOP expenses?

Of what. ESOP. So that's already accounted for in quarter 1 also. So if you see both the note on the financial summary slide and the Excel sheet, which has been uploaded on our website, it's INR2.4 crores per quarter.

Okay. For FY 27, can we expect the ESOP cost to come down

Okay. So basis the current grants that have been approved by the shareholders, it will come down from INR2.4 crores a quarter to INR1 crores a quarter. But we need to be mindful that the NRC may recommend, if at all, any fresh ESOPs. At this point of time, you are right, it will go down from INR2.4 crores to INR1 crores a quarter. And we should maintain that - what I'm saying is beyond FY 27, we should maintain that right -- about INR10-odd crores per year.

The next question is from the line of Bharat Sheth from Quest Investment Advisors.

. Actually question is that what stage we involve GIC platform for new property? From the day we select the site or if you can give a little more color? And what are our GIC aspiration kind of ROI on the same platform? And how do we manage our interest of minority...

Bharat, my apologies, I'm not able to -- the line is not clear. I'm not able to really understand the...

Do you really involve GIC for them to come and pick up a particular asset? And what's the kind of return profile we look at when we decide to...

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Bharat Sheth:

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Okay. So I think Rajat has - thank you, Rajat. So he said 2 questions. One is at what time do we decide to go to partner like GIC. And the second is what sort of a return profile do we underwrite for new acquisitions, correct?

Correct.

Okay. So first in the timing of the discussions, for new acquisitions, we will remain in real-time discussions with GIC in upscale assets. The joint venture is specifically focused on upscale. So as we look at evaluating opportunity in the upscale space, we will in parallel discussion such opportunities with GIC. That's our contract.

In terms of returns, we typically underwrite a mid-teen return on capital employed or NOI yield. I mean, for us, NOI yield in the initial years is a more right indication because it ignores depreciation both in numerator and denominator. ROCE is important because that's a real return in the long term.

So we look at both the numbers, but we solve for a near-term NOI yield of about 15% and a long-term ROCE of 15%, right? And the gap between the 2 will be about 2 years or so. So that's the sort of basic underwriting that we do when we look at deploying fresh capital.

And how do we manage ~ I mean, interest of both, I mean, our minority shareholder of SAMHI as well as GIC?

No. So see, as far as both - in all fairness, our interest is protected because we are responsible for deal origination and underwriting. And therefore, we would like to believe that we will only pursue opportunities which work well for our shareholders. When it comes to GIC, it's a very high-quality institution.

And therefore, when we take the opportunities to them, they obviously look for their own point of view in terms of how they're solving for returns and the quality of assets. The good thing is that it has, therefore, gone through a dual lens of governance, one at SAMHI's level and our Board and our investment committee and two, from a GIC's perspective.

And a case in point i

s the Trinity Hotel in Bangalore, right, where first, we acquired it and obviously went through a fairly detailed discussion and diligence at our end and we paid INR205 crores for acquisition of that asset.

We believe that asset in the future is INR100 crores potential EBITDA against a INR600 crores total investment. So it kind of follows our return profile. But having said that, a few months later, this was again re-vetted by the GIC team. And therefore, the -- that company -- their 35% stake will be issued to them at a value - pre-money value of about INR275 crores, right?

And that really reinforces our purchase price selection and decision that what we paid for that asset is well appreciated by a very high-quality institutional investor who themselves have multiple layers of betting and opportunity. So think rest assured, when we are deploying capital, we are making sure there are multiple layers of validating what that opportunity could be.

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And I will reiterate, therefore, that if you look at the cost per key that we have committed, let's say, in W Hyderabad, which will be, let's say, INR1 crores or INR10 million per key or a Westin-Tribute in Bangalore, which will be at about INR1.6 crores per key, it continues to remain at a significant discount to both replacement cost, which is the cost at which you will build similar hotels in same location.

And two, the market price per key that we are seeing for private transactions, which in the upscale space has remained upwards of INR2.5 crores, going up to INR3.5 crores to INR4 crores per key. So we do believe that in the long term, we are creating value for our shareholders by keeping to our discipline of investing our capital at a significant discount to replacement cost.

The next question is from the line of Smith Gala from RSPN Ventures.

My question was related to the employee expenses. We have seen a slight uptick in the run rate. So can you throw some color on it? And can this run rate hold for the full year without any increase?

So if you compare on the front page of financials, where the employee expense has gone from INR175 crores to INR216 crores, right? That is on account of the new hotel, Greater Noida, Calcutta and the Trinity. So a large part of that growth is on account of actually the addition of new hotels and obviously, because these are new additions, they're not reflecting their true potential of performance in the revenue.

So in the short term, you will see even as a percentage, that number moving slightly up. But otherwise, on a same-store basis, we're not really seeing any reasons for concerns in terms of employee expense growth.

Okay. That was helpful. Secondly, the room revenue to total revenue for this quarter was approximately 79%, as the same number for the quarter 1 of 25 was 71%. So can you throw some light why the room revenue as a percentage of total revenue is increasing and can it improve going forward?

Yes, that's because of the shutdown of 2 ballrooms, which is Hyatt Place Gurgaon and Sheraton Hyderabad. A large part of that impact is that. And two, also the fact that we've opened the Holiday Inn Express in Calcutta and Holiday Inn Express in Greater Noida. And Holiday Inn Express hotels, typically, you'll see room revenue being 85%, 90% of total revenue.

So a combination of 2 upscale hotels, ballrooms being in renovation and then incremental revenue coming from a portfolio which has much higher room to total revenue ratio, that has led to that 71% becoming 79%.

But in future, as those ballrooms become fully operational, as Trinity Hotel ramps up, which has good food and beverage, we actually expect to maintain close to 70%, if not better. When I say better means more coming from food and beverage, room to total revenue ratio.

Due to time constraints,

that was the last question. I now hand the conference over to Mr. Ashish Jakhanwala for his closing comments. Over to you, sir.

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Ashish Jakhanwala:

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Thank you, everyone, for your time. We did enjoy the interaction today. I just want to reiterate that we remain fairly confident of how this year and the future of SAMHI is shaping up. We know there's a lot of distraction about the month of May, but whether it was April, whether it was June or it is subsequent period after June, we are continuing to see a very comforting growth. Two, we are very, very happy about the ability to deliver on asset recycling. That's an activity where we largely rely on a counterparty and we've been able to execute that in time and at price that we expect it to.

So the balance sheet that now we have created for ourselves, what used to be considered a weakness for SAMHI till 2 years back, we had a promise that we'll convert that to be our biggest strength. I think we are well on our way to deliver that. And my belief is that, that strong balance sheet and our discipline will create the future value for SAMHL

So thank you very much for your support. We look forward to continuing to interact with you and talk to you at the end of quarter 2, if not earlier. Thank you so much.

Thank you, members of the management. On behalf of SAMHI Hotels Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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## Call: Nov 2025

IMART HOTEL INVESTMENTS —

SAMHI Hotels Ltd.

Correspondence:

Tel: +91 124 4910100 Fax 44910199 www.sambi.co.in 04 November 2025

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,

Dalal Street, Mumbai - 400 001, Bandra Kurla Complex, Bandra (East),

Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q2 FY26 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q2 FY26 Earnings Conference Call with the

Investors or Analysts held on Wednesday, 29 October 2025 at 11:00 a.m. (IST).

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

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"SAMHI Hotels Limited

Q2 and H1 FY 26

Earnings Conference Call"

October 29, 2025

"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29" October 2025 will prevail."

SAMHAL AT HOTEL INVESTMENTS—

MANAGEMENT: MR. ASHISH JAKHANWALA — CHAIRMAN, MANAGING  
DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EXECUTIVE VICE PRESIDENT AND  
HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — SENIOR VICE PRESIDENT,  
INVESTMENTS

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Moderator:

Ashish Jakhanwala: SAMHI Hotels Limited

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Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of SAMHI Hotels Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performances and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M. Ashish Jakhanwala, Chairman, MD and CEO of SAMHI Hotels Limited. Thank you, and over to you, sir.

Thank you so much. Good morning, everyone, and welcome to SAMHI Hotels Quarter 2FY 126 Earnings Call. Thank you for taking out the time to join us today. I'm also joined by our CFO, Rajat Mehra; Head of Investments and EVP, Gyana Das; Nakul, who is SVP of Investments. Our Investor Relations partner, Strategic Growth Advisors is also on the call today.

We have uploaded our quarter 2 financial year 126 financials and investor presentations on the exchanges and on our website, and I hope everyone's had a chance to go through them. This quarter marks an important milestone for SAMHL one where we have not only delivered another quarter of consistent operating performance, but also announced 2 transformational growth projects that expand our portfolio into new strategic markets.

Let me start with a quick overview of the quarter before we move into the specifics. For quarter 2 FY '26, our same-store RevPAR grew by 11.2% year-on-year basis to INR5,026 perfectly in line with the long-term guidance of RevPAR growing between 9% to 11% CAGR. Total income

for the quarter was INR 296 crores, up 11% on a year-on-year basis, while EBITDA grew at INR 110 crores a 14% increase, with margins improving to 37.3%. Profit after tax stood at INR 99 crores, which includes the reversal of the Navi Mumbai land impairment of INR 57 crores. Our balance sheet is in its strongest position since listing. Net debt to EBITDA has reduced to 2.9, Average interest cost has fall

en to 8.5, and our credit rating has recently been upgraded to A+ with a stable outlook. In simple terms, our portfolio is delivering strong growth. Our balance sheet is delevered, and we now have ample financial flexibility to fund next phase of expansion.

Now let me turn to what truly makes this quarter transformational, the growth projects we have announced. We are proud to announce SAMHT's entry into India's Financial Capital with a landmark dual-branded hotel development in Navi Mumbai, which will redefine both Navi Mumbai's skyline and also SAMHI's future.

This project, which is proposed under the Westin and Fairfield brands by Marriott will be located near the upcoming Navi Muibai International Airport and DY Patil Stadium at the convergence

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of major infrastructure such as the Atal Setu and a growing base of commercial and data center developments. We are happy to contribute to the state's commitment to make Navi Mumbai a world-class city.

The Phase 1 of this hotel project will comprise around 400 rooms with a potential to expand to 700 rooms, making the SAMHT's largest hotel by room count. This project i strategic for several reasons. It gives us our first presence in the Mumbai metropolitan region, filling a key gap in our portfolio. This is truly a transformational step that completes our presence across India's 5 largest office markets, Delhi NCR, Bangalore, Hyderabad, Punc and now Murbai.

It extends our proven city center to new center strategy similar to what we've executed in Gurgaon, Outer Ring Road Bangalore and Financial District in Hyderabad. It positions us to benefit from the structural demand shift by large-scale infrastructure and corporate investments in Navi Mumbai.

The cost to complete the Phase 1 of this development will be about INR 650 crores, which includes land approvals and development costs for the initial 400 rooms, thus entailing a cost perkey of about INR 1.65 crores to INR 1.7 crores per key, well below what would be considered replacement cost for similar projects in Mumbai. We estimate this capex to be staggered over a period of 3 to 4 years.

The second major milestone this quarter is signing of a 260-room mid-scale hotel under a long-term variable lease in Hyderabad Financial District, one of India's fastest-growing office corridors. This is the third property in the precinct alongside the Sheraton and the Fairfield by Marriott. With this addition, SAMHI will now operate across all 3 price points in Hyderabad's most dynamic business district, a unique advantage in the market, where Google, Amazon and several tech majors continue to expand aggressively.

The asset will be developed in partnership with the lessor, where the building shell facade and highside services are to be delivered by the developer, and we will only invest in fit-outs post bandover of the building. This structure minimizes upfront capital and shortens the capex to revenue cycle, perfectly aligned with our capital-ccient growth philosophy.

Our W Hyderabad in HITEC City, a 170-room luxury development under W Hotel brand is progressing as planned. Design development is in final stages, building modifications are underway and mockup rooms will commence in quarter 4 of FY 26. We arc targeting a December 2026 opening, which will be a marquee addition to our portfolio.

Once operational, W Hyderabad will cleivate our ARR profile and significantly augment same-store growth. Work on the Westin Tribute Whitefield Bangalore and other initiatives continue as planned. Across the portfolio, we now have over 1,500 rooms under active development or rebranding, which will take our portfolio to over 6,300 rooms in near future.

With this, I'll now hand over to Rajat to take you through the detailed financial performance.

Thank you, Ashish. Good morning, everybody. Building on the top line summary

that Ashish

took us through, here arc the detailed financial mmbbers for Q2 FY '26. Our total income for the

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quarter stood at INR 296 crores, up 11% on a year-on-year basis. Of this, the same-store asset contributed 9% Y-o-Y growth. The new openings such as HIEX Kolkata and HIEX Greater

Noida and Trinity Bangalore added incremental revenue.

'We also had small loss of income from discontinued assets, primarily the Caspia Delhi sale and the Sheraton commercial office to rooms conversion. The 42 rooms in Sheraton Hyderabad should be operational in December this year and create materially outsized return vis-a-vis the office rentals we were getting prior to the conversion.

Consolidated EBITDA stood at INR 110 crores, a 14% increase on a year-on-year basis. Same-store EBITDA grew at 13.9%, reflecting a strong flow-through on the back of higher rates and stable occupancy. Consolidated EBITDA margins were 37.3% compared to 36.2% last year, a 110 basis point increase on a Y-o-Y basis.

Depreciation was stable at INR 30 crores. Finance costs reported at INR 43 crores, down nearly INR 12 crs on a year-on-year basis, reflecting the benefit of our deleveraging through the GIC transaction and the sale of Caspia Delhi.

On a cash flow basis, our interest expense stood at INR 35 crores with the balance being non-cash accounting entries. We had an exceptional one-time gain of approximately INR 71 crores net of the deferred taxes, largely from the reversal of Navi Mumbai impairment and gain on sale of Caspia Delhi.

On the basis of this, I'm happy to report that the company has reported a profit after tax of INR 100 crores vis-a-vis INR 13 crores last year. On the balance sheet, our net debt stood at INR 1,370 crores with a net debt to EBITDA at 2.9x. Adjusted for the capital allocated towards growth projects, which are not creating any meaningful EBITDA at present, the net debt-to-EBITDA stands at 2.4x. The reduction in the interest cost has improved our free cash generation and gives us sufficient capacity to fund the current growth pipeline.

'With that, I now hand over the mic to Ashish for the closing comments.

Thanks, Rajat. To conclude, before we take the calls, quarter 2 FY '26 represents a clear inflection point for SAMHI. We are delivering consistent operating performance, maintaining financial discipline and most importantly, executing a transformational growth pipeline that will define SAMHI's next decades.

Our entry into Mumbai, expansion in Hyderabad and progress at W Hyderabad and Westin Tribute Bangalore Whitefield together reinforces our strategy of building scale across India's most dynamic office markets. With a stronger balance sheet, upgraded credit rating, robust free cash flows, we are in the best position yet to compound value for our shareholders.

Thank you for your time today, and now we'll open the floor for questions.

Thank you very much. The first question is from the line of Saurabh Srivastava from Arista Consulting. Please go ahead.

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Saurabh Srivastava:

Ashish Jakhanwala:

Moderator:

Prashant Biyani:

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Congratulations on a good number. Now sir, my first question is that though you people have been able to trim down the leverage, but it is still on a higher side and some projects are coming, which are also - will be requiring a lot of money. How are you going to manage it? Any monetization in the pipeline or any GIC like platform is also there?

Saurabh, thank you for your question. So as Rajat articulated, our total net debt to EBITDA is about 2.9x on an overall basis. We have invested a fair amount of capital in the last 2 years on growth projects, which are not demonstrating commensurate EBITDA. If we were to only take operating assets and the debt on the

map, it's about 2.4x.

Given all of our debt is between 12 to 14 years with very little amortization in the first 3 to 5 years, we feel that a debt-to-EBITDA level of anywhere between 2x to 2.5 is very, very stable and healthy. As I said, our operating business has already reached that level.

In terms of funding the capital expenditure, we had articulated in our capital markets presentation, which is also uploaded and actually even in the investor presentation yesterday that given the current run rate of revenues and EBITDA, we actually expect to see about INR 1,700 crores of investable surplus in the business.

And whether it's Navi Mumbai or the Hyderabad project, these are nothing but the means for us to deploy that investable surplus. So we do not expect our balance sheet to be put under duress because of the capital expenditures largely being funded from operating free cash. Can we move to second question?

The next question is from the line of Prashant Biyani.

Sir, while in Q2, we have seen occupancy declining due to travel restrictions, how do you see the organic travel demand as per your SAMHI Intel software?

So Prashant, thanks so much. So quarter 1 and quarter 2, and as a management team, we have

citing events, right? I mean, whether it was India, Pakistan or anything. But nevertheless, the first half of the year had a lot happening for the sector. First, the India, Pakistan issue, then we had the Ahmedabad crash and then we had some of the worst monsoons across the country. I think it did have some dampening effect.

But what we've seen, Prashant, starting September that any week that is clear of any event has seen a very strong revenue run rate. So with that, as businesses come back post Diwali, of course, till the end of the year, we do expect to maintain a significantly higher growth momentum than what we have seen in H1.

So in summary, we expect the H2 to remain significantly ahead in terms of RevPAR, in terms of occupancy, in terms of total revenue than what we have seen for H1. And Prashant, I will take back our conversations to demand and supply, demand and supply and demand and supply, right?

We have not yet seen any meaningful supply opening in Hyderabad. We have not seen any meaningful supply open up in Bangalore. We've not seen any meaningful supply open up in

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Delhi or in Pune, whereas demand continues to grow. So the events sometimes play a dampening effect.

But if you were to look at the structural story of demand continuing to grow and supply just not coming, we remain fairly committed and convinced about the guidance we've been giving that total revenue growth for same-store hotels will maintain 9% to 11% CAGR for the next 3 to 5 years.

Right. And sir, in particular for our mid-scale segment, we saw ADR sharply grew, but occupancy dipped. Is there any hotel-specific factor? Or this is a general ADR strategy for the segment that we are following?

So Prashant, what's happening is even in the mid-scale, there are 2 segments for us, right, the Holiday Inn Express platform, which is mid-scale and the Fairfield and Four Points, they are upper mid-scale. In the upper mid-scale, we saw a fabulous rate growth in some of the markets like Bangalore, where the ARR almost has grown mid-teens to high teens actually. And therefore, clearly, we are losing out the opportunity in terms of rate,

In the Holiday Inn Express in the mid-scale space, the rates have grown. The occupancies have actually kind of declined slightly, largely because last year, we had some group movement, which were not repeated this year. So nothing to worry. It was effectively an incident that happened last year, which had given us a boost of occupancies. This year, we expect them to be more natural. But the good news is the rates continue to grow.

R

Right. And sir, for the Mumbai asset or the transaction that we did in Mumbai and for the new Hyderabad property, both these would come in the platform or under SAMHI stand-alone? And just one question connected to the new Hyderabad hotel, we would be operationalizing by when?

So first question, both these assets are with SAMHI. They're not part of the GIC platform. So both these hotels will be with SAMHI or its 100% subsidiary. So that's number one. Number two, in terms of One Financial District Hyderabad, we expect this hotel to take about 36 months to 42 months for it to be operational.

Okay. Right. And sir, for Trinity renovation, we would start by when?

So Prashant, interestingly, we have made a small investment of about INR 8 crores in Trinity in the beginning of the fiscal year. And we've already seen the rate profile change substantially in that hotel. We will make staggered investments in this asset. I think the next round of investment will happen in the summer, let's say, post February and March, should be around INR 20 - 25 crores.

With that, we actually are fairly confident that Trinity will reach its underwritten expectation.

So we thought that originally we have to invest about INR 70 — INR 80 crores to get this hotel to be at circa INR 10,000 average rate. We had bought it at an average rate of about INR 5,000. We actually think that we would invest about INR 25 — INR 30 crores and not the INR 70 — INR 80 crores to get to that intended average rate.

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So yes, I think Trinity's -- as with ACIC, Prashant, the Trinity conversion is happening better than we had anticipated and underwritten. So we do expect FY 27 to be a great year for Trinity, even though we would have not really fully renovated the hotel by then.

And so, just lastly, sir, our expertise lies in acquiring stressed assets and turning it around. How do you plan to replicate that expertise when you are building the Mumbai Twin Towers ground up? So Prashant, interestingly, Mumbai came as a part of an acquisition because this was ACIC acquisition. And our excitement is that our underlying land cost, while book value was INR 71-odd crores, our actual cost that we paid for the piece of land was like INR 26 crores, right? So when you start a development in a market like Mumbai with an underlying land cost of INR 26 crores, we remain pretty excited that this is going to be a mid-teen ROCE investment for us. Two, let's make no mistake, we have done developments in the past like Courtyard Fairfield Bangalore, which, as you know, have turned out to be extremely successful for us. So our specialty lies in dual-branded hotels. We've done that in Courtyard Fairfield Bangalore. We think repeating that with the Westin and Fairfield in a market like Navi Mumbai will be very exciting. So we have all the skill sets of development. We have all the skill sets of choosing the brand partner of asset management. And as I said, in the end, Navi Mumbai is a gift through an acquisition. Would we have bought a piece of land in Navi Mumbai for INR 80 - INR 90 crores, the answer is no.

The next question is from the line of Jinesh Joshi from PL Capital.

Sir, I just wanted to understand the timing issue in relationship to recognizing this reversal of impairment on the Navi Mumbai property. I guess we got an approval from MIDC day before yesterday, but the reversal impact is shown in 2Q results. So just wanted to get a sense of how the recognition time lines ideally work over here?

Jinesh, see, from an accounting perspective, if there is an event, which was actually existing at the end of the quarter and post the quarter end and before the approval of the results in the Board meeting and there's further development, then we are necessarily required to actually take the impact in the

quarter, which is to be approved by the Board.

So we got the final document from MIDC actually before the Board meeting. And as per the accounting regulation, we had no choice, but to actually recognize this reversal in the Q2 financials itself.

Understood. And sir, if I heard you right, you mentioned that both the Navi Mumbai and the Hyderabad property will be in our stand-alone channel business, so to say. Now given how the capex is lined up over here, I think for Navi Mumbai, you mentioned about INR 650 crores and for Hyderabad, it is about INR 125 crores.

This is over and above what we had already committed with respect to our other two properties in Bangalore and the second one in Hyderabad. So just wanted to get a sense, I mean, while this was being asked earlier, I mean, our net debt at about INR 1,370 crores, given additional capex.

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of about INR 750 to INR 800 crores that is lined up, are we going to see some kind of increase in debt levels come through from our side?

So Jinesh, I reiterate that even before Navi Mumbai confirmation, we had presented a whole plan to our shareholders and investors, which highlighted that the company is now producing a reasonable amount of free cash on an annualized basis.

Both these projects are a slightly longer lead than honestly, we would have liked them to be.

Therefore, if you look at Navi Mumbai, INR 650 crores, that's spread over a 4 year period. If you were to look at Hyderabad, which will be spread over a period of about, let's say, 3.5 years or so. And that gives us reasonable time.

And as you know, in development projects, the first few years are not really that capital intensive because you're taking approvals, you're doing the building shell and then comes the engineering and the fit-outs.

In terms of leverage, we are currently, let's say, at circa 3x. Our intended guidance was to go to 2.5. We had accelerated that path because of GIC. We think we will not breach the circa 3x in the short term, and we will get to 2.5% in the midterm, right?

So we don't - we are not worried about leverage levels being higher than where we are or where we thought they would be a comfortable place for us to stabilize. And that's largely because it's a free cash, which is finding.

And some of the other capital expenditure, Jinesh, that we have, especially for the earlier Bangalore acquisition, for the first 18 months, it's going to be funded through GIC infusion. So

we're actually preserving our capital, and that's pretty substantial. That's about INR 150 crores or so, right?

So yes, I think in terms of leverage, we remain fairly comfortable that the circa 3x is what we'll maintain in the short term in spite of the commitments we'll have to make to Navi Mumbai and Hyderabad. And in the long term or in the medium term, we'll be getting to about 2.5% plus/minus.

Just for your clarification, Hyderabad is a leased asset, and therefore, we have no investment in land, building and engineering equipment. So the overall project will be delivered at about INR 45 - INR 50 lakhs per key, even though it's a 260-room hotel in HITEC City. But the structure of the investment there allows us it to be extremely capital efficient, and more so the fact that for the first 1 year from today, we have to make 0 investments there.

Sir, one last question from my side. Just wanted to understand the MIDC deal because over here, I think the land is on lease. So what lease rentals will we be paying? And given the fact that land is on lease, this INR 650 crores capex number for 400 rooms appears to be slightly on the higher side. So can you just clarify that.

So there is no per sq ft lease rent. These are typical MMRD MIDC leases, which are given for 80 - 90 years, and there's a premium to be paid upfront and there is no lease rent to be paid on a

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regular basis. The premium that we have to pay has been included in the project cost that we have mentioned to you.

So when you're talking about INR 650 crores for 400 rooms, it actually includes first of all, it includes the premium we have to pay for the extension of 5 years. Two, it actually includes the premium we're going to pay for FSI for the entire 700 rooms.

So when you divide INR 650 crores by 400, it's slightly top loading the cost, what we would encourage is you take INR 1,000 crores total investment over a long-term period, and the total investment there will be approximately INR 1,000 crores for 700 rooms.

So that, if you see cost per key, including the premiums for extra FSI and extension, we feel it's actually pretty reasonable for a market like Mumbai. But for the first 400 rooms, we are adding the premium for the entire 700 rooms to be paid to MIDC.

'What is the premium amount? Can you quantify?

About the premium amount to be paid to MIDC?

Yes.

So listen, this is broken up into 2 parts. The first part is really the extension premium and the second part is really the FSI premium. The extension premium is in the range of about INR 75 to INR 80 crores. And the extra FSI really depends, Jinesh, on how much FSI we're going to eventually consume. This is connected to the ready reckoner of the area. But we have right now in our estimates assumed about INR 100 to INR 150 crores for the premium to be paid for extra FSI.

The next question is from the line of Pratik Oza from Systematix.

Sir, I guess, our occupancy across our three segments is slightly clustered between 74% to 76%, which in my sense, it shows that our assets are running at a near peak efficiency. So, as you execute the strategy to shift the revenue mix to 60% upscale, where do you see primarily RevPAR lever going from here? And is there any meaningful occupancy gain left? Or will it be through an increase in ARR?

So, Pratik, first of all, you're right. The investments we've made in the last 2 years and the recent Navi Mumbai development, our share of upscale is inevitably going to go to 60% from the current 4%, right? Of course, the upscale hotels operate at a total revenue per key, which is 2x of the portfolio average.

So in terms of the inventory addition and its impact on revenue would be very, very substantial. So that's good that the efforts that we've made in the last 2 years would create a meaningful impact on the revenue profile of the company.

And as I said, we love all the segments, but more than that, we actually love markets. So tomorrow, if you were to get an opportunity to acquire or convert something into a Holiday Inn

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Express in Navi Mumbai, we would still do that because we love that market, and it's not the segment play.

In terms of occupancies and how much headroom occupancies have, See, on the current state, we think an occupancy level, which is between 75% and 80% is where business hotels would stabilize.

We, unfortunately, as of today, do not see a lot of urban leisure in India, which means like Singapore or London, we're not seeing huge volumes of people traveling to cities for leisure, which would have otherwise given us occupancy levels during long weekends, holidays and so on and so forth.

So we continue to see that those dips during the year, and therefore, year-round occupancies for business hotels, I would be comfortable guiding anywhere between 75% and 80%, and that's really the headroom.

In the long term, I do believe that with the growth of disposable income, better ARR infrastructure, the growth of social infrastructure in India; rock concerts, IPL matches and so on and so forth, I think there

is a huge latent opportunity for hotels in the big cities. And as and when that opportunity starts playing out, you would see occupancy levels go to 85% or so. Don't forget, we are sold out Tuesday, Wednesday, Thursday. So when we start backfilling the holidays and the weekend, the opportunity is phenomenal, but I really can't put my finger to when will that happen. It really is a structural shift.

Therefore, when we guide towards 9% to 11% same-store growth, we believe majority of that will actually come from the repricing, and we have seen repricing playing out really well. One would be worried if we've hit a peak. I don't think so. Markets like Hyderabad, Pune, Gurgaon, continue to operate at a significant lower pricing levels than even a market like Bangalore, right? So actually, we think there is a reasonable headroom for average rates to grow in several markets that we operate in. And combination of the 2 would deliver us that between 9% and 11% total revenue CAGR over a 3- to 5-year period for same set of hotels.

Of course, we have hotels in our portfolio, which are due for rebranding, renovation, and those hotels would bring the above-average performance in terms of total revenue growth and setting the company, I think, on a path of a 17%, 18% CAGR for the next 3 to 5 years. We've not recomputed that with Navi Mumbai. But even before Navi Mumbai, we thought we should be able to get that over a 3- to 5-year period.

Sir, second question is on your 2 new developments. One is your massive 700 greenfield development in Navi Mumbai; and the second is on the 260-room long-term variable lease model in Hyderabad. So going ahead, how should we see these 2 models? I mean, when you enter into a new market, will it be a mix of these 2 models? Or will we be going more towards the lease model?

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So I'll reiterate, Pratik, that Navi Mumbai was an outcome of an acquisition that we had made.

On our own, are we looking for pieces of land to build hotels? The answer is a flat no. We are not looking to buy pieces of land to build hotels. That is not our business model.

Obviously, sometimes we acquire portfolios, which bring land parcels -- so to be very clear, no, we are not looking for active land acquisition for hotel development. That process is way too long. And also, you will end up paying market prices for land in India. So therefore, your total cost becomes either at or at premium to replacement cost, another business that we are not interested to run.

So that leaves us with sticking to two set of opportunities for ourselves. One is really the classical M&A like the Trinity in Bangalore, where we find an undermanaged, underperforming hotel and we can acquire that to reposition that hotel.

And two, we are actually - I must tell you, we are really surprised about the success we are getting in securing long-term leases. 2 years back when we articulated this, and we said about 13% of our revenues come from long-term variable leases, we expect that to go to 20% to 25%. 'We had our work cut out for ourselves because convincing people to give their properties for 50 to 60 years, no guarantees only a percentage of revenue for them to invest their capital in land building and equipment, it doesn't seem like an easy task, right?

But I think our reputation and what we've delivered so far in that space is making us build a really strong pipeline of variable leases. And I can tell today, if I look at my future pipeline, a large part of our actionable pipeline is actually variable leases, which is good news for the company because the cost per key in a variable lease is at a substantial lower level to what it

would be for a freehold, right?

So yes, I think the future continues to be about M&A and the future continues to be about occur

ing long-term variable leases. Acquiring land for development is not part of our business plan.

The next question is from the line of Samarth Agrawal from Ambit Capital.

Congratulations on a great quarter. Just a couple of clarifications. In the result note, it's written that company has received a letter from MIDC confirming the extension of development period. So would it be correct to assume that there's no caveats to the land and like SAMHI is free to which we develop and own the asset for as long as they can?

That's right, Samarth. Otherwise, we would have not taken the call to recognize the reversal of impairment. So there are no caveats. We have been given an extension of up to 5 years to complete the project, and we are taking the steps that are required to give effect to that really. Understood. And in Slide 11 of the presentation, you've given a list of the key commercial micro markets, basically the ones you're looking at. So, some of them we are present in and some of them perhaps we are looking at.

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So, going forward, will the growth strategy be to move towards solidifying presence in the micro markets you are present in or perhaps extend it to these markets you have mentioned in the presentation?

So, Samarth, this Slide 11 is really critical because what it tells you is that we can maintain a very strict market discipline and yet not compromise on growth opportunities. So, we've always maintained that we've taken - our investments have been guided by growth of office and aviation markets.

And the cities and the micro markets you see on the table, and there will be more beyond that, but this is more illustrative, are where we feel that the bulk of the office space and aviation markets tend to influence.

We would like to see over the long term, all the white boxes have a hotel from us, but this is a game of patience. Because as I said, if we were a builder of hotels, we would have just gone and bought land and build hotels in all of those spaces.

That's not what we do. So in several markets, we will wait others to build. We will wait for the right market cycle or asset cycle to produce an opportunity for ourselves, and that's when we think we can make our presence there.

I mean, I'll give you an example, North Bangalore, we have all blanks, right? Because right now, it's a market driven by greenfield development, and we'd like to stay away from that until such time that market evolves and develops. And we are fairly confident over a period of time, we'll find either a market opportunity or an asset opportunity to give us an entry into that market, right?

So I think this is a white board of opportunities for us. It keeps us very disciplined on not taking a step on demand, and it puts the team's focus razor sharp on where we think the returns are in the future. So this is pretty much the football field for SAMHI to look at M&A and leases.

Understood. Very clear. And just a second question on the pipeline. So most of the partnerships for the upcoming hotels are different brands of Marriott only. So I understand the history and the relationship that the team has with the Marriott team. But is there any special reason why it's mostly limited to Marriott and not perhaps any other brand owner?

Samarth, it's not my job to market Marriott on a call like this because if I give you all the reasons it will look like if I'm marketing Marriott here. I think we have respect for all operators. We remain open for business with all operators. We have a huge relationship with Marriott, We have a shared services center. We operate with them in Bangalore.

So every time a hotel gets added to that network, we obviously get economics of scale. But they clearly run one of the most enviable loyalty programs in the world, which is Bonvoy. They have a very large

presence in India. We have seen their hotels perform at or above our expectation.

So I think we have the path of least resistance to Marriott, if I may say so. We do keep our eyes and ears open for other opportunities and other operators, and I'm sure we will expand our relationship.

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But as an investor, Samarth, we've been taught to follow the path of least resistance to returns, right, and not get too creative. So we are following that path of least resistance. And the other paths have some resistance, which the counterparties have to remove, and we'll obviously evaluate it as and when it comes.

But yes, the Hyderabad, we've not yet disclosed the operator. But yes, Navi Mumbai, we have an MOU with Marriott signed for Westin and Fairfield, The W in Hyderabad is obviously a Marriott brand. The Westin Tribute is also Marriott, But Hyderabad one Financial District, I repeat, we remain open for business.

The next question is from the line of Vikas Ahuja from Antique.

My first question is, could you provide some more color on 11% RevPAR growth, which we have reported, especially which markets contributed to most of this strength, example, Hyderabad versus Bangalore versus other?

Also on expansion, the Hyderabad addition, it's pretty clear that, that city continues to report one of the best ADRs. For this Navi Mumbai, could you clarify whether the decision was primarily driven by proximity to the upcoming international airport or whether it's a targeted expansion to broaden the presence in region like Mumbai because we were not there.

Vikas, thank you. So for Navi Mumbai, let me be honest, this land came as a part of the ACIC acquisition. So we can't claim brilliance about selecting this piece of land. Having said that, we have kind of worked hard with the administration to retain the site. And that effort was for a reason.

And I think it's not just the ~ so what I would request is if you see the slide numbers 7 and 8, one of the big themes we have seen, Vikas, play out in India over the last 15 years is shift of economic activity from traditional city centers to newer business districts.

And we saw that how 20 years back, Connaught Place, Nehru Place was the epicenter of office activity in NCR. And today, actually, it's Gurgaon and Noida to some extent. If you were to talk about 15 years back, 20 years back, when I was in Accor, the whole focus was finding an opportunity in Hyderabad City Center. Today, you would not even talk about that and you'll focus about opportunities in HITEC City, Gachibowli Financial District.

Same thing has happened to Bangalore. Today, we are able to sell a Courtyard by Marriott at a premium -- on outer ring road to a premium to sometimes JW by Marriott in Bangalore City Center, right? What we have seen is that given how Indian urban environment operates, which is very limiting, the newer areas tend to benefit the most because of better infrastructure, critical mass and, of course, the entry price for large corporates.

We think this shift in Mumbai to Navi Mumbai was planned for almost 50 years, right? It couldn't happen because of lack of infrastructure. And kudos to the new government that they have resolved the infrastructure in the matter of the last 5 - 6 years. So today, for you to go from South Bombay or Central Bombay to Navi Mumbai using Atal Setu is kind of without any friction.

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Adding that, the fact that Navi Mumbai Airport is 110 million passengers planned. Current airport is at about 45, 50. Delhi is already touching 75, 80. And there's no reason why Navi Mumbai Airport will not start getting filled up before we all know.

So if you look at the way the economic activity will shift from -- not necessarily from. The new economic activity will concentrate

itself in the island and Mumbai will remain to be what

Mumbai is. But I think it's not just the airport. You have Scawoods Grand Central by L&T. You have Mindspace in Juinagar. You have the Dhirubhai Ambani Knowledge City. You have the Reliance Corporate Park in Ghansoli.

You have the data center developments by Prestige, Adani, Connex, WeWorks City, etcetera. You have industrial demand from Turbhe and Mahape. You have the CIDCO Exhibition Convention Center, the DY Patil Stadium. I mean, there's so much happening in Navi Mumbai. And our site sits right in the center of all of this. So our South of our site is airport, North of our site is ~ would be Mindspace, Dhirubhai Ambani Knowledge City. On East of our site will be the whole data center development, right?

So I think as economics tend to grow, which is more focused on technology, all you would see Navi Mumbai benefiting a lot because all that data center tech development is more favorable in Navi Mumbai given the land cost rental than it would be in the island.

So I actually think our call to make a large 700-room investment, that is considered basis both the pace and the density of development that we will see in Navi Mumbai from now over the next 10 years. I often tell people that Courtyard Fairfield Bangalore created SAMHI 1.0. It was a 330-room development, which we undertook in Outer Ring Road Bangalore, not Bangalore City Center. Today, that Courtyard runs highest average rates for many Marriott hotels in the

country. We're crossing almost INR 200 crores top line, INR 100 crores EBITDA on that asset. I think Navi Mumbai is the start of SAMHI 2.0, The 700-room hotel will redefine how SAMHI would be over the next decade, just as Navi Mumbai will redefine Mumbai's place. Today, Bangalore absorbed 7 million square feet of office space in the last 6 months, right? And Mumbai was less than that, There is no reason over the next 4 - 5 years, Mumbai supported by Navi Mumbai will not catch up to office space absorption as equivalent to Bangalore, right? So I think our excitement emanates from urban planning trends, and they are very long term and structural in nature. And that's why I said our programming for 700 rooms. I will repeat, the site came as a gift in the ACIC acquisition. We have very little underlying land cost. And therefore, our ability to take a bold call is easier because we have to solve for return on construction costs, which, as you would know, Vikas, is much easier than if we had to take a call on return on construction plus market land cost in Navi Mumbai today. That would have been a hard call. In terms of RevPAR contribution by cities, actually, what we've seen is Hyderabad, Bangalore, have grown really well. Pune has seen a pretty good uptick, but that's largely because our Hyatt Regency Pune has really outperformed. But generally, that 9% to 11% is spread evenly across cities, Vikas, as I can see it.

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Sure. This is very useful. I have one more follow-up. So if we talk about the overall rates, so if you can give us some maybe color on how rates are shaping up in October. Have we seen 'momentum picked up meaningfully, especially in the first part before Diwali? And how you are viewing November, given that relatively, it's a clean month with no major festivals, especially compared to last year when Diwali fell in November? This is my last question.

Vikas, what we've seen was that from 10th September to 15th September till pretty much the week before Diwali, we saw fabulous business coming across the portfolio. We had some record daily run rate numbers show up on our dashboard.

And I think that more than any guidance on November gives us the confidence that the need for business travel continues

to be very strong. Of course, October this year, we had Dusshra and midweek Diwali. So it wasn't necessarily didn't show the right numbers, but you're absolutely right. The expectation was that from this week onwards still pretty much a week before Christmas, New Year or let's say, 10 days before Christmas, New Year, we should see pretty good numbers.

So I think business on books, space, clicks on websites, all of those trends continue to be fairly robust for the current quarter. And also for actually quarter 4, which, Vikas is the best quarter because quarter 4 sees - both quarter 3 and quarter 4 sees the same run rate for a normal day. It's just that quarter 3 has many less normal days because of holidays compared to quarter 4. So for us, the most fun quarter is actually quarter 4 from 10th, 15th January till 31st March. But even November and the early parts of December show pretty good signs.

No, this is very useful. And I think after quarter 4, we have, I think, the strong expectation of Q also because 1 year, there was election and then there was war, so there's a lot of pent-up. So I understand.

The next question is from the line of Yashwardhan Agarwal from IIFL Capital Services Limited.

Congratulations on a good set of numbers. So a couple of questions from my side. Could you please clarify the reason for tax outflow in the quarter? And on the finance cost in the PPT, we have mentioned that the annual run rate is around INR 120 — INR 130 crores of the interest cost. But in this quarter, it was more than INR 40 crores. No reason for the same? Why wasn't it around INR 30 — INR 35 crores?

So, Yash, first of all, on the tax, what you see in the P&L is actually only creation of deferred tax. There is no tax outflow that SAMHI has. On the cash flow side that you see the tax, which is there is predominantly the TDS, which the customer actually deducts, while they are actually making the payment to us. So there is no tax outflow, which is there in SAMHI. The only tax outflow that you see or tax expense that you see in the P&L is the creation of deferred tax. It's a non-cash.

It's a non-cash entry, okay. And we don't expect to pay tax in the future quarters as well, right?

No, we don't expect to pay tax in the near future.

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Ashish Jakhanwala:

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So you're right, Yash, we had reasonable tax shields available across entities. You would also -  
- 50 we don't expect any cash payouts from the company at least for the next few years. Yes, a few years.

On the interest Rajat will chime in, but we did clarify that the actual cash interest expense was about INR35 crores in line with what we were saying. What we have done is that we are in the process of refinancing a large facility, where the interest rates will go down from existing 8.4% to about 7.9%.

And on account of that, what we had done was there was a certain upfront payment made at the beginning of the loan, which was amortized over a full tenure. Because we want to refinance that, we have kind of accelerated that write-off and that's again noncash. So that INR35 crores expense is adding to the finance cost. But again, it's noncash. And on top of that, it helps us reduce financing cost from current 8.4% to about 7.9% in that particular portfolio should be done by the end of the year, right?

Yes. That's close to about INR 350 crores out of the total debt that we have, which is getting refinanced.

Correct. So Yash with that, you will actually see the overall blended interest cost further is coming down for the company.

Yes, which is not incorporated in the 8.5% that has been reported right now.

Correct.

Got it, sir. This is helpful. Sir, my another question is on the Navi Mumbai project that we are planning. In the initial remarks, you mentioned

that GIC is not part of this project, even though

we are planning to have some rooms in the upper upscale segment as well. So what is the reason for it?

So the key reason, Yash is that we have that understanding for future projects. There are existing upscale hotels like Sheraton in Hyderabad or Hyatt Place in Gurgaon or Renaissance Ahmedabad, which are not part of the GIC joint venture. So this asset was a pre-existing asset at the time of the joint venture and therefore, was not part of the JV.

When we say that future assets, it's about the future upscale assets may be considered in the JV. It's not a hard and pure rule, but of course, we will take it to the JV. So this asset is not part of the JV.

Also from a purely selfish perspective, we feel that the value creation in this asset is phenomenal. If we were to take the market performance of compact and the competitive set today in Navi Mumbai is at an average rate of about INR 11,500, and of course, the Westin will be at premium to all that.

We think even if we take some blended performance for the current year, this on a full 700-room hotel is about INR 180 — INR 185 crores of EBITDA potential. So I think our job and our

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excitement is to execute and deliver that. And if at all, we need to do some capital recycling, it will be only after we have created the value in the asset. So as of today, it remains part of SAMHI, and we remain committed to delivering that number from this asset.

Okay. So INR 180 crores that you gave is for the 700 rooms, right, and not 400 rooms.

That is right.

Sir, another question on the same. So if we look at the market currently, there are around 1,500 rooms. And even in that 1,500 rooms are announced and majority of that in the midscale segment. So why are we still inclined towards adding more inventory in the midscale and not towards the upper upscale segment considering that we already have land and the rental profile in upper upscale segment is better.

So Yes, to give you some context, and we have experience of dual branded hotels. We have the Courtyard and Fairfield in Bangalore, where the Courtyard sells at an average rate of about INR

22,000 - INR 23,000 for the year, and the Fairfield would be selling at about INR 12,500 - INR 13,000 per year.

'What we've seen is when you do large-scale hotel developments and if it's a single branded hotel, you still need a lot of what is called "base business". And the base business comes at a discount to what your targeted rates are.

When you do a dual-branded hotel, invariably a lot of your base business goes into a lower category hotel for which it is built. So in terms of capital expenditure, in terms of operating expenses, you've built it to operate at lower rate. And therefore, the bulk of your base business can be redirected towards that, leaving the upscale hotel to be fully leveraged for the high-priced business.

And therefore, no surprise, Yash, that nobody would have heard of a Courtyard by Marriott in India operating at an average rate of INR

we have 170 rooms of Courtyard, about 170 rooms, 155 - 165 of Fairfield. And therefore, a lot of relatively low rate and even that low rate is INR 13,000 there tends to go into Fairfield. 00, right? That is possible in Bangalore because

So I think in terms of managing your capex, leveraging the market opportunity, we think the dual-branded hotels present a very unique opportunity. And as the saying says, what is broke, don't try and fix it. The dual-branded hotel have worked really well for us in Bangalore. And therefore, we think repeating that in Mumbai is intelligent.

'We have debated and deliberated this enough with the operator as well. So it is not just our and our Board's point of view. The same point of view has also been revalidated with by an o

perator

of Marriott's stature, where they also feel that dual-branding will help us get the highest yield from the asset.

The highest rate will come from a single branded hotel because obviously, the Fairfield will operate at a discounted average rate, but we're not chasing rate or RevPAR. We are chasing

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return on capital employed. And I can assure you that the highest return on capital employed will come from a dual-branded hotel in that location.

The next question is from the line of Murtuza Arsiwalla from Kotak Securities.

Congratulations on getting that extension in Navi Mumbai. Just a question, something that I've been debating in my head as well. When I look at your revenue mix, obviously, the upscale tends to have a higher revenue contribution relative to the number of keys. If I were to think of management bandwidth in terms of building hotels, would you be better off building more upscale than mid-scale just because it would almost require the same amount of management bandwidth, assuming return on capital employed margins, etcetera, would be similar in both categories. And I can see incrementally your portfolio sort of leaning towards upscale. Any thoughts on that?

Yes, Murtuza, that thought crosses our mind more than often. But we have a job -- we are in a capital-intensive business. So risk and reward are things we need to look at both at the same time. The upscale assets tend to have capital concentration Murtuza. And we've seen markets go through unexpected surprises, right?

And our job here is to make sure that we do not create a concentrated pool of capital in an asset or in a market. So we are pretty dispersed across all office markets today, right? I think there is more effort in mid-scale for sure. But we've also seen that over a very long period of time, the mid-scale tends to give you a more measured returns vis-a-vis the risk -- so yes, when things are going really well, you can see a lot of excitement in the upscale because the revenues are covering up for both the capex and the opex.

But in cycles where revenues tend to get slightly tight, we've seen the mid-scale because of their lower capital intensity, both in capex and in opex tend to hold their head more firmly than upscale sometimes, right? So you're absolutely right. Obviously, you do one large hotel and you get INR 200 crores of EBITDA or INR 150 crores of EBITDA. But the fact is that you are also taking the risk on a single asset or on a single market.

Murtuza, we did see unfortunate incidents like bad monsoons or terror attacks or economic activities because of certain things shifting. And as much as we are excited about today, we need to remain very, very cautious for the long term. I think mid-scale tends to produce insane amount of ROCE if you do it right.

So for instance, I will repeat that even today in our portfolio, the highest ROCE asset continues to be Holiday Inn Express and HITEC City Hyderabad, well 2 reasons. A, it's mid-scale - 3 reasons. A, it's mid-scale, so very low capital; two, it was leased. So therefore, we never paid for land and building. Three, it's HITEC City Hyderabad.

And Nakul can correct my number, but I think the ROCEs would be 45%, right? And when you

see 45% ROCEs in an asset-heavy business, you tend to salivate and you're okay to make some extra efforts to get there. Look at the Fairfield in Bangalore Outer Ring Road Murtuza, right? To be able to sell a Fairfield at INR 14,000, right? You can well imagine the ROCEs that asset is producing vis-a-vis if I had done a smaller upscale asset selling at INR 18,000, right, or INR 19,000. So I think very similar to a fund manager, we sometimes have to take bets, which are not lazy and easy, but that's the only way to create outsized returns for our shareholders. Would it be possible if you were to think of it, we have the revenue mix across the various categories and some sort of indication on at a portfolio level, not at individual assets, but when you think of the entire portfolio, break it down between like you have mid-scale, upscale, upper mid-scale, what would be the ROCEs for the current year? Like any indications, any number crunching that you would have done?

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Ashish Jakhanwala: SAMHI Hotels Limited

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19,000. So I think very similar to a fund

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not lazy and easy, but that's the only way to create outsized returns for our shareholders.

Would it be possible if you were to think of it, we have the revenue mix across the various categories and some sort of indication on at a portfolio level, not at individual assets, but when you think of the entire portfolio, break it down between like you have mid-scale, upscale, upper mid-scale, what would be the ROCEs for the current year? Like any indications, any number crunching that you would have done?

So Murtuza, if you were to take upscale as one and the broader mid-scale as one, right, and not get too granular about lower mid-scale and upper mid-scale. If you were to take upscale separately and mid-scale separately, I would and we can come back to you, but I think the numbers would be fairly comparable.

Micro market.

And again, as I said, it's very micro market driven. And I think Murtuza lead I also take you back to Slide 11. What is really important for us is to be in HITEC City across 3 price points. It is important for us to be in Navi Mumbai across 3 price points. It is important for us to be in Outer Ring Road across 3 price points and so on and so forth, right?

So rather than doing another hotel, let's say, in Mysore or in Varanasi or in Lucknow and with all due respect to those markets, right? We think we feel very, very comfortable with Tier 1. We think the equation of demand and supply is far more visible and predictable in Tier 1. And therefore, if SAMHI has to grow over the next 10 years, 15 years, 20 years, right, we are giving ourselves optionality to grow without compromising on the locations.

And Conrad Hilton taught this to us 100 years back. The only 3 things important in the sector is location, location and location. So I would not compromise on location. I would rather put 3 price points in the same location, then be forced to go to a suboptimal location because I cannot do multiple price points.

So I also think that operating across price points, Murtuza ensures the management team, the Board and the shareholders that this company will have a runway to grow for the next decade or 2 and not just run out of opportunities after doing 5 upscale hotels and then be forced to buy land and build hotels, and that's the task, which is good for some, definitely not good for us, right?

So it gives us optionality, maintains a ROCE, allows us to dominate markets across all price points, which has its own advantages. So I think there is a lot of merit in pursuing a multi-price point strategy, but not compromise on the location.

If I may just chip in. Given that you directed us to Slide 11, should I think of the blank spaces as your future opportunities across price points and locations?

Absolutely, yes, Murtuza, But I wish were horses, as they say, getting something in Delhi, we need to be careful, especially given the rules we put on ourselves, which is not about replacement

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cost, But the answer is absolutely, yes. This is a football field, Murtuza. This is where we would like to take our capital.

There are times we've waited for years to get into a micro market because, a, we need that micro market and we need that micro market at discount to replacement cost, right? So we know where

we need to be. As I say, luck is about being at the right place at the right time. The place we know, the time will come and we'll get lucky.

The next question is from the line of Viraj Mahadevia from MoncyGrow.

Congratulations to the management team on the direction of travel in the business. Quick question regarding the Courtyard by Marriott in Pune, which is a conversion from Four Points. When do you expect

to see that up and running as a property? Is it early FY 27?

So Viraj, the property is already operational, fully operational. We're actually continuing to see pretty good Y-o-Y growth in that property because earlier it was franchised and now it's managed by Marriott. And I think FY 27 will be a great year.

We expect to start renovating that hotel from March, April. And like all of our renovations, we typically don't do any shutdowns. We do it on a wing wise basis staggered manner. So I think our current guidance is that by end of FY 27, we should have renovated that hotel in phases and be ready for it to be a Courtyard.

Understood. Also, the point you mentioned on refinancing of your debt, would you say that the interest cost would come down to sub 8% starting FY '27 onwards? Is that possible for your entire debt stack?

So basis the current benchmarks, and Viraj, interest rates are highly dependent on the benchmarks. If you were to freeze the benchmarks, where they are today, I think very possible that our overall financing costs will come sub-8% in FY 27, largely because a large debt that we have, we can only refinance it in May, right? Before that, we have some refinancing cost. But FY 27, clearly, our targets to bring the total weighted average cost of financing below. As per the plan that we have, it's reaching to 8% by FY 27 with the current...

With the current benchmark. See, the latest refinancing that we have done, Viraj, is actually at 7.9%. And also, let me clarify how we get to 7.9%. The actual coupon is going to be 7.55%.

7.55%. There is a 1% upfront, but instead of amortizing it over a 12-year period, which is the tenure of the loan, we're actually deciding to amortize it over a 3-year period, right? Because as you've seen in the Citibank case, once you refinance, you have to take that into your P&L. And we think that the credit rating of the company will keep improving every year.

So we should not bind ourselves to certain interest rate benchmarks for the long term. So what we are doing is we are taking an accelerated accounting for the upfront, and that's how it actually gets to 7.9%, right? Otherwise, the coupon will be actually 7.55% and...

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Based on cash outflow.

Yes. We actually think that, therefore, 7.98% is what we will now push hard for. We are only at A+, We think that if we continue to deliver these sets of numbers, we should keep doing better on our rating. So that's really the expectation here.

Fantastic. And if the RBI were to cut rates, obviously, you would have that as additional benefit, right, on the benchmarks.

Yes. Quite a bit of our loans are actually linked to repo. So the moment there's a reduction in repo, it straight away flows through our interest.

How much of your overall loans are linked to repo as a percentage?

Close to about 55% to 60% - odd would be linked.

So 3 categories. There is small, which is fixed, about 20%, And the balance, let's say, 20% would be linked to MCLR, yes. And the 55% - 60% will be linked to repo, Viraj.

Fantastic. My last question is regarding transferring incremental properties to the GIC joint venture platform. Do you see incremental properties over the next 1 or 2 years from your upper upscale being monetized and transferring to that platform, which may ease some of the concerns that investors have had around leverage and your capex point of view.

So L will - first, I will repeat the fact that we are not - we think we have promised near term 3x, midterm 2.5x net debt to EBITDA. We will get there. We are seeing - last 12 months, Viraj, we saw almost INR 350-odd crores of free cash.

A lot of our money is invested in the Tribute in Bangalore or the W in Hyderabad or the new hotels that we've opened earlier this year or the inventory we are

opening. FY 27, minus the W/

will give us everything, and therefore, they will see an exponential growth in EBITDA.

So first and foremost, we, as a team, do not see any concerns on leverage. Our investable surplus is adequate to fund everything we have committed to so far. That's number one. Number two, about transfer to the GIC asset is dependent on the value creation and not solving a leverage problem, right? So I think for us, it's about if we can extract the right value and use it to fund future growth, future means beyond what we have, Viraj, right? We will consider that.

But as of today, we don't need to. I had mentioned earlier that a lot of our active pipeline is actually variable leases. And variable leases as unachievable as it may sound, you basically secure a large asset for INR 10 — INR 15 crores upfront, and then you have deferred capital expenditure over a 2.5 — 3 year period to finish it.

So that kind of allows you to match your cash flows with capex, right? And that is giving us the confidence of maintaining a certain amount of balance sheet discipline while delivering growth. The intent of the GIC platform is to grow. We are looking at certain opportunities in that platform to grow that platform. Will we transfer an existing asset to that platform depends entirely on

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Rajiv Bhas

Ashish Jakhanwala:

Rajiv Bharti:

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the growth opportunities that we see, the value in the growth versus the value we extract from monetizing the existing assets. Nothing so far, Viraj. So I don't want to kind of need anybody. No problem. Last question is, if you can just guide us, Ashish, given the many moving parts around capex commitments, over the next 5 years, what would be the cumulative capex of SAMHI maybe?

Just a second.

If it's close to about INR 1,000 crores.

So the total capex before Navi Mumbai was INR 1,100 crores, of which part of that was to be contributed by GIC. So on our own, the total capex is about INR 800 — INR 850 crores, right? And Navi Mumbai, we need to add to that, which is the first phase is about INR 650 crores. So about INR 1,500 crores.

INR 1,500 crores.

INR 1,500 crores is the total capex.

The next question is from the line of Rajiv Bharti from Nuvama.

So on the Navi Mumbai asset, the cumulative capital employed without the working capital includes the INR 70 crores write-back which you have done, is it the INR 1,000 crores number? No, no, it does not.

Okay. And second part is there is Hotelivate report, which we have seen came in October, talks about 1,500 - 1,400 odd rooms in Navi Mumbai. I'm not sure whether it includes your announcement as well. But what is the visibility, for example, acceleration in terms of the overall capacity, which would come in the next 5 years? I'm seeing what you are seeing otherwise?

So Rajiv, Hotelivate and HVS and STR are 3 sources. And all of those 3 sources are indicating about 1,500 rooms to be added, does not include our asset. So when you add our asset, that will take it to 2,200 odd rooms.

I think 2 things. One is, of course, we've seen only about 60% of the all announced projects ever being delivered in India. Two, we should also be prepared for more hotel development to come upon in Navi Mumbai Airport precinct. Of course, it will take its own time, but we should be mindful as investors that there will be more supply coming in at Navi Mumbai International Airport.

But Rajiv, in a market like this, there's enough precedence to demonstrate that the current base is not an indicator of what the future would be. And we had the same situation at Delhi International Airport, where the overall Delhi supply on that day was about 10,000 rooms and Delhi Airport announced auctioning plots equaling about 4,500 rooms,

right?

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So on a high level, you thought, oh, 50% supply increase, all of that concentrated in a 2-kilometer radius. But as we've seen, Delhi Airport precinct has really done exceedingly well because it has been well supported by a massive infrastructure next to it, which is the airport.

I think Navi Mumbai will see a very similar transformation that I don't think we're going to stop at 1,500 rooms or 2,000 rooms or I think Navi Mumbai will eventually be a 5,000, 6,000 room market over the next 10, 15, 20 years. But at the same time, it will be backed by a massive 100 million, 110 million passenger airport and all the data center office developments that you're seeing around it.

So you would see a completely new city emerging here, much like Delhi Aerocity or Outer Ring Road Bangalore, where there were no hotels 10 years back really, right? So I think in newer precincts, Rajiv, sometimes taking existing supply, adding proposed supply is not the right 'mathematics. I know sometimes we all do it.

But the whole thing is about understanding the nature and the size of demand, which is being created. And unlike many other things, Rajiv, like office development or IT parks, the only one development, which guarantees demand is an airport because it's regulated, the current Bombay Airport is capped off at 45 - 50. The new airport is being built for 110. So I think airport brings a very high degree of assurance of how demand will be created.

So we are prepared for supply. And actually, when we look at our guidance of INR 180-odd crores, INR 185 crores EBITDA from this asset, when we open this, Rajiv, interestingly, it assumes that the RevPAR freezes to current levels. So we are already making an assumption that the RevPAR will remain to be the same in 2030 as they are in 2025.

And we are all gunning for the fact that we'll be proven miserably wrong and the RevPARs would continue to grow at 5%, 6% a year. But we are making that assumption because we don't know what will happen to supply. So we need to be prepared for it.

The next question is from the line of Ishmohit Arora from SOIC Research.

Congrats on getting the Navi Mumbai asset in place. Sir, question is that in H2 of this year, we expect the ballroom renovation and the new inventory to kick in, right, which wasn't there in H1 of this financial year.

That's right. So HI, we - not just - actually, if you ask me, we had no ballroom in Sheraton Hyderabad, we had no ballroom in Hyatt Place, Gurgaon. Some inventory in Hyatt Place, Gurgaon was under renovation because of the adjacent work around ballroom. We would have and then the hotels that we opened in Kolkata, Greater Noida, new inventory in Bangalore, all just in the first few months.

We also delivered additional rooms in Sheraton Hyderabad, we are in November or no, in November, in the next few days or 2 to 3 weeks. So quarter 4, we will get a clear run for all of that new inventory and hotels, and it's also a great quarter. So what happens is that you are pretty much sold out Tuesday, Wednesday, Thursday in that quarter. So as you deliver new inventory, the absorption is pretty quick actually.

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Ishmohit Ar

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That was my only question. Congrats to the entire team on getting the assets and hopefully basically we deliver for the shareholders and also the stakeholders in times to come.

Thank you so much, Ladies and gentlemen, due to time constraint, that was the last question. I now hand over to the management for closing comments.

Thank you, everyone, for your time. I know we've taken a lot of your time today, but it deserves it. I will repeat that I was excited about when I started SAMHI in 2011. It has taken us 14 years to

get to an inflection point, where the company is now producing a lot of free cash to fund its own growth.

We are even more excited about the fact that we've been able to secure avenues to deploy that capital. As we see that companies have different problems in different cycles, we had a problem of leverage till about 2 years back. And in the last quarter, there were a lot of questions around us about growth.

I think we have the free cash. We have the growth opportunities for ourselves. I couldn't be more excited about SAMHI over the next 5 to 10 years. A lot of our value creation is now in execution. So we'd like to go back to our desk and make sure we execute the promises that we made for you. Thank you for your time, and we'll speak to you soon in January, hopefully. Yes. Thank you so much.

Thank you very much.

On behalf of SAMHI Hotels Limited, that concludes this conference. Thank you for joining us,  
and you may now disconnect your lines.  
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## Call: Feb 2026

SAMHI SIMART HOTEL INVESTMENTS —

SAMHI Hotels Ltd. 03" February 2026

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,

Dalal Street, Mumbai - 400 001, Bandra Kurla Complex, Bandra (East),

Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q3 FY26 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q3 FY26 Earnings Conference Call with the

Investors or Analysts held on Thursday, 29 January 2026 at 11:00 a.m. (IST).

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director- Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: 4s above

HI SMART HOTEL INVESTMENTS:

SAMHI Hotels Limited

Q3 and 9M FY '26 Earnings Conference Call

January 29, 2026

"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29" January 2026 will prevail."

SMART HOTEL INVESTMENTS:

MANAGEMENT: MR. ASHISH JAKHANWALA — MANAGING DIRECTOR  
AND CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EXECUTIVE VICE PRESIDENT AND  
HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — SENIOR VICE PRESIDENT,  
INVESTMENTS

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SAMHI

Moderator:

Ashish Jakhanwala: SAMHI Hotels Limited

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Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY 26 Earnings Conference

Call of SAMHI Hotels Limited. This conference call may contain forward-looking statements

about the company, which are based on the beliefs, opinions and expectations of the company

as on date of this call. These statements are not the guarantees of future performance and involve

risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touch-

tone phone.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO of SAMHI Hotels

Limited. Thank you, and over to you, sir.

Thank you so much. Good morning, everyone, and welcome to SAMHI Hotels' Q3 FY 26

Earnings Call. Thank you for joining us today. I'm also joined by our CFO, Rajat Mehra; our

EVP and Head of Investments, Gyana Das; and Nakul Manaktala, SVP Investments. Our

Investor Relations Advisors, Strategic Growth Advisors, is also on the call

We have uploaded our Q3 FY 26 financial results and investor presentation on the stock

exchanges and on our website, and I trust you've had a chance to review them. Let me begin

with a brief overview of the quarter before Rajat takes you through the financial results.

Quarter 3 FY '26 was a strong operating quarter for SAMHL, delivered in a period that saw

external disruptions, including the largest Indian airline facing operational challenges during

December. Despite this, the portfolio demonstrated resilience and pricing power. Same-store

RevPAR grew by 13% year-on-year to INR 5,643. Total income growth was 16% Y-o-Y to INR

342 crores for the quarter.

On an underlying basis, the EBITDA grew by 19% Y-o-Y, reflecting strong operating flow-

through. However, changes in GST regulations impacted the margins, which moderated the

reported EBITDA growth to 13.2% on a Y-o-Y basis.

Even though there's 4 short-term impact of GST in part of our portfolio, we believe it will lead to greater sales volumes as hotels become more affordable, especially in the mid-scale segment and will offset any impact in the long term.

Further, it is important to note that all of our new inventory being added is in the upscale segment, which will remain largely unaffected by this change, but also benefit from

marginally lower

capex due to reduction in GST rates across several construction items. This performance reinforces the strength of our city-centric business travel portfolio spread across India's most resilient office market.

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For the past 9 months, office absorption across key markets remains very strong and has supported same-store revenue growth, significantly ahead of our long-term target, which we've always said is between 9% and 11% Y-o-Y.

Now, let me briefly touch upon our key growth initiatives. The 170-room W Hyderabad continues to progress as planned. Design development is mostly completed and building modifications are underway. Mock-up rooms will commence any time now.

This is a marquee asset for SAMHI and will materially lift our ARR profile, both in Hyderabad and in the upscale segment. In Bangalore, the demolition and preconstruction activities for the 220 rooms Westin block in Whitefield Bangalore has commenced. This remains a fairly high conviction project in one of Bangalore's deepest commercial micro markets.

Across the portfolio, we now have 4,900 rooms operational. We have incremental 1,900 rooms under development or rebranding, of which about 1,450 rooms is a net room addition. These projects will gradually shift our revenue mix towards upscale and upper upscale, which is currently 42% contribution to about 60% upon completion, improving long-term earnings quality.

Besides this, we continue to have a very high-quality and actionable pipeline of opportunities to fuel our future growth and majority of it as of date are in form of capital-efficient variable leases that can be easily funded from our cash flows.

With that, I now hand over to Rajat to walk you through the financial performance in more detail.

Thank you, Ashish. Good morning, everyone. Let me take you through the financial performance of Q3 FY '26. Total income for the quarter was INR 342 crores, up 16.2% on a year-on-year basis. Same-store asset income grew by circa 14% on a year-on-year basis. New openings, including Trinity Whitefield and the new Holiday Inn Express rooms in Kolkata and Greater Noida contributed to incremental revenue. This was partly offset by income loss from sold and discontinued assets, including Four Points Chennai and Sheraton Hyderabad commercial floors, which we have converted to 42 rooms.

Consolidated EBITDA stood at INR 126 crores. Reported EBITDA grew by 13.2% on a year-on-year basis. Excluding the GST impact of circa INR 6.7 crores, EBITDA growth was 19.2% on a year-on-year basis.

GST impact was mostly in our mid-scale portfolio, where a fair bit of our revenue actually comes from rooms being sold at less than INR 7,500. EBITDA margins were 36.9% as compared to 37.9% last year. This drop in margin attributed to the GST change of circa 200 basis points.

Underlying operating costs and flow-through remained stable during the quarter. Our finance cost declined sharply to INR 40 crores versus INR 60 crores last year.

The cash interest outflow is in the range of about INR 34 crores for the quarter. Balance cost in the finance cost represents non-cash and Ind-AS adjustments. Our profit after tax for the quarter

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was INR 48 crores. The PAT attributable to SAMHI shareholders is INR 30.6 crores, while the minority interest accounted for INR 8.5 crores.

As on 31st of December 2025, our net debt stood at INR 1,450 crores. The average tenure of our facility is circa 12 years, which actually allows us a strong margin of safety in terms of our liquidity.

The trailing 12-months EBITDA, excluding non-cash ESOP cost increased to INR 482 crores.

Our net debt-to-EBITDA remains stable at 3x. Importantly, we continue to fund our growth capex through internal accruals with no mater

ial increase in the net leverage expected.

With that, T hand ov to Ashish.

Thanks, Rajat. So in conclusion, quarter 3 FY '26 reinforces 3 key messages for SAMHL The first is that while global headlines remain volatile, on-ground indicators in our core markets show a strong trend line driven by India's economic engine.

Our portfolio continues to deliver strong, consistent operating performance and growth and can 'manage repeated event risk as we have seen in the last 9 months. And the last bit is that we have a strong growth pipeline and all the resources to deliver to achieve our targeted revenue of circa INR 3,000 crores by 2030.

We will now open the floor for questions.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vikas Aluja from Antique Stock Broking Limited.

My first question is, as we are already at the end of January, how is the current quarter shaping up? Does the momentum seen so far will continue? With the World Cup coming next month, do we anticipate any uptick from this event? Overall, just trying to understand, does momentum improve from here on? That's my first question.

Thank you, Vikas. So, yes, the business on books for February looks pretty strong. January is always slightly slow because of the year-end break. And this year, the 10th January extended to pretty much 15th January because of the pattern of school holidays in North, especially Delhi and all. But February looks extremely strong and not just because of the World Cup actually, Vikas.

Generally, a lot of demand is getting compressed between now and end of February and early March, so we do think that the momentum that we've seen in quarter 3 will actually continue in quarter 4.

Okay. And in terms of the net debt, I think it increased by INR 80 crores this quarter to INR 1,450 crores. Could you help us maybe break down how much of that increase was driven by capex and how much of that capex was offset by operating cash flow? Additionally, you had earlier guided for INR 300 crores of debt reduction from internal cash flows by 2030. Does this still hold on considering that we have announced incremental expansion during the last quarter?

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So Vikas, largely, the minor change in the net debt was on account of Navi Mumbai, where we had to make certain extension payments to the authorities. Two, we are anticipating some inward investment from GIC in the Bangalore project. So, there's always a bit of a mismatch in those 2 things.

So, that INR 70 crores, INR 80 crores was largely on account of the Navi Mumbai payment. In terms of our long-term guidance, both on net debt and also on gross debt reduction continues to remain as is.

I know there is incremental investment that we have committed to Navi Mumbai. But if you look at our investor presentations, which we've uploaded earlier, the cushion between our total cash accumulation and capex continues to be very comfortable.

In addition to that, as we have demonstrated in the past, Vikas, we continue to seek opportunities for very, very limited asset recycling. So, I think we remain fairly comfortable and confident about continuing to achieve that number of debt reduction alongside maintaining the capex plan that we have put together.

And the removal of this input tax credit led to moderation in EBITDA, which we highlighted in the presentation by 200 basis points. Does this imply that over the next few quarters, EBITDA will grow at a slower pace than revenues or do we have levers to offset that in the near term? And also for FY 127, should the revenue growth largely mirror the RevPAR growth with only incremental additions given that most of our capacity expansion is expected to start from FY 28 as the HITEC City properties also expect likely to complete end of FY 272 And also, one lastly, one ho

uskeeping question. Can we also possible to get our ADR growth number for this quarter?

So, a couple of them. One is on GST. So, see the GST impact will be visible for the short term. We do expect that overall reported numbers will kind of not show that from quarter 1, and that's just the adjustment to the base effect, Vikas. Don't forget last year first quarter was pretty terrible because of India Pakistan, the Ahmedabad Air India crash and all of that.

So we think that there will be a 150 basis point, 200 basis point impact on margins because of GST in the short term. But yes, I think there are more than enough levers to start offsetting that, but it will take a quarter or 2 really. So that's on one.

Two, second question was really around the next year FY '27. So, I think in FY 27 while there is a large opening, Vikas, but there's a lot of other levers that will come into play. The first

really is that if you see, we were adding very small bunches of inventory this year. But having said that, all of that is now fully operational and will get full year benefit in next year. And some of the hotels like Sheraton, Hyderabad, which are clearly outperforming the averages are the hotels which are benefiting from almost a 20% inventory growth because of the new additions.

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Vikas Almja:

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Jinesh Joshi:

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So that the Trinity Hotel in Bangalore, which we had acquired last year, has really ramped up well. We expect that to start kind of outperforming through FY '27, the new rooms in Holiday Inn Express. So FY '27, we have reasonable levers to kind of add on top of same-store RevPAR revenue growth, That was your second question.

Third question was in terms of your ADR occupancy. So, if you see same-store, the ADR growth was 15.9% Y-o-Y. The occupancy was stable. It was 73% had dropped about 1.6 percentage point. The total RevPAR growth, therefore, was ending up being about 13.3%. This is all same store. And we continue to believe that all operating parameters should only be reported on same store.

Suwre. I get it. Many thanks and wish you luck for the next quarter too.

The next question is From the line of Jinesh Joshi from PL Capital

Sir, my question again pertains to the GST impact I mean, in response to the previous participant's question, you mentioned that there can be an impact of about 150 to 200 basis points in the next couple of quarters. I was just wondering whether a pass-through of this cost increase is possible or not, especially on the corporate side?

Understand that typically, the negotiations happen on an annual basis. But given the loss of ITC credit, can we not renegotiate for a slightly better rate, at least on the corporate side? So your thoughts on that? And also on the retail side, I was just wondering whether a pass-through is possible or not? And if not, I mean, what are the challenges on that side?

Jinesh, very important question, actually. So, let's tell you the what's happened in the quarter.

So, first of all, the pass-through is already happening. And if you see for the quarter when same-store grew at about 14%, and let me tell you, if we were to do an impact of the airline crisis in December, it was pretty, pretty substantial.

Now if you look at the revenue growth in the mid-scale segment that we have shown on Page number 15 of our presentation, actually, the mid-scale segment, which has the highest impact of GST also showed a revenue growth of 16% and 14%, respectively, right?

Now, what will happen is, of course, the input tax credit loss will show in higher costs. But if you look at the total growth, is still pretty substantial in those 2 segments. So the alignment needs to happen in the reporting. The actual number continues to be, in our opinion, reasonably strong, especially given December was almost a 3-week wipe out.

We are typically prepared for December to be a 10-day wi

pe out, but December almost became

a 3-week wipe out because of the airline crisis, which started in the beginning and then continued because of the year-end/new year vacation and all of that, right?

So, Jinesh, I think in quarter 4, February onwards, you'll start seeing a pretty back strong recovery for margins, but that's largely driven by revenue growth. So, yes, you're right, pass-through has already started happening because the revenues have started going up. But I cannot change the way the numbers are reported, which is even reflected in the cost line items.

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Jinesh Joshi:

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Got that And sir, on the corporate side, when do annual renegotiations typically happen? And if it is nearby, are we going to take into account this ITC loss, which will be there with us and then renegotiate for rates accordingly?

Answer is yes because the customer clearly understands that if he was paying INR 100 of room rate and INR 12 of tax earlier, there was INR 112 being paid by the customer. Today, it's INR 105. So, if we account for a slight increase, he'll still be paying INR 112 or less than that.

So as any contract is renegotiated, you will start seeing -- and Jinesh coming back, that actually helps increase demand because while we can increase the room rate, offset the cost impact, there is not really the real growth for customer will still be 7%, 8%, 9%, right?

But more important, Jinesh, the nature of business is changing now, right? We all who underwrite hotel sector needs to prepare ourselves underwriting the sold-out dates versus rest of the year. And we are seeing the demand compressed between a few days every quarter. So let's say, last quarter, it was November and November would have contributed majority to the quarterly profits and growth.

This quarter, it's going to be period starting from 20th January or 25th January till pretty much middle of March, right? And therefore, in those days, contracted rates play very little role because our ability to price hotels on a daily basis 3 times a day is very, very strong. So, hotels, which have an average rate of INR 13,000 are already priced for INR 20,000 in the month of February, Jinesh.

So, I think the industry has changed the dependence on the locked-in RFP prices for the year and its impact on the average reported room rate is kind of diminishing every year. So, we are not worried. I think the demand is very strong.

You will start seeing fairly quickly this whole cost being absorbed because we do feel that GST reduction is across the sectors and industries, which should help boost overall economic activity and give us the paybacks.

Got that. Sir, one last question from my side. Our F&B revenue was up by about 9% in this quarter. And I guess in the previous quarters, we had mentioned that ballrooms are under renovation, especially at Hyderabad and Pune. And accordingly, we should expect some kind of a pickup happening on the F&B revenue side in second half of the year.

But this 9% growth, when I compare it with our same-store RevPAR growth of about 13%, it is still lower. So just wanted to check on this part, whether those ballrooms are operational or not? And if yes, then why the F&B income still lagging?

So, a couple of clarifications. First of all, the ballrooms are operational in both the hotels; Hyatt Regency, Pune and Sheraton, Hyderabad. The same-store F&B growth was actually 10%, not 9%. The 9% is overall. And there is obviously incremental rooms that we've added in Holiday Inn Express and other portfolios.

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Moderator:

Vaibhav Muley:

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And 10% F&B growth is actually pretty decent. While rooms have really outperformed at 13.5%, 14% RevPAR, but 10% F&B growth Y-o-

Y -- this used to be 6%, 7%, Jinesh, till last year. Now

we have gotten to about 10% F&B growth Y-o-Y. So I think ballrooms are starting to show impact. And as they stabilize, I think you will continue to see that mirror close to double-digit Y-o-Y growth.

The next question is from the line of Vaibhav Muley from Haitong Securities.

So, first of all, congratulations for a good set of numbers, sir. My first question was regarding our upper upscale and upscale segment. So, we have seen a bit of an occupancy decline for this segment, particularly in this quarter. Any particular reason for that?

Generally, what happened in December, Vaibhav, the airline issues that we saw in December.

Okay. Only pertaining to that, there was a bit of ..

Yes, because upscale tends to have group movements and conferences and MICE. And obviously, such a significant airline disruption led to massive cancellations. So that's why the slight occupancy dip you saw was in the upscale, upper upscale segment.

Understood. And next on Trinity Bangalore, I understand Marriott had taken over operations for Trinity in August. And just wanted to understand how has been the performance post Marriott taking over? And since now Marriott is operating the property, do we plan to delay the overall renovations plan for Trinity?

So, Vaibhav, while the team pulls out the exact number changes, I'll answer the second part first.

So, what we are doing in Trinity is the plan was to invest about INR 70 crores, INR 80 crores in full renovation for it to be converted to part of the Tribute collection and managed by Marriott.

What we're actually doing is, we've done an interim renovation. So we've already spent about INR 7 crores in this hotel, largely towards Fire Life Safety and in technology. We are going to complete a very small refurb program between now and March end, which is about INR 23 crores, INR 24 crores.

And with that, we think the hotel is extremely well positioned to kind of move up on its rate chart. In terms of its performance, if you see, in July 125, this hotel was doing a total revenue of about INR 1.8 crores a month with a rate of INR 5,900, occupancy of, let's say, 55%, 60%.

We have moved that revenue in November, December to about almost circa INR3 crores average per month. So we've done that 50% growth in revenue, a little bit more than 50% growth in revenue. And the rate is now sitting between INR 8,000 and INR 10,000 on a monthly basis in October, November, December and occupancy being around 50%.

So while the occupancies has remained the same because of renovation, we have pushed the rate almost 2x of what it used to be prior to the Marriott management. And therefore, the resultant asset income has gone from INR 1.8 crores a month to almost, I would say, INR 2.5 crores to INR 3.5 crores a month.

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So, yes, there is a sizable impact. And as we complete the current ongoing refurbishment, which gets completed by end of March, the next fiscal year, this hotel should start seeing very strong consistent performance with no interruption for renovations for full FY '27.

Understood, sir. Just lastly, on our recently added inventory, including Kolkata, Whitefield Bangalore and now the Sheraton Hyderabad and Pune as well. So, how has been early demand trends in the new inventory? Has the full absorption happened?

Yes. So, I'll give you -- I mean, the impact in FY 26 is going to be small, but FY '27 is when they'll start really impacting. So, I'll give you one example for Whitefield Hotel. We were just checking those numbers earlier. And sometimes you have reporting anomalies.

For instance, Whitefield is an existing operating hotel, so it classified as a same store. And we suddenly realized that the total revenue growth is 15% in rooms, but the RevPAR growth is 13.5% and mathematically, it's incorrect.

ct.

And when we dig deeper, we realized that Whitefield Hotel, because of those 56 rooms has seen a room revenue growth of almost 43%, right? So those 56 rooms being added to existing 160-room hotel, saw that hotel revenues jump by almost 45% because those rooms are slightly larger. Kolkata is stabilizing really well. It interestingly, even though people don't talk a lot about Kolkata, it is a silent performer. That hotel is stabilizing quite adequately. Well, if you see from July till December, the average occupancy is about 62.4%.

The rate is almost upward of INR 4,000. It's almost touching INR 4,500. It has contributed almost INR 6 crores since opening to our top line. So, all the hotels are stabilizing really well. Sheraton Hyderabad has just gotten added, so you'll see the impact of that coming in February and March. And same for Hyatt Regency, Pune.

Understood. And sir, our expansion pipeline shows status of developments still into design stage for all of our planned greenfield projects. So, are you confident that you will be able to execute projects within 2 to 2.5 years to stick to the mentioned time line?

So if you see Slide number 18, we'll take you through project by project. For instance, in W Hyderabad, the work is going on on-site. Actually, the mock-up should be ready in the next few months. So, it's an existing building and which is being retrofitted to being converted to a W. In Courtyard, Pune, Tribute Bangalore Whitefield, Tribute Jaipur, which is where you're seeing a lot of design, design, design.

These are existing hotels, right? So these existing hotels have to be taken through a renovation, which will start, let's say, in April or so. So the timeline between design and start of renovation and complete is not like a greenfield project, which is 12, 18 months. First of all if they start going into renovation in phases, they come back also in phases. So that's why you're seeing a lot of status being designed.

Coming to Westin Bangalore, we will put it as construction when the - effectively, the RCC starts getting casted, but the demolition of the existing building has been completed, site leveling

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Moderator:

Rajiv:

Moderator:

Ashish Jakhanwala:

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Ashish Jakhanwala:

Rajat Mehra:

Ashish Jakhanwala:

Rajiv: SAMHI Hotels Limited

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has been done. We should start the pile shoring in the next month or so. So, there's active work

in all of those sites. The only way where it is true design is actually One Financial District, Hyderabad and the Navi Mumbai project.

The next question is from the line of Rajiv Bharti from Nuvama.

This is Rajiv here. Sir, [ am on Slide 13 and 14. This is the same-store revenue. If I just take that and for this quarter, it is looking like the incremental margin on this revenue is close to 4%, But considering that we have grown RevPAR at 13%-odd.

And in the previous few quarters, we have seen this number shooting up to close to 60%. So, while the revenue is driven more by room revenue, I believe the flow-through should have been higher, right? Any thoughts on this?

Ladies and gentlemen, the management line has been disconnected. Please hold while we get them reconnected. Ladies and gentlemen, thank you for being on hold. The management has been reconnected. Thank you and over to the management.

Sorry. Rajiv, you are on the call. Can you start your question again?

Yes. So, I was talking about Slide 13 and 14, which is on the incremental revenue and incremental EBITDA. So, if [ were to calculate incremental margin for this quarter, it is close to 44%. And considering that it is largely driven by room revenue, which has grown at a faster pace, the flow-through should have been higher, right? Because in the previous quarters, we have seen this number hovering close to 60% as well. So, your thoughts on why the flow-through is lower?

So, I think, Rajiv, a large part of that was the expected drop in revenues in

December, and that's

why the flow-through is only about 45%. You're right, there should be ideally about 55% to 60%...

And the GST is actually our growth would have been 19%. Yes.

So, I think it's largely because of the December impact because December is a kind of dropped. So what happens is that every hotel is prepped for a certain quarter in terms of the revenue buildup. And therefore, we saw a strong revenue buildup for the quarter. Accordingly, some of the adjustments to the operating structures, payroll and outsourced staff and all of that is done.

But a sudden drop in revenues in the 2 weeks in December kind of made a slip on that flow-through, which typically should be in 55%, 60% and this quarter was 45%. So, you're absolutely right. There was a 10% slip in the flow-throughs.

Secondly, about your comment on, let's say, demand getting compressed in some particular dates, so what is the metric we should follow to just get a sense on, let's say, for the upcoming fiscal or the next fiscal. How do we track this compression in the sense, dates? Any metric you track?

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Yes. So, Rajiv, we track metrics. For instance, we have this demand compression graph where we say how many days in a year, the occupancy was in which band okay? So, let's say, how many days the occupancy was between, thankfully, now there's no 0% to 30%. We had prepped it in the COVID time, so we had a graph of 0% to 30%, 30% to 50%, 50% to 70%, 70% to 90% and 90% plus, which is pretty much sold out, right?

So, we do track across the portfolio and by hotel, what is that sort of demand compression that we are seeing? And also, how is the rate responding to those buckets? So, therefore, what was the average rate in the 70% to 90% bucket. And when the number of days the occupancy was above 90%, how did that rate move up and did we really yield those days. So, we are tracking that.

What we'll do is, Rajiv, we used to put the SAMHI Intel page. We will include that back where we'll show you this demand compression chart. So you can see what's happening this entire year.

So, I give you an example. What's happening is for the last 3 quarters, if you see, the days the occupancy was upward of 90% is almost 30%. So, 30% of all days in the last 9 months across our entire portfolio, the occupancy was upwards of 90%.

Incremental, 28% of the days, the occupancy was between 70% and 90%. So, if you add those together, you're almost at 50% ~ 60%-odd, 57% when the occupancy is upwards of 70%. And the other data that we need to see is how does the rate move.

So, for instance, if the average rate between INR 70 to INR 90 bucket was INR 6,826, the same rate became INR 7,500 in the days the occupancy was above 90%. So, you can see how much you yield between 70%, 90% and 90%-plus, right?

And if you talk about days when you're 50% to 70%, actually, the rate was only INR 6,000, right? So, you're moving from INR 6,000 to INR 7,500. So, we do track this demand compression trends across hotels and for the portfolio, which is what is showing us the fact that

increasingly, it's about yielding that one-third of the year really well. And that creates the whole Y-o-Y growth, that creates the whole flow-throughs. All of that is a gift of that demand compression.

Yes. Just a follow-up on that. So, this shifting of bucket towards, let's say, higher yielding or where the demand is stronger, how far forward, let's say, the visibility we have in terms of giving confidence that FY 127 is looking stronger than FY 126 or I say, before that?

So, well T can give you the secret sauce, but as they say I can give you the recipe, but you can't get the sauce yourself right? I think the answer lies in mapping Holidays because they're very predictable, Rajiv. And you know today, you can map all the holidays on the graph. Increasingly, you have

to account for certain event risk. Now the event could be different.

Event could be India Pakistan or Ahmedabad or monsoons or an airline crisis or something, right? And what we are learning is, besides that mapping those holidays, you have to also map

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Rajiv:

Moderator:

Achal Kumay

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unknown events in different parts of the year and then layer up the positive events, the large group movements, the conferences, so on and so forth.

TI give you an example, Goa is going through a conference for oil and gas. I don't think you can find a room in Goa in the next 2 weeks or so. Similarly, when conferences happen in Bangalore, you can sell a room for INR 30,000, INR 35,000.

So events are booked much in advance actually. So you have the ability to kind of map, I would think, 65% to 70% of how the demand compression will work. And the balance 30%, I hate to say this, is short lead where your revenue management team and your ops team needs to be really up on their feet to respond fairly quickly.

Sure. TI reconnect on this SAMEHI Intel bit, maybe offline.

The next question is from the line of Achal Kumar from HSBC.

I had only 2 questions. I'm sorry if, kindly excuse me if you're already answered because my line was bad. So, I just want to understand your quarterly performance. And if I look through the cost line items, T can see a huge jump in something called fixed cost and the variable cost. What is going on there?

And on the employee side, because of the New Labour Codes, you have booked a one-off INR 11 million. But then going ahead, how would this become normalized next year, right? So how would this impact your employee costs?

So Achal, first thing first, when you look at the operational efficiency chart, which shows individual cost heads, the growth that you see there is largely an impact of the input tax credit that we would get. You would get input tax credit across each line item. How would you adjust for that?

So it goes as a cost in each line item.

In each line item. So, Achal, you will see the GST input tax credit getting kind of spread across all the key cost items. So that's one reason why you'd see slightly elevated cost across, let's say, fixed or variable or I others. Actually, variable typically remains between 19% and 21%. Its 20%-odd. So it's pretty stable. Its largely going into your fixed cost.

So that's largely a GST impact, which the input tax credit is getting added to the expenses. Number two, you're asking us about the Labour Code. So, on time has been taken. In any case, for the next 12 months, it's an implementation.

Yes. So we'll actually reset the overall salary structure. Good for us that we were actually calculating the entire cost at 40% of base or the way it is defined. So we'll only have to move from 40% to 50% and a small percentage impact on that of gratuity and leave catchment, which also depends as to how many people actually stay with us for those many years. So, it would not be a major increase in the overall cost as we move forward. One time impact has been taken off completely.

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Ashish Jakhanwala:

Moderator:

Smith Gala:

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Rajat Mehra:

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Yes. Rajat, thankfully, because of being a young company and high attrition, our impact was only INR 1.1 crores against some of the peers, which have, for instance, shown very high number. And two, like Rajat clarified that we were already at a pretty progressive 40% basic to total CTC and the regulation is only recommending it to be 50%. So we really don't see any sizable noteworthy change to the payroll structure.

The next question is from the line of Smith Gala from RSPN Ventures.

My first question

was regarding the RevPAR. We have consistently seen double-digit growth in the RevPAR for at least the 3 quarters this year. So, in the shorter term, with a higher base of Q4 last year and if you really want to look at a longer ten of 2, 3 years, do we see a sustained double-digit or a low teens growth in the RevPAR and what will drive the same?

So, I think not just for the current quarter, but we've always mentioned that our demand/supply 'modeling tells us that the total revenue growth, which is largely being attributable to RevPARs actually will remain in high single-digits to early double-digits. So, a double-digit RevPAR growth is clearly something that we are fairly confident will be maintained in quarter 4 in spite of there being a very high base last year. So we don't see any risk to that.

And about the longer term, sir?

So, while we've mentioned that in the long term, we expect RevPARs to remain between 7% to 11%, same store - sorry, 9% to 11% CAGR for the next 3 to 5 years on same-store hotels. And I think that same-store is something -- apologize that we keep repeating, but for us, it's really important that all these KPIs are being discussed on same sets of hotels that have not gone through significant change. So yes.

Okay. And next a bookkeeping question. How do you see the tax rate for the full year FY 26 and years coming forward?

Can you repeat the question, please?

A bookkeeping question. Tax rate for the full year FY 26 and FY 27 and beyond?

So, see, we are actually sitting on huge losses. So at least over the next 3 to 5 years, we don't actually see any significant tax outflows. What you would actually see is some bit of a reversal or deferred tax asset being created on our books. So, after that, it would actually be a non-cash tax line item that you will see in the P&L, but there will not be any consequent cash outflow that we see at least for the next 2 to 3 years.

Okay. So what will be the percentage-wise quantum of just the book entry?

Okay. He's talking about about INR 7 crores you have.

Yes, that's the deferred tax expense, which is there because in certain assets, which actually have turned profitable, that's about 25% of the profits of that particular hotel, which is there. But on a consolidated basis, it reduces because we will have to look at the tax expense only for those entities where deferred tax has been created.

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Moderator:

Samarth Agrawal:

Ashish Jakhanwala:

Moderator:

Gazal Gupta:

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The next question is from the line of Samarth Agrawal from Ambit Capital

Just a couple of questions from my side. Firstly, how are the corporate negotiations for CY 26 faring till now in terms of just the number of rooms and the ARR increase that is being agreed on? And secondly, what would be the breakup between the EBITDA margins between the ACIC portfolio and the rest of the portfolio? And how much of more integration in margins can be still expected?

So the first question is and I think we tried addressing it earlier. The whole concept of RFPs driving the average rate is sort of becoming a little not that relevant because, as I said, there's very few contracts with last room available provisions, dynamic pricing is becoming more and more real, and that's why you're seeing the ability for a hotel to price when it's above 90% at almost 25% premium to, let's say, a day when its occupancy is 50%.

So that shows you that that pricing power sits squarely with the hotel today. In terms of the REPs, we are seeing a really healthy acceptance of RFP growth. And I tell you why, Samarth, because last year, what has happened is companies realized that on sold-out dates, they had to really book through, let's say, an online discount to par, which was really, really high. So, they are also realizing that the net rate they pay through the year was really high compared to the RFP rates, and therefore, the res

istance on RFP rate increases. Kind of becoming a bit of an old-fashioned conversation, to be honest with you.

The second question was on EBITDA margin. So, if you see the asset level EBITDA for same-store, including ACIC is 40.1% and for ACIC is 40.3%. So, now ACIC is fully integrated in terms of its EBITDA margins. It's reporting the same 40% EBITDA for both same-store non-ACIC and same-store ACIC.

The next question is from the line of Gazal Gupta from ASK Wealth Advisors.

Congratulations on the results. I just have one basic question. So, our hotels are divided into 3 categories, where in the upper mid-scale segment, the ARR's are in the range of INR 7,000 or so. Now there would be hotels which would have ARR below INR 7,500 and above that as well. So just wanted to understand that would we face any issues in terms of raising prices in this particular category because the customer would end up paying a lot more. I mean, 18% versus 5%, which they will be paying earlier. So just wanted to understand your thoughts on this part? So Gazal, the GST is a beautiful puzzle because it doesn't happen by hotel. It happens by every room that is sold. And I can tell you, even in upscale, there are hotels which have had 20% of its room revenues coming from rooms sold below INR 7,500. And to that extent, a pro rata input tax credit is lost in that hotel. So, pricing is a daily job for each room, and there will be acceptance and resistance on depending on how busy the city and the hotel is.

I really don't think that increasing the price is relating to GST. It's about demand and supply. We have seen rate growth being extremely strong for the last several quarters. GST, no GST,

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Gazal Gupta:

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incident, no incident. So it's a factor of only demand and supply determines the pricing and nothing else.

Demand remains really strong. Supply is non-existent or near non-existent in core markets. And therefore, the confidence level that RevPAR should continue to grow in early double digits. So, it's all going to be decided by demand and supply. And again, I repeat at the cost of repeating, it all depends on those days when the demand is so compressed that effectively you can reprice your hotels with high efficiency.

So, it's demand and supply. It has nothing to do with GST, non-GST. I mean the day after GST was implemented at the hotel, rate went up by 15%, let's say, one could argue that 12% is -- 7% is just the GST impact because the customer is saving 7% GST. But it's just hypothetical. The real thing is, what is the real rate growth and it's demand and supply.

Okay. That's helpful, sir. And secondly, on the asset recycling part, is there any update on that segment? Because last quarter, you had mentioned that there is INR 135 crores of asset recycling, which is still pending. So any update on that front?

No. So, the only thing is that asset recycling, we have completed huge part in the last, let's say, 3 years or so. At this point, we still feel there are 1 or 2 hotels where there is a recycling opportunity, but we don't have any definitive agreements or decision on that as yet. It's a part of our plan, and I think we'll give ourselves another 12 to 18 months to execute that.

The next question is from the line of Hitendra Pradhan from Maximal Capital.

So sir, just 2 questions. Sorry for probing further on the GST point. So, for the customer who was paying, you gave an example, INR 112, but that INR 12 was available as input tax credit, but now it is not available. So, for your customer, the price has gone from INR 100 to INR 105 effectively because he doesn't have the ITC.

So this 5% impact when you have gone back to, let's say, your corporate customers, what's been the outcome of this [inaudible 0:47:09] let's say, less than INR 7,500. So what has been the mix of the outcome? So what is it

the weighted average impact on this after all your negotiations?

No, there is no negotiation, Hitendra on GST with the customer on a real-time basis, right? I will again repeat, hotel prices are decided every single day. I do a revenue of INR 2.5 crores a day on a weekend, I do with the same hotels INR 5.5 crores on a weekday. It's not that you're negotiating with a large company or Microsoft on a daily basis or a monthly basis or a quarterly

basis, right? The hotels have been priced, and I'll repeat on a demand and supply, right? Now GST you're right for in the mid-scale segment, on that given day, if you were to assume the rates were INR 100, the customer is paying INR 7 less GST. The input tax credit is being lost by us, not by the customer, right? But again, the hotels are being repriced on a daily basis. So, the same segment has reported a 14% to 16% revenue growth. I'd like to believe some part of that was because for the customer, the real rate growth may not have been 16%.

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But again, not easy to say that because the rate growth is being reported on a weighted average basis, whereas the GST, INR 5 to INR 7 depends on -- so let's say, if Rajat buys a room for INR 7,000, the same day I'm being sold the room for INR 8,000 in the same hotel, right? On that pro rata income that Rajat has given me, I lose input tax credit on my, I don't.

And it's just not possible to determine for those rooms which were sold for less than INR 7,500 was there a price increase? So, I know we would like to calculate it to the last level, but it's just not possible mathematically. We'll have to agree to the fact that the total revenue growth in the same segment where GST is most applicable has been 14% and 16% Y-o-Y in spite of 3 weeks in December being wiped out, right?

So let's feel good about the fact that the demand remains very strong. The pricing power remains with the hotel. And yes, in the short term, there is a Y-o-Y margin impact, but that will really disappear as we kind of start absorbing this revenue growth.

Also, not all the customers actually can take the benefit of the GST credit, whether in this case or earlier, the way credit can be taken by a corporate customer, if they have clear office which also has a GST number in the same state where the hotel is. So if somebody is traveling from Delhi to Bangalore and he is actually being charged GST in Bangalore and doesn't have an office in Bangalore, he can't take the GST credit for the stay he's doing.

So it's not that all the corporate customers are actually losing or gaining because of the GST.

Some of them are. The only thing is, for them, the price has reduced on an overall basis. Instead of say, INR 118, they are paying INR 105 now, just for as an example. Yes.

So, Hitendra, sorry, but there is no, unfortunately, a very easy answer to this. It's extremely complicated. And therefore, we should remain focused on what's been the real revenue growth in that same segment. And I think we are very confident that the revenue growth is so strong that even this margin compression will disappear in the next quarter or two.

Yes, sir. So this is well understood. In fact, you're right. So, I think the corporate customers who don't have the office will not be able to avail and also the individual customers anyways were not availing. So, for both these categories, it is cheaper.

This is well understood, sir. And on the pipeline of expansion, so I'm referring to Slide number 18. So, you have around 1,900-odd rooms that you have laid out that are going to come up till FY '30. What about the other inorganic opportunities or the pipeline, if you can throw some color on that? And is it even possible, given the balance sheet constraints that [inaudible 0:51:26]?

So, Hitendra, I think I did mention in my opening remarks that we continue to

have a pretty

interesting actionable pipeline of available leases. And that kind of also addresses your second question about financial capability. And I wouldn't even go to balance sheet as it exists today because we are at 3x net debt-to-EBITDA.

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A significant amount of our capital is invested in assets which are not producing EBITDA today. So if you were to only put debt on assets which are currently operating, our net debt-to-EBITDA will be 2.5% or so, right?

So the balance sheet is pretty in a solid state. We are generating about -- so if TTM free cash was INR 300 crores, but if I take the current interest rate levels because GIC investment happened in May, and therefore, the reduction in interest rates happened subsequent to that. But if I take current interest rate, but historical EBITDA, our free cash will move from INR 300 crores to INR 330 crores, should be circa INR 400 crores plus in the next 12 months because of the growth in carings. And trust me, INR 400 crores of free cash for a company like ours is more than adequate. Variable leases on the first day require, INR 5 crores, INR 7 crores, INR 8 crores, INR 10 crores, INR 15 crores investment.

Then your partner has to invest majority of the capital before you move in into the fit-outs, right? So I think the variable leases is our answer to continue to grow without mally putting any pressure on our balance sheet because that only barely uses the frec cash that the business produces.

Alarge part of our committed capex is in large projects like Westin Bangalore and Navi Mumbai, which in all faimess, the capex cycle will only kind of bulk up starting FY 28, '29, at which point of time, the EBITDA from W Hyderabad, the renovations, the Trinity Bangalore, all of that will also start kind of getting an impact on cash flow.

1 think we have adequate buffer plus there's incremental INR 150 crores of investment pending from GIC over the next, let's say, 2, 2.5 years. So that also gets added to our frce cash flow. Hitaindra, we are sitting in a very comfortable situation. And I have confirmed carlier and II reaffirm that most of our cumrent discussions on pipeline are all variable leases, which do not require usto put cash up for acquiring an asset. It only requires usto do investment on fit-outs. Okay. Okay. And you also alluded to this the INR 3,000-Odd crore revenue abition in the next 4-Odd years. So that s around almost 2. 5x more than the current run rate. So, this INR 300 crores fice cash flow that you have produced in the TTM basis, so this is after including everything other than growth capex, I'm assuming this INR 300 crores.

So that you also expect to go up in the similar fashion, like 2.5 in the next 5 years? And I'm assuming that this is without any ineremental acquisitions that you may do. So is that the right understanding, sir?

If you lock at our Investor Day presentation, we have clearly articulated in that, that the total EBITDA accumulation in the next 4 o 5 years is expected to be in the zip code of about INR 3,000 crores, INR 3,500 crores. And we've given the whole list of capex that we have with investable surplus on top of that. So you're absolutely right, the sumber s clearly 2.4x our current revenue run rate.

But that's not a difficult thing because a majority of our new inventory that s getting added is all in the upscale, upper upscale space. So today, if your revenue per key is, let's say, INR 25  
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lakhs per key, in the same period, the revenue per key for an upscale asset will be INR 50 lakhs, INR 55 lakhs in those cities where we've invested our capital.

So, this addition of W Hyderabad and the Westin Bangalore, some of the other asscts i

s also

helping us maintain that growth rate. So yes, the INR 3,000 crores target that we have is based on 2 or 3 assumptions. The same-store will grow between 9% and 11% CAGR in terms of revenue.

Two, you will have incremental revenues coming fromthe growth initiatives that we've already invested in, by the way, and we are fully finded in terms of currert cash and future cash flows. That takes us to the INR 3,000 crores.

Tt does not envisage any new acquisition. Sothat's how we add up that INR 3,000 crores, largely. Only variable in that is that assumption of 9% to 11% CAGR on same-store revenue. And since we made that presentation last year, at least for 3 quarters subsequent to that, we maintained our revenue growth which is ahead of that.

And that includes the impact of these 473 rooms which are rebranded and 1,450 new additions?

Yes, yes. Everything. Everything, everything.

And this INR 300 crores frce cash flow that you have produced on a TTM basis before growth capex, so that you assume should also grow in line with revenue?

More than revenue because there's always operating leverage. So, typically, if you see our revenue growth was 16%. Our EBITDA growth before GST impact was 19%. Eventually, you will go back to that mathematics as you kind of adjust your bascline. So you have scen the EBITDA growth remain in excess of the revenue growih.

Then beyond that, our interest cost remains flat. And therfore, the cash growth continues to be even higher than that, So if your revenueie growth is, lets say, 14%, 15%, your cash growth will be substantially higher than that because of: A, operating leverage; and B, interest cost renmining stable.

Ladies and gentlemen, due to time constraiats, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to the 'management.

Thank you, everybody, for a very engaging call. I would reiterate the fact that T know sometimes

these small changes to the regulation distract s, but that had a 2% impact on revenue, and that revenue grew at 16% Y-o-Y.

So, we should remain steadfast focused on the fact that demand and supply continues to remain extremely favorable to the incumbent owners, operators in the sector in India. We are actually quite excited about the broader changes in the economy. including mtionalization of GST, which is boosting local demand, local consumption. Thats the only reason we are surviving through several event risks, still coming out strong.

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Our core market - what's been the most humbling data to see is that in our core markets for the last 9 months, the net office absorption remains to be extremely strong. Bangalore is touching 12 million square feet for a 9-month period. Al other cities, Bombay, Hyderabad, Pune, NCR, cven Chemai now is touching 6 million to 7 million square feet.

I think with that backdrop, we remain fairly confident that our curve will remain at or ahead of our long-term target, and that helps us get to at least a targeted number of INR 3,000 crores revenue by FY '30. So, look forward to speaking to you again next quarter, and thank you so much for your time.

Thank you very much. On behalf of SAMHI Hotels Limited, that concludes this conference.

Thank you all for joining us today, and you may now disconnect your lines.

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## Call: May 2026

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SAMHI Hotels Ltd.

Correspondence:

www.samhi coin 27% May 2026

BSE Limited National Stock Exchange of India

Corporate Relationship Department Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,

Dalal Street, Mumbai - 400 001, Bandra Kurla Complex, Bandra (East),

Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 543984 Scrip Code: SAMHI

Sub: Transcripts of Q4 FY26 Earnings Conference Call

Dear Sir/ Madam,

Please find enclosed the transcripts of the Q4 FY26 Earnings Conference Call with the

Investors or Analysts held on Friday, 22<sup>nd</sup> May 2026 at 09:00 a.m. (IST).

You are requested to kindly take the same on your records.

Thanking You.

Yours faithfully,

For SAMHI Hotels Limited

Sanjay Jain

Senior Director - Corporate Affairs,

Company Secretary and Compliance Officer

Encl.: As above

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SAMHI Hotels Limited

Q4 & FY26 Earnings Conference Call

May 22, 2026

"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 22<sup>nd</sup> May 2026 will prevail."

ST HOTEL INVESTMENTS—

MANAGEMENT: MR. ASHISH JAKHANWALA — MANAGING DIRECTOR &

CHIEF EXECUTIVE OFFICER

MR. RAJAT MEHRA — CHIEF FINANCIAL OFFICER

MR. GYANA DAS — EVP AND HEAD OF INVESTMENTS

MR. NAKUL MANAKTALA — SVP, INVESTMENTS

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Ladies and gentlemen, good day, and welcome to the Q4 and FY26 Earnings Conference Call of SAMHI Hotels Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jakhanwala, MD and CEO of SAMHI Hotels Limited. Thank you, and over to you, sir.

Thank you. Good morning, everyone, and welcome to SAMHI Hotels' Q4 and Full Year Financial Year 2026 Earnings Call. Thank you for taking out the time to join us today. I am joined by our CFO, Rajat Mehra; EVP and Head of Investments, Gyana Das; and Nakul, our SVP of Investments. Our Investor Relations partner, Strategic Growth Advisors are also on the call.

We have uploaded our Q4 FY26 financial results and investor presentations on the exchanges and on our website, and I hope everyone has had a chance to go through them. FY2026 was a year of tangible performance in the midst of real headwinds, and I'm pleased to share our progress with you.

I would like to start by informing you that the company delivered a profit before tax of circa INR 165 crores, which was 89% growth over last year. This was before any one-time or exceptional items and actually demonstrates how far we have come since we went public.

At the start of FY26, we set 2 specific commitments to our shareholders. A, delivered revenue growth in the range of 9% to 11% and two, bring the balance sheet to a net debt-to-EBITDA of approximately 3x.

Despite revenue disruptions and active future growth, we have delivered both as revenue growth

came in at 12.3% for the year, anchored to commercial demand in our core market, total income at INR 1,279 crores. And we ended the year with a net debt at INR 1,450 crores, translating to a net debt-to-EBITDA of about 3x.

What makes these outcomes meaningful is the operating environment they were delivered in FY26 absorbed the sequence of disruptions that bracketed almost every quarter. The In

dia-

Pakistan conflict in May and unusually severe monsoons and flooding in our core markets in August, the airline disruption in December and the Middle East conflict in March, which continues.

These ontime events compressed our full year revenue by approximately INR 45 crores to INR 52 crores, leading to revenue growth being diluted from a potential of 16% to 17% to an actual

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reported number of 12.3%. FY26 was also the year we set up the next decade of SAMHI's growth.

We formally launched our GIC platform for upscale hotels in India committing approximately INR 750 crores for a 35% minority stake in a 1,000-room platform. Of this INR 600 crores has already been received with the balance to come over the next 2-odd years to fund capex for the 'Westin - Tribute Bangalore development.

We signed a partnership with Ingka Centers, which is a part of the IKEA Group for a 162-room upscale hotel at Sector 51 Noida structured as a long-term variable lease. It's a landmark addition that strengthens our presence in Delhi NCR through a capital efficient model.

We also secured a lease in a marquee undeveloped project in Hyderabad, named One Financial District for a 260-room hotel, which will redefine the precinct through a combination of lifestyle retail, office and hotel.

We also resolved the Navi Mumbai litigation and announced the development of our largest hotel project to date, a 700-room combination of Westin and Fairfield by Marriott with a potential revenue of almost INR 325 crores on current market RevPAR.

We have yesterday sought approval from our Board to add a 135-room Marriott Hotel in Stiperumbudur, where we already have an operating Fairfield by Marriott and has achieved an asset level ROCE of more than 30%.

This year, we also entered the experiential leisure segment through an acquisition of a 70% stake in RARE India, which is a curated platform of 73 hotels and 1,000 rooms. This is under discussion for an affiliation with Outdoor Collection by Marriott Bonvoy.

I now pass over the mic to Rajat, who will take you through the detailed financial performance. Over to you, Rajat.

Thank you, Ashish. Good morning, everybody. Starting with our full year FY26 results. The total income stood at INR 1,279 crores, with a same-store RevPAR growth of 9.5%, in line with our long-term guidance of 9% to 11%. The 4 core markets, Bangalore, Hyderabad, Pune and Delhi NCR contributed approximately 76% of the asset income in line with our office absorption concentration.

Consolidated EBITDA for FY26 was INR 463 crores, up 8.8% on a year-on-year reported basis with an EBITDA margin at 36.2%. Adjusted for the impact on account of the GST changes, this would have been circa 13% year-on-year growth. For the fourth quarter, the total income was approximately INR 354 crores, a year-on-year growth of 9.3% with a same-store revenue growth of 6.4%.

The quarter held a revenue growth trajectory of approximately 12% through the end of February before the Middle East disturbance reduced the March revenue to sub-minus 1%, thus diluting the full quarter revenue growth.

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Consolidated EBITDA for Q4 was approximately INR 120 crores, while this was 6% below the same quarter last year. It was largely on account of expanded GST impact as more rooms were sold for less than INR 7,500, some FF&E expense through the P&L and the preopening expenses for the new inventory.

The impact of the Gulf crisis added to these factors. For the full year, the key developments, which impacted our performance includes: first, the GST regulatory change, moving the hotel slab from 12% with input credit to 5% without the input tax credit, which impacted the H2 FY26 consolidated EBITDA by approximately INR 14 crores.

Second, approximately INR 5 crores was

undrawn for the FF&E product upgrade. The year-end

reconciliation, some actuarial valuation, which is done at the end of the year, which are all routed

through the P&L.

Third, the four onetime disturbances that Ashish mentioned earlier, starting with the India-Pakistan conflict in May and ending with the Middle East conflict, which is still continue.

Adjusted for these items, FY26 EBITDA growth would have come in line of 19% to 20% with margins of 38% plus.

Q4 FY26 consolidated EBITDA would have been approximately INR 149 crores, representing a year-on-year growth of approximately 16.8% in line with the trajectory we have held before the disturbance. Moving below the EBITDA. Depreciation and amortization for FY26 was INR 127 crores versus INR 116 crores in FY25.

Finance costs for the year was INR 171 crores, sharply down from INR 225 crores in FY25, reflecting the impact of the GIC capital infusion starting in June 25, and consequent deleveraging and the reduction in the cost of borrowing. PBT before exceptional items almost doubled to INR 165 crores for the year, up from about INR 87 crores in FY25.

We also booked deferred tax income of approximately INR 330 crores recognized in the fourth quarter on account of formal recognition of brought forward losses and unabsorbed depreciation that will have recognized in our balance sheet as a deferred tax asset, reflecting management's increased confidence in the continuous utilization of this shield. This is a noncash accounting driven income line.

FY26 reported PAT, included the Q4 deferred tax recognition, the Navi Mumbai and other impairment reversal of close to about INR 83 crores and a gain on sale of discontinued operations in Caspia — Delhi, was approximately INR 567 crores.

On the balance sheet, the net debt as on 31st of March 2026 stood at INR 1,450 crores, a reduction of approximately INR 516 crores from INR 1967 crores as of March 31, 2025, translating the GIC infusion deployed for deleveraging. The Net Debt-to-EBITDA at the end of the year is approximately 3x. Total Equity stood at approximately INR 2,286 crores at the year-end versus INR 1,142 crores at the end of FY25.

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The effective interest rate for the group is now 7.9% as on May 21, 2026, and an annualized interest cost run rate has actually come down to about INR 130 crores to INR 135 crores. Our Credit rating has been upgraded to A+ Stable by both CARE and ICRA during the year.

The combination of consistent same-store revenue growth, further levers for improved margins, decline in finance costs and fully capitalized growth pipeline gave us a free cash flow generation of approximately INR 300 crores in FY26, after both interest and Lease Minimum Guarantee payments. This is the number that we underwrite for the next phase, and Ashish will speak on how this will compound.

With this, I now request Ashish to take you through the growth projects and concluding statements. Over to you, Ashish.

Thanks, Rajat. So FY26 was a year that SAMHI free cash flow generation became real and FY27 onwards is the year that free cash compounds. Let me lay this out to you. Our FY26 free cash flow of approximately INR 300 crores became approximately INR 315 crores on a run rate basis once the additional interest savings we have secured is factored in.

Over a 5-year horizon from FY27 to the current fiscal to FY31, that base alone held flat produces approximately INR 1,550 crores of free cash. Layering on the same-store revenue growth, even at the lower end of a 9% to 11% range, adds approximately additional INR 1,000 crores of incremental free cash over the 5-year period.

And on top of this, we have a fully committed pipeline of new openings, beginning in HITEC City Hyderabad at the end of FY27, the Tribute portfolio at Bangalore Whitefield at the end of FY28, Westin at Bangalore Whitefield, the upscale hotel

at Ingka Noida and the new Marriott

Stipermbudur Chennai in FY29, FY30 together, adding the increment that takes a cumulative free cash post interest over the FY27 to '31 window to more than INR 3,000 crores.

Our future free cash flow is further complemented by demonstrated capital recycling track record. Over the past 3 years, SAMHI has recycled approximately INR 960 crores of capital - INR 210 crores realized by monetizing 4 non-core hotels at an average 20x EV-to-EBITDA and approximately INR 750 crores for the GIC capital infusion into the subsidiary platform.

Of this, approximately INR 650 crores was deployed to reduce debt and the balance funding active new acquisitions. So therefore, capital recycling is an established part of our playbook. It's not an opportunistic tool. We have identified further candidates within the portfolio, and we will execute selectively to maximize return from capital employed, accelerate our deleveraging and find growth.

Going forward, the INR 3,000-plus crores of cumulative free cash over the FY27 to FY31, coupled with established capital recycling program is allocated against a structured framework. First, continue deleveraging towards a medium to long-term net debt-to-EBITDA target approximately 2.5x. Second, the commitment to fully fund the INR 2,200 crores of capex across

the existing pipeline, including Navi Mumbai.

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Karan Khanna:

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Third, refrain investable surplus for tactical mergers and acquisitions and adding long-term variable leases where returns are very accretive, And fourth, as free cash flow compounds beyond our committed growth requirements, the Board intends to evaluate disciplined mechanism to return capital directly to shareholders in a manner consistent with long-term value creation.

Looking ahead, FY27 builds from the FY26 base, we are confident of delivering 9 to 11% same-store revenue growth with healthy margin expansion on top of the ongoing contribution of the assets that opened during FY2026. The GST impact being normalized from quarterly 3 FY27 as a year ago basis results. We are also confident of contributions coming from W Hyderabad in the near-term.

With the GIC platform giving us institutional capital firepower, the Ingka partnership giving us a marquee and Delhi NCR addition on variable lease, the RARE India platform giving us capital efficient entry into a rapidly expanding experiential leisure segment, SAMHI is now positioned to compound free cash, expand the portfolio in core markets, transform the P&L through multiple big-box assets in our pipeline without taking incremental leverage and without diluting equity.

Thanks for your time today, and we'll now open the floor for questions.

Thank you very much. We will take the first question from the line of Karan Khanna from Ambit Capital. Please go ahead.

Firstly, Ashish, can you provide some color on how April and May have trended so far? And how is 1Q FY27 looking so in terms of booking and MICE activities? And as a follow-up, given you have had the benefit of a favorable base in FY26, how should we think about the like-for-like growth expectations for FY27?

So Karan, cumulative QTD quarter-to-date is tracking double-digit revenue growth. And bear in mind, April was flattish, May is strong. And that kind of answers your second part that we also inherited a very weak base in May of last year.

So I think given the fact that we almost lost a quarter last year, 1 month every quarter because of some issues, we think that even though the Gulf crisis will continue to impact absolute numbers through the first quarter, the year-on-year growth will easily be maintained in double digits, Karan.

Sure. And just on the GST impact, it seems like GST is more like a permanent reduction in 'margin since the rules are unlikely to change. So in light of this, what margins are you expecting

in FY27, 28 and how would those margins look like prior to the GST implication?

So Karan, the margins we expect to be around 38% or so. There is an impact of GST for sure, which is permanent in terms of absolute basis. But even then, we should maintain a 38% margin through the year. And don't forget, a lot of our pipeline is all upscale where we don't have many rooms selling for less than INR 7,500. So we should maintain a 38%-plus margin at a group level.

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Viraj Mahadevia:

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Sure. And then secondly, if I look at Slide 32, given the kind of pipeline that you have in FY27 and beyond, is there a spillover risk in terms of construction delay in any of these projects in pipeline? And given that you have had 4 major hotel development announcements during the year.

For FY27, should we continue to see more acquisition or capacity expansion announcement as well as the asset recycling continuing? Or will the focus now be towards stabilizing the existing pipeline first before pushing the ancillaries towards growth?

So Karan, I think you know SAMHI for a while, we are a very well set management team with specific responsibilities to each group. We have a very strong operating team, largely led by our operating partners. They will focus on ensuring that we deliver on the same-store or the operating

assets without being distracted by what's been happening on the M&A space. That's one that I think at all times, we have separated our operating teams from our growth team. The second question about acquisition versus capital recycling. Capital recycling, I just stated that is something that we'll continue to look at. We have identified a few more candidates within our portfolio which we think where we can extract our capital from. And as we extract capital from those assets, we constantly look to redeploying them so that the return ratios can be improved for the company and for our shareholders. Acquisitions are always opportunistic, Karan. We want to maintain discipline of discount-to-replacement cost. We want to maintain the discipline of underwriting mid-teens ROCE. We want to maintain the discipline of not investing in long-lead greenfield assets. And we have some because of adding inventory and so on and so forth. So we have very strong guardrails, but capital recycling is something that we continue to evaluate through the year and next year, including also redeploying their capital for more interesting opportunities. Thank you. We will take the next question from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Congratulations on excellent results and on the deleveraging. A very quick question, given the new projects coming up this year, what's likely to be the revenue growth as a percent for FY27? So Viraj - sorry, the line is cracking a little bit. Hello? Sorry to interrupt in between. Ashish, I would you request you to please -- I'm sorry, Viraj, I would request to please mute your line. Sir, you may proceed.

Yes, I think the question was about what's the revenue growth we expect with the new openings. I think let's just break it up year-by-year. So what do we have in FY27. So FY27, first of all, we have the same-store of hotels. This portfolio grew in the ZIP code about 6% to 7% last year with a lot of interruption. Without that, this would have grown comfortably in the ZIP code 10% to 11%.

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Given the base has been reset, as Karan mentioned on the earlier question, we expect the same-store hotels to comfortably grow in the ZIP code about 9% to 10% year-on-year for FY27. Two, we had undertaken a fair bit of renovation and additions during FY26. Just to mention a few, we

have added inventory almost 20% inventory to our Sheraton in Hyderabad.

We have added inventory to our Hyatt Regency, Pune. We have added inventory to one of our Holiday Inn Express hotels. We obviously opened to more Holiday Inn Express hotels during the year. We also undertook significant work in our Hyatt Place, Gurgaon, where a significant inventory was shut for renovation has reopened, there's a new ballrooms and so on and so forth. So we do expect that the capital and the efforts get invested in FY26 in these assets will add on to the same store for FY27. And if not, they give us enough cushion and hedge if the current crisis was to continue longer. And therefore, being conservative, we feel that while, if there was to be no crisis, same-store would have grown at about 9% to 10% and incremental impact would have been about 3% to 4%.

Total revenue growth would be about 14%-odd. But I think at this point, we like to guide with an element of caution that the current crisis may continue. And therefore, the overall revenue growth should be underwritten in the ZIP code of about 10% to 11% Y-o-Y.

So that we expect FY27. FY28 is a big year for us because we open the W in Hyderabad. And notwithstanding what we are seeing as the current crisis, the location of that hotel, the brand and the product positioning is extremely strong. So we do expect the W Hyderabad to bring on the current revenue run rate basis, almost 6% or 7% growth.

So for FY28, is extremely well set to add that 6%, 7% Y-o-Y growth because of that new hotel opening. And then beyond that, of course, we have larger openings like the Tribute in Bangalore, then the Westin in Bangalore, then the Noida development. So I think starting FY27, we are in a very scoured space because of the investments that we have made since we went public.

Understood. Thank you. And Ashish, would you like to guide us towards the interest cost outgo likely for FY27?

So for FY27, on a pure Excel sheet, the interest expense comes to about INR 127 crores, but we would again caution. The news that we are hearing in the market is that the interest rate cycle may see an upward revision because of the currency weakness. We have already factored in a 25 bps of increase to indicate a total interest cost in the range of about INR 135-odd crores.

Some have factored in what we expect could be the interest rate hardening this year. Otherwise, as of today, the cash interest expense will be about INR 127 crores, but we are guiding towards INR 135 crores, INR 140 crores only because of the fact that we will factor in a 15 to 20 bps increase in the interest rate.

Thank you. We will take the next question from the line of Jinesh Joshi PL Capital. Please go

ahead.

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Jinesh Joshi Sir, I was just trying to adjust the EBITDA margin in 4Q for the crisis. So if I have a look at our reported EBITDA, which includes other income, the figure stated is about INR 149 crores. And if I exclude other income of about INR 8 crores to INR 9 crores to the reported EBITDA and add about INR 22 crores of revenue loss that we have seen in the month of March.

Our EBITDA margin is at about 38.4%, which in the base quarter was about 38.7% while the decline is not meaningful, but we haven't seen any improvement come through in the EBITDA margins. So are we kind of facing any operational headwinds on the cost side? If you can talk a bit about that?

And also in that context, our full year guidance of 38% because 3Q and 4Q our margins typically tend to be higher, so if in 1Q and 2Q, we are slightly lower. So how should we think about that guidance as well?

Jinesh, very good question. Let me break it up for you actually. So when you do the math in terms of adjusting for other income and then adding back the impact of, let's say, GST and the whole prices that you've seen, you're absolutely right, it's a flattish margin. But when you drill

I down our asset level performance this year, one of our larger assets have picked up almost INR 13 crores to INR 14 crores of what's called corporate catering and outdoor catering. That one business came at very low margins, okay. And that kind of impacted a bit of what would have been a slight increase in the margins to what we've delivered.

So as we rationalize the revenue mix of FY27, that dilutive impact of not a very large, but still a reasonably sized business that was picked this year, which reported very low margin will disappear starting May. So I think there was one asset, one particular contract, a slight dilutive impact, which we will not see through FY27.

Jinesh Joshi: Understood. And sir, one accounting question. The variable lease hotels that we have announced in Hyderabad and Noida, now given these are long-term leases, will the rent get capitalized on the balance sheet? Or will it be expensed into the P&L? That's one.

And just one small follow-up. While in the PPT, we have given a 5-year capex guidance of INR 2,200 crores. Can you just help us break it down for the next 2 years, which is 27 and 28? Yes, so that's the last question from my side.

Rajat Mehra: Jinesh, this is Rajat here. See, as far as the lease which are paid till the time the development of the hotels is happening, all leases will get capitalized. So whatever we are paying for the W today on a regular basis is getting capitalized till the time we open the hotel. After that, it will be a state to the P&L as soon as we start generating revenue.

Ashish Jakhanwal: Yes. So just to reconfirm, all leases have a 3- to 5-year minimal guarantee that is really a part of.

Rajat Mehra: For that, we will actually create a separate ROU and the lease liability, which has a separate accounting treatment, but the variable part of that is a cost which straightway goes as a part of P&L.

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Even today, Jinesh, about almost 1.5% to 2% of our revenue is on account of the variable lease payments we make on our existing leasehold assets. So when you compare the EBITDA margins like-to-like, actually, our EBITDA would be in the ZIP code higher by about 150 to 170 basis points only on account of the lease treatment.

Coming to your second question, for FY27, we have allocated about INR 250 crores to INR 270 crores of capital, capex. Large part of this is actually towards the W in Hyderabad. Almost INR 150 crores is for W, Hyderabad for it to be opening towards the end of the year.

The balance is for the work going on in the Westin Bangalore. Then we are allocating some capital towards maintenance, and we've seen that for P&L, there is some maintenance requirement. Then we are doing minor renovations in Four Points, Pune and Jaipur. So we have allocated about INR 15 crores to INR 20 crores there and then some bit of investment in leisure. For FY28, we expect to maintain a similar ZIP code of capex and which then will be directed majority of that will be directed towards the Westin in Bangalore, because W would have been largely fully invested so far. So that's how we see the capex plan for the next two years, ZIP code of INR 250 crores to INR 270 crores per year run rate as of today.

Can I ask just one more question, small clarification. So sir, in the presentation, we have mentioned that due to the GST change, the number of room nights sold for less than INR 7,500 have increased quite a bit. But if I look at the occupancy of the upper mid-scale and mid-scale assets that we have given in the PPT, that figure is more or less constant. So I was just trying to

think through what has happened exactly?

The funny part about the GST regulation is it has nothing to do with segment. It has nothing to do with the average rate of a hotel also. It is applied to each room, which is sold for less than INR

7,500. So even in a hotel where we have reported an average rate of INR 9,000, if during the month of March, because of the Gulf prices, they saw a cancellation of a group or an event and they replaced it by another group, which came at a rate lower than INR 7,500. On that proportionate income, we would have lost the GST input tax credit.

So this will not be visible from segment performance. Actually, even if you look at our best-performing hotel like a Courtyard Fairfield Bangalore, in the month of March, they would have ended up selling a few rooms, let's say, it's less than INR 7,500, right? So the impact is of every room, which is sold for less than INR 7,500.

And as the revenue management logic would unfortunately tell you that when you go through a period of crisis, you tend to secure market share and volumes and some of that comes at a slightly discounted price than you would have otherwise planned for.

So that's why if you see in the last 6 months, the total GST impact on a Y-o-Y basis in the quarter 3 was about INR 7.5 crores actually, right? And the same amount expanded to about INR 10 crores in quarter 4, even then that's not proportionate to the revenue growth we've seen Q-on-Q actually, right? So that demonstrates that more rooms were sold at less than INR 7,500. That's standard revenue management.

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Moderator:

Vikas Ahuja:

Ashish Jakhanwala:

Vikas Ahuja: SAMHI Hotels Limited

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Thank you. We will take the next question from the line of Vikas Ahuja from Antique Stockbroking. Please go ahead.

Ashish, my first question is regarding this INR 153 million impact because of the West Asia disruption. And in our presentation, we have written that inbound FIT cancellation, near Land Cruise and MENA. So I mean, is there any residual impact also, which is going into April and May? Or this is just purely a one-off and we may not see this recurring in Q17

So Vikas, we have seen that continue through April. May started seeing a solid recovery. Well May two things are happening, to be honest. One is last year, base was very poor, Vikas, because we had Operation Sindoor in May. Operations Sindoor started around 9th of May or 1st of May. So clearly, you inherited a very extremely poor base.

But even if I ignore it, constantly tracking this current quarter over the same quarter in FY25, actually, okay? Because comparing it to FY26 is kind of blindsiding ourselves for future. So whatever we delivered in FY26, while for management, it's very easy to use that as a base to look like heroes in FY27, but it clearly doesn't set them for success in the long term, right? So when we look at quarter 1 performance, we are actually comparing it to the quarter 1 of FY25, because that didn't have an incident like Operation Sindoor which was actually as severe an incident as what we are seeing currently, right?

But adjusting for all of that, what we've realized is that even long-haul international travel has resumed, okay? Even the customers from U.S. have started flying. Don't forget the flying time has now increased to 20 hours. It clearly impacts the number of people who would like to come for a small meeting. But we have clearly seen a very encouraging resumption of business from all core markets.

The occupancy is not a problem. We're running really strong capacity utilization across the group. But as the business rebalances we will give us the conviction to restart repricing. So I think as of today, that's why we feel reasonably confident. Okay, listen, these operators give you a calendar year number. We report a fiscal year number.

In a typical year, the ratio fiscal year to calendar year is about 1.04, 1.05, right? So about 4% ahead of the calendar year is the fiscal year ending. Last year, that dropped to about just barely 2%. So it was 1.02, okay? If take the numbers that have been delivered from Jan till now, which is a very period full of

of turmoil, to be honest with you. We actually think that the early double-digit growth rates are fairly secured.

But when I say fairly secured to be very vigilant and keep monitoring what's happening to the current situation. But as of today, we feel that double-digit revenue growth is not something that is at an alarming threat. But the world is volatile, we need to keep watching where we are heading.

That's helpful. So roughly, we should build in a similar kind of impact at around INR 150 million for maybe Q1 as well, which will hit the margin. And as you rightly said, FY25 is the base we

should look at. So I just want to clarify on that. So if look at the GST impact, which was largely  
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for the second half, INR 180 million, if I annualize it, it would be roughly INR 300 million for the year.

And if I compare it with FY25 base, so there is a 2.5%, 3% drag. So when we say 38%, which is 50 to 70 basis points higher than FY28. So roughly, if I exclude that, our margin would have improved more than 3 percentage points. Is that the right understanding?

Absolutely correct. The group level would have been upwards of 40% minus the GST impact.

Our upscale is already upwards of 42%, 43%. Our ACIC has now moved in line 41%, 42% actually, our Holiday Inn Express portfolio has done really well. So you're absolutely right, GST has a permanent impact on the margins, and that's why for this year, we're guiding to be 38%.

The good news, Vikas, each year, our reported margins will keep going up on a normalized basis, because most of our incremental inventory's upscale, where we don't expect to sell many rooms for less than INR 7,500, right. So I think structurally, the company will secure its place at 40%-plus reported margins. Only given the fact that our incremental investments and openings are all upscales, actually and in strong markets.

I mean, let me be cautious. An upscale in Ahmedabad has the risk of selling rooms at less than INR 7,500. A mid-scale in Hyderabad and Bangalore has lesser risk of being sold at that price. So our inventory is opening in upscale and in markets like Bangalore and Hyderabad, which gives us a reasonable security about not selling rooms below that price point.

Right. And Ashish, is that fair to understand once things normalize, so there would be some upward bias on this 9% to 11%. The target we have on income is there because of the GST introduction, there should be some upward bias there.

And finally, anything on this NCR where RevPAR declined minus 9%. So is the renovation of Hyatt Place is largely over and we should start seeing growth coming back there from a RevPAR growth coming back from this fiscal year? Thank you. That's my last question and thanks a lot, Absolutely. So Hyatt Place, Gurgaon renovation got concluded actually by end of quarter 3, right? And if you see, Jan till now we've seen fabulous growth in that asset. So we do expect NCR to come back to mid-teens in the current fiscal year. There's no doubt in our minds about that because the base was very low.

Notwithstanding what we are seeing as crisis, we're not worried about some of the assets they have taken on interventions because the base was doubly impacted: A, because of the renovation and; B, because when they opened the market was really, really bad.

So absolutely no need to be concerned about NCR. Hyatt Place Gurgaon is fully renovated and open, and it's set to deliver, at least, in our opinion, mid-teen revenue growth, if not more.

Ashish, we missed on that 9% to 11%, if there is any upward bias towards that because of the GST reduction and all?

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Moderator:

Shrinjana Mittal: = SAMHI Hotels Limited

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So listen, just look at the last year number Vikas, last year, the total revenue

growth in the

portfolio was about 12%, okay? If I look both at the external environment and internal issue so such as renovation at Hyatt Place and ballrooms in the Hyatt Regency and Sheraton, and we've spoken about this in the first half, Unfortunately, we all forget in public markets.

But this year, we had undertaken certain capital investments for product improvement, which did impact our revenue run rates, right? FY26 should have easily been a 15%, 16% revenue growth for SAMHI okay? If we see the Gulf prices settle down, even if it takes another 3 months to settle down, right? I think this year has a fair bit of an upside potential

But that's the potential, right? Our current plan on EBITDA growth, cash flow generation, our targeted leverage, all of that is dependent on just that 9% to 11% revenue growth. Anything we get on top of that, we'll do a couple of things.

Number one, it will substantially improve our EBITDA growth plus margins. So all of that incremental EBITDA will go straight to our free cash and that, of course, has a snowball effect of what that can do to the company. And that's why every management, just like every equity investor tends to be cautious of the downside, but clearly works hard for the upside.

And that's why we have articulated our capital allocation plan because we do feel over the next

3 to 4 years, there's a lot more upside built into our business that allows us to do all the 4 things, which is quickly deleverage, clearly continue our capex plan which is not being impacted by anything, continue to look for growth opportunities and last but not the least, has the optionality, and I don't want to speak ahead of time, have the optionality to start considering any sort of shareholder return.

So I think there is an upside in the business plan, but we need to be very cautious, especially in times when bombs are flying around the world really.

Thank you. We will take the next question from the line of Shrinjana Mittal from MS Capital.

Please go ahead.

I have two questions. One is if I look at Slide 28, the income bridge that we share, the same-store EBITDA shows a negative impact even if I look at the ex-GST number. So in this, is this drag largely because of that one asset that these margins were structurally lower? If yes, can you qualify that further?

And then a second one is, just our understanding is that the incremental flow-through from incremental revenue is about 50%-odd, right? That's generally the case for us. But given the GST impact, how should we think about this going forward?

Yes. So that's a good question. So when you look at Slide 28 and the quarter FY26 same-store, you're absolutely right, but the GST has been separated from this. It does include what Rajat mentioned about the FF&E expense and some of the year-end reconciliation and two, of course, the impact of the outdoor catering and group corporate catering business taken at in Hyatt Regency, Pune. So both of those things impacted the revenue growth.

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Shrinjana Mittal:

Ashish Jakhanwala:

Shrinjana Mittal:

Rajat Mehra:

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One thing we need to be aware of is that typically, we see a very significant jump between quarter 3 and quarter 4 revenues, historically. And most of them coming actually post 20th January until end of March. So we've always seen the first 10, 15 days of January, mirroring the last 20 days of December, which is a year indication period. Post 20th January, we see a very strong growth in revenue and typically, hotels are geared to deal with that.

And that's the case this time also. And then in that situation you get a sudden loss of income of growth and so on and so forth, the ability to control cost is not immediate. So if you see the same thing in April, for instance, you'll see an improved number because the management had a month to respond to outsourced labor, fixed contrac

ts and stuff like that.

So when you hit with the crisis in a quarter when you're prepared for a significant revenue jump, it's sometimes difficult to maintain the flow through the recovery. So what you see is minus 3.7% is on account of the FF&E expense through the P&L.

You will see the impact of year-end reconciliations, factorial costs, all of that and then of course some impact from their outdoor catering and corporate catering business that was taken, so, yes, that's the combination. Can you repeat your second question, please?

No, I think that roughly answers. Our second question was just the that flow through that 50% flow through, that we do, this is a one-off thing that is what I meant, that 50% flow through what we usually expect and that has not changed even after the GST change?

So we do expect a 55%-plus flow-through. 50% is underwhelming, 60% is where we are happy. We have seen a median to be around 55% flow through across the business, and that structurally has not changed.

Understood. Very clear. Just one more question. The depreciation number has also increased a fair bit sequentially as well. So can you help me understand what has led to that?

See, this is actually on account of one-time revaluation of the balance life of the assets. So we after every 3 years do a reassessment. So whichever asset that we feel that actually have almost lived its life, so we've taken a one-time hit of that, And subsequent to this, I don't think there's going to be any material change in the depreciation numbers that we have been reporting.

Thank you. We will take the next question from the line of Achal Kumar from HSBC. Please go ahead.

The first question is about your long-term targets, which you have just spoken about. So 2 things here. So one, you have shown the path for FY27, 28, but I just want to understand where do you see in terms of your; with all these assumptions you're put in and the growth you have put in, where do you see in terms of your ROCE target in FY31 and your net debt-to-EBITDA? And how are you going to fund this INR 2,200 crores of capex over the next 5 years? If you could give a bit of a color.

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And obviously, what kind of assumptions do you have in terms of your ARR growth over the next 5 years? And when we do you -- how do you see these hotels to generate the group level EBITDA margins. So if you could also give a bit of color on that, please? Thanks.

Okay. So I think I'll summarize what 3 or 4 questions you've had, One was the expected ROCE. Second was net debt-to-EBITDA target. Third was how do we find our capex and fourth was the asset level RevPAR growth, right? So let me take the easier question first, and then I'll come to the more difficult ones.

So in terms of net debt-to-EBITDA, so I think I'll repeat. Since we've gone public, there are only 2 guidance we have given, one in terms of what we expect the revenue growth to be in the long term. And I'm kind of proud of the fact that we've held on to our 9% to 11% guidance pretty much from the day of IPO till today, and we've seen lots of highs and lots of lows in markets.

And I think what we have learned is that when you give a long-term guidance, it should remain long-term stable and should factor in the events. So we had factored in event and we stay absolutely confident of maintaining a 9% to 11% total revenue growth from same-store hotels, right? That's number one.

Second guidance we have given is the fact that this company is committing to bring the leverage to 2.5x net debt-to-EBITDA, right? We are currently at 3x net debt to EBITDA. If we had not seen the interruptions that we saw during the year, these numbers would have already gone to a 2 ZIP code right?

It could have been 2.8, could have been 2.9. But we would have been at 2.8. So typically when we guide our investors, we keep a margin of error. So we were t

hinking and hoping we'll be at

2.8x net debt-to-EBITDA at the end of the year. That's to circa 3.0. We are precisely at 3.07 as when we reported our numbers.

As of today, we maintain our guidance that the company will stabilize its net debt-to-EBITDA at 2.5x. And I think gives another 12 to 18 months, we should be in that ZIP code. Third thing is in terms of capex funding, and I think we've articulated that our last year's free cash flow production which is nothing but EBITDA minus interest expense and lease MG is approximately INR 300 crores.

When we looked at the recent interest rate reductions that we've been able to achieve, that number without changing the EBITDA number would have been about INR 310-odd crores. So now there are 3 things which will happen. We are underwriting, Achal, that this INR 310 crores is largely secured. Only this is on the back of a really one could say a tough year, right?

So the INR 310 crores is really available to us for the next 4 to 5 years, because the base is tested on a really tough year. The second thing that we are underwriting clearly is that 9% to 11% revenue growth. Now when we looked at revenue growth, EBITDA growth, what could be the future value of this company, we are obviously put in a lens of optimism and growth.

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When we underwrite cash flows and leverage, we put a lens of pessimism. So therefore, what we do is we assume no operating leverage, and we pretty much apply the same RevPAR or revenue growth to EBITDA growth.

So if we only get about 9% to 10% EBITDA growth, that will give us an incremental INR 700 crores of free cash from our existing pool of assets in a 5-year period. And then starting FY28, when the W opens and then subsequently, we open other hotels. As said from now till FY31 we will contribute incremental about INR 400 crores to INR 500 crores of EBITDA.

Now as we've articulated, we are not taking incremental debt, and therefore, the EBITDA from those assets have a real flow-through to our free cash. So we have reasonable source and visibility of financing for finding that approximately INR 2,200 crores of capex.

Now again, to be cautious, we have done 2 things. When we are considering the revenue and EBITDA, we have ignored Navi Mumbai and One Financial District, Hyderabad. We've assumed 0 contribution from those because these are quasi greenfield, and we know what happens to greenfield, right?

But when we are considering the capex, we are assuming these hotels are going as per plan, and therefore, we've taken the full capex for this 5-year period. So we have built in some margin of error hopefully, in the way we've laid out our cash flow forecast. So that's the 3 easy questions, okay.

Now let me come to the more difficult question, which is the ROCE part. So if you see our current pool of assets are really well geared to get to the targeted 14% to 15% ROCE. We think there is very little risk to that. So the current pool of assets we could underwrite to be at 14%, 15% ROCE.

Now let's target the new openings. Now the new openings will be a mixed bag, okay. There will

be hotels like Ingka, there will be hotels like W Hyderabad. These hotels are on variable leases. And unlike the freehold assets, they tend to deliver very good ROCEs early on. So if the group level, ROCEs in the ZIP code of 14%-15%, the W, Hyderabad opening, let's say, in FY28, when that asset gets fully capitalized. First of all, we don't carry the depreciation of the building in our books because we leased it, right?

We expect the ROCE to be not dilutive to where we are targeting the group to be, right?

Similarly, when we get the delivery of the IKEA the Ingka Center hotel, our investment is largely in FSME and hard finishes and to be a strong market. So again, this is an asset which will not be very dilutive.

Third thing, which I think we've not spoken about enough today is this

St. Martini in

St. Martini in Chennai. Now this is not very often that a company can add a whole Marriott hotel to its existing portfolio without investing a rupee on real estate. So the current Fairfield by Marriott on that piece of land is at about 30% return on capital employed.

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Vaibhav Muley:

Ashish Jakhanwala: = SAMHI Hotels Limited

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So if you take the total capital employed in that asset and the current EBIT, we should be at about 28% to 32% return on capital employed. On that piece of land, we are adding a whole 130-room Marriott hotel. So as that hotel opens, we expect the ROCE to be extremely high for that hotel because there's no underlying real estate expense.

So generally, we expect our ROCE profile to be maintained in that mid-teens ZIP code, even though we are opening a lot of new hotels and classical wisdom will caution you that new openings could be dilutive to your ROCE, but a combination of variable leases and the fact that we are on a piece of land that the underlying value of land has already been accounted for, gives us a reasonable protection. So I'm sorry I took long to answer this, but I think it needed a bit of an explanation.

Thank you. We will take the next question from the line of Vaibhav Muley from Haitong India Securities. Please go ahead.

Congratulations on a good set of numbers. My first question was, I wanted to delve a bit more on asset recycling that you mentioned, you want to evaluate more opportunities. I believe you have already done asset recycling of north of INR 200 crores. And as per our earlier target, only INR 100-odd crores recycling is to be done. So are you planning to go beyond this INR 300 crores targeted number in terms of recycling?

And in terms of the nature of the recycling, is it the complete sale of asset like saw in case of Ahmedabad or Chennai or for our Caspia asset? Or will it be similar to what GIC did of minority dilution at asset level? That's my first question.

So Vaibhav, first. I think asset recycling is a part of our long-term strategy and the driving factor behind asset recycling is nothing but ensuring that we deliver a higher return on capital employed and higher growth.

So constantly, the investment committee first and then the Board evaluate that all of our assets gear to a, deliver higher ROCE; b, protect ROCE and c, continue to deliver earnings growth from the contribution of the earnings growth from that particular asset, right?

Two, we are constantly looking at opportunity costs that what is the, for instance, the market value of that asset? And what could be our ROCE on the market value? So one thing is the ROCE on our book value, which has been depreciated. Second, what is the return on capital employed on the opportunity cost or the underlying market value of that asset?

And if we feel that the market value is really high. And therefore, on the current income, the ROCE will be really low. But at the same time, we have the ability to acquire a hotel where our ROCEs will be mid-teens to high teens, we are often compelled to evaluate that candidate for an asset recycling.

So this is something just as our investment committee and Board needs often in a year to evaluate where should we deploy our capital and the same Board meetings we have debates about is our current portfolio behaving well? And are there candidates within our portfolio, which would be

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better recycled than held on the book? So that's really a capital discipline that we carry as a byproduct of an institutional investor group, right?

So therefore, you're absolutely right. We think our target on asset recycling is bigger than our residual INR 100 crores. We expect that in the next 2 years, it should be about INR 200 crores, INR 250 crores, largely through sale of assets, okay?

In terms of min

ority dilution, that is a larger strategic goal and often is done when either we expect to monetize a value created in an asset just as we did in Courtyard, Fairfield, Bangalore, where we created tremendous value for our shareholders. And then we kind of, in your language public market booked a profit by diluting 35%, and it secures the base for perpetuity effectively, right?

That's a more longer-term strategic decision, which I would not like to comment because it will be totally speculative, right? But in terms of asset recycling, I can confirm that our current target is more than INR 100 crores.

I would put that number to be in the ZIP code of about INR 200 crores, right, INR 200 crores to INR 250 crores, largely in form of single assets, where we think our money should be redeployed in more high-growth opportunities. Vaibhav, I hope I've answered your question.

Yes, sir, clear. Just a quick follow-up on this, actually. Isn't there a risk to invest the money that you generate from the sale of assets into a newer venture? Is there a significant delta that you can capture in terms of ROCE to take that risk, let's say, if your existing assets are delivering 12%, 13% ROCE. And if you are generating 15% ROCE in a new venture, with the risk that it may or may not be successful. Isn't there a trade-off in terms of taking that risk?

So Vaibhav, I'll give you some of the examples. So last year, for instance, we sold Caspia Delhi. And we sold Caspia Delhi for a consideration of INR 63 crores. And well, on that day, the EBITDA contribution was just about INR 1.5 crores, INR 2 crores. But even if we had fully renovated, rebranded, capitalized on the current value of that asset, we would have not solved for high ROCEs for that asset, right?

Interestingly, what are we doing with that capital? With that the capital we are using to do something like a W Hyderabad, for instance, just to give you an example, right? Money is fungible, so hard to say it went from A pocket to a B pocket, but the same money, which was delivering INR 1.5 crores, INR 2 crores of EBITDA against a INR 60 crores value, it's guaranteed to deliver you a double-digit ROCE in an asset like W Hyderabad.

I'm using a word that I normally hesitate to which is guaranteed, but I'm using that word because the margin of error is very, very large in that asset, right? So I can be a slight bullish on that. So you're absolutely right. Asset recycling needs to come with a very, very large margin of safety and unless that margin of safety is not there, you're absolutely right, Vaibhav, it is not worth considering asset recycle.

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So all of our asset recycling have carried that significant margin of safety. So even if your new deployment goes wrong on your underwriting, you would still outperform your existing assets, and that's the basic thesis.

Perfectly understand, sir. Second question typically on Bangalore market. Bangalore market is expected to see good pickup in terms of the upcoming supply, especially into upscale, upper upscale markets, where our majority our portfolio lies. Again, another competitor of yours actually yesterday announced that they are planning to set up a Westin brand in Bangalore with Marriott.

So is there a risk that you see for a Bangalore market, especially given the market has run up quite a lot. And over the last couple of quarters, we have started to see occupancy taking a hit, though ADRs are still sustaining at higher levels. So longer term, is there a saturation risk for Bangalore?

So Vaibhav this question needs to be answered at the market level, okay? If you look at our presence in Bangalore is Outer Ring Road, and clearly, we are seeing new hotels open through this year in Outer Ring Road in Bangalore. And we have, therefore, in our own underwriting when you give a guidance 9% to 11% for the group level

In that as

set, we've kind of moderated our expansion on growth, given the fact we have a large opening over the next 12 months in Outer Ring Road. Our second investment is in Whitefield, which is where we have the Tribute and the Westin. And I think more -- Westin has absorbed a lot of supply over the last decade and now is coming to that turn where the new supply is not material over the existing base.

So supply growth percentage is not sitting in Whitefield, Bangalore. The new supply in Bangalore is concentrated between airport and Hebbal, okay, which is really where the land is available, new office growth is happening. We have zero presence in that precinct.

So if you were to take the list of future supply in Bangalore, and I don't want to put a number to it because I don't have the data. But more than half of that future supply is concentrated in that 25-kilometer corridor starts at the Bangalore International Airport and would end at Hebbal, which is where you have the Manyata Tech Park and all.

So I think it's a business of micro market. Its not a business where supply and demand could be evaluated at a city level, to be honest with you. And the same thing will apply to Hyderabad also, Vaibhav. If you look at Hyderabad, there's a lot of announcements of new supply. But a lot of those announcements are ot in the precinct to the micro market where we have a current inventory or proposed inventory.

So all of this needs to be evaluated at a micro market level, that's one. Second, is Bangalore as amarket today is a total inventory of about 17,000 rooms, 18,000 rooms, right. Bangalore needs to add 1,000 rooms more every year for it to be growing at 5% a year, right? And if supply is growing at 5%, which doesn't seem the case by the way in Bangalore, which means 1,000 rooms ayear every year for the next 5 years, right?

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So the supply CAGR in Bangalore, maybe in the ZIP code 5%, 5.5%, we need to make sure that demand continues to grow ahead of that, right, which obviously is a factor of GDP growth rate, growth of office, airlines, ancillary business, so on and so forth.

1 think the demand environment, the current supply base, the percentage supply growth in Tier 1 market s not a threat. But again, Lwill completely agree with you, We need to be cautious and evaluated it at a micro market level.

Understand, sir. Can [ squeeze in last bookkeeping question, if I may?

Sure, please.

Just on W Hyderabad, you have said opening will be in'27. Can you specify the quarter in which it will be opening? And related to that, Hyatt Regency, Pun has been in preopening for last quarter as well. Any particular reason that we are still mentioning the status as preopening on that?

These are 22 apartments, which are ready and waiting for the final approvals, Vaibhar, right?

So these are, sorry, this s not a hotel. The hotel is operating completely. These are 22 new apartments, We have completed, but we are waiting for the final regulatory approvals. That's why unless we don't get that, it will unfortunately be seen as preopening.

Okay. And on the revenue growth that you mentioned, 9% to 11%, we had mentioned the same-store revenue growth...

Sorry to interrupt, Vaibhav. I would request you to please rejoin to queue again for more questions. Thank you. We will take the next question from the line of Prashant Biyani from Elara Capital. Please go ahead.

Sir, I had a follow-up question on the capital recycling that you answered to previous participants. So you arc recycling hotels which arc struggling? And if the ROCE based on the market value of any of your hotels is less than what you desire because of increase in the market value of the hotel, then you're willing to recycle that capital also if the und

erstanding is right.

Then in a way, sir, you are trying to operate a hotel, which has kind of mediocre ROCE, looking o scale it up and offload it. In that case, sir, aren't we kind of digressing our business model o trading of hotels also and ot just running the hotels?

No, Prashant. I don't think we are trading hotels. In the last 3 years, we have sold 3 hotels or 4 hotels, right? Number two, let me clarify, the hotcls that we scil often are non-core hotels. We often have bought portfolios and when you buy a portfolio, you get hotels. Otherwise, on a stand-alone basis, you would have not bought.

And therefore, they better be recycled and that money deployed in markets and assets that you are core to you. So I'll give you an example, Caspia Delki in North Delhi. Tknow it looks like a Delhi ZIP code, but non-Delki business is very different to the business we arc used to operating in.

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So I would want to clarify that it is not trading of hotels really. Our job is to build a very large portfolio of operating hotels. But if you look to any large income-producing hard assct business elobally, right? The way to protect sharcholder value in the long-term is to ask yourself hard

questions, right? About is asset creating future value?

Now, at every year, you'll get an answer that 2 hotels are not. But every 2, 3 years, you will clearly get an asset or two where you feel that you're better off disposing of the asset to redeploy that in a higher return segment. So it's not active trading, but it is a tradition that we evaluate the value of each hotel.

We make sure that the hotels we own are geared to provide long-term value creation for our shareholders. And if there's friction to that, I think it's a fiduciary responsibility to make sure that we do the right things to redeploy that capital.

But it does not make it as a trading of hotel and the percentage of that remains to be miniscule. The impact, by the way, could be substantial, but the actual monetization program itself is a miniscule of what the value that we carry. So just to clarify that.

Sir, hotels which are struggling, we recycling that capital is understandable. But if the market value of any, I mean, the property prices of any micro market increases and based on the market price, we are not able to supposedly, the ROCE profile is not as per what we are targeting.

In that case, sir, I mean, that is a bit confusing. I mean, in that case, I would be a bit confused. If you are going to sell off your marquee hotels also may not be so frequently, but I mean, that sort of creates...

Prashant, I used the word non-core hotels, even in the presentation if you see we have use of our non-core hotels. So we are not going to sell a Courtyard Bangalore or a Sheraton Hyderabad, Hyatt Regency, Pune, right? I think this is about some of the smaller hotels that we acquired sometimes as a part of our portfolio acquisitions.

So I don't think anybody needs to be worried about us tomorrow saying, "Oh, the value of Courtyard Bangalore has become INR 3,000 crores in the market, and therefore, our EBITDA is only INR 100 crores, should we sell it, right?"

So if you see the Slide number 10, we have used the word our non-core hotel sold, right? So it will always be applied to non-core hotels where their EBITDA contribution is negligible, their future EBITDA contribution to the group is even less than negligible.

So you don't see the needle moving in terms of revenue growth, EBITDA growth, absolute revenue, absolute EBITDA, because these are non-core hotels, which are not material contribution to the portfolio.

Thank you, We will take the next question from the line of Karan Kamdar from Choice Institutional Equity. Please go ahead.

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Karan Kamdar

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Karan Kamdar

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Sir, so GIC, I believe, has committed around INR 750-odd crores and we have received about INR 550 crores. And there's some conditions precedent which are pending. Could you sort of elucidate on what are we expecting? And when are we expecting the rest of the money?

We've received INR 600 crores so far. The balance investment is INR 150 crores. That could come over the next two year period because that's coming in line with the capex spending on the 'Westin - Tribute Bangalore.

Got it. Got it, sir. And are we expecting further such investments in a subsidiary platform? Or are we only expecting sales of entire assets?

No. So we, as I said mentioned earlier, in the short-term, we've identified a few of hotels, which total value should be about INR 200-odd crores. So clearly, these are small hotels. At a subsidiary level, there is no plan as of date.

Thank you. We will take the next question from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Ashish, a big congratulations to you and the team on doing a fantastic job of managing the ship.

Just a very quick question. Given your performance and ramps in earnings trading at a massive discount to sector, and maybe that's partly because of the leverage on the books and the fact that we've just become profitable 2 years ago.

Given the - where the stock is trading, and I understand the growth and deleveraging our priorities, but would it make sense for management to consider carving out a small amount of capital for buybacks on a sustained basis?

So Viraj, okay. So Viraj, I'll address it into 3 things. Number one, multiples are decided by all of you, EBITDA is decided by us. We are fairly confident that notwithstanding the multiples, this company is a compounding machine when it comes to growth of revenue, EBITDA and cash flow and that itself will create phenomenal shareholder value, okay?

Number two, your question about would achieve stock attract us towards looking at things like

buybacks? And I would take everybody to that slide number, just a second, I think Slide number 16. And this is an evolving discussion at a Board level. Notwithstanding the share price or the discount Viraj, we are under a fiduciary obligation to create shareholder value and allocate capital

And I think our waterfall has already been stated on Slide number 16. And the waterfall states that the first commitment that we have is to maintaining a strong balance sheet because that preserves all of our wealth. Viraj, you have to mute yourself

So first is the deleveraging, 2.5x net debt-to-EBITDA. And the reason we are comfortable with 2.5x because all of our debt is circa around 12 years. We have very little principal repayment for the first 3 to 5 years. Our financing cost is now down to almost 7.9%. So when you have the ability to carry such high-quality long-term debt with no repayment pressure, 2.5x clearly is a very active position to create shareholder value.

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So I just wanted to articulate why 2.5x net debt-to-EBITDA and why not lower? Second is, clearly, we need to make sure that the company has not just adequate, but slightly more than adequate capex to fund its growth because when you're developing hotels, there's always a risk, as I have seen Karan articulated about cost overruns, inflation and so on and so forth. So the company needs to create reasonable buffer for no surprise.

Third is we continue to feel that India provides tremendous growth opportunities, in terms of continue to look at leases, so on and so forth. Having said that, we've become very efficient. If you see last year, all of our deals were leasehold or asset-light and RARE. And therefore, we have moved more rapidly than we would have imagined ourselves to be in a more capital efficient growth model, right?

And after all

of that, if there is surplus capital, we have already committed that the Board will consider a disciplined mechanism to return capital directly to the shareholders' side. So you're absolutely right. Any good company globally will have a capital allocation discipline. We have tried to set that discipline on Slide number 16.

It is going to be a continued discussion at a Board investment committee level. But I think the discipline will decide what we do in future. But you're absolutely right. I think we will - to making sure that we do everything in our means without disturbing long-term prospects for the company, but yet create shareholder value.

Thank you very much. Ladies and gentlemen, due to time constraint, we will take that as our last question for today. I now hand the conference over to the management for the closing comments.

Thank you so much for a very engaging conversation. As I mentioned earlier, FY26 was 12% revenue growth, while some may say it's good, some may say bad. From our perspective, we are excited because in spite of severe interruption, the company and the sector largely held on to a long-stated conviction that the demand/supply is in our favor.

I think as we start seeing normalization of many disruptions we've seen during the past 1 year, the upside continues to be ahead of what we have delivered so far in the past. And that upside obviously goes straight towards bottom line and allows us to have a lot of flexibility to grow the SAMHI and also shareholder value. Thank you so much for all of your confidence and participation, and we look forward to speaking to you soon. Have a good day.

Thank you, members of the management. On behalf of SAMHI Hotels Limited, we conclude this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

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